Emilia Cederberg

THE INS AND OUTS OF ESG

A STUDY ON THE SPATIALITIES
OF ACCOUNTING CHANGE

STOCKHOLM SCHOOL OF ECONOMICS

THE INS AND OUTS OF ESG

What to change, and **how** to do it, belong to the eternal concerns of life in organizations. Reflecting this, accounting research has a long history of interest in the role of calculations in change processes. "What counts" changes over time, inter-dependently with broader societal concerns such as sustainability.

This thesis explores practical work to enable so-called integration of environmental, social and governance (ESG) issues in investment analysis and decision-making. Such integration is often described as a key mechanism in transforming the financial sector, in that changing established approaches of valuation is to change how financing is allocated.

Through a two-year field study of the practice of ESG in the Nordics, the thesis traces ESG integration in the daily workings of asset management. We look over the shoulder of ESG analysts in meetings with financial analysts, portfolio managers and portfolio companies, and delve into the spreadsheets and rating tools that enable the realization of ESG and allow its trajectory towards various pivotal organizational positions.

Based on this, the thesis argues that 'ESG integration' manages to uphold the very separation it is said to address, between 'ESG' and 'the financial'. In some situations, however, it manages to gain momentum in itself. By engaging with these two findings, the thesis probes the common suggestion that change hinges on targeting purportedly pivotal organizational positions, where calculative and decision-making power is presumed to reside. Rather, we should be wary of characterizing certain forms of calculative practice as marginal and "merely" procedural, and acknowledge the transformative potential in distributed experimentation.

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Emilia Cederberg

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To
Kemi, Semi & Ella

Foreword

This volume is the result of a research project carried out at the Department of Accounting at the Stockholm School of Economics (SSE).

This volume is submitted as a doctoral thesis at SSE. In keeping with the policies of SSE, the author has been entirely free to conduct and present her research in the manner of her choosing as an expression of her own ideas.

SSE is grateful for the financial support provided by Mistra Center for Sustainable Markets, Stiftelsen Louis Fraenckels Stipendiefond, Ann-Margret och Bengt Fabian Svartz Stiftelse, and Herman Friedländers stipendiefond, which has made it possible to carry out the project. We are also grateful for the support provided by Jan Wallanders och Tom Hedelius Stiftelse and Torsten Söderbergs Stiftelse to FIRE, the Research School in Accounting.

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Director of Research
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Professor and Head of the
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In addition to Ebba, I had the privilege to have an engaged and committed supervisory committee that in different ways were formative in what this project came to be, through insightful comments, encouragement and concrete steps forward. With each one of you, I experienced those immensely gratifying moments when the overall argument starts to make sense. Thank you.

I want to thank Chris Chapman for a very special knack for understanding what I didn't quite manage to say, formulate it precisely, and provide concrete advice on how to structure my argument. Lin Lerpold introduced me to Misum, a key factor in my decision to return to SSE and pursue a PhD after a year in Frankfurt. You continuously encouraged me to be to the point and clear on the "so what". Thank you for staying critical and reminding me that we must continue questioning the established procedures we become entangled in. Eija Vinnari, too, was instrumental in my not letting go of the political potential. Your research engagement continuously reminded me that one should use the voice the academic arena provides to try to make a difference. You also became my natural introduction to the CSEAR community, where I met several of those who I today count as my extended research family.

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Stockholm, October 3, 2019

Emilia Cederberg

Contents

Chapter 1

Introduction

> [I]f everything is process, everything is change, if everything is flow, then how come so much stays in place? (Law, 2001, p. 3)

It is often said that reform and change belong to the key characterizing features of life in organizations. Organizational reform is often linked to the realization of various organizational goals and priorities, which in turn are seen to be inextricably linked to broader societal developments. Reflecting this, accounting research has a long history of concern, both empirical and conceptual, for how accounting and calculations come to matter through, and exert influence on, processes of change. How such inquiries are made, and subsequently addressed, builds on foundational assumptions about the nature of organizations, of accounting, and of change in general. Indeed, the process and effects of the introduction of new accountings have been of interest to scholars both in functionalist and constructivist traditions.

In functionalist studies, accounting change is often linked to an improvement in the practical realization of strategic priorities, in the form of effective implementation (e.g. Chenhall and Langfield-Smith, 1998). Such effective accounting implementation is *possible,* although not *simple*, by collecting the right information, choosing an appropriate number of valid, reliable and relevant measures (Ittner and Larcker, 2003) and incentives, as well as overcoming barriers to change (Kasurinen, 2002; Shields, 1995).

The emergence of more sociologically inspired accounting research under the umbrella of accounting as social and organizational practice meant that an implied and obvious path of improvement became called into question (Hopwood, 1987). It is possible to identify two major shifts in viewpoint and approach, prompting a different view of accounting change. First, within the so-called constitutive turn, scholars proposed that accounting had a productive role in shaping the very reality it was said to reflect (Hines, 1988). Second, the commitment to study accounting in action in organizations showed that in practice, the link between goals and practices was more elusive (Hopwood, 1987). These two foundational tenets had the consequence that accounting and change were theorized as a much more intertwined affair.

Furthermore, driven by a growing influence of critical theories and a departure from economics-based theorizing, accounting scholars began calling into question *whose* goals were being pursued through accounting change. Organizational goals were reconceived from something external and independent to be realized to something constituted interdependently in practices. This approach, in turn, implied a radical shift in the treatment of accounting's visibilities. Rather than an endeavour to collect "the right information", many social-constructivist studies theorized accounting as a programmatic effort to *render* particular visibilities and, in turn, economic regimes (Miller and O'Leary, 1994; Carmona, Ezzamel and Gutierrez, 2002).

As a consequence of the increased emphasis on the interdependencies and embeddedness of organizations in their societal context (Burchell, Clubb and Hopwood, 1985), accounting was theorized as a vehicle not only for acting on organizational problems, but as an arena for broader societal conflicts and issues (Hopwood, 1987), such as gender (Anderson-Gough, Grey and Robson, 2005), environmental crisis (Gray, Walters, Bebbington and Thompson, 1995; Larrinaga-Gonzalez and Bebbington, 2001) or prevailing, dominant economic regimes (Ezzamel, Willmott and Worthington, 2008). In studies of an institutionalist inclination, as a more or less direct response to crisis, accounting performance objects (such as 'risk', 'efficiency', 'shareholder value', or 'sustainability') are seen to become elaborated and adopted – often merely ritualistically – to conform with what was considered legitimate (e.g. Arena, Arnaboldi and Azzone, 2010 on 'risk'; see also Power, 2009; 2015). Taken together, these studies placed accounting practice in a broader societal context and imbued it with meaning beyond being a consistent system of neutral measurement and evaluation. This move engendered a radical reformulation of the contestations, visibilities and organizational power effects accounting can render.

Building on from, and elaborating on some of these themes, some accounting researchers took inspiration from the writings in the emerging approach of actor-network theory (Callon, 1986; Latour, 1987; Latour and Woolgar, 1979; Law, 1992). Latour's *Science in Action* (1987), Callon's four steps of translation (1986), and the concept of inscriptions (e.g. Latour and Woolgar, 1979) provided an analytical toolbox that allowed for accounting to be conceptualized as action-at-a-distance (Robson, 1992). Through processes of accumulation of traces of the periphery, centres can act upon settings at a distance, recursively producing centres and asymmetries, as well as the distances between them. Change was at the core of this emerging stream, just like it is inherent to the sociology of translation. In a way, it is encapsulated in the classic ANT inquiry into how it is that "things" (and not others) come to be.

It has been suggested that ANT entered into accounting research as a reaction to the tendency of earlier social studies of accounting to foreground broad, critical narratives at the expense of the specifics of the accounting technology at hand (Justesen and Mouritsen, 2011). The tendency to link accounting practice to macro-conditions or personal sense-making, they argue, implied that "the real explanation [was] somehow beyond the accounting phenomenon" (p. 163). By turning attention to the very process of producing accounting inscriptions, these studies instead took to studying accounting's formative and organizing effect in a detailed, material sense. In essence, if social-constructivist accounting studies understood accounting practice as interwoven in the making of organizational facts, power and knowledge, ANT studies built on from this by aspiring to foreground the very material and technological particularities of how accounting takes material form and becomes an actor. Power, then, is not "out there" to be reproduced, but a processual accomplishment of asymmetry, recursively produced through action-at-a-distance. The implication of the sociology of translation for accounting change, was thus that 'implementation' was replaced by the theorizing of "constructed chains of transformation between objects, actions, technologies and numbers" (Dambrin and Robson, 2011, p. 429) resulting in the material realization of something abstract, a "thing" or "object".

This thesis engages with the long-standing question of accounting change through the empirical phenomenon of ESG. The acronym denotes the practice of using environmental, social and governance 'factors' in investment analysis and decision-making. This is a particular form of change endeavour since it targets investment analysis and decision-making, which is in turn ascribed potential to address broader societal concerns, such as climate change. In practitioner reports, investors can find guidance about various approaches to 'ESG integration', that is, accommodating ESG factors, typically in fundamental valuation of equities.

Much of the transformative potential of 'ESG integration' is ascribed to the possibility of inserting 'ESG' into widely used valuation models, such as the discounted cash flow (DCF) model. The argument is that to change financial flows, one must target established ways of working – such as the process of analyzing equities. Often with an articulated commitment to quantification, 'ESG issues' should be transformed into a material form that can be "inserted" into the analysis practices of investment decision-makers. Reflecting this, 'ESG' has become a form of calculative practice replete with its own accounting tools and techniques, such as rating methodologies, scores and performance standards.

Beyond this, there is a practitioner literature suggesting that 'ESG' hinges on new forms of organizational collaboration and dialogue, typically between analysts tasked specifically with ESG issues, and their colleagues in financial analysis and portfolio management. As we shall see throughout this thesis, it is a practice characterized by a broad concern for "getting ESG in there", beyond merely financial valuation models: much effort relates to getting 'ESG' onto computer screens, and into portfolio meetings, financial product development, and company dialogue. In this sense, 'ESG' can be understood as calculative effort with a particular *direction*. It is also a practice that builds on dichotomies: that of 'ESG' and 'the financial', of ESG analysts and portfolio managers, of the different "perspectives" these forms of knowledge are said to embody, and of non-financial and financial performance.

Empirically, by turning the gaze towards ESG, this thesis ties into a broad interest for 'sustainability' as calculative practice, reflected in the accounting literature as well as in organization studies more broadly. The empirical phenomenon intersects with several research streams: the long-standing debate on the link between sustainability accounting and change in the fieldwork-based social and environmental accounting (SEA) literature (e.g. Gray *et al.*, 1995; Larrinaga-Gonzalez and Bebbington, 2001), the interest for sustainable finance as reform of financial capitalism (e.g. Arjaliès, 2010; Déjean, Giamporcaro, Gond, Leca and Penalva-Ilcher, 2013), and the emerging, inter-disciplinary and normative-political commitment to dialogic forms of accounting (e.g. Brown, 2009).

Conceptually, by conceiving of 'ESG' as a calculative practice with formative effects, and by tending to the material minutiae of practice, the study shares theoretical inclinations and starting points with ANT-inspired accounting studies. Thus, the main theoretical engagement of the thesis is aimed at this stream and its conception and treatment of change. In relation to this, two broad sub-streams can be identified. Here termed accounting-in-the-making and accounting-in-action, distinct but with similar theoretical underpinnings in the sociology of translation, they offer two alternative understandings of the role of accounting in change processes.

One stream, taking an interest in accounting-in-the-making, has drawn heavily on the foundational ANT texts outlining the sociology of translation (Andon, Baxter and Chua, 2007; Briers and Chua, 2001; Christner, 2015; Dambrin and Robson, 2011; Dechow and Mouritsen, 2005; Lowe 2001; Lowe and Koh, 2007; Mouritsen, Larsen and Bukh, 2001; Pipan and Czarniawska, 2010; Preston, Cooper and Coombs, 1992; Qu and Cooper, 2011; Quattrone and Hopper, 2001; 2005; Vinnari and Skærbæk, 2014; Young, 2013). Here, accounting change has been characterized as continuous, relational and experimental.

These studies build on an ANT conceptualization of *network space*, where accounting is produced in a heterogeneous network of human and non-human allies. The change process, therefore, becomes a gradual sequence of network configurations. This has also implied that in many of these studies, a new accounting tool has been treated as *either* in or out, depending on the success with which it managed to enrol support and become a calculative centre (Andon *et al.*, 2007; Briers and Chua, 2001; Qu and Cooper, 2011), often in processes of formal introduction of new accounting tools.

More recently, however, a small number of studies have begun to probe the long-standing question of how accounting makes centres and peripheries (Christner, 2015; Quattrone and Hopper, 2005; see also Quattrone and Hopper, 2001). The notion of action-at-a-distance (Latour, 1987; Robson, 1992) describes a recursive process whereby the periphery is "brought back" to the centre, attributing accounting inscriptions the capacity to reorder what is central and what is peripheral. A consequence of this is that rather than assuming that centre-periphery relationships map onto formal hierarchy, however, new accountings might both reinforce and disrupt pre-existing distances (Quattrone and Hopper, 2005). Departing from the literature's implied starting point with a centre or centre-in-the-making, Christner (2015) showed, through an extensive historical and observation-based study of a multinational, how what counts as valuable is made not through *one*, but through multiple, ongoing, and never fully successful centring attempts.

The empirical phenomenon of 'ESG' is a pertinent empirical phenomenon to engage with to contribute to the conceptual debate on centres, peripheries and inscriptions. First, it is a practice that often takes the form of "targeting" a distant practice through "getting ESG in there", implying an emic view of the ostensibly central. Second, the commonplace expectation of ESG's capacity to become central and powerful is arguably lower. This is perhaps due partly to heritage from a long line of research accounts of the "failure" of sustainability accounting (as in the SEA literature), and partly to broader debates in society about the relationship between sustainability and economic activity.

Another group of studies in the ANT-inspired accounting literature, here denoted accounting-in-action, has taken a more minute view to accounting practice and explored its generative capacity (Busco and Quattrone, 2015; 2018a; Christensen, Skærbæk and Tryggestad, in press; Corvellec, Ek, Zapata and Zapata Campos, 2018; Frandsen, 2009; Georg and Justesen, 2017; Martinez and Cooper, in press; Mouritsen, Hansen and Hansen, 2009; Pollock and D'Adderio, 2012; Quattrone and Hopper, 2006; Quattrone, 2009; Sjögren and Fernler, 2019; Skærbæk and Tryggestad, 2010; Themsen and Skærbæk, 2018). These studies have attended to ongoing, mundane work, rather than, necessarily, the formal implementation processes of many studies of accounting-in-the-making.

By foregrounding accounting's visual and graphical characteristics, its "format and furniture" (Pollock and D'Adderio, 2012), they have shown how accounting performs objects as varying as a 'building' (Georg and Justesen, 2017), 'risk' (Themsen and Skærbæk, 2018), 'IT' (Quattrone and Hopper, 2006), 'innovation' (Mouritsen *et al.*, 2009) or 'the market' (Pollock and D'Adderio, 2012). One theme of interest in these studies has been with how accounting manages to generate ongoing activity and effort, as the concern for "better representation" or "better functionality" sets off processes of intervention characterized as gap-filling (Busco and Quattrone, 2015; 2018a; Quattrone, 2009) or patchwork (Martinez and Cooper, in press).

A number of studies have also begun to probe, on a minute level, the production, reordering and merging of dichotomous relationships – like 'ESG' and 'the financial' in the context of this thesis. Through the materialities of practice, accounting inscriptions perform what I denote as boundary operations, rendering what is inside/outside (e.g. Georg and Justesen, 2017; Themsen and Skærbæk, 2018), distant/close (Corvellec *et al.*, 2018), same/different (Sjögren and Fernler, 2019), and possible/impossible (Christensen *et al.*, in press; Mouritsen *et al.*, 2009; Skærbæk and Tryggestad, 2010). To summarize, thus, where accounting-in-the-making mobilizes network space, these studies have rather outlined an *object space* that prompts intervention and reorders, merges and delimits.

It is at the intersection between the recent critique of the centre-periphery dichotomy in accounting-in-the-making and the burgeoning interest for boundaries in accounting-in-action, that I formulate this thesis' conceptual problem and starting points. The fundamental premise of this thesis is the endeavour to study change without resorting to the gradual stabilization (or failure thereof) of a centred singularity. Rather than tracing how one form of calculation becomes a stable actor, this thesis explores how inscriptions and accounting practice enact both similarity and difference, as well as stability and fragility (Czarniawska, 2004; McNamara, Baxter and Chua, 2004; see also Baxter and Chua, 2017). As Jones, McLean and Quattrone (2004) observe, due to the tendency to study the emergence of centres, much less is known about how translation processes continue and accountings co-exist in ongoing practice. As the thesis brings together debates on the transformative capacity of accounting for societal good(s) with recent analytical debates on inscriptions, centres and peripheries, it responds to recurring criticism towards the critical possibilities of ANT. Whereas critics suggest that its agnosticism and "micro-descriptions of processes" neglect distributional asymmetries (Hopper and Bui, 2016, p. 23), this thesis concurs with Baxter and Chua's insistence that it is precisely these principles that afford ANT the capacity to fruitfully engage with heterogeneity and the emergence of resistance (2017, p. 446-447).

Three conceptual, empirical and methodological starting points are the consequence of this framing. The first such starting point is the commitment to attend to mundane and ongoing work in situated practice. The second is the foundational tenet that realities are done in the materialities of practice. The third, which is the consequence of the second, is that realities are ontologically multiple. Through this conceptual and methodological framing, the thesis aligns with the theoretical stream often denoted ANT-and-after (Law and Mol, 2001; Law, 1999; Law and Singleton, 2005; Mol, 1999; 2002; Mol and Law, 1994).

The shift to ontological multiplicity complicates the matter of change, since the capacity to point to "a case of change" requires holding something steady (see e.g. Harman, 2014). However, even though we move away from a modernist view of 'implementation', we will still possibly encounter – empirically – practices that are characterized by more or less deliberate change attempts. To study this, while resorting neither to the genesis story (which characterizes accounting-in-the-making), nor to dismissing everything as a general "flux", some kind of analytical toolbox – a "chart" that helps to "produce momentary stability" (Law, 2004, p. 7), is helpful.

Therefore, in this thesis, I propose to reconceive of accounting change as the simultaneous and situated enactment of an *object* to be introduced, a *position* where it should be introduced, and a *trajectory* in there. The three entities should be understood as relational accomplishments, rather than given. The consequence of this is that 'implementation' or accounting change itself is enacted. Change is performed in situated practice. The three concepts can be thought of as spatial figures (cf Corvellec *et al.*, 2018), allowing me to keep the particular configuration of each open and situated as I go about the study empirically. Object, trajectory and position thus constitute the key conceptual repertoire of this thesis (see Figure 1).

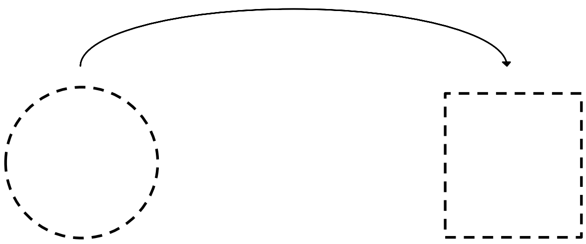

Figure 1. Conceptual repertoire: Object, trajectory and position

In emic terms, the repertoire of an object, a trajectory and a position resonates distinctly with the 'ESG integration' endeavour. Specifically, this thesis will elaborate on how 'ESG integration', however, is far from only about inserting ESG data in valuation models, but also about realizing a range of organizational 'integration' practices, relating to *where* ESG materializes in practice and inscriptions. This is what I above referred to as the concern for "getting ESG in there". The conceptual repertoire is thus intended as an analytical toolbox that can aid our attention to the making of an 'ESG' object, a position into which it should go, and its trajectory in there.

If we take the notion of trajectory, for instance, we can study how trajectories are made in practice in situations of accounting change work, such as in meetings, on computer screens, in spreadsheets and slide decks. The trajectory here intended is thus not the "large" arrow of longitudinal change, of the shift between two states, but a practical, situated accomplishment. Since I align with the suggestion that the organization is made in multiple instances in situated practice, making multiple spaces and times (Quattrone and Hopper, 2005; Christner, 2015), this thesis is intended to foreground how the trajectory can take multiple forms and directions in different sites of practice.

It should be clear, at this point, that I intend this not as a crude debunking of 'implementation', as this notion has been problematized repeatedly (e.g. Briers and Chua, 2001; Quattrone and Hopper, 2001). The idea is to use practices of more or less deliberate change work to ask questions about accounting's material-semiotic role in bringing things into existence, and the making of spatialities like boundaries. It will be argued that in practical situations, 'implementation' *is* enacted by accounting tools and human participants, precisely because a trajectory is enacted. However, it is not an implementation study in the sense of the presence of a formal "change programme" with a plan and a timeline. If anything, one could characterize 'ESG integration' as more or less established practice.

To summarize, the aim of this thesis is to explore the practical problem of realizing sustainable investment practices in the financial sector through 'ESG integration', by theorizing accounting change while acknowledging that practices are generative of realities and that realities are multiple.

The broad conceptual debate to which this thesis aims to contribute, therefore, is captured in the following overall question:

What is the role of accounting practice in performing change?

This concern will be unpacked and explored through three conceptually-informed sub-questions, prompted by engaging with ANT-and-after. First, given the generative capacity of practices, what is the role of accounting in producing spatialities and boundaries in change work? Second, related to this, what is the role of locality in accounting practice? Third, and finally, what can we make of a practice characterized by emic "perspectivalism" – that 'ESG' and 'the financial' represent two distinct and dichotomous *perspectives* – when we apply a material-semiotic, ontological lense?

The argument builds on a study of ESG practices in the Nordic region between June 2016 and June 2018. Specifically, the study consists of interviews with ESG professionals in 21 investor organizations, followed by an in-depth study of two asset management organizations. In those two organizations, anonymized here as *Aurum* and *Diligo,* I conducted observations of internal and external meetings, meeting preparation, and follow-up by the desktop. I also conducted additional interviews with a range of participants, who were in various ways involved in 'ESG' and investment practice broadly. The material, both from interviews and observations, places emphasis on mundane work with accounting inscriptions such as spreadsheets, slide decks, matrices and surveys, and how they are mobilized in practical situations.

As I have already discussed, the thesis takes its theoretical starting points from the diasporic stream often called ANT-and-after (Law, 1999). ANT-and-after operates within the basics of the semiotically-based sociology of translation but builds on from a number of critiques that ANT had become too managerial, too centrist and too homogenizing. Its writings have been characterized by a move away from network space as the primary spatial ontology, by turning attention to materialities, spatialities and practices. In particular, whereas early ANT often traced the emergence of stabilized entities, ANT-and-after scholars have been concerned with the conditions for coexistence, exclusion and inclusion of coherent and non-coherent realities. One key concept is that of ontological multiplicity, the consequence of the unwavering commitment to the materialities of practice.

The object concept is addressed directly in this stream, with its attention to (dis)continuity, solidity and fluidity (Law and Singleton, 2005). Position and trajectory, on the other hand, will be elaborated drawing on the consequences of this stream's discussion of spatialities (e.g. Callon and Law, 2004) and Mol's attention to localities of practice (2002). Again, it should be noted that in understanding these concepts as spatial figures (cf Corvellec *et al.*, 2018), they are not reified, independent entities "out there", but rather devices that can gather and draw attention to *particular* aspects of the practices studied (Law, 2004).

Doing this, the thesis makes a number of contributions to the study of accounting change, and in particular, the two ANT-inspired streams here denoted accounting-in-the-making and accounting-in-action. The first conclusion, which follows from the approach of studying the object, the trajectory and the position in situated practice rather than as a sequence of network configurations (e.g. Andon *et al.*, 2007; Briers and Chua, 2001; Dambrin and Robson, 2011; Pipan and Czarniawska, 2010), is that the 'ESG integration' endeavour accomplishes a reinforcement of the dichotomy that it is intended to overcome. In the study I observe that through ongoing 'integration' work, the boundary between 'ESG' and 'the financial' must repeatedly be performed. As a consequence, 'ESG integration' enacts 'ESG' in a liminal position of the *in-between,* perpetually on a trajectory in there. This finding contributes to recent interest, within accounting-in-action, for the boundary operations of accounting (cf Corvellec *et al.*, 2018; Sjögren and Fernler, 2019). It does so by analyzing a situation where accounting does *not* accomplish a bringing together of distant or separate elements, providing insight how distinctions and asymmetries endure in the face of purportedly successful change endeavours.

The second contribution stems from the study's shifts of focal viewpoint, from situations where 'ESG' is made on a trajectory somewhere, to viewing such a targeted practice from the other end of the trajectory arrow. One such shift of locality gave rise to the empirical observation that situations that are from the outside ascribed calculative importance as pivotal sites of decision-making, lacked a sense of *momentum.* The analytical and methodological approach thus allowed me to observe how *momentum* did not map well onto commonplace preconceptions of calculative power. I thus explore this in further detail and contribute to the accounting-in-action stream's interest for the generative capacity of accounting practice (e.g. Busco and Quattrone, 2018a). I define *momentum* with reference to the density of material-semiotic relations, and unpack it by way of the notions of procedural scripts, distribution and scope for intervention.

These findings are then located in broader debates in ANT-inspired accounting studies. First, I revisit the notion of action-at-a-distance and the critique raised against the commonplace treatment of centres and peripheries in accounting-in-the-making (Christner, 2015; Quattrone and Hopper, 2005; see also Jones *et al.*, 2004). I then discuss how the understanding of 'ESG integration' and its productive potential shifts when we operationalize it as relating to a centre or a centring attempt in itself.

Characterizing it as a centring attempt prompts a discussion of the seeming lack of decisions in most situations in the study. Therefore, I continue the discussion by problematizing the prevailing treatment of ostensibly pivotal decisions and decision-making agents in a number of different literatures in accounting and organizing. Whereas studies of accounting-in-action have foregrounded how accounting practice produces different options or possibilities (Christensen *et al.*, in press; Mouritsen *et al.*, 2009; Skærbæk and Tryggestad, 2010), this thesis suggests that attending not only to the purportedly decisive moments, we might begin to see that most "options" are never performed as options at all. I conclude the discussion by bringing in the ANT-and-after notion of ontological politics, and place it in critical dialogue with the SEA literature's interest for the potential of dialogic accounting practice (e.g. Brown, 2009). Taken together, the findings of this study have a number of implications for how we study change and transformation with a material-semiotic lens. I discuss how we can engage critically with the site under study without resorting to a reification neither of asymmetries and boundaries nor of more or less stable and given "perspectives" of different professional groups. In so doing, the thesis contributes to recent concerns for the critical potential of ANT (Hopper and Bui, 2016; Baxter and Chua, 2017).

Outline of this dissertation

The dissertation is organized as follows. In Chapter 2, I review the ANT-inspired accounting literature, with particular attention to how conceptions of space create conceptions of change in two main sub-streams that I term accounting-in-the-making and accounting-in-action. I draw together this discussion in the formulation of my approach to studying 'ESG integration' as situated practice. Then, I discuss the theoretical approach chosen, under the label of ANT-and-after. I elaborate on how the conceptual repertoire of object, position and trajectory should be understood, drawing on a material-semiotic approach that is open to multiplicity and the generativity of practice. Chapter 3 situates the empirical concern for how to "get ESG in there" in the literature on sustainability and calculative practice, exploring the study's intersections with research on social and environmental accounting, sustainable finance and dialogics. The chapter thus constitutes a "fleshing out" of the object, trajectory and position concepts in empirical terms. In Chapter 4, I describe the study undertaken, and some of the choices that emanated from the epistemological and ontological underpinnings of ANT-and-after. Chapter 5 then builds on the interview study and elaborates on the many forms the concern for "getting ESG in there" takes in practice. The chapter takes a particular view to epistemic work to realize the 'ESG' object, and practices of re-organization to render the trajectory into various distant organizational positions. In Chapter 6 I narrate four episodes of practical work, which in various ways address the notion of the trajectory in situated practice. Chapter 7 consists of four more episodes, where trajectory for various reasons is, or gradually becomes, less of a concern. Instead, these episodes in various ways illustrate the position concept. While there is an analytical logic to the ordering of the episodes, to build up and illustrate my argumentation, they are snapshots that can also be engaged with one by one. In Chapter 8 I discuss the contributions of the study by comparing and contrasting the different episodes of practice. The contributions relate to long-standing discussions on accounting change and the relationship between accounting inscriptions and spatialities. In addition to object, position and trajectory I here introduce and elaborate the concepts of the *in-between* and *momentum*, and broaden the discussion towards debates on accounting's role in rendering power and asymmetry in organizations. The last chapter outlines the study's implications for research and professional practice. I now ask the reader to join me on our trajectory in there.

Chapter 2

Literature and conceptual framework

This chapter outlines ANT-inspired research of accounting change, introduces the theoretical approach of the thesis, and elaborates the conceptual repertoire. After a brief introduction to ANT and change in the accounting literature, I move on to the sub-stream accounting-in-the-making, where change is described as continuous, relational, and experimental. This stream builds on a conception of space as network, implying a treatment of change as a succession of network configurations. I also pick up on recent critique of the implied treatment of centre and periphery in much of this literature, and an associated turn to seeing organizations as multiple, ongoing centring attempts. I then turn to the sub-stream accounting-in-action, which has studied the situated generative capacity of accounting practice. These studies draw up an object space, based on a foregrounding of the visual and graphical specifics of inscriptions. Change is here understood as a situated effect performed in the material details of accounting technologies. Whereas some studies attend to practices like gap-filling and patchwork, others foreground what I denote as the boundary operations of accounting: inclusion and exclusion, merging the purportedly separate or distant, and outlining possibilities and impossibilities. In the second part of the chapter, I outline the theoretical approach of the thesis, taking my starting point in a number of critiques against what is sometimes referred to as 'ANT 1990'. I discuss the ANT-and-after approach by elaborating some of its fundamental theoretical propositions and conclude by outlining the consequences for mobilizing the conceptual repertoire of object, trajectory and position.

2.1 ANT and accounting change

In this thesis, I engage with accounting research drawing on the so-called actor-network theory (ANT) approach. In the accounting literature, this has to a large extent implied drawing on the work of Bruno Latour (especially his *Science in Action*, 1987) and Michel Callon (e.g. 1986; see Justesen and Mouritsen, 2011; Robson and Bottausci, 2018). ANT-inspired accounting research has typically studied accounting change either by following the establishment of new accounting tools and practices "in the making" or by attempting to re-open the black boxes of accounting phenomena that have already become taken for granted (Justesen and Mouritsen, 2011).

There are four primary conceptual and methodological reasons underpinning my decision to revisit and engage with the ANT-inspired literature on accounting change. First, with its roots in science and technology studies (STS), ANT was developed from a fundamental interest in the socio-material construction of knowledge (Callon, 1986; Latour and Woolgar, 1979). In its accounting research adaptation, this has corresponded to an interest for the processes by which organizational and economic 'facts' – be it 'value', 'profit', 'performance' or other more or less taken-for-granted accounting terms – emerge and become stabilized and durable. This thesis shares a concern for the formative effects of practices of measuring, categorizing and calculating, and the knowledge – or rather 'knowledge' – thus produced.

Second, ANT provided a particular form of critique against functionalist descriptions of accounting change, by proposing a sociology of translation, rather than the unproblematic, unaltered diffusion of technologies from one context to another. The notion of a sociology of translation indeed denotes that displacement and change is translation, not diffusion. A starting point for engaging with this literature is thus that we must understand this literature as a reaction against an earlier, modernist notion of change, one where there is a before and an after, where antecedents and effects can be identified, and where phases of design and use can be distinguished.

Third, ANT's fundamental concern for the role of materiality and technology aligns with this project's concern for taking seriously the minutiae of mundane accounting practice. Justesen and Mouritsen (2011) argued that

ANT entered accounting research at a time when the field had become dominated by a view that the "real explanation [was] somehow beyond the accounting phenomenon" (p. 163), for instance, power relations or individual sense-making. What ANT accounting studies have had in common, Justesen and Mouritsen observed, is an attempt to place the specific tools and technologies at hand in the foreground. While the interest in technologies is not unique to ANT, but shared with other post-structuralist theorizations, ANT scholars have placed specific emphasis on pointing out that social constructivist explanations tended to overlook the role of technology, and that this resulted in an incomplete description of the world (see e.g. Latour, 1992; Yearley, 2004; and Law, 2004 on the "missing masses" of social science). Not least, accounting research has picked up on ANT's notion of inscriptions, the "crafty manoeuvrings" of producing traces of the world that speak of the world "in its absence" (Busco and Quattrone, 2018a, p. 15, citing Latour, 1987) and enable action-at-a-distance (Robson, 1992; Robson and Bottausci, 2018). With this comes an interest for the many types of inscription devices, that is, "any item of apparatus… which can transform a material substance into a figure or diagram" (Latour and Woolgar, 1979, p. 51), that permeate accounting practice.

Fourth, and finally, in the post-structuralist tradition of material-semiotic approaches like ANT, dichotomies and dualisms are outcomes rather than *a priori* characteristics. That is, traditional sociological dichotomies like Nature/Society and Micro/Macro, are seen as relationally and recursively constituted. For the study of ESG, this implies that rather than resorting to a dichotomous understanding of ESG as either "in" or "out" – perhaps "success" or "failure", or by explaining what we observe by reference to reified categories like "social groups" (such as ESG analysts on the one hand and portfolio managers on the other) we should attend specifically to the production of insides and outsides, boundaries, terrains, and so on. In the context of this thesis, then, we might want to remind ourselves that the capacity to refer to 'ESG' and 'the financial' as reified entities are outcomes achieved in practice, not starting points (see Schrøder, 2018 and Sjögren and Fernler, 2019). This also has implications for the understanding of change more broadly, as the before-and-after dichotomy, too, becomes problematic (Busco, Quattrone and Riccaboni, 2007; Quattrone and Hopper, 2001). ANT instead builds on a processual ontology, whereby reality is understood as a process of assembling and reassembling through continuous unfolding.

The ANT-inspired accounting literature has by now been re-read and reviewed several times (Justesen and Mouritsen, 2011; Robson and Bottausci, 2018; see also Dambrin and Robson, 2011 and Busco and Quattrone, 2018a). However, for the purpose of this thesis' exploration of the interplay between accounting, change and situated practice, the studies are discussed in terms of the particular relational topology they draw up, and the implications this has for the operationalization of change. Based on empirical interests and conceptual concerns, I delineate two sub-streams of the literature, accounting-in-the-making and accounting-in-action.

The first set of studies, accounting-in-the-making, is typically concerned with more or less deliberate implementation or change processes. They attend to how accounting becomes stabilized by drawing together a heterogeneous network of human and non-human allies. These studies have characterized accounting change processes as continuous, relational and experimental (Andon *et al.*, 2007; Briers and Chua, 2001; Christner, 2015; Dambrin and Robson, 2011; Dechow and Mouritsen, 2005; Lowe 2001; Lowe and Koh, 2007; Mouritsen *et al.*, 2001; Pipan and Czarniawska, 2010; Preston *et al.*, 1992; Qu and Cooper, 2011; Quattrone and Hopper, 2005; Vinnari and Skærbæk, 2014; Young, 2013).

The second, accounting-in-action, is concerned with the minutiae of more or less mundane accounting practice. It has explored accounting's generative capacity, and its ability to order, frame and delimit, often through its visual and graphical characteristics (Busco and Quattrone, 2015; 2018a; Christensen *et al.*, in press; Corvellec, *et al.*, 2018; Frandsen, 2009; Georg and Justesen, 2017; Martinez and Cooper, in press; Mouritsen *et al.*, 2009; Pollock and D'Adderio, 2012; Quattrone and Hopper, 2006; Quattrone, 2009; Sjögren and Fernler, 2019; Skærbæk and Tryggestad, 2010; Themsen and Skærbæk, 2018).

2.1.1 Accounting-in-the-making: Enrolment, stabilization and centre-periphery relations

Several studies have taken as their starting point some form of more or less deliberate accounting implementation process. These studies, which encompass some of the foundational texts in ANT's entry into the accounting field, were paradigmatic in conceiving of accounting change processes as continuous, relational and experimental. However, they drew up a particular form of network space, and I propose that this implies firstly that they unduly foreground stability, secondly that change seems primarily human-driven, and finally that it makes accounting seem marginal and rigid. In these studies, change is a succession of network configurations (Andon *et al.*, 2007; Briers and Chua, 2001; Christner, 2015; Dambrin and Robson, 2011; Dechow and Mouritsen, 2005; Lowe 2001; Lowe and Koh, 2007; Mouritsen *et al.*, 2001; Pipan and Czarniawska, 2010; Preston *et al.*, 1992; Qu and Cooper, 2011; Quattrone and Hopper, 2005; Vinnari and Skærbæk, 2014; Young, 2013).

Accounting change is continuous

An early articulation of how implementation is never "done" was provided by Briers and Chua's (2001) study of the implementation of activity-based costing (ABC). Here, accounting change was narrated as processes of contestation and (fragile and temporary) agreement, involving the effort of many in a heterogeneous network. The study described a cyclical change process, where accounting tools were adopted and subsequently dismissed or simply forgotten. Certain accounting tools became 'boundary objects' (Star and Griesemer, 1989), with a particular role in aligning interests and achieving agreement.

The story proceeds as four subsequent trials of strength, all more or less driven by the accounting group or one of the accountants. The authority of existing systems was called into question, with regards to perceived deficiencies of representation, and construction of alternative systems was attempted. By drawing on alliances with outside groups (like academics) different organizational groups struggled for organizational status by means of control of the key calculative technology (see also Baxter and Chua, 2003).

Success and failure, they argued, "is a fragile construction that turns on the strength of diverse ties tying together many heterogeneous elements"

(Briers and Chua, 2001, p. 267). One system "became increasingly unstable as it failed to discipline other important elements" (ibid p. 266), while another one was "strong enough for them all to continue with their technology construction efforts despite the many "soft data" problems they encountered along the way" (ibid).

Success, or strength, is thus understood as the temporary achievement of stability. In another study of the implementation of management accounting, Pipan and Czarniawska (2010) formulated this unequivocally:

> If the forces of stabilization win, an idea becomes an object, and an actor-network is created. /…/ When the forces of stabilization lose, the object falls to pieces, and the network character of the actor-network is revealed. (Pipan and Czarniawska, 2010, p. 244)

While these studies intentionally departed from an understanding of success or failure as consequences of inherent qualities of a particular accounting tool, the emphasis on supporting alliances still makes it possible to understand the specific case studies as more or less successful. Indeed, accounting tools seem to "succeed" in becoming a centre of calculation, enabling particular interventions at a distance. Similarly, through a study of the formation of 'intellectual capital', Mouritsen *et al.* (2001) show how a "fragile potentialit[y]" (ibid p. 741) held together because it was able to mobilize employees, technology and interventions. The intellectual capital statement became a centre of translation, "construct[ing] hiring policies, organisational competency centres, new organisational vocabularies and languages" (ibid p. 758).

Some tools, on the other hand, seem to "fail" to enrol a network of support (Young, 2013; Qu and Cooper, 2011). Mobilizing the notions of enrolment (Callon, 1986) and qualculation (Callon and Muniesa, 2005), Young explored an 'ESG integration' process in asset management, comparing two different investment teams. 'ESG' was considered epistemologically problematic, as it was said to suffer from "data problems", and be of the wrong form and format. Therefore, in one of the teams, 'integration' could not be achieved. The difficulty that members of TeamRock claimed they had with integrating ESG data was that it did not travel to them in the form that they wanted – it was too subjective and "not factual" (Young, 2013, p. 177). In the other investment team, analysts relied less on quantification, allowing "seamless integration of calculation and judgement" (p. 178).

In another study of ostensive failure, Qu and Cooper (2011) followed a group of consultants that attempted, through various means of organized inscription building, to rally agreement around a set of indicators under development. They narrate with great detail the production of indicators, foregrounding the role of material and mundane tools, like a flipchart, in practical situations such as a "knowledge café" whereby "dialogue" and "sharing" was to take place. However, the insistence on producing 'consensus' – a stabilization of interests – around a common set of indicators eventually produced "failure". The emphasis on the generic rather than local, and, for instance, 'clinically meaningful', meant that the indicators lost their persuasive, representational capacity, and thus failed to enrol a network of support. Young (2013) and Qu and Cooper (2011) thus show how the specifics of inscriptions matter for the capacity to interesse and enrol.

Accounting change is relational

Other authors have attempted to overcome the success/failure dichotomy by instead foregrounding how accounting change is the inevitable outcome of attempts at achieving stability (Andon *et al.*, 2007; Vinnari and Skærbæk, 2014). Thus, accounting change is not only continuous and neverending – specifically by attempting closure, new concerns spring up.

Vinnari and Skærbæk (2014) drew on Callon's notions of framing and overflowing (1998a; 1998b)[1] to illustrate how change-work *per se* produces new concerns. In a study of risk management, they showed how risk management practices, rather than containing them, produced new uncertainties (overflows). An internal audit unit managed to establish itself as a calculative

[1] Callon's calculative frames are socio-technical assemblages of devices, techniques, formulas, interests and so on, that are drawn together to produce economic agency. Through the assembling of such calculative frames, 'performance', 'profit', or other categories (ostensively) intrinsic to what we refer of as 'the economic' can be produced (Callon, 1998a, 1998b). The point is that there is nothing intrinsic about them, as they are rather the outcome of effort and investment. A key tenet of this conceptual idea and how it is to be operationalized in the study of socio-technical processes, is the understanding that overflows are the norm, and not the exception. Callon argues that continuous attempts at framing are what produces constant overflows. Any temporarily "successful" framing endeavour is not only fragile and at risk, but will inevitably overflow: complete framing is impossible.

centre, with responsibility for organizing 'risk management' practices. The framing process was characterized by the drawing up of roles and responsibilities in provisional stability, subsequently brought into contestation. The study foregrounded the relationality of accounting change in the sense that any attempt at framing led to more overflowing: indeed, any process of drawing together relies on leaving other things outside. However, the linkages remained and continued to act upon and contest the frame (see Callon's insistence [1998a] that overflowing is the norm and not the exception).

A similar concern for how attempts to settle agreement opened new concerns and led to new work can be traced in Andon *et al.*'s (2007) study of the production of a balanced scorecard (BSC) in an organization. Similarly to Briers and Chua (2001), they build on the premise that the durability of inscriptions depends on their relational ties. For instance, at one point in time, so-called time-based metrics were introduced. The "fate" of those, the authors propose, was shaped by connections:

> Whilst ties to supporting elements (e.g. "commercialisation", "process standardisation and control", "micro management" and physical monitoring practices) were made, connections to dissenting entities (e.g. the Service Centre staff, downstream units, customer satisfaction and service quality), confounded efforts to stabilise time-based metrics. (Andon *et al.*, 2007, p. 288)

That is, 'time-based metrics' was held together by bringing in various elements, but as some of those were "dissenting entities", the metrics could not be stabilised. After some time of experimentation with a balanced scorecard and "drift" of the performance agenda, a new collective was drawn together:

> … new visionary objects of balance, compliance and 'right behaviours' ad emerged. Further, the ties of previously co-opted/dissenting elements shifted in light of work on the scorecard. For example Service Centre staff were enamoured by the rhetoric of 'balance' as they believed it afforded them a voice in shaping change to desired ends. (Andon *et al.*, 2007, p. 294)

However, the BSC was not declared a "success", as it retained a certain "unsettledness" (p. 295). Specifically, because it was enacted as several different things, it was neither standardized nor settled – instead, "further engagement" and "experimentation" was triggered. As the field encounter ended, "the process of experimenting persisted" (p. 298) (cf Briers and Chua, 2001, where the ABC had been left "idle").

Accounting change is experimental

It is also possible to trace a development in the ANT-inspired accounting change literature in terms of its dealing with on the one hand trials of strength in the history of stabilizing a network of support, and on the other, more of an emphasis on the experimental and iterative characteristics of accounting change. At the root of this conceptualization is a recurring emic concern for epistemic problems like "wrong", "inadequate" or "too much" data (Andon *et al.*, 2007; Briers and Chua, 2001; Young, 2013; Dambrin and Robson, 2011), and the observation that effort to address data problems has productive effects. Some studies foreground the discursive aspects of this. For instance, Andon *et al.*, (2007) pointed out that even though there was no settling of the BSC, the implementation processes had become a space for evolving conversations, leaving "discursive residues" (p. 302).

Another take on the productive aspects of experimentation, more insistent on the materiality of the process, is Dambrin and Robson's (2011)[2] argument that a network can be made to perform even with disrupted chains of reference (such as missing data), because participants' "make do". Thus, where Andon *et al.* (2007) link experimentation to "drift" and "unsettledness", Dambrin and Robson (2011) suggested that through the practice of "making do", a network can perform and display relative stability.

The actions of the centre (management) on distant and peripheral activities (of drug reps) rely on the process of bringing things close (Latour, 1987; Robson, 1992). For the network to transport truth (to perform), it must also enable tracing the chain of translations back to the periphery. In the empirical

[2] Their paper does not narrate a typical change process, in the sense of an accounting reform, but is nonetheless very informative for processes of "implementation", by conceptualizing it as enrolment.

case at hand, the French pharmaceutical industry, regulations made performance numbers inaccessible, resulting in a disruption of the chain of reference:

> When a drug representative visits doctors, pharmaceutical company management face difficulties in answering questions such as: is there a prescription after a drug rep visit? If so, which doctor is prescribing? Once a prescription of a drug previously presented by a drug rep has been issued by a doctor to a patient, other questions arise. Does the prescription result in a purchase? /…/ In short, there is no *reversibility* between the work of drug reps and drugs sales. No one can *trace* turnover figures back to drug reps' visits to doctors (Dambrin and Robson, 2011, p. 434)

In short, there is no visible link between activities "out there" and the desired outcome, "in here", of 'performance'. To address this, a series of inscription devices are mobilized at the centre, and while they are neither consistent, linked nor comprehensive, through a process of bricolage they inscribe workable and acceptable 'performance'. Thus, where Qu and Cooper's (2011) consultants' BSC was rejected as it failed to persuade and enrol support, Dambrin and Robson (2011) find that a stable link to the referent can be made in a variety of ways.

Accounting change as a series of morphologies in network space

We have seen through these contributions that the concern for "implementing" accounting technology produces effort and investment in heterogeneous collectives of human and non-human entities. Accounting change, thus, is the outcome of relational agency. This thesis shares these studies' description of accounting change as continuous, relational and experimental. However, they rely on a particular notion of space, which in turn produces a view of change as driven primarily by human agency, the risk of resorting to the "perspectivalism" of reified interests, and a slightly rigid and marginal role for the accounting technologies.

The studies also share a focus on efforts to "pin down" and settle agreement on the accounting technologies, the process of producing durability out of the seemingly fragile or abstract. However, agreement takes a particular form. Even though they narrate rich stories of unexpected and messy change processes, they conceive of change as driven to a large extent by purposeful enrolment efforts that can either succeed or fail (Briers and Chua, 2001; Pipan and Czarniawska, 2010; Qu and Cooper, 2011).

Through the insistence on how accounting acts through stabilization processes in heterogeneous collectives, these studies draw the world in network space. That is, the empirical sites are depicted as a particular type of topology of relations (cf 'morphology', Andon *et al.*, 2007). The form of the network is a flat surface[3], where entities are brought either in or out. Accounting is brought into being, or in the words of Andon *et al*, 2007, "situated and *imbued with meaning"* in these "diverse collectives (Andon *et al.*, 2007, p. 301, my emphasis). The primary type of relation, thus, is association, whereby entities end up either in or out.

This particular relational spatiality has consequences for the understanding of change. Notwithstanding their interest in change processes, these studies tend to foreground successive instances of stability. Stability is understood, however, as a difficult and fragile achievement, which at any point can be disrupted as a consequence of the bringing in of dissenting elements (Andon *et al.*, 2007; Vinnari and Skærbæk, 2014). The trajectory of change, thus, becomes a succession of configurational instantiations of the network.

So, change is understood as driven by what is "in" and what is "out" (but perhaps less the latter). Often it is specifically human actors, that can either agree or not with the arrangement. "Bad data" can produce both "success" (if overcome through durable ties, Briers and Chua, 2001; or through "making do" in Dambrin and Robson, 2011) and "failure" (Andon *et al.*, 2007; Qu and Cooper, 2011; Young, 2013). Overall, human actors are the main change agents, as accounting technology is at the mercy of their "perception", "belief", "hope" or "identity" (Briers and Chua, 2001; Dambrin and Robson, 2011; Dechow and Mouritsen, 2005; Young, 2013), relying on representation by human "spokespersons" (Lowe, 2001). That is, if the accounting retains

[3] Indeed, this is ostensively in line with ANT scholar's insistence on a 'flat ontology', where all entities, be they abstract or concrete, are treated symmetrically, where assumptions of categories and pre-existing relations are avoided, and where scale effects like macro and micro is accomplishment rather than *a priori* order (see e.g. Callon and Latour, 1981, Law, 2009a). Some of these studies use the notion of 'visionary objects' (e.g. Briers and Chua, 2001) as a means of "flattening" things that would otherwise belong solidly in the human register.

an "unsettled" or even "multiple" quality (see Andon *et al.*, 2007), it is because human actors distance themselves or contest the accounting in various ways. In short, this is a perspectival understanding of multiplicity.

Finally, in its foregrounding of human actors, these studies tend to place the specifics of the accounting tools somewhat in the background. They tend to become almost rigid entities, performing a role only as a "node" or a "boundary object" in a network. Dambrin and Robson's study (2011), however, although it belongs to a similar tradition and aligns with the overall emphasis on implementation through enrolment in heterogeneous collectives, provides a number of indications of ways forward. Their attention to how opacity, ambiguity and absence become generative *resources* rather than problems, suggests a more variegated and heterogeneous understanding of the process of translation, which will be discussed and developed further on in this thesis. I pick up on some of these issues in 2.1.2, where I turn to a group of studies exploring accounting and change quite differently (accounting-in-action).

Problematizing action-at-a-distance: Organizations as multiple centring attempts

In accounting research, Latour's Science in Action (1987) has remained the most cited work (Justesen and Mouritsen, 2011; Robson and Bottausci, 2018). In particular, the notion of action-at-a-distance has been mobilized, as it provided a novel understanding of processes not only of the establishment of organizational facts but also of the ability to act on many different contexts at the same time (Robson, 1992).

In one of the earliest adaptations of Latour's work in social studies of accounting, Robson (1992) set out to mobilize the notion of action-at-a-distance with respect to accounting. Addressing, in particular, a perceived privileging of the quantitative format, Robson (ibid) discussed how mobility, stability and combinability made numbers particularly powerful for those seeking to act at a distance. Their ability to move around, to resist "decay and corruption" and to be combinable into new entities, Robson argued, affords numbers their "greater potential for "power" or action-at-a-distance than many other [forms of knowledge]".

In enabling such action-at-a-distance, inscriptions also recursively participate in the establishment of the centres of calculation from which power is exerted. However, the stability of a centre relies on *circulating reference*, that is, the capacity not only to transport the periphery, but also of tracing inscriptions back to the referent. If the network stops representing it fails to interesse (Callon, 1986). Such a problem of interessement leads to a problem of enrolment and of mobilization, and the centre disintegrates. Both Young's (2013) and Qu and Cooper's (2011) studies can be read as examples of when inscriptions fail to acquire this representative capacity.

This is also related to a recent suggestion by Robson and Bottausci (2017), that out of Latour's three notions of mobility, combinability and stability, the last has received the least attention. They relate the issue of accounting stability to the production of centres, and how these can "hold". Robson and Bottausci's argument is that for a centre to hold, an infrastructure of "codes of standardisation, comparability, calculation and/or text" is necessary. In this view, standardized measures are the approach *par excellence* to achieve stability. Dambrin and Robson (2011), on the other, resolved the problem of missing and "flawed" data by the introduction of the notions of opacity and bricolage, to operationalize how actors both at centre and periphery "make do" and solve problems of circulating reference. Even "flawed measures", they argue, can thus perform, even in the absence of "one" standard and an undisrupted chain of circulating reference.

I see this tension between how (standardized) infrastructure is necessary (because it ensures stability), and how performativity is possible because professionals "make do" as a key issue in ANT-inspired accounting research, and indeed of this thesis. Some authors have built on from the notion of a more *situated* generative capacity of practice, which is hinted at in the reference to "making do", bricolage (Dambrin and Robson, 2011) and experimentation (Andon *et al.*, 2007). I explore this line of conceptualization in more detail in my discussion of the stream accounting-in-action (2.1.2).

Others have instead taken issue with the centre-periphery dichotomy *per se*. For instance, in their introduction to a special issue of *Organization*, Jones *et al.*, (2004), set out to explore the consequences of studying organizations while treating space and time, not as existing *a priori,* but as the outcome of "actions that endeavour to make order" through laborious processes. They pointed out that although many studies have explored how centres of calculation become stabilized, less is known about how the translation process continues. Opening for the existence of multiple and ongoing centring attempts, accounting inscriptions can be explored for their role in the production of difference and dissidence, rather than stability. As Czarniawska (2004) observed in the same issue, contemporary organizations are characterized by the fact that everybody calculates, and that calculation is not located in a specific site, but rather moves around. With this starting point, rather than tracing how "one" calculation becomes a stable actor, the question becomes "what is being done, and how does this connect to other things that are being done in the same context?" (Czarniawska, 2004, p. 784). In a similar line of argument, McNamara *et al.* (2004) observe the role of accounting practice in constituting multiple networks, and the potential for local practices to constitute resistance to the homogenizing tendencies of large-scale accounting systems. As Jones *et al.* (2004) argued, the roles and relations of various organizational actants (human and non-human), are not necessarily "coherent and commensurable". Inscriptions and inscription practice, when we focus less on its representational link to a referent, will simultaneously produce heterogeneity and stability.

In a small number of more recent studies, the accounting literature's mobilization of action-at-a-distance has been critiqued and reconceived in a variety of ways (Christner, 2015; Quattrone and Hopper, 2005; see also Kornberger, Pflueger and Mouritsen, 2017). Quattrone and Hopper (2005) argued that previous ANT studies in accounting hinged on a "problematic linear notion of space and time", and ditto dichotomy between controllers and the controlled. As accounting systems are reconfigured in their "implementation", and as participants engage with them, they suggested, accounting change processes have the capacity both to disrupt and reproduce pre-existing spatio-temporal relationships. In one case the latter was observed; existing functional and geographical relationships prevailed. SAP (the case technology) was made to perform the very same hierarchical flows and transactions that characterized the organization before, albeit leaving some room for local discretion. In another case, however, distance and control collapsed, as information could be both input and accessed from multiple locations, and because information, in the words of an informant, could be "sliced and diced" in a variety of ways (p. 754). Problems relating to the dichotomy between control and discretion became amplified, as 'controllers' could potentially access information before the 'controlled', whereas before this had relied on "gatekeepers" (p. 756). The possibility of access made everyone a potential accountant, and linear control was substituted by "a more chaotic form of control" (ibid). Like roles, centres of calculation, and peripheries, "proliferated" (p. 758), and emerged "momentarily" (p. 760). These contrasting findings led the authors to reflect on the multiplicity of the organization itself, and, drawing on John Law, how "incomplete order and multiple foci of control may often be the norm". This entails an opening towards seeing how:

> … every 'locality' is a unique 'universe' with an unstable space and time only partially connected to other localities. (Quattrone and Hopper, 2005, p. 761)

Christner (2015) extended and elaborated this problematization of centre and periphery in the study of a large, multi-national manufacturing company. With an interest for how what is valuable changes over time, he proposed that change was not "the result of a progressive discovery of the 'true' qualities of [organizational activities]" (p. 211), but rather, the outcome of:

> … a series of small scale changes to existing socio-material arrangements: the addition of new calculative devices, the formatting of both analysts and managers, and, more generally, the inscription of new behavioral scripts in a whole range of people and devices. (Christner, 2015, p. 217)

This, Christner (2015) proposed, has consequences also for the understanding of control. Critiquing how much of the previous accounting literature, whether drawing on ANT or Foucault, tended to take the perspective of an implied centre, Christner instead argued that the change in what was valuable was the outcome of re-configuration of socio-material arrangements, and that it was not possible to point to a single centre that controlled or drove them. In effect, Christner (2015) problematized much of the accounting literature's concern for centres' attempts at enabling action-at-a-distance. As different centres participated in such processes, they were at the same time also being configured by them, with one consequence being that "the relations between centres and peripheries kept changing over time" (p. 249). If we allow for multiple centres, Christner suggested, we can also attend to situations where a particular centre fails to bend the world. For instance, referring to a set of episodes concerning a product development project, "no single centre could persistently control the process of valuing the product development activities". Although accounting studies have departed from seeing control as the outcome of pre-existing hierarchy, a tendency to insist on centring has prevailed. Instead, Christner suggests a shift of focus:

> … [I]f we shift the focus from the actions of 'the centre' to the valuations performed in the organizational periphery, we might see things differently. (p. 249)

As I will return to later, this thesis picks up on this shift of emphasis, and the important insights into the relationship between accounting change processes, spatialities, and the turn from the centre *singular* to centring attempts, *multiple*.

2.1.2 Accounting-in-action: Inscriptions, boundaries and the generative capacity of accounting practice

As I alluded to previously, another group of studies deal with accounting change not necessarily by engaging with deliberate attempts at accounting reform or implementation (or the establishment of centres of calculation) but by studying accounting as ongoing practice. The focus on inscriptions is shared with the previously discussed studies, but while those foregrounded the role of inscriptions in enrolling a network of support, here the focus is rather on the minutiae of inscription work. In attending to accounting's generative capacity, this stream foregrounds the visual, graphical and numerical details of inscriptions, and how these draw up boundaries and stake out (im)possibilities (Busco and Quattrone, 2015; 2018a; Christensen *et al.*, in press; Corvellec *et al.*, 2018; Frandsen, 2009; Georg and Justesen, 2017; Martinez and Cooper, in press; Mouritsen *et al.*, 2009; Pollock and D'Adderio, 2012; Quattrone and Hopper, 2006; Quattrone, 2009; Sjögren and Fernler, 2019; Skærbæk and Tryggestad, 2010; Themsen and Skærbæk, 2018).[4]

These studies tend to shift the emphasis from *who* and *whose* interests become represented when accounting enrols a network of support, towards the accounting medium and the question of *where* accounting signs are recorded (Quattrone, 2009). For Quattrone, accounting is not merely productive as representation (*of* something), but also for its pictorial *form*, which "offer[s] clear schematic forms of ordering". This prompts attention towards the medium rather than the "message". Through the *practising* of accounting, the two cannot be distinguished. Moreover, as Frandsen (2009) observed, "every accounting text implicates space and time in very specific ways". This suggests that attending to the details of inscriptions in situated practice can inform the relational making of the 'organization' (cf Quattrone and Hopper, 2005; Christner, 2015).

Thus, these studies foreground the role of inscriptions in the drawing up of an object space (sometimes a "visual performable space", see Busco and Quattrone, 2015; 2018a; Themsen and Skærbæk 2018) and a set of material features (Pollock and D'Adderio, 2012). Whereas one set of studies relate the notion of the object space to processes of so-called gap-filling (in the quest for better representation) and patchwork (in the quest for better functioning of an assemblage of tools), others foreground what I here denote "boundary operations": the process by which accounting inscriptions and their mobilization perform inclusion/exclusion, merging, and the outlining of possibilities and impossibilities.

The generative capacity of accounting practice: gap-filling and patchwork

In introducing a special section on inscriptions in *Accounting, Organizations and Society* in 2018, Busco and Quattrone (2018a) discussed the implications of viewing accounting not as representations, but as inscriptions. In what can be read as an attempt at agenda-setting, they reflected on the dichotomy between functionalist-positivist studies' reliance on accounting's unproblematic

[4] While it might seem that these studies study the "effects", I am more inclined to think of it as ongoing performativity or enactment, rather than a definite "result". There is no ending, no outcome, in the sense the word "effect" could signal.

representational capacity and critical studies' understanding of inscriptions' role in reproducing strong institutions. Their argument is that by insisting either that accounting is able to capture reality "out there" or that accounting is *really* something else (a strong institution), both streams reach similar conclusions. While the former does so through a failure to problematize representation, the latter does so by drawing on "ready-made" explanations. However, they suggested, there is an alternative: representations always generate "lacks", they argued, and these "lacks" or "gaps" are generative. They produce ways forward and innovation, through continuous attempts at "filling them"[5]. This generative role of accounting inscriptions, through the prompting of participants to ask new questions, is a recurring theme in the stream of accounting-in-action.

An precursor to this line of argument can be found in Quattrone and Hopper's (2006) study of the implementation of SAP. In some ways, the change process narrated in the paper resembles the network building discussed (e.g. Briers and Chua, 2001), but the paper differed in its ontological treatment of abstract objects. Being one of the few examples in the accounting literature drawing directly on Law and Singleton's (2005) discussion of messy objects, Quattrone and Hopper (2006) attempted a discussion on what an ontological, as opposed to epistemological, treatment of objects (like SAP) might entail. They argued that 'SAP' never reached closure, but rather provoked multiple interpretations[6] as it managed to engage (p. 237). Although this might first resemble some of the arguments in Andon *et al.* (2007), here the point is not that implementation processes leave "discursive residue", but rather that the object is rendered functioning by participants engaging with it. Related to this, their interest was less with accounting's role in organizational conflict and more with how "thingness" is achieved, by making participants do things. SAP induces action, not because it becomes black-boxed, but because it is in need of continuous effort to be maintained (p. 239). SAP's

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[5] Related arguments can be found also in studies that do not draw primarily on ANT. These studies explore in related ways how 'incompleteness' can have an enabling role. The problematization are couched in different theoretical vocabularies, including epistemic objects (Busco and Quattrone 2018b) and enabling and coercive control (Jordan and Messner, 2012).

[6] A slight paradox runs through the paper in terms of epistemology and ontology. Multiple "interpretations" would indeed indicate an epistemological, perspectival understanding of objects, whereas in other places, the object is *enacted* differently.

inscriptions, like screens and tables, prompt action, by producing "lacunas" of representation, absences. In a related paper (Quattrone and Hopper, 2001) the authors take on the issue of change directly, partly by drawing on this notion of "incompleteness":

> If accounting drives organizational change it is not because it reproduces a new template for action but because the very incompleteness of implementing and enacting its systems leads to accounting knowledge being interpreted differently across organizational spaces and times. (Quattrone and Hopper, 2001, p. 407).

Accounting equips both the producer and user with a set of scripts – "instructions, prescriptions and directions" (Busco and Quattrone, 2018a; p. 16). There is thus no meaningful distinction between accounting practice and accounting methodology development. The accountant[7], Busco and Quattrone (2018a) argue, is both below and above accounting scripts. S/he:

> … is 'below' the rule, because accounting rules have to be followed. However, s/he is also 'above' such a script, because the ways of posting entries, accounting values, meanings, rationales, and objectives are constantly re-invented while enacting the ritual…

Here, accounting's characteristics as a method, are foregrounded. By providing a delimited space, a "visual performable space" (Busco and Quattrone, 2015), inscriptions like the balanced scorecard (BSC) becomes a vehicle for practising, ordering and innovating. The inscription "creates the conditions for further action and engagement" (ibid, p. 1246) and so the generative capacity of inscriptions emanates from their ability to prompt activity, and not because they can "persuade" users that it is representationally true. It is a "method of ordering and innovation" (ibid, p. 1248), and can organize action because it keeps relationships (e.g. the causal linkages done through the BSC) open, rather than defined and closed.

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[7] I read this to be broadly defined to encompass the plethora of accountings that socio-material accounting scholarship has studied – so that "accountants" includes risk managers, ESG analysts, auditors, hospital staff, and so on.

This method characteristic is further elaborated in Martinez and Cooper's (in press) study of performance measurement practice in development organizations. They introduced the notion of "patches" to signify the ongoing work to address seeming shortcomings with a view to maintaining the usability and functioning of an interconnected assemblage of performance measurement tools. Patches, they proposed, are various forms of interventions, adjustments and additional inscriptions: for instance the introduction of pathways, linkages, guides, instructions, notes, and the copying and pasting between different tools. Over time, these patches become layered and delimit what can be done, and how. Over time, they argue, the measurement assemblage accumulates "calculative properties" by this ongoing patchwork, as the cost of dissenting increases. It is thus not the incompleteness of the 'performance' object that prompts these interventions (a question of representation) but rather the need to find workable solutions to the interface within which mundane practice takes place.

So we are in a domain where method and form are foregrounded, over accounting's representational role. This interest for form has prompted an interest for its visual, graphical and numerical characteristics.

Accounting practice includes and excludes

One group of studies in the stream foregrounding the visual and graphical has explored how accounting tools and the practices they prompt draw up the boundaries of inclusion and exclusion (Georg and Justesen, 2017; Pollock and D'Adderio, 2012; Themsen and Skærbæk, 2018). Accounting practice often involves an ongoing and simultaneous framing and adjustment of, on the one hand, both standards and categories, and on the other, the entities that should populate those. This has been ascribed generative effects in the sense that it delineates and produces its object, be it 'the market' (Pollock and D'Adderio, 2012), 'risk' (Themsen and Skærbæk, 2018), or a 'building' (Georg and Justesen, 2017).

In Pollock and D'Adderio's study (2012) of technology analyst firm Gartner's "Magic Quadrant", the accounting device was understood not only to facilitate the production of a result but actively shaping it. What they termed the "format and furniture" of the device, a two-by-two matrix, constitute the main building blocks that both enable and constrain the knowledge work involved in its making and the actions of the vendors whose technologies are depicted therein. It is the particular materiality of the matrix, they argued, that manages to not only ensure that people's behaviour changes – "people moving the dot" – but also the "dot moving people". The matrix manages to have this effect precisely because of its "specific sociomaterial features" (ibid, p. 566), "the seemingly mundane constraints of a graph" (p. 583). To produce a "beautiful picture", the matrix can neither have too many nor too few dots, and any movement of one particular dot can have repercussions throughout the matrix. Through a dynamic process of negotiating and re-negotiating distinctions to ensure an appropriate amount of technologies in a 'competitive space', new such 'competitive spaces' are produced, populated and perhaps eventually rejected. Thus, the "format" (the matrix) and the "furniture" (dots, bullet points, lines, stars, boxes, figures…) have generative effects, as they produce overlaps that require the production of new distinctions.

Georg and Justesen (2017) followed the process of designing a zero-energy office building for a utility company, by tracing the project calculations, made visible in detailed descriptions of definitions, estimations, ratios and parameters. The process entailed the simultaneous delineation of the accounting – constructed to be able to reach 'zero' – and the accounting object, in this case, a building. Thereby, in a continuous drawing and re-drawing of such boundaries, the 'future building' was performed as an abstract space which was in constant interplay with physical space and time. It was a laborious process in which various aspects of 'CO_2' and 'energy' had to be included and excluded along the way, often precisely because of the linkages to the physical entity. It was a highly recursive process:

> Gamma's energy account helped to bring into existence the concrete spaces in which it would be used. It helped define the accounting entity. (Georg and Justesen, 2017, p. 1077)

Another example of a process of inclusion and exclusion is Themsen and Skærbæk's (2018) study of the risk management process in a Danish mega project. They showed how the specifics of fields and boxes of an IT interface produced a particular version of 'risk'. By prompting the interface in situated practice, such as recurring risk meetings, the accounting interface produced the distinction between those risks that could be included and those that could not. As the IT interface drew up relations between causes and effects and delimited how a risk could be done (in an intricate system of inputs, tags, and categories) much of what was proposed by participants was left out. The exclusion of certain risks prompted some participants to construct a parallel solution of post-its and notes, which eventually, however, was closed down.

Including and excluding is one particular form of boundary operation in which accounting participates. Other studies have instead in various ways foregrounded how the seemingly separate or distant becomes drawn together.

Accounting practice merges and draws together

As I touched upon in the introduction to this chapter, there is an analytical tension in studying phenomena that are commonly understood as being characterized by two or more distinct domains that compete – such as the ostensibly distinct domains of 'finance' and 'sustainability' within 'ESG integration', while drawing on a socio-material, "flat" approach like ANT. Attempting a shift from the established dichotomy, and the insistence on a before-and-after episodic change, Sjögren and Fernler (2019) observed decision-making and situated practice around the discharge decision in geriatric care. An observation-based study, it traced how professionals, rather than making direct reference to accounting concepts, could draw on a socio-technically constituted notion of 'time' as a situated bottom-line, which did not clearly belong to either the 'economic' or the 'professional' domain. A range of calculative devices had established linkages between professional tasks and financial flows, and thus the linkages needed not be drawn upon in practice. Instead, 'time' could be the target of deliberate managing, when it came to ensuring that patients remained on the ward the "right" amount of days and that the administrative (and financial) handing over to the municipality was orchestrated in a timely manner. Time thus drew the ostensibly distinct together in a single bottom line.

Drawing on a study of a "pay-as-you-throw" waste-collection programme in a city, Corvellec *et al.* (2018) proposed an elaboration of the notion of distance so fundamental to the operationalization of the notion of action-at-a-distance. Distance is not merely something to be "covered" with the help of numbers (cf Robson, 1992), but something that is produced – reordered – in the process of acting on distances. The key argument is that inscriptions can act at a distance "because they build relationships among elements that are otherwise considered detached" (ibid, p. 57). To elaborate on the reordering of distances, they utilize a range of spatial figures from post-mathematical topology (see e.g. Martin and Secor, 2014). One such figure is the *fold*, which brings things together by creating proximity between previously distant places. Inscriptions can produce such folds, they suggested, alongside twists[8], detours and bridges, so that pay-as-you-throw invoices:

> … participate in the creation of new and changing patterns of proximity and remoteness, background and foreground, shortcuts and indirect routes that condition their efficacy as inscriptions. (Corvellec *et al.*, 2018, p. 63)

They do so for instance by displaying a fee as a function of weight and price. Through that formula, 'the environment' and 'the economy' become merged, as is illustrated in a quote from a participant:

> If it's much more expensive, then… I think economy rules. If [waste collection] is really expensive then one is more thorough [with recycling]. (...). Even though I may not think of [recycling] because of the environment, money is just money, it's not so important. It is the environment that's most important! (Interview, Owner L of a single-family dwelling) (Corvellec *et al.*, 2018, p. 62)

The inscription thus has the capacity to generate the linkages whereby "waste practices can move from economy to environment without crossing an edge" (ibid, p. 62).

These two studies are examples of the minute operation of drawing together that which is ostensibly separate, and which has often been treated as distinct in the literature. They study accounting practices that are, just like

[8] Here, the authors mobilize the figure of the Möbius strip from postmodern geography, and its particular dialectics between interiority and exteriority. A Möbius strip is a rectangle that has been twisted an uneven number of times and reattached at the short ends, which means that as you move along it, you can move between inside and outside without crossing over an edge.

'ESG', characterized by a tendency to resort to dichotomies. Where Corvellec *et al* (2018) observe how the previously distant becomes drawn together, Sjögren and Fernler (2019) show how a third entity, stabilized in a range of accounting technologies, can be drawn upon instead of *either* 'the economic' or 'the professional'.

The final "boundary operation" that I would like to bring up in this discussion of the stream accounting-in-action relates to how alternatives to pursue are drawn up and delimited through the mobilization of accounting inscriptions.

Accounting practice makes possibilities and impossibilities

The attention to accounting as ongoing practice, which socio-materially outlines, includes, excludes and delimits, also shows how it is continuously implicated in organizational decision-making. It does so by having the capacity to generative different alternatives, and their respective appropriateness and possibility (Christensen *et al.*, in press; Mouritsen *et al*, 2009; Skærbæk and Tryggestad, 2010).

Skærbæk and Tryggestad (2010) drew on Callon's notions of framing and overflowing in a study of accounting technologies' role in producing different strategic options (and strategic actors) as firms face dramatic changes in their environment. In a study of the ferry division of the Danish railway company, they showed how over time, organizational actors emerged as concerned groups, equipping themselves with alternative tools and calculations, to influence what was considered a plausible option. In particular, a payback calculation prevented additional capital investments, making the only possible 'strategy' to adapt "to a constraining 'outside'". Here, the accounting device not only became entangled in the interests of one side of the controversy, but had an *active* role in framing different interests and options.

If Skærbæk and Tryggestad showed how the materialities of accounting tools can produce rather dramatic turns of events, it is also possible to see such effects in day-to-day organizational decision-making. In a series of more mundane examples of ongoing concern, Mouritsen *et al* (2009) explored accounting calculations' role in producing tension with regards to how to pursue innovation activities. Competing calculations acted upon innovation activities by drawing them into competing organizational arrangements. The authors described how these arrangements were in continuous tension, rather than a struggle which one will necessarily win. What is an appropriate intervention, i.e. how to pursue innovation, emerged in specific issues such as how many special components to use or the degree to which clients should enjoy full customization. Depending on which accounting metric is mobilized, the answer to such questions differs.

While Mouritsen *et al.*, (2009) indicated that tensions were continuous, Christensen *et al.* (in press) instead argued that sometimes, one arrangement *has* to win. They mobilized the idea of conflicting accountings in a study of how the Danish defence forces evaluated different options relating to outsourcing (or not). Drawing on the classic ANT notion of trials of strength, they suggested that while much of the ANT inspired accounting literature had explored what they term prototype trials (e.g. Briers and Chua, 2001), there sometimes arise situations when only one option can prevail, from which a *trial of incompatibility* arises. As the strength and proposition of a particular accounting inscription depend on its ties, the same inscription can carry both a particular message and a completely different one, which means that it might "betray" its proponents when options are pitted against each other.

Change in object space: From "gaps" to boundaries enacted

Although they are a somewhat heterogeneous group in terms of the empirical phenomenon and conceptual interest, the studies I have here framed as accounting-in-action share a concern for the visual, numerical and graphical aspects of accounting inscriptions. They also make an important point about how accounting practice is always both representation and methodology, as practices are continuously negotiated – *in practice* (Quattrone, 2009). I have discussed how this interest in the generative capacity of accounting has tended to practical work of "gap-filling" for better representation (although there is not necessarily a stable referent, see Busco and Quattrone, 2018a) and "patchwork" for better functioning (Martinez and Cooper, in press). I have also discussed studies of how accounting performs boundary operations: between inside/outside (Georg and Justesen, 2017; Pollock and D'Adderio, 2012; Themsen and Skærbæk, 2018), distant/near or same/different (Corvellec *et al.*, 2018; Sjögren and Fernler, 2019) and possible/impossible

(Christensen *et al.*, in press; Mouritsen *et al*, 2009; Skærbæk and Tryggestad, 2010).

This discussion of the generative capacity of accounting provides an important perspective on accounting's role in change processes. It differs from 'drift' (Andon *et al.*, 2007; Quattrone and Hopper, 2001), for instance, by foregrounding the accounting technology rather than organizational interests or the "faith" of participants (Briers and Chua, 2001). By drawing up an object space that provides the "format and furniture" (Pollock and D'Adderio, 2012) for inscription practice, change is understood as generative capacity, which in turn emanates from these materialities, rather than whether (and which!) actors enrol.

In particular, the notion of gap-filling has doubtlessly been helpful in terms of providing a more variegated understanding of how accounting prompts intervention and ongoing effort. However, gap-filling processes have been characterised as primarily human-driven, driven by participants engaging and asking questions. It shares this, thus, with studies of accounting-in-the-making that foreground enrolment and mobilization of key organizational actors, as discussed above. Moreover, by being coupled with the notion of incompleteness, it does not fully escape the notion of representation that it is said to depart from. "Incompleteness" at least *hints* at a "complete" representation of the object – although this might never be attained. Nonetheless, this sits uneasily with ANT, especially some of the more recent writings that this thesis will engage with at the end of this chapter. Even if that is not the case, that is, if "completeness" is rejected, the distinction between the representation and the referent prevails. To conclude, it remains unclear whether we should read this as understanding accounting practice *epistemologically* or *ontologically*.

2.1.3 Concluding remarks and ways forward

In this section, I have reviewed some key work in the ANT-inspired accounting literature. I argued that accounting-in-the-making and accounting-in-action represent two different treatments of change, which in turn build on two different treatments of space. Early ANT accounting change studies showed how change processes were continuous, relational and experimental. This thesis builds on from this premise of the sociology of translation but does so by drawing on the situated character of accounting practice and the treatment of the graphical and visual characteristics foregrounded in accounting-in-action (e.g. Martinez and Cooper, in press; Themsen and Skærbæk, 2018; Pollock and D'Adderio, 2012). The thesis takes as a conceptual starting point the recent turn to treating organizing and accounting practice as multiple centring attempts (Christner, 2015; Quattrone and Hopper, 2005). By tending to how accounting inscriptions perform boundary operations (Christensen *et al.*, in press; Corvellec *et al.*, 2018; Sjögren and Fernler, 2019) we can trace how "format and furniture" indeed is productive of organizational space, and how an object, a position, and a trajectory are enacted in situated practice. The empirical scene is the asset management organization, and the practical, spatial work to render 'ESG integration'.

This entails a shift from the notion of gap-filling and its epistemological undertones (Busco and Quattrone, 2018a), to an ontological understanding of the enactment of object, trajectory, and position. A consequence of the sociology of translation and the recursive production of space is that distance and boundaries are done in practice. This, in turn, implies that two different, adjacent conference rooms, in which different accounting practices take place, might well enact two different organizations. When organizations are understood as situated enactments, we must also open for a whole range of potential, indeed multiple, objects, positions and trajectories – and the boundaries they imply. Building on Christner's (2015) and Quattrone and Hopper's (2005) discussions of centres and peripheries, and the recent interest for how inscriptions perform boundary and spatial operations (e.g. Corvellec *et al.*, 2018), this thesis will study change processes as situated, fragile achievements of boundaries, for instance between what is "here" and what is "there".

In this thesis, accounting change thus becomes a process of enactment, rather than gradual stabilization, as objects are "constantly defined by continuous acts of engagements through which it is performed (even in its absence) in various organizational time(s)– space(s)" (Busco *et al.*, 2007, p. 140). This attentiveness to abstract and physical locality entails a shift in starting points: we are no longer in the realm of unpacking how a strong accounting actor came to be (*genesis*), but rather how accounting practices can co-exist in ongoing practice (Jones *et al.*, 2004; Czarniawska, 2004; McNamara *et al.*, 2004). The choice to design and conduct the study in this manner draws on research in the stream of ANT-and-after, the principles of which I turn to in the next section of this chapter.

2.2. ANT-and-after: Objects, spatialities, and ontological multiplicity

In this dissertation I have chosen to draw on the ANT-and-after approach (Callon and Law, 2004; Law, 1999; 2000; 2001; 2002; 2004; 2009a; 2009b 2011; Law and Hetherington, 2000; Law and Mol, 2001; Law and Singleton, 2005; Mol, 1999; 2002; Mol and Law, 1994; 2005; Moreira, 2004). In this section, I outline this theoretical approach. As it can be understood as a response to some of the critiques of the "totalizing" tendencies of early ANT and how it came to be practised (Callon, 1986; Latour, 1987), I start by briefly discussing the critique (Star, 1991; Lee and Brown, 1994; de Laet and Mol, 2000).

I subsequently discuss some of the key tenets of ANT-and-after, which is not so much a "new" theorization as partly an articulation of some of the foundations of ANT and their implications. Law (2009a) points out that ANT is a material-semiotic approach, meaning that objects, agency, phenomena, concepts, and everything else, are "a continuously generated effect of the webs of relations within which they are located". Using "material-semiotic" rather than placing an emphasis on the *network* outcome is intended to better catch "openness, uncertainty, revisability and diversity" (ibid p. 142) rather than insist on the "one" explanation of the real. The key move of ANT-and-after is the opening towards a broader ontological repertoire, beyond network stability. This move relates to some key conceptual and methodological starting points, such as multiplicity, locality, practice, agency, and enactment.

Thereafter I discuss the conceptualization of 'ESG integration' as an object, a trajectory, and a position. I do this by drawing on some key work in the ANT-and-after stream, which deals directly with the ontology of objects and the question of spatialities.

2.2.1 ANT 1990: One grand narrative to rule them all?

It is fair to say that early ANT was dominated by so-called origin stories, stories of *genesis*: how something comes to be (Law, 2009a). A series of critiques, however, began to question what the insistence on association as the main form of relation, and the resulting network topology, did to questions of power, stability, difference and asymmetry (de Laet and Mol, 2000; Law, 2009a; Lee and Brown, 1994; Star, 1991). It is possible to see the approach often referred to as ANT-and-after as a way to take seriously and address some of these critiques. Indeed, as this section will illustrate, understanding the critique is key to understanding some of the key theoretical and methodological points.

One of the more radical suggestions of ANT 1990 was the foregrounding of the so-called "missing masses", the material world. Latour argued, that sociology tended to efface this, leading to incomplete explanations (Callon, 1986; Latour, 1992; I will discuss this distributed understanding of agency later on, pp. 47). By drawing on a vocabulary of liberal democracy such as "voice" and "representation", the sociology of translation was to "bring in" the missing (non-human) masses. Thus, it *broadened* what could be considered part of the explanation. Lee and Brown (1994), however, suggested that it managed to thereby colonize them in a "final", grand narrative. Through the reduction of the world into a field of forces and trials, ANT 1990 offered no alternative than narrating reality as a "formulaic cycle of expansion, domination, and collapse" (p. 781), or in Callonian vocabulary, as a sequence of problematization, interessement, enrolment, mobilization and dissidence (Callon, 1986). Instead, Lee and Brown provocatively suggested, it offered a "monstrous genesis, without offering an exodus" (p. 785). This is a troubling critique against an approach that had expressly departed from "strong accounts" and committed to being "descriptive rather than foundational in explanatory terms" (Law, 2009a). Through insisting on the *one* form of association – the binary of network participation – movement, difference, and mixing is downplayed. The network analogy in itself is problematic, they argued, because it directs the analytical gaze to the ostensive nodes, the seemingly central, which both alienates what is *other* and seems to forget the alternative of complete *indifference*:

> … [F]ocusing on the crossroads of the network's many highways ignores a significant amount of more pedestrian traffic. In fact these masses are neither silent nor do they necessarily feel reduced to silence (ibid p. 787)

The critique was thus that there is a much broader variety of existences than the binary of network participation. Related to this, a few years earlier, Star (1991) begun her critique by exploring what happens if we shift the viewpoint from that of the network *builder* to those that do "the invisible work of lending unity to the face of the torturer or the executive" (p. 81-82). The process of the accomplishment of power, which the sociology of translation describes, relies on delegation and discipline, to non-humans and humans. They are the entities who, in accordance with the genesis of ANT 1990, "will join forces with the actor and attribute the fruits of their action back to him, her or them".

Through the illustrative example of onion allergy (conceding that this is a "very minor disability" in the "grand scheme of things", but that is exactly the point), Star outlines the many political nuances of the invisible work that ensures network stability. Whereas the standardized approach of McDonald's provides a form of stability across sites, for the one allergic to onions this is entirely different. Through the onion example, it becomes clear that the very same network stabilization (and with that, some form of standardization) that is a source of order for some, is the source of chaos and disorder for others – that is, for outsiders that "encounter" it. Thus, we should commit to attending to the invisible work, "understanding all the work which keeps a network standardized for *some*" (Star, 1991, p. 44, my emphasis). However, whereas "[e]very enrolment entails both a failure to enrol and a destruction of the world of the non-enrolled", there is a continuum: the responses to enrolment range from signing on, to various "partial commitments", the status of being simultaneously outsider and insider.

If Lee and Brown (1994) and Star (1991) were concerned with what the network topology left out, effaced or denied, de Laet and Mol (2000) rather took issue with the insistence on stability. ANT introduced the notion of immutable mobiles (Latour, 1990, see also Law, 1986), which were made to hold their shape as they travelled from context to context. This holding of shape was necessary for the construction of chains of reference, that is, the equivalence "here" with something represented "there". In turn, this was a prerequisite for the exercise of long-distance control, and the capacity to dominate on a large scale (cf Robson, 1992). Through an exemplary Zimbabwe Bush Pump, de Laet and Mol (2000) probed this particular characteristic of the operation of networks. They observed how the Bush Pump was "adaptable, flexible and responsive" (de Laet and Mol, 2000, p. 226). It changed form when moving from one village to another, as it managed to enrol a whole network of participants that tinkered, experimented and substituted parts as time went by. It was exactly this mutability, this shape-shifting, that allowed it to travel well. The Bush Pump 'worked' through its entanglements with different worlds and its ability to "succeed" in many ways. It was entangled with villagers mobilized in its installation and maintenance, but also with national health policy, as it can perform 'provision of clean water'. The point is this: it was *mutable* rather than immutable, and that is what allowed its "success".

Taken together, these critiques showed how the network topology effaced indifference, homogenized heterogeneity and missed a lot of necessary invisible work. Moreover, they indicated a broader repertoire of emergent "success" beyond the drawing together of a stable network of allies.

2.2.2 ANT-and-after: Practices and realities multiple

I have already suggested that the responses to these critiques, which constitute ANT-and-after, are attempts at engaging critically with the specifics and the consequences of the ANT approach, rather than dismissing them. Thus, these writings are still based on a sociology of translation (Callon, 1986). The foundational understanding of this has not changed, as have neither the methodological principles of symmetry, agnosticism and empiricism.

And on the note of empiricism: indeed, both John Law and Annemarie Mol, whose writings I will engage with in what follows, often point out that we must proceed empirically, by drawing on the specifics of practice (e.g. Law, 2009a; Mol, 2002). Rather than foundational explanations in some abstract "general", we are in the realm of an empirical philosophy, of sorts.

It is thus a tradition of empirical case studies, mobilizing practices as varied as atherosclerosis (Mol, 2002), alcoholic liver disease (Law and Singleton, 2005), anaemia diagnosis (Mol, 1999; Mol and Law, 1994), aerodynamic formalisms (e.g. Law and Mol, 2001), defense projects (Law, 2002), brain surgery (Moreira, 2004) and train crashes (Law, 2004). Rather than conduct a full review, here, however, I turn to some of the key propositions that this material-semiotic approach makes, where they derive from (empirically!), and how they relate to the purpose and approach of this thesis.

Multiplicity: Realities are local and distributed

In the classic book *The Body Multiple* (Mol, 2002), Annemarie Mol studied the medical practice relating to atherosclerosis of the leg arteries in a Dutch hospital. She followed atherosclerosis around, from conversations between doctors and patients, to surgery, X-rays and the laboratory, while attending to the materialities: instruments, tools, microscopes and knives. She observed how 'atherosclerosis' was done differently in each of these local sites of practice, as it was "sliced, colored, probed, talked about, measured, counted, cut out, countered by walking, or prevented" (Mol, 2002, preface). She argued that it "does not stand by itself", but rather depends on everything and everyone that is active while it is being practised. Mol carefully chose the word "enactment", instead of "construction" or "performance", as the former seems to suggest that material is "put together, and turned into an object that subsequently goes out in the world all by itself" (ibid p. 31) and the latter has connotations of a "backstage".

Perhaps the one key shift that ANT-and-after entails is the idea that because realities – such as objects – are done in practices, they are done differently. This notion of the multiple (Mol, 2002), of different but related realities, has many consequences for the understanding not only of objects, but also space, time, displacement and movement. This ontological multiplicity differs sharply from the epistemological, perspectival understanding of objects as meaning different things to different people, as with the so-called boundary object (Star and Griesemer, 1989; see Law and Singleton, 2005). The notion of enacting objects differently links up with a broader conceptual project of decentring the object (Law, 2002). If the genesis story of ANT 1990 was special because it gave objects "a contested and accidental history" (as they were emergent, "it could have been otherwise"), the decentred approach "gives them a complex present, too, a present in which their identities are fragile and may differ between sites" (Mol, 2002, p. 33). A shift has taken place from the epistemological interest for unpacking the achievement of representation (credit, here, to STS) to the practice of ontology:

> [*E*]*nacting* is not a question of setting up proper references alone…. [it] involves the representational art of making drawings and writing things down, the art of photography and that of printing. But it also is a matter of formaldehyde, staining fluids, knives, slides, microscopes. (ibid, p. 54)

The different versions of atherosclerosis done might exclude one another: for instance, clinical atherosclerosis requires a patient that complains about leg pain. Under the microscope, there is neither leg nor patient, but an artery, glass discs, and other technical artefacts. Therefore, the two atheroscleroses cannot be done simultaneously. Mol maintained, however, that this is neither a question of different "languages" or "perspectives". The different practitioners tend to understand each other well, and the difference is a practical matter. To reiterate, the two are *done* differently.

Multiplicity does not mean pluralism. The various versions are not completely separate but *can* be aligned into a single diagnosis, through means of coordination. Atherosclerosis is not fragmented, but "more than one but less than many". Singularity is a situated achievement, often in the form of a single treatment decision, whereby the objects enacted in a variety of practices are brought together. Such coordination can take the form of adding up, and – if they do not overlap – allow one to "win" by establishing a hierarchy, or through calibration by establishing common measures. Sometimes the differences are not brought together into singularity, but lived with, through separation. Even with incoherence, work may go on, "so long as the different parties… are separated between sites in some sort of distribution" (p. 88), for instance between the localities of practice of diagnosis and treatment, which come with distinct materialities, practicalities and principles.

A note on agency: A relational understanding of the capacity to act

There is a long-standing dichotomy in the study of the social, in understanding events either as caused by external forces or as creative acts. The commonplace dichotomy – which ANT's foundational texts sought to undo – is between a 'nature', consisting of causal relations, and the realm of the social, where human beings are free to act (Abrahamsson, Bertoni, Mol and Martin, 2015). The ANT approach sought to level out the registers by which these different "worlds" were accounted for in describing phenomena; as "from the moment one accepts that both social and natural sciences are equally uncertain, ambiguous and disputable, it is no longer possible to have them playing different roles in the analysis" (Callon, 1986). The consequence was a more agnostic approach to what and who is described as a protagonist, the nature of interests, and how agency comes to be. As Latour pointed out, "this is not to say that machines think like people do and decide how they will act, but their behaviour or nature often has a comparable role" (Latour, 1992, p.1).

Agency, thus, is understood as a *distributed* affair. It is also *material*, as Latour's intricate description of "a few mundane artifacts" like a seatbelt and an automatic door closer (Latour, 1992), shows. It is a heterogeneous effect of relations between a vast network of entities, the exact identity of which we should remain *a priori* agnostic to. Latour illustrates the argument with the work of a small hinge, compared to the effort needed if there was no door – the enormous effort otherwise necessary to accomplish action has been delegated to the hinge. Through this delegation, however, the effort is black-boxed and invisible. In the words of Law:

> Whether we are 'big' or 'small', the largest part of the webs we draw on and allow us to act are hidden. An actor is always a network of elements that it does not fully recognise or know: simplification or 'black boxing' is a necessary part of agency. (Law, 2009a, p. 147)

The question of agency is thus linked also to the issue of durability, because the material lends a certain durability to arrangements. They tend to hold their shape better when "delegated into non-bodily physical form" rather than "simply depend on face-to-face interaction" (ibid p. 148). However, it is the particular form of the arrangement that produces durability, not an essential characteristic inherent to the material itself.

The notion of non-human agency perhaps remains one of the most contested and provocative tenets of ANT (Harman, 2014; Latour, 1992; Latour, Harman and Erdélyi, 2011; Ingold, 2008)[9]. Beyond ANT, several strands of contemporary theorizing probe this idea, sometimes under the umbrella of so-called *new materialism*. Abrahamsson *et al.* (2015) point out that while the insistence on the agency of the non-material was intended to show how 'acting' is a distributed achievement, these lines of thoughts have tended to become distorted:

> At some point in the discussion, that distributed character of all doings seems to have been lost, while the term 'agency' remained. Here, we would like to insist on the enduring relevance of relations and raise the question whether 'agency' is, after all, such a good term for the propensity of entities that are involved in 'doing'. (Abrahamsson *et al.*, 2015)

The critique is this: insisting on non-human agency seems to gloss over the specifics of the accomplishment of the conditions for acting. Abrahamsson *et al* (ibid) instead attempted to direct our analytical gaze back to the practices and relations by which matter (in their case, omega 3!) comes to be implicated in agency beyond merely pointing to causality. If it has "causal" effects, it is because particular scientific practices render this possible and identifiable. It is problematic to merely expand "actorhood" to encompass "stuff" without attending to the details of *how* agency is accomplished. That is, "if matters

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[9] Graham Harman, in his close reading and critique of Latour, and his development of his own so-called *object-oriented ontology*, has problematized (but largely sympathetically) Latour's theorization of agency and the role of the material (Harman, 2014; Latour, Harman and Erdélyi, 2011). While agreeing with the overall aim of abolishing the distinction between Nature and Society so long dominating social science, he takes issue with his reduction of the world into relations. The argument has two key components, where the first one relates to a resulting asymmetry in the treatment of the nonhuman: "When Latour seeks a unifying principle for all entities, including natural and cultural, why does he settle on relational interaction as the unifying property shared by all beings? The result is that he proceeds asymmetrically, thereby violating his own stated method". That is, the problematic move that Latour does, Harman argues, is that he merely expands Society to now also encompass the nonhuman. The second relates to the problem of identifying and ontologically explaining change in a world made up only of relations. If an actor were indiscernible from its actions – that is, Latour's reality principle that something exists because it has an effect on other entities – this actor could never change actions. It would as a result become a different entity, in which case it becomes difficult to identify change. Harman's point is not to say that entities are non-relational, as we do encounter relations all the time. His question, however, is whether it is practical and sensible to convert the entire existence into relational actants. In that sense, Harman's critique – which in many ways is very sympathetic to Latour's project – resonates with some of the critiques discussed above (Lee and Brown, 1994; Star, 1991) on the totalizing and reductive application of ANT, and the ANT-and-after suggestion that we proceed empirically and stay open to a multiplicity of modes of relating and doing in the world.

act, they never act alone". The implication is that the problem is perhaps not only about what and who is ascribed the capacity to act, but rather how the practices within which matter is implicated are deeply intertwined in the political. This broad repertoire of political doings in opened up when we attend to the practical matters of doing. In the next section, I discuss how this suggestion opens for a politics not of *who*, but of *what.*

Ontological politics: a political sensitivity after foundations

The insistence on studying practices implies a collapse of the distinction between the epistemological and the ontological. Multiplicity does not emanate from perspectives, but rather from the material particularities of different practices. With the move from epistemology to ontology, Mol and others suggest we are also in a different political realm. Rather than "truthfulness", normativity becomes the question of "the appropriateness of various enactments", and the potential for engaging with different options (Mol, 1999; 2002; Mol and Mesman, 1996; see also Dugdale, 1999 and Law, 2002). If the construction stories of ANT 1990, or *genesis* as I have referred to them here, showed the political in what got lost along the way, the realities that never were, Mol and others suggested a more ongoing concern with the political in the mundane *doing* of realities. This is what Mol and others have referred to as *ontological politics* (Mol, 1999).

This is the argument: if practices are generative of realities, then different realities are possible. This does not, however, imply that "anything goes", that we are free to choose between realities as different options. On the contrary, ontological politics *specifically* challenges common understandings of the political as a question of the choice between different options. It asks us to consider: if there is a choice, where is this choice located? For instance, any given argument for or against plausible alternatives (Mol discussed the 'choice' between screening and clinical detection of anaemia) shifts the decisive moment to other sites, so that – from "here" – it seems like there is no decision to be made, only facts. It is therefore problematic, Mol suggested, to portray 'the political' as a matter of deliberation or choice. "We should not accept the illusion that most decisive moments are explicit" (Mol, 1999, p. 79), she wrote. Because realities are included in, and interdependent of, each other, most things do not appear as the outcomes of 'decisions' at all. They just "are" that way.

2.2.3 The conceptual repertoire: Material-semiotic enactment of object, position and trajectory

So far, I have elaborated on the premises of the shift from ANT 1990 to ANT-and-after: the insistence on the generativity of practices and the distribution across the localities in which they take place, relationality, materiality and multiplicity. Many "-ities", indeed. Now, I will engage with this thesis' concern for a spatial understanding of accounting change, by elaborating on the proposed conceptual repertoire of object, trajectory and position. These spatial figures are intended to direct the analytical gaze to particular aspects of the episodes of practice under study, and render a particular sensitivity to the spatial[10].

Object: A pattern of absence and presence

As I have already suggested, a series of empirical studies on objects (atherosclerosis, the body, alcoholic liver disease, a bush pump…) now constitute some of the classics of the material-semiotic, ontological approach of ANT-and-after. For Mol, the ontology of objects is one of the key concerns:

> The ethnographic study of practices does not search for knowledge in subjects who have it in their minds and may talk about it. Instead, it locates knowledge primarily in activities, events, buildings, instruments, procedures, and so on. Objects, in their turn, are not taken here as entities waiting out there to be represented but neither are they the constructions shaped by the subject-knowers. (Mol, 2002, p. 31)

ANT 1990 had a particular view to the ontology of objects, as "an effect of an array of relations… a network" (Law, 2000, p. 1), that holds together because those relations do not change. The relational treatment of objects also implies that anything, abstract or physical, can be studied as an object – a 'bush pump', just like 'alcoholic liver disease', or 'ESG' (de Laet and Mol,

[10] The observant reader might notice that I tend to write of object – trajectory – position – in that order. For pedagogical reasons, however, I here deal with position before trajectory.

2000; Law and Singleton, 2005). 'Alcoholic liver disease', for instance, cannot be "drop[ped] on your toe", but it can kill, and it is costly. Treating objects this way, however, opens for the seeming mess of practice: Law and Singleton, for instance (2005), were concerned about the many things practitioners talked about when they talked about 'alcoholic liver disease' and that it was even impossible to fit the different accounts together. Different strategies could be mobilized to deal with this mess: a technical strategy would suggest that they were doing bad research, while a managerial would point to the need for intervention into the mess. The epistemological approach would instead suggest that the mess emanated from practitioners' different *perspectives* on the object. Law and Singleton (2005) however, like Mol (2002) went the ontological route.

Law, Mol and others have developed this object ontology in a number of theoretical and empirical discussions. As an extension of the relational treatment of objects, Law (2004) has suggested that objects are patterns of absence and presence, the distinction between that which is brought into the assembly, and that which is, for various reasons, left out. It might have been forgotten, or made irrelevant. The consequence for research is ruthlessly empirical: we should study objects as the outcomes of the many entities and relations that make them in practice, and not least try to attend to (perhaps by means of imagination, see Law, 2004) that which has been effaced along the way.

The writings on objects in ANT-and-after have also explored how the making of an object relies on, and recursively produces, a particular form of topology. The exemplary studies on the Bush Pump (de Laet and Mol, 2000) and alcoholic liver disease (Law and Singleton, 2005) were prompts for a more heterogeneous and agnostic view to the topology within which objects are made, hold their shape (more or less) and travel. In a series of arguments, Mol and Law have expanded on this relationship between objects and spatialities (Law and Mol, 2001; Mol and Law, 1994). Like de Laet and Mol's (2000) discussion, the starting point was the ANT 1990 insistence on immutability:

> [T]he production of this network is a double production. On the one hand it generates an immutable mobile, a vessel that made it safely across the seven seas,

> an object holding itself together in a particular web of relations. But it also, and at the same time, implies a form of spatiality. The argument, then, is that a network-object also implies a stable shape within a network space. The two go together. Spatiality is an aspect of network stability. (Law and Mol, 2001, p. 611)

The argument was drawn from the empirical observation that while some things retain their objectness even as they change, others behave erratically and discontinuously: they jump, disappear or reappear with a different name (see Law and Singleton's [2005] alcoholic liver disease). Building on from this, in a series of papers, these scholars proposed alternative topologies. While ANT 1990 accomplished showing that the capacity to refer to delimited entities (the topology of regions) hinged on heterogeneous relations (the topology of network) there are also other possibilities, such as the fluid and fire topologies (de Laet and Mol, 2000; Law and Mol, 2001; Law and Singleton, 2005; Mol and Law, 1994, Moreira, 2004). Such topologies carry a particular means by which objects perform and travel, holding together, gently shifting, or disappearing and reappearing.

To conclude, the ontological approach to objects means that they ('ESG', for instance) are understood as a pattern of entities and relations through which it is enacted in a specific locality of situated practice. From this, we now turn to the position concept.

Position: A material-semiotic accomplishment in multiple space

Through the commitment to objects and spatialities, ANT-and-after draws on, and intersects with, strands of postmodern approaches in geography through its relational treatment of space. Hetherington and Law (2000) observed that the network trope, a particular form of relational space, constitutes a merging of a range of theoretical and conceptual interests in STS, geography and sociology (and accounting!), through questions like centre-periphery, similarity-difference, or, in short, questions of asymmetry and power. It is within this relational ontology of space I formulate my spatial figure of the position.

Relational space is "a specific set of spatialities (including the narratives about them)" (Ek, 2012, p. 42). Space is not anterior, that is, established somehow "before" the objects, processes and events which takes place "in it". Instead, places become social-material events (p. 39), an "intensity of juxtapositions and intersections of new as well as old spatio-temporalities" (ibid p. 42; see also Moreira, 2004).

For the purpose of this thesis I need a definition of position that is helpful to analyse the spatialities of the practical work of 'ESG integration'. Thus, when I in this thesis refer to position, I mean it to encompass both physically delimited localities, such as a particular room, desk or screen. It also includes temporally delimited practice, such as a particular type of meeting or situation, which does not necessarily always take place in the same physical locality. Finally, we want a definition that might also include virtual or abstract space, positions that cannot be pointed out on a map but, perhaps, on an organizational chart or in a graphical figure. Thus, my definition of position has the potential to encompass both physical and abstract space and a range of potential sites of practice. To bunt it bluntly, in the context of 'ESG integration' the position is whatever is at the "other end" of the trajectory.

This empirically open treatment of space resonates with Callon and Law's (2004) suggestion to understand space as a material-semiotic accomplishment. Naturally, when the dichotomy proximity/distance is understood material-semiotically, we are no longer necessarily referring to geographical distance. What is geographically close can be relationally separate, and vice versa. This is because distance/proximity is produced by material-semiotic ties:

> In important respects the City of London is closer to Wall Street than it is to inner-city Salford. And this leads us to reflect on the character of spatiality itself. So we'll make the argument that spatiality isn't just about the Euclidean space of the globe, the space dealt with in physical geography. We'll argue that it is also about material networks which imply a different form of space. (Law and Hetherington, 2000, p. 36)

Trajectory: Material-semiotic direction in situated practice

I propose that in the endeavour of 'ESG integration', a trajectory is made through narrative, numerical and visual inscriptions, as well as in practices of mobilizing linkages, drawing together and attempting to traverse boundaries in abstract and physical space. The question of movement and displacement is central to much of the literature discussed here, and perhaps especially clearly in de Laet and Mol's question of how the Bush Pump can "travel": it changes, but it is still 'the Bush Pump'.

In this study, what I mean by trajectory, is the situated accomplishment (or "attempt") of direction of an object. That is, the trajectory is the arrow figure, along which 'ESG' should move, into some type of physical or abstract position (see above). It is not a reified entity "out there" but done in the materialities of practice. Its "substance" is relational ties.

In this thesis, it has to do with crossing boundaries, of overcoming the seeming dichotomy between 'ESG' and 'finance'. I mean this in a specific sense: not as the unification of different "perspectives", but as practical, material effort. Mol hinted at something like this, too, in medical practice, in her discussion of doctors and patients:

> … both the difficulties and the possibilities of crossing the gap point toward the existence of that gap. So there it is. A cleavage. A perspective from one point of view differs from that of the other. In stories that tell about events-in-practice this is different. However shared or solitary perspectives may be, the practice of diagnosing and treating diseases inevitably requires cooperation. (Mol, 2002, p. 21)

Thus, one key conceptual question that I iterated in Chapter 1, is how to study a practice that is emically perspectival – with this I mean that participants tend to refer to different "perspectives" or "knowledges" – without resorting to their reification, and with a commitment to a "flat" ontology? What becomes of the boundary or dichotomy, in a practical sense? Empirically, this thesis thus aligns with the questions asked by Mol and Law:

> What, for instance, is it to cross a boundary? What is a boundary when it is blurred? What happens when boundaries move around? /…/ How do things hold their identity while they cross geographical boundaries? (Mol and Law, 2005, p. 637)

There are no clear-cut answers to these questions, it seems, and we can only go about empirically in inquiring into them. For something to "travel", hinges on enormous amounts of work, as ANT has shown through a range of empirical cases. If something is "universal", that is, stays the same as it travels, this relies on work that often has become hidden or forgotten. It is, so to speak, below the waterline (Law and Mol, 2001; Law and Singleton, 2005; Mol and Law, 1994). In the context of this thesis, this means to empirically attend to the mundane details of attempting trajectories, and also to shift focal point. Things may change shape as they move, and successful trajectories might indeed hinge on such shape-shifting (de Laet and Mol, 2000). The implications of ANT's treatment of scale and space as effects implies that there is no *a priori* difference between the traversing of vast geographical distance, and, say, something much more "small-scale" as the practices studied here. Both trajectories hinge on labour and investment, and when we "unbracket" the practicalities, endless complexity becomes visible.

> It takes some effort, then, to build boundaries, and to keep them in place. It is another distribution. The making of an order. An order that has often enough to do with scale and size, big and small, macro and micro. (Law, 2000, p. 135)

As the reader might have noticed at this point, the theoretical and conceptual points I have attempted to make here do not necessarily add up nicely into a coherent, explanatory whole. In this, I align with John Law's suggestion to maintain a degree of humility (2000, p. 142). What I have done, however, is outline a number of principles and sensitivities: practice, materiality, relations, locality and multiplicity. We are also equipped with some analytical tools: the object, the position and the trajectory. We shall soon move into the empirical site of practice.

Before that, however, the next chapter elaborates on the empirical context within which I conducted the study, and how the question of "getting ESG in there" can be understood in a range of studies at the intersection of sustainability, finance and calculative practice in organizations.

Chapter 3

Sustainability, calculative practice and ‘integration’

The previous chapter discussed how change has been treated in the stream of the accounting literature that draws on ANT. The first aim of the thesis is thus to contribute to this stream, by studying change as situated practice, and by drawing on ANT-and-after notions of multiplicity, and being attentive to spatiality. There is a broader aim of the thesis, however, which relates to the practical problem, indeed an emic concern, of ensuring that ‘ESG’ becomes substantive and “real”. This practical problem resonates with some of the key themes of literature streams that have dealt with empirical phenomena close to ESG. As an empirical phenomenon, ESG practice is a question of changing finance broadly, of accomplishing accounting change in (investor) organizations, and of rendering a more pluralist version of accounting practices like investment analysis. Therefore, this chapter elaborates on the ESG phenomenon’s intersection with three research streams that deal with sustainability, calculative practice, and ‘integration’. I review these streams by attending in particular to two main themes: the potential for change through practical effort, and of bridging the boundaries between ‘sustainability’ and ‘the economic’.

First, I discuss how the literature on ESG in organization studies has related ESG practice to broader reform at the level of a field of practice, resulting in a debate around the potential for such reform to engender change of “what counts” in the financial sector, and in effect, society more broadly.

I explore how these studies have probed change both at the field level, in attempts at standardizing ESG data and calculative technology, and in the mundane calculative practice of analysts in investor organizations.

Second, I turn to a longstanding debate in the SEA literature on the link between intra-organizational accounting change and sustainability. This has often taken its starting point in the dichotomy of substantive change versus institutional appropriation. The contrast to much of the ANT-inspired accounting change literature is clear: whereas that stream (see Chapter 2) often unpacked or followed more or less "successful" materializations of accounting objects, the SEA literature has tended to see failure, typically explained by entrenched power relations or resistance from key groups. To an increasing extent, however, such studies explore the formative effects of the practical work of constructing accounts, foregrounding the role of calculations and calculative practice.

Third, an alternative view is reflected in the emerging literature that explores the notion of plurality as a normative ideal by drawing on the dialogic approach, brought in from political theory. There, the attention is turned to how mainstream accounting practices tend to silence alternatives and build "false consensus", rather than promote plurality. The argument is that processes of determining "what counts" can entail detrimental simplifications and silencing, rather than a plurality of voices. An empirical phenomenon that carries an ideal of such plurality is the emerging practice of integrated reporting. Due to the focus on the 'integration' of 'ESG' and 'the financial', this phenomenon is conceptually related to the concern in this thesis. I thus explore how this can be understood as a battleground for a debate on the dialogic/monologic dichotomy.

Together the review of these three streams is intended to provide an empirical elaboration of the concern for ESG from both a practical and academic perspective. I conclude the chapter by a reflection on how these literatures can be read within the framing of the conceptual repertoire of an object, a trajectory, and a position. I suggest that there is unexplored analytical potential in probing how the dichotomy of 'sustainability' and 'the economic', and the boundary between them, is a practical accomplishment. This opens for exploring the 'integration' endeavour as a spatial phenomenon rather than as a question of epistemic perspectives of different expert groups.

3.1 Sustainable finance and the transformation of financial capitalism

As mentioned in the introduction of this thesis, the acronym 'ESG' describes the practice of using environmental, social and governance 'factors' in investment analysis and decision-making. Whereas sustainable[11] investments for a long time were characterized by a range of approaches to 'exclusion', that is, to treat certain sectors and economic activities as ruled out of investment, the past decades have seen an articulation and attempt to achieve so-called 'ESG integration'. In an array of professional reports and recommendations, investors can find guidance about various approaches to such 'integration', that is, accommodating ESG factors, typically in the fundamental valuation of equities. Often, 'integration' thus describes a transformation of 'sustainability' issues to effects on accounting numbers, in particular the components of fundamental valuation models:

> Investors can adjust forecasted financials (such as revenue, operating cost, asset book value and capital expenditure) or company valuation models (including the dividend discount model, the discounted cash flow model and adjusted present value model) for the expected impact of ESG factors. (PRI, 2016)

The phenomenon of ESG – sometimes denoted 'sustainable finance', 'responsible' or 'sustainable investment' or 'socially responsible investment' (SRI) – has triggered academic interest in the management, CSR and business ethics literatures. Several studies conceive of ESG as a more or less deliberate attempt at field-level change of 'financial capitalism', and have drawn on empirical work both within asset management organizations, and within so-called ESG research providers, which supply ratings and analysis of listed companies on the basis of indicators within the three areas of 'E', 'S' and 'G'. The research broadly clusters around three overall empirical themes. First, a group of studies concern the formation and stabilization of a field of practice

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[11] 'Sustainability' is of course a contested term. In this chapter, I use it as an umbrella term to denote particular research streams. I do not address whether this reflects "true" sustainability – or what that would even mean.

(Arjaliès, 2010; Arjaliès, 2014; Chelli and Gendron, 2013; Déjean, Giamporcaro, Gond, Leca and Penalva-Ilcher, 2013; Gond and Boxenbaum, 2013; Lewis and Juravle, 2010; Sjöström, 2010; Solomon and Solomon, 2006; Solomon, Solomon, Norton and Joseph, 2011; Solomon, Solomon, Joseph and Norton, 2013). Others have followed struggles to produce standardized ESG data and becoming the provider of such data (Barman, 2015; Beunza and Ferraro, 2018; Déjean, Gond and Leca, 2004; Giamporcaro and Gond, 2016; Slager, Gond and Moon, 2012;). Finally, one group of studies has been concerned with the mundane work of analysts (Arjalies and Bansal, 2018; Du Rietz, 2014; 2018; Mehrpouya and Samiolo, 2016; 2019; Young, 2013).[12]

3.1.1 The emergence of ESG: Field-level transformation or the ideology of numbers?

Studies of the emergence of the practice of ESG have been characterized by an interest for a key predicament of change, namely on the one hand staying with the original intentions, and on the other, managing to transform something established by undergoing a transformation away from such intentions (Arjaliès, 2010). Arguing that ESG in France was driven to a large extent by insiders seeking 'compromise', rather than by opposing outsiders, Arjaliès (2010) outlined a succession of phases whereby ESG became a "thing" – and how gradual attempts at stabilization transformed it to conform to the established financial market practice. For instance, whereas much of the early ESG data was qualitative, it became increasingly quantitative and standardized over time. SRI proponents also promoted a linkage between ESG performance and financial performance. Over time, an increasing number of asset managers hired internal ESG analysts and signed up to the PRI, pushing ESG from covering only specific funds to covering also "mainstream" funds. This "mainstreaming" over time presented risks, Arjaliès argued: Would the

[12] There is also a vast, positivist (and quantitative) literature attempting to identify a relationship between ESG performance (of companies) and financial performance, such as profitability and/or returns. Whether ESG "works" or not, in that sense, is not the topic of this study, and thus I engage only with the more or less interpretive-constructivist (qualitative) ESG literature. For a good overview, however, see Friede, Busch and Bassen (2015).

movement be able to sustain its initial ambitions when it had become so established? A similar argument, both in terms of the focus on human agency through internal "champions", and in the concern for "dilution" in the wake of mainstreaming, can be found in Lewis and Juravle (2010). They showed how, in an attempt to gain a foothold in the UK investment market, ESG "champions" had to deal with "cynicism" and learn a "new language" in the attempt to overcome "a divide between the two cultures" (ibid p. 487).

Arjaliès' framing of French SRI as a social movement (2010) gave rise to critique and debate, as others suggested that it was not a movement but rather an emerging market (Arjaliès, 2014; Déjean, *et al.*, 2013). For Déjean *et al.*, (2013) French SRI was far too "compliant" to be a social movement, as it never truly challenged the "dominant financial logic". Several authors have made similar arguments, suggesting that 'ESG' is essentially about "something else". Chelli and Gendron (2013), for instance, argued that the ESG field's insistence on quantification can be understood as the promotion of an "ideology of numbers", reproducing a narrow, reductive conception of social and environmental responsibility in the name of standardization, order and comparability. An even more pronounced critique can be found in Solomon *et al.* (2013), in a study based on interviews with institutional investor representatives, primarily those tasked with sustainability analysis. They suggested that although institutional investors engage in private ESG dialogue with investee companies, it is essentially an "empty encounter" which serves only to uphold a "frontstage" myth of social and environmental responsibility. In the meantime, the authors suggested, investment practices and decision-making unfold backstage, "untouched" by the encounter, and in accordance with a purely financial logic. The authors ascribed this to a lack of "genuine care", signalling an underlying assumption that ESG dialogue is *merely* procedural.

Some studies, however, indicate the difficulty of placing actual, practical outcomes along the simplistic change/no-change continuum. Solomon *et al.* (2011), for instance, observed that investors were concerned with seeing substantive, "genuine" and not merely "tokenist" (p. 1136) commitments and activities from investee companies, suggesting and that private ESG dialogue can thus be "transformative" (see also Solomon and Solomon, 2006, on how engagement can become bi-directional when companies try to pre-empt investor questions). However, the authors critically observed that climate change was placed within a narrow 'business case' framing, where climate mitigation is a win-win for corporations and their survival. Sjöström (2010) argued that by engaging with investee companies, investors can indeed be so-called "norm entrepreneurs" and have "a more deep-rooted and long-term impact on corporations than changing single events of behaviour, by influencing shared ideas about corporate responsibilities" (p. 188). To sum up, there remains disagreement about the "effects" of ESG, where arguments can be placed along a continuum between some form of productive effects and the "merely procedural".

3.1.2 ESG and data standardization: obtaining the "right to rate" and targeting "mainstream investors"

Throughout the practitioner literature, as well as much of the academic ditto, the theme of inadequate data runs like a red thread[13]. For instance, informants in Solomon and Solomon (2006) argued that companies' ESG data was inadequate and could thus not be incorporated. However, they also communicated a conviction that, in theory, it *could* be decision-useful – it just was not extensive, standardized and comparable enough. The arguments in their interviews, undertaken in 2001-2002, can be heard in the debate still today. Fuelled by this, a vast array of attempts at standardization and quantification have characterized the practice of ESG in the past two decades. Reflecting this practical development, some academic studies have focused particularly on attempts at becoming *the* source of standardized ESG data (Barman, 2015; Beunza and Ferraro, 2018; Slager *et al.*, 2012; Giamporcaro and Gond, 2016; Déjean *et al.*, 2004).

In France, ARESE (eventually Vigeo, then Vigeo EIRIS) became the *de facto* standard for sustainability ratings for the capital market (Déjean *et al.*, 2004; Giamporcaro and Gond, 2016). Initially, ARESE obtained its "right to rate" (p. 475) through the established power of its shareholders, two key French financial institutions. Although, in fact, most French corporations

[13] Practically *all* practitioner reports in the ESG field bring up the question of data comparability and standardization in some way. BlackRock reports that "ESG data are still incomplete, largely self-reported and not always comparable – and we advocate for greater consistency and transparency." (BlackRock, 2018). The PRI links data quality to quantitive analysis: "As ESG data becomes more prevalent, statistically accurate and comparable, more managers are likely to perform statistical techniques to identify correlations between ESG factors and price movements that can generate alpha and/or reduce risk" (PRI, 2016)

accepted the rating, it had to change over time to conform to the practices and demands of institutional investors. They requested "rigour", and a systematic, quantified procedure (Déjean *et al.*, 2004), and thus a two or three-page assessment became an Excel file with five criteria, rendering decision-making a process of "push[ing] a button" (Déjean *et al.*, 2004, p. 756).

Some attempts at standardizing the ESG data market have come from already established actors. *Visual*, the case organization in Beunza and Ferarro's study (2018), first attempted to mobilize its installed base of financial hardware and software to distribute raw ESG data. The idea was to benefit from already having registered users, buy displaying the ESG data on the same screen and providing a range of filtering opportunities. One of the instigators of this ESG product was convinced that the traditional SRI market was changing, as mainstream investors were turning to ESG practices. These, he argued, would want raw data rather than ratings, available in their legacy systems. As the product failed to reach its sales objectives, *Visual* repositioned the product by distributing ratings from already established ESG data providers and thus acting not as a standardizer of the data, but of its distribution.

Reflecting in a similar manner the concern for mainstream investors' demand for standardization, Barman (2015) studied the construction of a range of calculative tools in the early days of the market of impact investing, engaging with the interest in so-called concerned markets within constructivist market studies[14]. Early market participants had argued that mainstream investors would not enter the market with less than a standardized approach

[14] This stream is situated within constructivist market studies, at the intersection of ANT and (socio-material) economic sociology (Barman, 2015; Callon, 2009; Doganova and Karnøe, 2015; Geiger *et al.*, 2014; Reijonen and Tryggestad, 2012; Stigzelius, 2018). The 'concerned' notion emanates from Latour's discussion of matters of concern (Latour, 2004), describing the collapse of the distinction between the political and the scientific, as a consequence of ANT. The shift from ostensibly, exclusively 'scientific' "matters of fact", to "matters of concern" reflects the suggestion that complex social and environmental issues are not independent from, but integral to, the socio-technical arrangements within which they are framed. 'Concerned markets' refers to those socio-technical arrangements whereby market solutions participate in the framing of, and addressing of, emerging societal concerns. The stream has addressed phenomena like environmental product qualities (Reijonen and Tryggestad, 2012), food consumption (Stigzelius, 2018), clean tech (Doganova and Karnøe, 2015), carbon trading (Callon, 2009), and impact investing (Barman, 2015),

to assessing the social impact. Otherwise, it was argued, they would not be willing to sacrifice financial returns (and it was assumed that these mainstream investors would assume a trade-off). In the endeavour to attain a standardized approach to a "double bottom line" of both financial and social return, market actors came together in to construct two main calculative tools; a reporting standard, and a rating system. The problem, in Barman's analysis, was that so-called "value complexity" did not only extend to the presence of the economic, environmental and social. Rather, there were as many approaches to constructing 'social impact' as there were social businesses. The result of this early market experimentation was IRIS, a reporting standard that brought together 40 existing taxonomies and standards – and a rating system (GIIRS) based on a self-reporting survey on the IRIS indicators, brought together into a single score and a number of stars.

3.1.3 The mundane work practices of ESG analysts

Standardization studies typically capture the effort within a field of practice, to ensure similar procedures and representations across time and space. It thus captures one form of practical work that involves different types of field participants. A small number of studies instead foreground the mundane, *internal* work practices of ESG analysts in investor organizations (Du Rietz, 2014, 2018; Arjaliès and Bansal, 2018; see also Young, 2013). Du Rietz (2014, 2018) in particular, has shown that as analytical practice, ESG entails a lot of manual work: different pieces of information must be identified as relevant information in accordance with a model of 'ESG performance' – often in *absence* of a clear standard. Thus, a lot of the work consists of filtering out key information while disregarding other – and of identifying what might be "missing" pieces of information. Typically such work follows a routinized "established" approach according to a spreadsheet or rating tool, and involves searching through company reporting and engaging directly with corporate management on key ESG "issues". It also involves enlisting service providers and knowing their particular methodology to be able to assess the resulting output (Du Rietz, 2014).

These practices have purposes beyond merely "staying informed", as it also relates to the routine activity of engaging with portfolio companies. The

'ESG performance' produced in analyst practice, thus, also relates to the production of a capacity to act purposefully (Du Rietz, 2018). Not least in the Nordic countries, 'engagement' with corporations on various ESG issues and in accordance with international norms, is an established practice for decades. In this context, 'ESG performance' relates to exclusion from and inclusion in an investable universe, and involves work to identify which companies should be the target of 'engagement' (or of 'exclusion') – and the production of some sort of decision basis. Often prompted by more or less high-profile corporate scandals, ESG analysts routinely check for the company's response, follow up on improvements, and keep track of what is considered adequate practice in accordance with some sort of industry or sector benchmark (Du Rietz, 2018)[15].

Du Rietz's work has a lot in common with Mehrpouya and Samiolo's (2016; 2019) studies of the epistemic work involved in the production of the Access to Medicine Index, a tool that ranks pharmaceutical corporations in accordance with their performance in providing medicine and healthcare to the developing world. Mehrpouya and Samiolo (2016) observed how this epistemic work entailed developing a balance between "mechanical objectivity" and "professional judgment": analysts had to both leave personal judgment aside while maintaining trust in their own "feel for" the "truth" of company performance (p. 22). By staying "close to the data" and engaging in endless quality assessments and cross-checks, an "acceptable" ranking of companies is elaborated. As companies are scored on a relative scale, a "good distribution" is important. If all companies are clustered at one end, the aspirational and competitive potential of the ranking disintegrates. Difference must be amplified. Therefore, analysts must "zoom in" to be able to differentiate, both delving deeper in company data and sometimes redefining the scoring guidelines. Thus, the scale is established and renegotiated recursively with the process of collecting and juxtaposing the data. To summarize this substream, the ranking, scoring and rating procedure of ESG is a highly manual and material effort.

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[15] To assist in this endeavour, ESG service providers typically offer a screening service, whereby they scan media on a global scale for mentions of listed companies in relation to criticized practices, which then become so-called 'incidents' summarized in 'incident reports'.

'ESG integration' as epistemic practice

Much of the work to keep the investable universe updated, and to engage with companies, is conducted primarily within the ESG team. However, as the approach to 'integrate' ESG into investment analysis and decision-making more broadly becomes more common, scholars have attempted to study ESG information and ratings by foregrounding the practical work of portfolio managers and financial analysts (as opposed to ESG analysts) (Arjaliès and Bansal, 2018, see also Young, 2013). Such "intended users", however, are not all the same: the practice of financial analysis differs between, for instance, equities and fixed income. In Arjaliès and Bansal's ethnography of a French asset manager, the fixed income analysts dismissed ESG data as unreliable and not concrete enough, as it was not prepared and assured in the same manner as financial data. Others explained that their own approach was too technical and abstract, focusing primarily on current liquidity levels, arbitrage, bankruptcy risk and the yield curve. Since fixed income could not be "embodied in reality", they argued, (p. 704) it was also impossible to incorporate ESG.

Equity managers, on the other hand, welcomed ESG information that ESG analysts had transformed into a visual shorthand, namely a range of emojis. Arjaliès and Bansal (ibid) suggest that the equity managers, rather than wanting to translate ESG into financials, preferred to maintain its "distinction", and thus the tension that could be produced between financial and ESG performance. Through the system of emojis, the ESG analysts participated in the investment decision-making process, and ESG performance was displayed alongside the financials, so that it "held the same importance" (p. 711)[16].

Summary

The study of ESG has been characterized by an interest for attempts at reforming 'finance', by attending to broader field-level transformation efforts, standardization of data, and practical epistemic work *within* investor organizations.

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[16] The contrast between the two teams resembles what was encountered by Young (2013) in her study of a large institutional investor (see Chapter 2, section 2.1.1).

Of note, the distinction between 'ESG' and 'finance' has been taken "as is". While this is no surprise given the recurrence of institutionalist and social-constructivist framings, I suggest that engaging analytically with this dichotomy (and the related notions of boundaries and difference) has the potential to yield interesting insight. Another broad observation is that ESG entails a lot of manual, material work. There have been many, and still are, many attempts at standardization, some of which have also informed research on the institutionalization of the field of sustainable finance. A lot, however, is done through "making do" and experimentation. Together, these broad findings suggest that mundane, practical work is a potential site of interest both for how 'ESG' takes material form, and how 'integration' is attempted in practical effort, treating it not only as a question of knowledge(s) or perspectives of different social groups but rather as a spatial phenomenon. This can be formulated as a shift from "who" calculates to "where" calculation takes place.

3.2 Sustainability in reporting and decision-making: the debate on sustainability accounting and substantive change

Whereas the early studies of various forms of social or environmental accounting were disclosure and correlation studies, there has now also, for decades, existed a considerable commitment to conducting fieldwork *in* organizations, attempting to understand the effects (or absence thereof) of constructing accounts. Calls are continuously made, however, for more detailed fieldwork of internal calculative work (Hopwood, 2009, O'Dwyer and Unerman, 2016), theorized by a broad variety of meta-theories (Unerman and Chapman, 2014).

When the debate over sustainability accounting was still in its infancy, authors of now-classic papers endeavoured to investigate how different organizations reacted to an emerging sustainability "agenda". Much of the literature exploring the link between sustainability accounting and organizational consequences maps onto one of the contrasting positions of 'institutional appropriation' (or various forms of 'capture') and 'organizational change' (Larrinaga-Gonzalez and Bebbington, 2001). In a critical theoretical framing, 'capture' or 'appropriation' might be an inevitable result – and then it is more or less given that sustainability accounting does "more harm than good" (Gray, 2002). On the other hand, the fieldwork-based literature has attempted to attend to particular organizational and situation-specific characteristics, more inclined to characterize outcomes at some sort of middle ground (Adams and McNicholas, 2007; Contrafatto, 2014; Contrafatto and Burns, 2013; Dey, 2007; Fraser, 2012; Gray, Walters, Bebbington and Thompson, 1995; Larrinaga-Gonzalez and Bebbington, 2001; Larrinaga-Gonzalez, Carrasco-Fenech, Caro-Gonzalez, Correa-Ruiz and Páez-Sandubete, 2001; O'Dwyer, 2005; see also Gray's argument [2002] that a pragmatic, engaged middle-ground should be the foundation of a sustainability accounting commitment).

Drawing on theories of change as a response to some kind of disturbance, several studies tried to "classify" different change patterns within organizations. Categories like 'inertia', 'colonization' and 'rebuttal' could be organized along a scale of the extent to which it represented "true" change: one where behaviours, practice and interpretive schemes changed (Gray *et al.*, 1995; Larrinaga-Gonzalez and Bebbington, 2001; Larrinaga-Gonzalez *et al.*, 2001). In many ways, the concerns voiced by Gray *et al.* as early as the mid-90's (1995) resonate with the interest for substantive change in the sustainability accounting academic debate to this day. Drawing on Michael Power's suggestion that accounting represents a "selective but powerful" (p. 213) representation of a corporation, Gray *et al.* suggested that the potential of sustainability accounting lies in changing this representation. The tension between on the one hand the productive effects of changing visibilities and discourses, and, on the other hand, the risk that any sustainability accounting attempt becomes "captured" by management or a 'financial' agenda is still prevalent. At one intersection of these two positions on the continuum lies the notion that sustainability "makes business sense", which characterizes much of the corporate sustainability discourse today, not least the suggestion that corporations will either be constrained or find new business opportunities in the sustainability agenda (ibid p. 219). Gray and co-authors also reflected on, drawing on Hines (1988), how the 'environmental agenda' represented more permeability of organizational boundaries whereby organizations must accommodate issues historically seen as outside, and thus how new organizational boundaries are solidified[17].

Others attempted to identify impediments to, and forces of, change, often pointing to the importance of the commitment of key individuals, such as top management and reporting staff (Adams and McNicholas, 2007). While much of the previous literature had pointed to indications of capture and attempts to reformat 'sustainability' for the organizations' own purposes, Adams and McNicholas (ibid) instead suggested that lack of time and resources was the main impediment, given that top-level commitment was secured. Moreover, the team in the organization under study often found themselves struggling due to "lack of knowledge and expertise" (ibid p. 398) – but were able to move forward by drawing inspiration from and mimicking other organizations' reporting practices.

In attempting to find a middle ground between the two positions (change/appropriation), several scholars have attempted to account for more situation- and organization-specific factors that could influence the extent to which the effort involved in constructing sustainability accounts would lead to broader processes of change (Larrinaga-Gonzalez and Bebbington, 2001; Contrafatto and Burns, 2013; Fraser, 2012). Fraser (2012) for instance, suggested that change is dependent on how well a sustainability accounting technology is aligned with an organizational assemblage of specific external and internal factors. The factors constituting such an assemblage will determine whether change occurs, or not. While the starting point of these studies, thus, was that sustainability accounting could act as an "enabling vehicle", Dey (2007) succinctly summarizes the pessimism that characterized these authors' assessments of field outcomes:

[17] Although many concerns remain to this day, it can also be noted that the outright dismissals of sustainability and sustainability accounting voiced by respondents in Gray *et al*'s survey (1995) would be unthinkable from European corporate representatives today. This surely reflects a shift in concerns and practices, but it also means that attempting to ascertain organizational commitments is a more complex matter today.

> The potential of accounting as an enabling vehicle for change is suppressed by a more influential assemblage of other macro and micro-level factors that combine to produce institutional appropriation. (Dey, 2007, p. 425)

Indeed, this was also the conclusion he drew on the basis of his own ethnographic study in a fair-trade organization. The case organization did indeed experience change through its engagement with social accounting. However, rather than the "expected" outcome, the organization became more tightly focused on a strictly financial and commercial "bottom line", rather than more responsive to stakeholders.

3.2.1 Enlisting key organizational participants

One theme that runs through the literature is the commitment, among those attempting sustainability accounting, to involve finance and accounting staff. This reflects an underlying suggestion that the "real" accounting is somehow elsewhere from where the sustainability accounting is enacted, and that this "real" accounting involvement is "crucial for achieving some progress" (Larrinaga-Gonzalez and Bebbington, 2001, p. 278). In practice, researchers have thus traced (and often been involved in, through action research engagements) efforts to produce accounting tools within some form of environmental or sustainability department, that should then be "transferred" to accounting and finance staff. Larrinaga-Gonzalez and Bebbington (2001), for instance, traced initiatives for "full waste cost" accounting and an environmental profit & loss accounting – neither of which managed to draw much interest from the accounting department. One practical challenge related to the difficulty of dividing costs between what was considered environmental costs, and what was *not* (see also Laine, Järvinen, Hyvönen and Kantola, 2017) which in turn resulted in a "lack of data credibility". Facing "other pressing concerns", it was difficult for 'the environment' to be important. Since the environmental account could not be used for decision-making, and there was reluctance to communicate the results externally, it remained unclear why the data had been produced at all. Rather than becoming relevant to the accountants, environmental issues (and accounting) remained "quarantined" with the environmental department (p. 285).

The organizational (and academic) concern for mobilizing accounting and finance staff rests on an assumption that sustainability accounting technologies, if appropriately implemented, can shape the "mental models of participants" (Fraser, 2012, p. 513). Thus, the assumption is that for "true" change to occur, one must attempt to change the thinking of powerful actors, who will then make other decisions. In a study of six applications of a sustainable assessment model, Fraser (2012) observed how the practical process of quantification, monetization, and assigning weights made trade-offs in decision assessments more explicit and articulated. During the process, however, a new CEO removed the position of a sustainability coordinator, suggesting that sustainability issues should lie with all employees, which seemed to diminish the impact of making the sustainability assessments. In particular, the tool had unpredictable output – in the sense that it did not necessarily produce the right answers. Therefore, at a time when "certainty was needed", it could not be widely utilized. Something similar was observed in O'Dwyer (2005), where an initially reluctant board suddenly took control over a stakeholder accounting tool when it seemed that criticism might emerge in the process. The produced accounts were then accused of being "subjective" and had to be rewritten, which, O'Dwyer (2005) suggested, entailed the silencing of stakeholder voices. At the end of the process, the results of the process, anyway, went down in a "black hole" rather than changing any internal practices.

3.2.2 The gradual stabilization of sustainability accounting practice

As sustainability accounting practices and technologies have become more established in many organizations, academics have also been able to study accounting change processes over longer periods of time (Contrafatto, 2014; Contrafatto and Burns, 2013). Contrafatto (2014) narrated the story of an Italian corporation's adoption of sustainability reporting through three phases: the establishment and articulation of a meaning system, practicalization, and reinforcement. The study represents a shift from the more static exploration of whether change has taken place or not (cf Gray *et al.*, 1995; Larrinaga-Gonzalez and Bebbington, 2001; Larrinaga-Gonzalez *et al.*, 2001), towards the detailed exploration of a longitudinal story of practical construction. In the first phase of articulating 'responsibility' as a common meaning system, Contrafatto (2014) pointed to the importance of key individuals: these initiators acted as "capturers" of something in the external environment and, given their "charisma" and authority, could bring it in and give it meaning and form internally. After articulation and assessment of the organization's external impact, as well as some practical imitation of other firms, the practice of reporting became a "natural consequence", the practical materialization that made 'responsibility' operable. In the next phase, the focus was on epistemic refinement: more precision, rigour and sophistication through methodological development and the establishment of processes, rules, reporting lines and routines. In the final stage of reinforcement, departments reporting directly to the CEO were established, as a means to reduce the possibility for sustainability accounting to get "undone". The closer to the top, the more important.

This attention to the link between "the top" and reporting practices was explored in more detail in a follow-up paper (Contrafatto and Burns, 2013) and resonates with the attempt to involve accounting and finance staff. This corresponds to ideas about key decision-making processes, underpinned by the idea that when 'sustainability' is "elevated" it will provide a unique new perspective on organizational activities. Following a case organization over a longer period of time, they could observe how the effort of creating sustainability accounting evolved over time, including how sustainability targets and KPIs became part of a framework of strategic goals, how different accounting tools had to be brought together in "one system", and how a subsequent commitment to producing integrated reporting gave rise to a need for assembling a cross-functional team including the CFO, investor relations, reporting staff and sustainability staff. Previously, the external sustainability reporting had been a separate activity, but with the commitment to 'integration', a whole apparatus of internal tools and systems had to be mobilized, for 'integration' to occur. Producing sustainability accounts, it can be summarized, had consequences for the ordering and organizing of practices and participants. It is to such productive effects the next section turns.

3.2.3 The productive and ordering effects of constructing accounts

Another sub-stream of the SEA literature has followed the practical epistemic and organizational work whereby a sustainability accounting tool becomes (or fails to become) a central, organizational actor (Egan, 2014; Georg and Justesen, 2017; Laine *et al.*, 2017; Spence and Rinaldi, 2014; Vesty *et al.*, 2010) by enlisting organizational allies. Several of these studies reflect the fact that as organizational practices have moved towards practices of "integration" and "embedding" of sustainability in the day-to-day business operations, such as decision-making, a similar interest has also begun to dominate academic research (O'Dwyer and Unerman, 2016; see also Fraser, 2012, above).

Egan (2014) provided, in many ways, a classic story of "failed" sustainability accounting, illustrating how a water accounting tool in an Australian university setting seems to fail to enrol a stable enough network of support, thus remaining unstable. A number of practical initiatives had been established in the organization, including work to rectify leaks and commitments to incorporate water efficiency technologies in new buildings. Egan (2014) argued that for 'water' to be adequately embedded, it has to be attached to core financial accountability mechanisms. In the case's early stages, measurement and management practices managed to "raise the profile" of 'water' in the organization. However, due to the reluctance of senior management to connect water efficiency to the accountability mechanisms for core organizational units, over time, 'water' did not manage to become a durable enough actor. When external and internal priorities shifted, with a financial crisis prompting more focus on cost efficiency, the former enthusiasm and support for water management waned. Egan suggested that if water had been more tightly linked to 'cost' (or if water had been more costly) finance managers might have been more engaged, and the concern might have withstood the shifting organizational commitments. Interestingly, in hindsight, it seems that water management functioned fairly well when it remained "in isolation", as senior management tended to give go-ahead for most investment suggestions. This study pointed to the paradox of attempts to link an emerging sustainability accounting technology with an "established" financial accounting infrastructure, suggesting that it gets transformed in the process.

Increasingly, a lot of scholarly work suggests that the process of producing numbers might be more important than the actual reported figures. Many corporations have been producing various forms of sustainability accounting for years. One concern, beyond how legacy and emerging tools and technologies relate to and impact each other, has been the increasing effort to combine and "merge" financial and sustainability concerns and practices. Laine *et al.* (2017) traced the production of the voluntary disclosures of financial environmental information, that is, costs and investments relating to environmental protection, in one firm. The case company had increasingly "made efforts to combine sustainability and business concerns" (ibid p. 601), and the production of the financial environmental figures illustrated an interesting paradox: the concern to produce such figures required extensive work to determine what would count as an environmental expenditure. This was often difficult to classify, for instance when it came to categorizing the different items of a subcontractor's invoice. People in the organization had to be repeatedly reminded to keep categorizing and accounting for environmental expenditures so that the practice would not erode over time. Despite all this manual work, the authors were surprised to find that not much was done with the figures, once compiled and published. In particular, it was *not* used for any form of decision-making. Over time, the process of collecting the figures had become "necessary", but nobody seemed to know exactly why.

Spence and Rinaldi (2014) noted how a linking between economic and sustainability concerns, and its interlinking with decision-making, is assumed to underpin a more effective approach to governing corporate sustainability. The idea is that such linkages "ensure that sustainability factors are taken into account when decisions about products and services are made" (ibid p. 436). Empirically, the authors followed how a UK retailer endeavoured to "embed" sustainability into its lamb supply chain by the adoption of a tool for sustainability decision-making. The implementation process, they showed, comprised a whole set of means and techniques. It rendered particular things visible while obscuring others, and produced a particular form of "truth" by filtering 'sustainability' through business language and constituting the identities of those involved (farmers, consumers and the retailer). The sustainability accounting technology also functioned as a form of ranking device, potentially inducing a form of competition among farmers to remain a "trusted supplier". Thereby, the authors showed, 'sustainability' functioned as a tool for execution of power both within and beyond the organizational boundaries.

In a study of how an Australian water utility worked to insert a carbon emissions number in the NPV model for all capital investment assessments, Vesty *et al.* (2015) showed how a management concern for expanding environmental considerations to *all* decisions was translated into practical effort. Rather than "just" buying green energy, there was a commitment that a carbon number should be developed to affect decision-making broadly. Through practices of defining boundaries, using emissions factors, and inserting carbon costs as a line item, the carbon number was transformed from being a concern primarily for the environment and technology (E&T) division, to also discipline the accounting department. In particular, their paper showed how legacy sustainability accounting tools were enlisted to "elevate" the carbon number to a central organizational actor that affected standards and routines and exercised control of behaviour.

Summary

The intra-organizational field-work based SEA literature has been concerned with the enlisting of key organizational participants, how accounting practices gradually become stabilized, and how 'sustainability' is brought into decision-making. It is often suggested that 'sustainability' must be "elevated" in the hierarchy, but this suggestion is rarely problematized analytically. Similarly, both organizational participants and researchers have been concerned with integrating 'sustainability' and 'the economic'. However, attention is not paid, analytically, to what such 'integration' means analytically and in practice, perhaps due to a view of the 'economic' as more or less hegemonically sustained. More could be done analytically, I suggest, with what this concern with "key individuals", key calculative activities, and pivotal decision-making does to organizational relationships like distance, separation and boundaries.

3.3 Sustainability and plurality: On the dialogic potential of accounting practices

So far, I have engaged with research concerned with the practical realization of sustainability accounting foregrounded the struggle of mobilizing key groups and changing core organizational practices, like decision-making. Other sub-streams of the SEA literature have been less concerned with such change-work (what accounting becomes in practice) and more focused on normative questions of what accounting *could* be. Sometimes this stream of the SEA literature is indeed referred to as "new imaginings" (Deegan, 2017). Much of the optimism towards the role of accounting in rendering more sustainable outcomes relates to its ascribed capacity to render new visibilities, pathways and possibilities. By accounting for objects and entities other than those traditionally represented in financial accounting, sustainability accounting, it is argued, could provide new perspectives on the organization's activities, a more multi-faceted conception of 'performance', and a vehicle for engagement with various affected parties and stakeholders.

This view, of course, is subject to as much critique as it is subscribed to, as the concern is that some practices of dialogue might well silence the very perspectives they ostensibly bring in, by making acquiescence (with the dominant discourse) the only way to secure participation and gain a voice. The risk, critics argue, is that while the process becomes "plural" and "polyphonic", the outcome remains singular, and in favour of – and reinforcing – the prevailing hegemony (Archel, Husillos and Spence, 2011).

One emerging take on the normative idea of plurality in accounting comes in the work of scholars drawing on the so-called dialogic approach. Building on the notion of agonistic pluralism from contemporary political theory, this stream mobilizes accounting's suggested potential for functioning as a tool that brings actors and perspectives together. The stream's contributions have outlined principles for what a dialogic accounting approach would entail, often also contrasting such ideal situations with actual examples from sustainability accounting practice (Bebbington, Brown, Frame and Thomson, 2007; Brown, 2009; Brown and Dillard, 2014; Puroila and Mäkelä, 2019; Vinnari and Dillard, 2016).

In her seminal elaboration of the principles of dialogic accounting, Brown (2009) started from the suggestion that much of accounting practice is dominated by its implication in "technocratic decision-making tools", and that, notwithstanding many attempts at introducing new accounting tools more directed at dialogue, the results have been disappointing. In particular, she suggested that sustainability accounting had been inadequately theorized to deal seriously with difference and diversity, and was therefore in need of normative principles that could underpin new attempts. Mouffe's approach departs from the deliberative democratic paradigm's focus on achieving consensus through deliberative procedure, and instead takes ideological conflict seriously, values dissensus, and suggests paying close attention to power relations. At the core of Brown's suggested dialogic approach is the situation of multi-perspectival dialogue, where effort is placed, among other things, at avoiding that the economic perspective "eclipses" all other forms of knowledge.

The dialogic accounting project places itself in opposition to current, prevailing *mono*logic accountings, characterized by entrenched power relations and dominant discourse. For dialogic accounting scholars, monologic accounting denies alternatives, presents itself as "neutral" and value-free, and claims that it represents the achievement of consensus. In doing so, it presents the monologic account as the inevitable pathway, making certain topics off-limits, introduced as "externalities" at best. The problem with consensus, for dialogic theorists, is that:

> Any single perspective involves the non-reporting of others and thus monologic accounting inevitably takes sides where there are conflicting viewpoints. (Brown, 2009, p. 317)

Firmly rooted in social constructivism, agonistic pluralism maintains that there is no universal narrative, but rather contests of different competing *perspectives*. Sustainability accounting technologies, drawing on this, should not be arranged to produce the one "incontrovertible account", an outcome of "decisive closure", but rather foster and enable debate, create visibilities, and produce inputs to discourse and decision-making.

One particularly interesting aspect of the dialogic accounting approach, especially in the context of this thesis, is its treatment of the notion of difference. On the one hand, difference is a fundamental "good" in the sense that the pluralistic approach promotes its maintaining rather than effacing in the name of consensus. The notion that all perspectives are situated and contestable does not imply that difference should be eradicated, but rather brought to the fore so that tension and dissensus can act as a productive force. To reiterate, the idea with "bringing together" is not to even out differences. However, the approach does suggest that the juxtaposition of different perspectives might lead actors to reinterpret, re-evaluate, and take on the perspectives of others. Moreover, the approach is not symmetric in its treatment of difference, in the sense that it starts from the existence of (asymmetric) power relations. Therefore, "not all differences are equal" (ibid, p. 319). This implies that while the difference between the perspectives and views of different actors should be valued and maintained – since conflict sustains the democratic project – the distributive differential in power and resources should be addressed and overturned. The approach is thus simultaneously symmetric and asymmetric: it treats *all* perspectives as perspectives, but due to power relations, it becomes more important to unpack the purportedly "aperspectival" character of that of the dominant group.

In agonistic pluralism, no actor is firmly and definitely part of an identity or group. The same actor can be both "consumer" and "citizen", as different aspects of one's identity become more or less salient (p. 322). There are, however, clearly dominant groups, with a privilege to formulate dominant perspectives, and who fail to see their own perspective as, indeed, a perspective. Yet, notwithstanding this foregrounding of power differentials, hegemony is never complete. The transformative potential of agonistic-dialogic approaches to accounting lies in formulating counter-hegemonic claims and establishing "chains of equivalence", the potential for different groups to gather and contest one particular aspect of domination (ibid p. 323).

As an accounting practice, more specifically, the dialogic approach requires the bringing in of a multitude of knowledges. It must withstand monetary reductionism in the sense of summarizing the complex into "one bottom line", and instead make the incommensurable visible. It must acknowledge that perspectives are endogenous and framed in a socio-political context, and thus articulate the political choice of *whose* perspective to take. Values and assumptions should be articulated and made transparent. Through a participatory process, non-experts and stakeholders should be given access, with deliberate effort to levelling the playing field and avoiding the exclusionary nature of "technical" information. In particular, it must acknowledge and pay attention to how the numerical form of knowledge often equates power. To summarize, dialogic accounting practice should function neither as a conveyor of objective truth nor as a process towards the achievement of a decisive and final "agreement" (Brown, 2009).

How then, is this relevant for this thesis? It might be proposed that the empirical phenomenon under study, 'ESG integration', in most aspects is far from anything remotely agonistic-dialogic. Brown, however, points out that no accounting practice or tool is inherently mono- or dialogic. It would, in principle, be possible to develop a new version of something traditionally "monologic", if its roots in the dominant discourse would be seriously challenged (see ibid p. 329 for such a, albeit brief, discussion of cost-benefit analysis). The proponents of ESG emphasize its capacity for bringing different types of knowledge together to produce a "better account". However, while agonistics does this in the name of democracy and justice, ESG practice is often embedded in a discourse of better decision-making, risk management and investment results. This does not necessarily, however, preclude ESG practice from, at least in theory, giving rise to practical situations where a multitude of perspectives and knowledges are brought together to produce a more plural account. By bringing "non-financial" and "qualitative" knowledge into the financial sector (this is indeed a key aspect of "getting ESG in there", more broadly), it *could* render an articulation of alternatives and new perspectives to the appraisal of portfolio company activities, involvement and performance. For instance, Puroila and Mäkelä (2019) who study stakeholder involvement in materiality assessment processes from a dialogic perspective, suggest that such processes are "valuable as inclusive practice" (p. 1050), although they are clearly embedded in an economic framing. In practice, however, the materiality matrix, according to Puroila and Mäkelä (2019), merges potentially divergent stakeholder voices into one unified voice, producing an illusion of closure and consensus.

The tension between maintaining difference rather than silencing it, and also practically achieving decisions, is indeed a key paradox in translating the dialogic principles into practice. In addressing this concern, Vinnari and Dillard (2016) conceptually bridged the dialogic-agonistic principles with Bruno Latour's propositions of due process and the bicameral parliament. The dialogic-agonistic approach shares with these later writings of Latour the interest for the processual element of democratic decision-making and the possibility for change and "composing a common world". One paradox of pluralism, they argue, is the moment of decision: if the focus is on "broadening out", then how can one reach closure? The authors' suggestion is that Latour's approach brings a solution to the dialogic problem of closure through the gradual reduction of alternatives.

Integrated reporting: Dialogic or monologic accounting practice?

One empirical example of accounting practice that both resonates, at least seemingly, with both the normative principles of dialogic accounting and this thesis' empirical phenomenon of ESG integration, is the emerging practice of integrated reporting. The phenomenon lends itself well to an illustration of the dialogic approach since it has been described both as a potent tool for transformation and as a perpetuation of the "myth" of the singular, unified account (Brown and Dillard, 2014, p. 1121).

Some scholars suggest that the process of implementing integrated reporting can indeed have transformative effects, for instance by offering a mythical dimension (Gibassier, Rodrigue and Arjaliès, 2018), or the discursive generative capacity by producing gaps that can be filled (Busco, Giovannoni, Granà and Izzo, 2018).

For some organizations that have been engaged with sustainability accounting and reporting for a longer period of time, transitioning to 'integrated reporting' seems to have emerged as a natural "next step" (Gibassier *et al.*, 2018). Reporting in accordance with different 'capitals' implies practical work to depict 'value creation' or the 'business model' in accordance with 'integration', and fitting different "pieces of the puzzle" (ibid p. 1362), in terms of existent reporting tools, together. Gibassier and co-authors showed how the integrated reporting process became a space for different departments to come together and engage in "collective exchange", pointing to the role of unfolding organizational practical effort (cf Contraffato and Burns, 2013). Interestingly, one of the informants in the case organization suggested a fascinating paradox of integration: To be able to show how it all "connects", a certain degree of separation had to be maintained. On the one hand, thus, it was important to show how "it all" is connected, but on the other, the different "aspects" (the informant is quick to point out that they are *not* different "things") had to be separately articulated to be "able to explain the social and ecological issues at stake" (p. 1366). Gibassier *et al.*'s (2018) study thus empirically hinted at a tension of the phenomenon of various 'integrated' accounting practices but makes no analytical point of unpacking the concept.

In another study of an organization's efforts to realize integrated reporting, Busco *et al.* (2018) illustrated the practical work to identify the purported linkages between the economic and 'sustainability'. Much of this practice seems to be driven by a view that there *are* indeed such linkages, and that it is up to the organization and its different departments to identify them. In this manner, Busco *et al* showed how there seems to be something inevitable to 'integration' within companies committed to various forms of sustainability reporting. One informant, for instance, commented that "There is a clear link between these two aspects, and we would love to measure it" (ibid p. 2232). Their case also showed how the endeavour to produce an "integrated" report required a lot of practical effort outside of the scope of actual reporting practice. One informant stressed how integration first had to occur in management and control systems – a "fully integrated system for planning, measuring and then, obviously, reporting and rewarding" (p. 2230), rather than starting "from the end" (i.e. the production of a report). To "identify" the linkages involved defining "a number of strategic objectives for all relevant performance dimensions, and then identify their cause-effect relationships" (p. 2233).

To achieve this, the organization strived to bring together different functions and roles. In particular, the participants in Busco *et al.*'s study, argued that the finance department had to be involved; one sustainability team member even suggested that as long as the integrated reporting project remained with the sustainability team, sustainability would not be viewed as "the company's core business" (p. 2237). Eventually, the project responsibility was transferred to the CFO. Interestingly, one participant, similarly to the one in Gibassier *et al's* study, expressed concern that the constant articulation of 'sustainability' had to stop, to avoid producing a "dichotomy" (p. 2232). Since it was "so engrained", "business" was the only appropriate term to use.

If Gibassier *et al* (2018) and Busco *et al* (2018) constitute examples of research that foregrounds integrated reporting's seeming potential, by tending to the productive and organizing effects of the reporting process as such, Brown and Dillard (2014) make a quite different analysis. For them, it *could* be dialogic, but it fails to achieve that potential. A dialogic, pluralistic process of sustainability accounting should "broaden out" the inputs to appraisal, eliciting and highlighting marginalized narratives. Through an exploration of the proposals by the International Integrated Reporting Council (IIRC), they argue that integrated reporting reflects an "aggressive business case framing". It fails, they argue, to truly reflect the polyphonic, by the manner in which everything is filtered through a unitary, monetary perspective. Participation and dialogue, they point out, does not merely mean to get a seat at the table, but also that there is a commitment to ensure fair participation. Integrated reporting does not constitute a level playing field since its processes are "embedded in investment-oriented governance structures" (p. 1142). We should beware, they argue, that we cannot automatically assume that more qualitative, participatory methodologies are "good", or even that calculative technologies are "the problem".

Summary

In this third and final discussion of different sub-streams on sustainability, change and calculative practice, I have explored the burgeoning interest in how accounting practice can engender plurality, rather than false consensus. I outlined the underlying principle as well as Brown's elaboration of dialogic accounting principles. This sub-stream differs from the other two I have discussed in this chapter since its starting point is normative-conceptual rather than empirical. To summarize, this chapter outlines the debate over the tension between the dialogic principles *in theory* and the monologic characteristics of most accounting technologies *in practice*, with integrated reporting as an example par excellence.

3.4 Concluding reflections and ways forward

Throughout the three sub-streams I have discussed in this chapter, change is an overarching theme. Often, this is framed as a concern for the process of bringing 'sustainability' and 'the economic' together. However, stemming from the dichotomy of change versus institutional appropriation, there is often a suspicion towards that which is understood as "merely procedural". The argument seems to be that a lot of practice is undertaken "in the name of" sustainability accounting, but since it fails to engender "true" transformation, it might be harmful by giving an impression that something is done, thus reinforcing the "status quo". This might be changing, however, as an increasing number of studies suggest the productive effects of constructing accounts – that practical effort does indeed do *something*. The dialogic principles also reflect an assumption that practical accounting effort has some potential, if different "perspectives" were only properly brought together and placed in dialogue.

Framed in the analytical concern of this thesis, it is possible to see how these research streams in different ways address the making of an object, its trajectory, and a position. We saw how organizational participants were sometimes worried about the paradox of rendering 'sustainability' to be able to link it to the 'economic', while it should somehow also be so "engrained" that it should not have to be articulated. We saw a concern for mobilizing accounting and finance staff, implying this as an assumed, pivotal position of calculative power.

The treatment of the 'sustainability' object is often based on an implied – but glossed over – normative idea of "true sustainability". It is argued that 'sustainability' consists of a bundle of complex and interdependent issues, but that it *could* somehow be identified. The trajectory notion is primarily understood in the context of the many hurdles and obstacles to achieving substantial change: interests, power relations, organizational conflicts, competing forms of expertise, or just established ways of doing things. 'The financial' or 'the economic', often represented by finance and accounting staff, is the position into which sustainability should go. Throughout these studies, we see how this position, on the one hand, needs to be enrolled, but on the other, constitutes an enduring hegemony that should be problematized. This hegemonic power, it is suggested, can transform attempts at transformation: the position changing the object rather than vice versa.

Notwithstanding this, the process of bringing 'sustainability' and 'the economic' together is not analytically probed in depth. They are often treated as essentially different, made of different "stuff" and operating within different "logics". As a consequence, the boundaries and dichotomies they rely on are not probed. If anything, it is treated as a question of different epistemologies, as taken-for-granted and reified differences between different social groups (e.g. sustainability staff and accounting and finance staff).

My proposal is that a critical analysis of sustainability, calculation and change can be enriched by probing the spatialities of the endeavour to accomplish 'integration'. My ANT-and-after operationalization of the conceptual repertoire of the object, the trajectory and the position together entail a shift from *who*, to *where*. The choice to study ESG also implies taking an ostensibly "peripheral" starting point (Christner, 2015) in an empirical situation where there is an express commitment that overcoming boundaries and "getting ESG in there" will lead to some form of transformation. As this chapter has shown, in the context of the literature on sustainability and calculative practice, there are other (lower) *expectations* of ESG's capacity to become central and powerful than what we ordinarily ascribe to new forms of *financial* accounting.

To summarize, this thesis builds on the suggestion that it is analytically worthwhile to bridge the emerging conceptual interest for accounting change, inscriptions and spatialities, with the long-standing question of "true" sustainability transformation and issues of organizational power and asymmetry. The political potential lies in, rather than assuming asymmetries *ex ante*, engaging analytically with their production. How I attempted to do this empirically in the context of this research project is the topic of the next chapter.

Chapter 4

Methodology

4.1 Introduction: Studying ESG integration as accounting practice

This thesis understands accounting as practice, rather than as a coherent technical system. In treating accounting this way, it builds on a long tradition in social studies of accounting, to study accounting "in action". Here, this implies being attentive to the processual aspects of accounting practice, study calculations as they are performed, and being agnostic to what "counts". I follow Ahrens and Chapman (2006) in treating management accounting as something that "come[s] into existence by virtue of certain procedures, routines, agreements, etc." (p. 831). Indeed, as we will see later on, ESG practice is replete with such procedures, routines and agreements. Studying accounting in the organizational, rather than a technical, context, also means that specificity is a virtue, rather than a problem of generalizability.

The thesis' theorization is an outcome of an iterative process, where only a few things were clear as I started this endeavour. I knew that I was interested in ESG as a form of knowledge production (but over time my understanding of such a concept shifted), and I knew that I wanted to attend to mundane, day-to-day details of such work. Moreover, I was interested in processes of interaction, such as that between ESG analysts and financial analysts. Broadly, these ideas were rooted in my interest in accounting as practice, reading in STS, and my own experience as an ESG analyst in a service provider organization. As the thesis builds on a field engagement, attempting to construct a theoretical argument entailed an iterative movement between the emerging field material and the accounting and STS literatures. In this chapter, I elaborate on some of the methodological and method-related choices made, how they relate to the theoretical perspective taken, and the overall questions I wanted to address. I start by describing the iterative research design process, elaborating on how the interview study informed the subsequent observations, but also how I had to revise the original design. I then go into details about how I conducted the fieldwork, consisting of interviews and observations, not least with respect to how I made sure to make "the most" of my entries in the field. The last part of the chapter discusses the making of a research account and some perspectives on how to evaluate the quality of the research conducted.

4.2 The study

4.2.1 Research design: A field study with two focal entry points

The project is designed as a field study, with two focal entry points of in-depth study, drawing on observations, interviews and documents. The resulting research design, however, is the outcome of an iterative process during the first 2.5 years of this PhD project. As Czarniawska has pointed out, "one has to be some*where* to study some*thing*" (2004, p. 779). Since this also means that the argumentation and analysis are based on what I studied, exactly *where* this "somewhere" is, has consequence beyond merely "getting material".

Although I initially had an idea to study both corporate "preparers" of ESG data, ESG data providers, *and* investors, it soon became clear that an ethnography of ESG analysis was the best way to get close to the knowledge practices I was interested in studying, not least because I had the interest to study the minutiae of day-to-day work. Thus, an early idea was that the project would consist of a pilot study with a small number of interviews, and an ethnography in one of the few investor organizations in the Nordics with an ESG analyst team of 5-10 analysts. I imagined being embedded in the ESG team for several months, and following the interaction within the team as well as with other parts of the organization. As an outcome of the interviews for the pilot study, and failure to negotiate that type of access, the research design shifted in a couple of iterations, as I will describe in the following.

4.2.2 The interview study

The first phase of the empirical work was conducted in 2016 and 2017, with interviews in 21 investor organizations (see Table 1). As I have already alluded to, this started as a pilot study, but later evolved into becoming an important part of the material underpinning this study.

Interviews were typically held with either the ESG manager (in smaller organizations) or one-two of several ESG analysts in a larger team. The participating organizations are public and private pension funds, asset managers, both broad and boutique, and major banks. They offer investment products in a broad range of asset classes, including listed equities, corporate bonds, private equity, real estate and infrastructure.

The first list of potential respondents was drawn up based on members of the local association of "responsible investors", and then identifying, with the help of my previous knowledge or corporate website, who was in charge of ESG. In addition to this, as I made sure to attend professional conferences and events as much as I could during the period of the fieldwork, I also made direct contacts with additional interviewees. Although empirical generalizability is not the quality characteristic guiding this project, I can safely say that my engagement with the 21 organizations in this study covers a vast majority of the investor organizations in Sweden with some sort of formal commitment to ESG, as well as a few Nordic ones. The interviews lasted on average one hour each, and thus amount to 21 hours of recorded material, or 300 pages of transcripts. Table 1 lists the interviews, together with an identifier ("Reference") and a general note about the type of investor organization. I have deliberately omitted titles of the interviewees in the interest of preserving individuals' anonymity. In general, they range from dedicated ESG analysts in a bigger team to managers tasked with ESG as one of several duties. On three occasions my targeted respondent brought along a colleague, resulting in a pair interview.

Table 1. List of interviews

Interview	*Organiza-tion*	*Reference*	*Date*	*Length of interview*
1	Investor 1	#1	2016-06-20	1 h 2 min
2	Investor 2	#2	2016-08-31	57 min
3	Investor 3	#3	2016-11-02	59 min
4	Investor 4	#4	2016-11-03	1 h 4 min
5	Investor 5	#5	2016-11-17	1 h 3 min
		#6		
6	Investor 6	#7	2016-11-18	1 h 14 min
7	Investor 7	#8	2017-01-31	1 h 1 min
8	Investor 8	#9	2017-02-13	57 min
9	Investor 9	#10	2017-03-29	1 h 19 min
10	Investor 10	#11	2017-06-02	33 min
11	Investor 11	#12	2017-06-07	54 min
12	Investor 12	#13	2017-06-08	51 min
13	Investor 13	#14	2017-06-15	1 h 30 min
		#15		
14	Investor 14	#16	2017-06-26	1 h 17 min
15	Investor 15	#17	2017-06-27	1 h 1 min
16	Investor 16	#18	2017-06-27	35 min
17	Investor 17	#19	2018-06-29	1 h 1 min
18	Investor 18	#20	2018-07-03	27 min

19	Investor 19	#21	2018-08-15	1 h 9 min
20	Investor 20	#22	2017-08-16	1 h 7 min
		#23		
21	Investor 21	#24	2017-08-17	1 h 1 min
			Total:	21 h

The interview material

The interviews, semi-structured in character, were based on a general interview guide. This guide was changed slightly before each interview, to reflect organizational context. Before each interview, I used company websites and reports to gain an understanding of how ESG work was organized, which type of investment products were covered, where and by whom analytical work was conducted, and so on. This was not because I wanted to somehow "cover" the whole market, or draw cross-sectional conclusions, but because it allowed me to probe for more detailed accounts in the interview situation. For instance, I could prompt a recent initiative, say, a report published on 'water risk', and ask about the analytical work that had preceded its publication. Being somewhat informed thus functioned as one means to make as much as possible of the limited interview time, by getting beyond general descriptions quickly.

All interviews began by asking the interviewee to describe how long they had been in their current role and briefly about their background, to then shift over into the specifics of their daily work. If this generated too "general" accounts of main responsibilities, I would ask for a typical day, and key practical tasks. Several interviewees would have a hard time describing a typical day, as there was always "so many different things" going on. I could then instead ask about current concerns and projects. In addition to such questions, "deliverables" was a helpful concept to get a grip of the quarterly and/or annual analysis process, often involving ready-made ESG data from service providers. Finally, if that did not come up automatically, I would ask about the extent to which ESG analysts collaborated with other colleagues in asset management, such as portfolio managers and financial analysts, and if yes, to ask for examples of such encounters. A typical interview guide is available in the appendix.

Over the course of the interview study, I also developed a technique to be able to ask informed follow-up questions. Even though each interview was recorded (and subsequently transcribed and coded) I made active use of my notebook to get some leverage on the most often very limited time frame of the interview. By drawing up two columns, I made detailed notes of what interviewees said in the left-hand column, and then in the right-hand, I made a note, for instance, a star or an arrow, to remind myself to go back to something interesting while avoiding interrupting the interviewee.

Related to this, the type of questions I asked, particularly as follow-ups, also changed, as I learnt new techniques and strategies to prompt more detailed descriptions. This was, naturally, not to entice participants to disclose confidential data, but to be specific about the materialities of analytical work and 'integration' in practice. For instance, I asked about artefacts when meetings were brought up – "What do you bring in to that meeting?" – or about the outline and content when a 'survey' was mentioned. One a few occasions I used a technique where I asked the interviewee to describe a technique to "an intern". This was productive in the sense of generating quite detailed descriptions of how to analyze a company, or how to decide what to ask in a due diligence process.

Although all interview guides were unique, as I customized questions based on preparatory research, a general template can be found in Appendix 1[18]. All the interviews were recorded, transcribed and coded. I go into more details about the coding process below.

Findings of the interview study informed the subsequent observations

The interview material consists of accounts of analytical work focusing on a single investment object (e.g. a listed company), 'screening' of portfolios, engaging with portfolio managers on selection, exclusion and portfolio construction, and direct contact with portfolio companies. It gradually became

[18] The reader might note questions about the "long-term", which is an artefact of an early conceptual idea which proved to not hold up when meeting the "resistance" of the field engagement. Summarizing a four year research process surely has characteristics of archaeology.

clear that the mundane practice of analysis was coupled with extensive work to organize and re-organize this work. As an example, since "appropriate" or "adequate" calculative technologies were not always readily available as resources to draw upon, a common practice was the construction and continuous re-engineering of spreadsheets, rating reports and scoring methodologies – often functioning both as devices for communication and circulation in the organization, and as a material "trace" of analytical work undertaken. These findings served to inform the subsequent observations and the ongoing theorization, by shedding light on the importance of rearranging ESG practices, and the emic concern for "getting ESG in there".

Coding the interview material

A subset consisting of the seven first interviews were coded in a first round, as I was writing up a thesis plan. The quite rudimentary coding scheme consisted of broad categories like 'interaction' and 'tools', to be able to draw up some thematic ideas on how to move forward with continued interviews and in subsequent access negotiations for observations. While the small first group of interviews was conducted between June and November 2016, I continued conducting interviews with additional ESG analysts throughout the spring of 2017 and August 2017, when I started preparing for my first access to one of the sites of in-depth study.

I had started to elaborate my conceptual repertoire, informed both by my ongoing observations as well as reflections from the interview study, during the winter of 2018. Therefore, in the fall of 2019, I conducted a new round of coding on all interviews, with a rather clear idea, for the purpose of writing Chater 5. Thus, the coding was conducted with an emerging theorization in mind, targeting specific material, rather than a "from the ground up" in that stage. Indeed, coding the material with themes of the "in-there", spatiality and "integration" in mind, served to confirm that the emerging theorization was well-grounded in both interview and observation materials.

Through the coding scheme, I categorized the material into mentions of 'integration', spatial movements like "push out" and "get it into", accounts providing detailed descriptions of the use and making of 'scores', 'tools', 'surveys' and 'portfolio overviews', as well as about practices relating 'portfolio managers' both as a professional group and as a set of material practices. I also looked specifically for accounts of the antithesis of ESG "going somewhere", the failure of travel or the failure of "making it happen", as this would be helpful for a more elaborate conceptualization of trajectory work.

4.2.3 The observation study

The interview study made it clear how people enjoy talking about plans and strategies, but often even the most cooperative and reflective interviewee struggles with recounting the level of detail and granularity we as researchers, especially in taking a material-semiotic, non-essentialist approach, tend to attend to. It was often clear how my interest in the quite mundane aspects of calculative practices, such as the inputting of numbers into spreadsheets, must seem very odd. At times, I think such questions also challenged a sense of professionalism with ESG analysts, as having to talk about a "spreadsheet" instead of a "tool" somehow made it seem banal and rudimentary.

While the interviews were very informative for my emerging theorization, the accounts there produced are structured by ideas and expectations of the interview format. The combination of informants' tendency to have expectations of what researchers are interested in (Alvesson 2003), and of having to perform as an organizational "spokesperson", often produces a particular type of rationalized description of how goals, strategies and practices relate. Therefore, the descriptions of analytical work in the interview study are slightly 'cleaner', that is, more abstracted, linear and stepwise than what is likely to be the case when practice is directly observed. This was a starting point, which was subsequently confirmed in the interview study, underpinning my early commitment to gaining access to conducting observations.

Negotiating access

Several previous studies, more or less ethnographic in character, have explicitly drawn on an author's own experience in the ESG field, either as previous work experience or as part of fieldwork in a PhD process (cf Giamporcaro and Gond, 2016; Mehrpouya and Samiolo, 2016; Young, 2013). In this thesis, I draw on empirical material from situations where my role was completely that of the researcher's outside position. Nevertheless, having own previous experience within ESG as an analyst for one of the major research providers has both informed the formulation of this research endeavour and had implications for my field engagement. Most importantly, my previous experience was helpful in gaining access both to conducting interviews and to eventually being allowed to do observation.

As I discussed above, the initial research design was a lengthy field engagement in one ESG team over an extended period of time, an "ethnography proper" (Hammersely and Atkinson, 2007). When that seemed to fail to emerge, the idea instead became to approach also asset managers with small ESG teams.

In the access negotiations, I could draw on the insight from the interview study that most ESG managers are rather solitary figures in their respective organizations. By being present in day-to-day work, I could suggest, I would be better informed for meaningful ongoing conversations. My previous ESG experience would allow me to, in those instances, be less of a naïve observer and more of a competent discussion partner. Especially in one of the two asset manager organizations, the notion that the observations would inform the interviews, so that I could be a more initiated conversation partner, was helpful to convince the ESG analyst that there was a point to observations.

I approached the first "small team" setting around Christmas 2017, as I was working on the interview material from the first round of interviews. One interview had been particularly interesting, both in terms of the ESG practices going on in that organization, and in terms of how well the conversation went. It thus seemed like a good idea to reach out. After an initial meeting with the ESG analyst and my main supervisor, it was agreed that I could join for some activities when there was something "happening". During the spring I conducted additional interviews there (in what came to be anonymized as *Diligo*), and other organizations, while making continuous attempts at gaining access to meetings or other activities. Interestingly, in both asset managers, my participation was just as often postponed because "nothing" was happening, as because "too much" was happening. My participation, it seemed, hinged on "business as usual", as one of the analysts wrote in a postponement e-mail. Finally, however, I was able to conduct my first formal observation in the organization here anonymized as *Diligo,* in September 2018, nine months after my initiation of the process.

Partly in parallel, I started negotiations with the organization here anonymized as *Aurum*. After a first productive and interesting interview, the threshold was now rather low to ask to continue the engagement. Here, there was little reluctance to participate, probably partly because there was then already another agreeing organization, but a similar tendency that I continuously had to make repeated access attempts. Overall, my engagement with both *Diligo* and *Aurum* can be characterized as a sequence of "punctuated entries" (Thedvall, 2013). Thus, rather than entering the field as a "flatland" and then tracing the relations, my access did not permit that kind of "free wandering about". I thus had to treat *each* punctuated entry as a flatland in and of itself.

During this time, I also had a few exchanges with a third organization. As this one seemed rather reluctant I decided to place all energy on my existing field relationships, as the material they generated was deemed rich and extensive enough. Thus, this thesis does not build on a vast material of repeated and recurring observations, but I believe that the level of detail and the attention to the materialities, and near-transcripts of conversation, serve to underpin the conceptual argument I am making. I elaborate more on the observation material below.

Becoming an ethnographer

The ethnography literature is replete with "war stories" of experiences from first entering a field or an organization. At any rate, doing ethnography, or at least "ethnographically-inspired" fieldwork, is a bodily practice. My most important preparation for what the observations would entail, quite corporeally, came in the form of a method course at the Department of Thematic Studies in Linköping, for Steve Woolgar. As the course project, we had to conduct a "mini-ethnography", where I chose to do participant observation in a salsa dancing course. This is far from only a curious detail. On the contrary, many of the strategies that allowed me to produce very detailed field material out of the meeting observations underlying this thesis came from that highly "bodily" experience. There were two insights deriving from that project that proved particularly useful.

First, I got a sense of the workings of the memory, and how important it is to expand each observation as soon as possible. Given that I primarily observed meetings, I could always have my notebook with me, without being too obtrusive (although it is possible to write faster on a laptop, that seemed too obtrusive, except when I was observing a Skype meeting). In dancing salsa (where I, of course, *could* not take notes) I had experienced how difficult it is to recall details after some time, but how potentially endless richness and detail is possible if one mobilizes memory while it is still fresh. Expanding the field notes, staying with both a high level of detail and working fast to avoid forgetting, was one of the most taxing experiences of this PhD project.

Second, I realized how I had to make sketches and drawings, as my visual memory is much worse than my memory for words and numbers. Thus, the many accounting inscriptions that play a role in this thesis have been drawn by hand in, or directly after, observations, to capture grids, boxes, pictures, diagrammes and so on (cf Pollock and D'Adderio, 2012). I also made detailed accounts of office floor plans, room layouts, how the furniture was placed, and how different documents were laid out on the table or the desk. While I did this as part of a general commitment to materialities, it served a key role in what at a later stage became part of the theorization of the ontological reality work of meeting practices and of what is "on the table", materially and metaphorically, and what is not (more on that in Chapter 8).

Finding a position in the field

As described above, I gained access partly by drawing on my own background as an ESG analyst. It should be pointed out, however, how this constitutes a bit of an ethnographic dilemma. On the one hand, much of the richness of ethnographic accounts derives from the tension of the ethnographer being both insider and outsider. Especially initially, asking naïve questions that might seem stupid to the initiated is a strategy employed to understand the social setting (Hammersley and Atkinson, 2007). In this study, however, I had to balance such naivety with reflecting some sort of expertise, as otherwise, it would be hard to maintain my role as an initiated discussion partner. Thus, my field engagements entailed striking a balance between being a silent observer, which was the case in all formal meetings, and "inserting myself" more actively in informal conversation. When observing desktop work and meeting preparation, I engaged in ongoing conversation about what was in front of the analyst (e.g. a slide deck, a website). These conversations were inspired by Kreiner and Mouritsen's 'analytical interview' (2005), whereby the interview is construed of as an opportunity for "collaborative theorizing" rather than the uni-directional provision of "organizational facts". As Czarniawska (2014, p. 45) points out, one cannot know *better* than "natives", but as an observer, I could see *different* and *other* things.

Because of these ongoing informal conversations, in addition to recorded and transcribed interviews, the observation field notes also consist of interview-like conversation transcripts about whatever was top of mind on a particular day of observation, or reflections on the broader endeavour of realizing 'ESG' in the organization. This material is somewhere in-between interview material and field notes as they were written down from memory, and serve as context to meetings, desktop work and formal interviewing. Moreover, they have played an important part in synthesizing the material into the overall conceptualization around the ESG 'object', 'position' and 'trajectory'.

The thesis was not designed *a priori* as a meeting ethnography (Sandler and Thedvall, 2017). However, as I have already mentioned in my description of my access attempts, my contact persons (ESG managers) in the two asset managers tended to be concerned with ensuring that "something interesting" would happen when I was there. This had the effect that the observation material is meeting-heavy. Even in cases when I did not participate in meetings, several situations were centred on a past or future meeting, such as meeting preparation (what questions to ask) or follow-up (desktop work to "implement" recommendations made in a meeting).

As documented by many field researchers, I often felt like I was missing the "real" action. In one instance, I had the feeling that a meeting that normally included portfolio managers for *all* funds as well as the ESG manager, came to cover only the sustainability fund. Thus, it seemed that the "normal" meeting practice was reorganized because I was going to participate. This could be interpreted either as an intervention to keep me at a distance from "non-ESG" practice, or as a form of "impression management". I did not necessarily treat this as a problem, however, because as Czarniawska has pointed out,

> [i]mpression management is a methodological problem only under the assumption that deeds and utterances of people under study should correspond one-on-one to some reality hidden behind appearances, to be revealed in the course of research. (Czarniawska, 2014, p. 52)

Instead, the field researcher can treat the performance of an "impression" as informative of whatever is of central importance in the field of study. Even more importantly, however, it came to speak to my theorization around how also 'ESG' seems to always be on the outside. This relates to a broader theme around my field position, namely that I followed ESG analysts and ESG inscriptions – and not portfolio managers and financial valuation models (although I did conduct interviews with several persons with that role and observed them in meetings). At any rate, the theme of boundaries, insides and outsides runs like a red thread throughout the empirical material, the theorization, and the ethnographic method – especially due to my field engagement's character of punctuated entries.

Since I sometimes followed my two key informants in and out of meetings both at their own offices and externally, there is a hint of shadowing (Czarniawska, 2014) in my fieldwork approach. However, my engagement never extended over a longer period of time, so perhaps I should call it "punctuated shadowing".

Some of the meetings I observed took place in one delimited space, whereas others were a combination of in-room presence and "displaced" presence via conference phone. In *Aurum,* in particular, several meetings were conducted entirely in a "virtual room", through video conference technology. Virtual meetings are indeed different than in-person meetings, as participants can engage in parallel activities, like working on their computers or leaving the room. At the same time, as virtual meetings and other alternative meeting forms proliferate, their salience for ethnographic enquiry remains (Sandler and Thedvall, 2017, p. 3). Rather than merely being "vessels" for organizational decision-making and planning, meetings are regarded as the very thing that "generates and maintains the organization" (ibid, p. 5). In the accounting research setting, especially within the broad stream of social studies of accounting, these meetings are accounting in action: it is where numbers and other calculative devices, as well as diagrammes and matrixes, circulate, are brought up, contested, rejected, made… Indeed, meetings are one site where accounting becomes "real", by being inscribed into the mundane interactions that make up organizational life. Again, drawing on Sandler and Thedvall (p. 15), meetings are practices of circulation (cf Vollmer *et al*, 2009).

Sandler and Thedvall (ibid) discuss how a post-structuralist understanding of meetings would make the meetings *themselves* the centre of study, rather than their outcomes – e.g. decisions. Most of the episodes in this thesis are a testament to the less than straightforward link between meetings and decisions. That, however, does not mean that they are not rife with material of accounting-ethnographic importance. Moreover, in the field material of this thesis, participants often ascribe them "importance", not least in terms of where 'ESG' should "be". The underlying theory seems to be that if 'ESG' is present in important meetings, such as portfolio reviews or portfolio company dialogue, then 'ESG' is "real". These observations resulted in one of the key arguments, which I elaborate on in Chapter 8.

Given the theoretical (and methodological) starting point of this thesis, meetings become the subject of a particular understanding. This understanding follows from a doing away with some of the common-sense understandings of reality and scientific practice – that reality is "independent, a priori, definite, singular [and] coherent" (Law, 2011, p. 156, see also Law, 2004). A consequence of this is to "treat the real as whatever it is that is being assembled, materially and semiotically in a scene of analytical interest" (Law, 2011, p. 157). Meetings, it seems, *do* realities, materially and semiotically. The consequence of this is that they can be highly political negotiations about realities, in moments of ontological politics (Mol, 1999). As Law proposes, it also means that "collateral" realities are done; through "selection, juxtaposition, deletion, ranking and framing" meeting technologies like spreadsheets and PowerPoints make realities, but they also make other things, "along the way, quietly and incidentally" (Law, 2011, p. 173). These collateral realities are being done implicitly and more invisibly and are therefore beyond the limits of what can be questioned and contested. In meeting settings, we can thus attend to *how* such collateral realities are made and how they produce non-coherences. To conclude, in this framing, meetings are instances of reality work, producing realities, like objects and spaces. In the empirical episodes, I attend particularly to how they simultaneously enact objects, positions and trajectories. I return to some of these questions, and how they relate to my theorizing of the field material, below.

The observation material

Notes from a one-two hour engagement generally took at least a day to expand, and typically resulted in 10-20 pages of text and images. In total, in an expanded format, the observation material consisted of around 170 pages of field notes, some including direct excerpts of artefacts. In addition to this, I indirectly used material from both *Diligo* and *Aurum*, including websites, annual and sustainability reports, blog posts, policy documents etc, to stay "informed" between field entries or to locate observations in some kind of context. Tables 2 and 3 summarize the observation material in *Diligo* and *Aurum*, respectively.

As I partly discussed above, particular effort was put into reproducing, from memory, technologies (such as spreadsheets, PowerPoints, and other documents) I had not been able to obtain my own copy of. My field notes thus consisted of transcript-like accounts of conversations between participants, room layouts, sketches of tables and the documents there placed, as well as short reflections on the unfolding situations.

A note on the role of talk

While the ANT approach suggests we "follow the objects" (Czarniawska, 2014) and attend to the materialities, since my material consists of so many meetings, it is characterized to a large extent of people talking. I treat this similarly to how I treat materialities, however (and it is, indeed, a form of material practice). I follow Dugdale (1999) in attending to "each snippet of talk as an arrangement of words and silences which performs [ESG] as a particular kind of object" (Dugdale, 1999, p. 124; see also Mol, 2002, p. 124). For Dugdale, thus, the talk is part of constituting the object. This approach is present also in Law's suggestion that "talking and meeting practices work to assemble a putative reality" (2011, p. 4)

The contrast between the talk and the materialities also proved analytically fruitful, as I elaborate on questions of obduracy and distribution of calculative equipment in the discussion in Chapter 8.

Table 2. Summary of fieldwork in *Aurum*

Observations	Duration	Date
ESG team meeting	2 h	2017-11-16
Project meeting	2 h	2018-02-02
Project meeting	1 h	2018-02-07
ESG team meeting (Skype)	40 min	2018-05-09
Investment team meeting	40 min	2018-05-16
Client presentation	2 h	2018-06-13
Total (including adjacent informal conversation on-site and at external events)	~8,5 hours	

Interviews	Duration	Date
Head of ESG and CIO (dual)	1.5 h	2017-06-15 (on-site)
CEO	1 h	2018-03-23 (on-site)
Communications officer	1 h	2018-04-23 (videconf)
Financial analyst/Advisor	48 min	2018-04-23 (videconf)
ESG Analyst	1 h 24 min	2018-05-03 (videconf)
Senior Financial Analyst/Advisor	1 h 32 min	2018-05-04 (videconf)
Total	7.5 hours	

Table 3. Summary of fieldwork in *Diligo*

Observations	Duration	Date
Present at office	3 h	2017-09-11
Certification meeting		
Present at office	4 h	2017-09-12
Desktop work (certification)		
Portfolio meeting		
Portfolio company meeting	2 h	2017-10-09
Present at office	6 h	2017-11-23
Meeting preparation		
Target meeting		
Meeting preparation		
Desktop work (project)		
Portfolio company meeting	3.5 h	2017-04-10
External project meeting	2 h	2018-05-21
Total (including adjacent informal conversation on-site, during transport, and at external sites)	20.5 h	

Interviews	Duration	Date

Head of ESG	1 h 14 min	2016-11-18
Head of ESG	1 h 43 min	2017-04-19
Head of ESG	2 h	2017-10-30
Portfolio manager	53 min	2017-06-29
Total	6 h	

4.3 Producing a research account

Methodology chapters very rarely describe the reading of research papers in very much detail. However, if we take post-structuralist intertextuality seriously, *reading* must be considered a fundamental, constitutive component of 'the analysis'. Indeed, in attempting to capture part of the process that led up to this thesis' theorization of implementation as an object, a position and a trajectory, reading the literature played a most crucial role.

4.3.1 Theorizing through iteration

Ending up with the conceptual repertoire of object, position and trajectory was the result of iterations between the field material, the theoretical literature on objects and spatialities, and the ANT-inspired literature on accounting change.

It is not uncommon that management and accounting researchers with an orientation towards the post-structuralist tradition categorizes their research approach as abductive. This has become something of a general term to denote that neither was a theory completely specified beforehand and subsequently tested nor was the theorization an outcome of a grounded analysis from "the bottom" and "up". For me, this type of iterative approach, particularly after the conclusion of the fieldwork and in the phase of the focused write-up of the empirics, took a particular form. It was constituted by a patterned, sequential approach: two weeks of writing only, and deliberate avoidance of reading. Then a few days of rest from the writing process, and reading for new thoughts and perspectives. This served two purposes. Firstly, it served to avoid the horror of the blank page, as I could make notes about what *others* have been writing. Secondly, reading tended to reformulate the patterns I subsequently saw in the field material. There was thus no distinct "shift" between reading a domain theory literature, and then choosing a method theory approach (Lukka and Vinnari (2014), but an iterative reordering of framing a literature and attempting a contribution.

4.3.2 An analytical ordering of the episodes

As Ahrens and Chapman (2006), point out, the way qualitative field researchers "arrange data to become suggestive of analytical categories", it can "frequently question common sense notions of management accounting phenomena" (p. 831). Indeed, the way particular events, processes and relationships are described, emanates from the analytical process and results in the emergence of analysis. Thus, the way the observation episodes in Chapters 6 and 7 are arranged is the outcome of several attempts at relating, reordering, synthesizing and comparing. This does not mean, however, that this is the only way they could be juxtaposed. It is, however, of some consequence, as I have made no attempt to tell a chronological story *across* the episodes, although there is surely a temporal, chronological aspect *within* each episode. Instead, they are snapshots of practice, and this is intended to produce an emergent, alternative view of accounting change, with the help of the analytical concepts. This also relates to my discussion of the ANT-accounting literature's tendency to treat accounting tools as either in *or* out on the basis of acceptance and support from organizational actors. The way I narrate change through snapshots allows treatment of 'ESG' as both in *and* out. Again, drawing on Mol, rather than narrating episodes over time, I narrate them "*next to* one another, or *inside* or above" (Mol, 2002). Thus, an episode is a spatial configuration, even though there is, of course, a "short" time axis over the hour or so that I narrate.

4.3.3 Episode narration: Detailing the spatial configuration of a site of practice

The episodes I narrate here are similar to the snapshots of practice, or events, that Mol (2002) drew on in her study of the practice of atherosclerosis:

> Who does the doing? Events are made to happen by several people and lots of things. Words participate too. Paperwork. Rooms, buildings. The insurance system. An endless list of heterogeneous elements that can either be highlighted or left in the background, depending on the character and purpose of the description. (Mol, 2002, p. 26)

All this heterogeneity is of course also an analytical point. In my narrating of the episodes, I have been particularly inspired by Moreira (2004), who illustrates how, empirically, different spatialities coexist and interfere with one another. In his case, the practical situation is the operating theatre, whereas my study foregrounds various types of meetings and work by the desktop. The meetings, as I have already alluded to, are reality work: "sets of practices, both patterned and patterning, where different ontological politics and different collateral realities are routinely done" (Law, 2011, p. 2). My approach to narration is to attempt to describe how realities that are done stretch out beyond the meeting locality, which we can understand through the material-semiotic notions of association, punctualization and hinterland (Law, 2004).

In writing them up, I took great care to narrate with detail and richness. I strived to carefully outline the shifting between different slides or pages, and how that intermingled with participants talking. Naturally, the episodes do not "capture" or represent everything, as there is an obvious process of punctualization in the process of articulating some details while placing others in the background.

Interestingly, the writing of each episode intermingled with how they were organized. I wrote a first draft of each episode "independently", with only a rough idea of how they would be grouped in chapters. Over time, I tried a number of different versions of how they related to each other, using the conceptual repertoire as the guiding structuring framework. As I iterated versions of the structure and relation between episodes, so I also iterated each episode. Since the episodes play individual roles in the build-up of the argument, I also foregrounded certain aspects when each episode's role became clarified. Each episode is thus a particular bundle of relations, with a particular, interdependent role in the bundle that is the whole. With that said, they can surely be read individually as detailed snapshots of practice, hopefully with some resulting enjoyment for the reader.

4.3.4 Reflections on an ontological approach to studying accounting

When sociologists and anthropologists turned their scholarly gaze towards the work practices of scientists, resulting later in social and socio-material studies of science and technology (e.g. Latour and Woolgar, 1979), they generated many productive, and evidently provocative conceptualizations of the production and maintenance of claims to knowledge (Yearley, 2004; Law, 2004). The consequences are both epistemological and ontological, and potentially dramatic.

It has been argued, however, that these scholars have been less willing to turn that gaze towards the practices of social sciences. If reality, as produced in science, are the products of method assemblages (Law, 2004), then by definition this must go for the claims of social science too. This, of course, has consequences for how to view research accounts like this dissertation. A consequence of this view of how realities are made is that the practices we study, too, are method assemblages. They, too, place some things in the foreground and others in the background, producing seeming order. The implication of Law's proposition, which draws on joint work with, among others, Annemarie Mol and Vicky Singleton, is that since methods produce realities, then methods following a strict set of procedures and protocols produce a particular *form* of reality. Perhaps this is ill-suited to capturing the elusive and messy. In this study, we "look over the shoulder" of the socio-material practices of 'ESG'. These accounts of work, especially building on observations in Chapters 6 and 7, reveals endless layers of complexity, which often seems to flow over in all directions, outward, inward and onward. I ask the reader to bear with this seeming mess:

> Perhaps we will need to rethink our ideas about clarity and rigour, and find ways of knowing the indistinct and the slippery without trying to grasp and hold them tight. (Law, 2004, p. 3)

Drawing on the writings of John Law, Vicky Singleton and Annemarie Mol (Law, 2009a; Law and Mol, 2001; Law and Singleton, 2005; Mol, 2002; Mol and Law, 1994), this thesis attempts an ontological understanding of accounting practices. This, among other things, entails attending to practices as productive of realities. This, Law has pointed out, does not mean that "anything goes". Instead, by drawing on a long line of STS scholarship, it places emphasis on how "realness" is a precarious outcome of laborious effort and investment. Thus, it is not about "debunking" truth:

> … what I am arguing is not a version of philosophical idealism. I am not saying that since the world defies any overall attempt to describe and understand it, we can therefore realistically believe anything about it we like. /…/ … everything I argue assumes that there is a world out there and that knowledge and our other activities need to respond to its 'out-thereness'. (Law, 2004, p. 7)

How, then, does this inform the study of accounting? Can we compare 'ESG' to 'atherosclerosis' or 'alcoholic liver disease'? Many would protest that the two latter are more "object-y" and independent of humans. As we start exploring this empirically, however, the distinction becomes difficult to sustain. They are all done in practices and only accessible through such methods. There is no stable, unproblematic distinction between referent and representational practices.

4.3.5 A note on anonymity

With both *Diligo* and *Aurum*, I signed confidentiality agreements. In this thesis, I have gone to great lengths to preserve the anonymity of the two organizations and the participants. In addition to using organizational pseudonyms, all humans have been given pseudonyms. These were chosen with gender neutrality in mind, although I am aware that some names have a gendered characteristic. This, however, varies in different language contexts[19]. This means that although the reader might "see" one gender in reading the field material, the actual participant might well be of another.

In addition to the pseudonyms, I have either changed or omitted specific numbers, percentages, and so on, as well as shielding details, for instance about technologies, that would violate the anonymity either of *Aurum* and *Diligo* or any of the portfolio companies encountered in the observations. Portfolio companies and others that are mentioned in conversations have been given Latin pseudonyms.

For the interview study, all interviewees whose quotes I made use of were given the opportunity to have a look at the quote, with a brief description of the context. While many had no comments at all, some had comments regarding the readability of the "talk" character of the direct transcripts. In

[19] With that in mind, the names were chosen from lists, available online, of unisex names in English, French, Spanish, Turkish, Arabic, Finnish and Japanese.

such cases, we together iterated a new version which retained the original meaning, but had less of the "like", "…" and "well…" that characterizes direct transcripts. I made sure not to add anything that had not been said in the original. In one case, I added such "extra" information next to a quote. I deemed such editing an acceptable compromise to accommodate the comfort of my informants, as most of them were translated to English anyway, so that the original formulation had passed through an ever so slight transformation already.

4.4 Evaluating the research

Research drawing on fieldwork involves a tension between the universal and generalizable and the "thick" and particular. However, acknowledging that methods are generative of realities and that realities are thus multiple, does not mean ignoring the issue of research quality. Perhaps, however, we need to rethink how we evaluate research accounts. We must concede that the account is shaped by the researcher and her methods through foregrounding and backgrounding, or "gathering" (Law, 2004) – but so do our participants in their practices, and so do we in our daily lives. We can still be serious about the challenge of transforming all the "bits and pieces" to a plausible account (Ahrens and Chapman 2006). Indeed, the plausibility of the account has been the guiding qualitative characteristic. How, then, how I attempted to achieve plausibility?

In the following chapters, I recount my encounter with ESG practices. Especially in Chapters 6 and 7, where I recount observation episodes, but also in my recounting of interview quotes, I have attempted to stay close to particularities and providing a rich account of practices. It is my intention that the reader gets a sense of "being there" in the site of practice.

By describing much of the engagement on a very detailed level, including conversations and materialities, it should be possible for the reader herself to evaluate whether my theoretical argument makes sense. I intentionally shift between mimetic, "raw" accounts and analytical summaries, to be able to point to instances of particular importance for the argument. In the discussion chapter (Chapter 9) where I put forward my arguments, I recount the specific episodes in broad brushstrokes, compare and contrast them, and thus attempt to build the argumentation “transparently”.

The point here is not empirical generalizability, even though, as discussed above, my engagement with so many investors with a formal ESG commitment in the Nordics should mean that I have captured some general issues and concerns. Instead, I attempt at making a theoretical argument around the material-semiotic production of change and space, which should be theoretically generalizable to other types of knowledge practice, not least those that have to do with various forms of ‘sustainability’.

The field, throughout this research project, has functioned as a disciplining force, acting up when emerging lines of thought did not hold up. Because of my lengthy engagement with the field, I have rejected several ideas, such as one about time perspectives and futures, which clearly was much more marginal than I initially thought (and which was also called into question through engagements with supervisors and others in the “community”!). I also had to go back on an initial decision to *not* study ESG as accounting change. As I was trying to relate the different episodes and interview material to each other, into a synthesized “whole”, my rejection of “change” as an important framing just did not hold up. The field material made that very clear. Here, I was “disciplined” not only by the field but also by previous accounting studies (Ahrens and Chapman, 2006), and found a way forward by elaborating my own take on a classic accounting concern.

Chapter 5

From epistemic concerns to "getting ESG in there"

This chapter builds and theorizes material from interviews with ESG analysts in 21 investor organizations. It focuses on epistemic practices, and the concerns for 'ESG integration', or "getting ESG in there". The chapter is organized in accordance with the thesis' conceptual repertoire of object, trajectory and position. Thus, this chapter reconceives of an empirical concern into a theoretical one. The chapter consists of four parts: the first section focuses on the materialities of mundane epistemic work, and functions as a prologue anchoring the story in the field. It can be understood as dealing with the "making" of 'ESG'. This making takes place in accordance with a patterned process over the year, prompted by how various types of accounting information – such as annual and sustainability reports, and updated reports from ESG data service providers – are circulated. In the second part, I address the issue of getting ESG into important positions, and how such a trajectory is attempted. Here I treat a range of what I term spatial practices, such as re-organization and re-engineering of processes and reporting lines, as well as the more mundane concerns for how artefacts, technology and people circulate and encounter each other in the physical and abstract office space. I conclude with opening up towards the following empirical chapters.

5.1 Some common epistemic problems

The ESG analyst's work practice is one of lists, spreadsheets, reports, and meetings. As this section proceeds, we will also see the importance of tables, computer screens, and coffee machines. We imagine looking over the shoulder of the ESG analyst, as they read reports, make recommendations for so-called 'engagement' or 'exclusion', prepare memos for discussion in internal meetings, and go to meetings with portfolio companies. The analyst typically works alone, but is sometimes part of a bigger team of ESG analysts. They work for investor organizations like banks, fund companies, and pension funds. For now, that should suffice as context. In line with the theoretical inclination of the thesis, we will let the mundane specificities speak to how 'ESG' is done in practice.

The first section of the chapter concerns the materialities of ESG knowledge production, how documents circulate from outside sources, onto desks and computer desktops, and further into meeting rooms. In many ways, what occurs there is a type of diagnostic work, where technologies and professionals are involved in the enactment of 'incidents', their 'severity', the 'substance' of company reporting (textual, oral and face-to-face). We will encounter various 'ESG issues', 'portfolios', and 'companies' and follow the process of making 'indicators' and 'scorecards'. The overall purpose of this diagnostic work is to determine whether some form of intervention is necessary. Such interventions include contacting portfolio company staff, asking for additional information, buying shares, or perhaps selling the shares in the company. This last intervention, however, is rare. More importantly, intervention is not everything. As we will see as we continue exploring the day-to-day work of ESG analysts sometimes it is just about "knowing", and about having an 'overview'.

5.1.1 Diagnosing severity

We will start with one component of ESG practice that is both ubiquitous (it happens in all organizations in some form) and functions as a provider of a sequential pattern of work. Over the course of the year, the portfolio (of holdings, typically in equity, but not always and not only) is to go through a so-called screening process. According to one analyst, it is a "basic wheel that just has to turn". (#3)[20]

In practice, this means that at periodic intervals, reports are sent. Primarily, they come from two or three ESG research providers[21], with whom most investor organizations have contracts. Thus, ESG analysts send lists to the research providers, consisting of the names of companies invested in at a particular date. Back comes another list, with 'incidents' and the companies connected to them.

This is how ESG analysts usually describe the work that has preceded their receiving of the screening report: Through different 'keywords' and company names, the database of research providers produces a list of news articles, which are analyzed for their content, potentially becoming 'incidents'. For the ESG analyst, this comes in the form of a period 'screening report': a list of those companies in the portfolio where an 'incident' has been identified – in the period since the last screening. She downloads this from the research provider's website. The report, presenting 'incidents' and the companies involved, draws together an intricate web of inscriptions. It pulls in events in near and far locations, and a vast and heterogeneous array of entities: workers, mines, labour organizations, minerals, effluent filters, dam walls, perhaps. And much more – as an 'incident' can be many different types of events in the world[22].

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[20] All the organizations whose ESG analysts' participated in this interview study, are involved in periodic screening, unless they were investing solely in private equity, in which case no such screening service is available on the ESG research market. This particular method of screening for involvement in so-called breaches of international norms and principles, was developed in Sweden in the 1990's, and is sometimes referred to as 'the Nordic model' of ESG, or sometimes just 'norm-based screening'.

[21] The market for ESG data has gone through several waves of consolidation whereby a number of small specialized firms have merged into large, global organizations with coverage of a majority of the world's major stock indices. As of 2019 the biggest data providers were MSCI, Sustainalytics (which was the result of a Canadian-European merger and had recently consolidated the Nordic provider GES), ISS (which had consolidated the Nordic provider Ethix and German Oekom) and the France-based Vigeo (formerly ARESE). I discuss the process of obtaining the "right to rate" and the process of standardization in Chapter 3 (see also Beunza and Ferraro, 2018; Déjean *et al.*, 2004; Giamporcaro and Gond, 2016).

[22] As an illustration, one investor on its website (it is not uncommon to publicly list excluded companies and the 'incidents' that led to it) provides some examples: 'environmental destruction following mining operations', 'destruction of rain forest following palm oil production', 'financing illegal settlements in occupied area', 'Dakota Access Pipeline', 'does not respect union rights', 'repeated reports on crimes against human rights in Sudan'.

The screening report comes with colours attached to each incident: red, yellow and green. For the ESG analyst, this is an indication of how seriously something is to be taken and the likelihood that intervention is necessary.

> They have a traffic light system, where red is a clear case, in their view, of a verified breach of norms. And then there is yellow. There's a scale there, a scale of different yellows. So that's kind of in-between… Or green. When it has, kind of, been resolved. (#17)

The 'traffic light system' will be encountered again throughout this study, and since it is such a widely circulated inscription, it might be a good idea with an illustration. Here is an excerpt of a product description from a major service provider, of the product 'norm-based screening':

Assessment signal	Description
• (Red)	Verified present involvement in unaddressed violation
• (Amber)	Alleged involvement in unaddressed violation Verified violation, undergoing remediation Imminent violation
• (Green)	Violation satisfactorily addressed / Past involvement Under observation Undergoing remediation Involvement beyond scope

What is a 'norm', here? It bears a very special significance for the ESG analyst, as reacting to this so-called 'norm-based screening' is the most ubiquitous form of ordered knowledge practice of analysts. A 'norm' signifies some sort of international framework or agreement on the appropriate company 'conduct' in its operations in the world. A red or yellow symbol thus means that a 'norm' has (or might have been) 'breached', and the ESG analyst must now do something with this. Often, this work involves more reading – of newspaper articles and NGO reports, perhaps – and a bit of talking: with analysts working for the research provider, with employees of the company targeted in the report. After some time, it might involve the writing of memos for committees. The key question is if whatever has happened is 'severe'. It is also important that it is 'verified', by a trustworthy source. When something is 'verified', 'severe' and 'ongoing' (that is, it is not just a historic event) it might require intervention. These are the things the ESG analyst must find out, and write about in a report for some sort of decision-making body, usually a so-called 'ESG committee', tasked with making the final decisions on interventions, such as selling of holdings. If something is deemed severe, verified and ongoing, a new process might be launched: one where the ESG analyst, sometimes in collaboration with a responsible portfolio manager, 'engages' with the portfolio company to convince them to change whatever conduct has led to their "popping up" in the periodic screening. Then, it becomes important to ask the right questions, in the right manner.

5.1.2 Chasing substance, asking the right questions

How to know what to make of an 'incident'? Often ESG analysts spend a lot of their time on the phone or in meetings with companies, to find out more about it. They must get information on the background, but also some sort of remediation. In the interviews, analysts tended to refer to things to look for, like 'programs', 'structure', 'substance' and 'transparency'. Sometimes the process involves travelling to the site of what is supposedly an 'incident'. Sometimes it is enough to – or only possible to – travel to a meeting room, or to have a phone conversation with the company. Then it is important to listen carefully to what is being said in response to questions. It is not just about *what* is being said but also *how*:

> If you're in a meeting with a company, you quite early notice if they start hesitating with the responses, or if they are a bit vague in their statements, or… you know, *if* it is a question they really work with, then they can provide pretty solid answers. Or, even say, we were caught completely off-guard, we had no idea this was happening. But you see how they, how they talk, how honest they feel towards us, or if they are very defensive. (#3)

So there is something about asking questions in such a way that the response can be used in assessing the case. Next, we will turn to a similar practice, in a slightly different context.

Asking duly diligent questions

We already got a glimpse of how ESG analysts go about in using the responses and statements from company representatives, in the epistemic practice surrounding 'incidents'. It was suggested that getting the right answer also relies on asking the right questions. In private equity investments, this becomes important already in the process of 'due diligence', which is the stage when potential new investments are to be analysed. 'Due diligence' is a lot about asking questions. One might note that this practice carries its own set of spatial metaphors: one must "get to the bottom", "drill down" and "get deep". With reference to such ambitions, sometimes particular 'ESG questions' are prepared to address the 'ESG risks' or 'ESG performance' of a new investment.

> For example, if you are uncertain about their distributors and agents, which is a common problem, you can say, "OK, I would like to see, now that you have entered [Country] and you have chosen these three agents, I would like to see the full list of agents that you started with, before you decided on these three. Which ones have been dropped because they do not meet your ethical business standards? And what does that e-mail correspondence look like?" Then you're getting way further than if you say like "How does, can we look at the contract with your extant agents, are you sure they are clean?" "Have you ever encountered, or do you suspect that they use bribes?" (#19)

Questions, we see, formulated in the right manner, can help out to "get further". What has been left out (other 'agents') is helpful for understanding what remains ('these three agents') because the question cannot be answered only with general comments. Specificity is important – it is about establishing a link between a "purified" account and the practices that preceded it. Again, we see an example of the epistemic concerns at work.

'Engagement' is not necessarily driven by incidents "popping up", however, but can also be prompted by regulatory changes (the Paris Agreement of 2015 prompted such work, for instance) or 'themes' (the asset management organization might have chosen 'water' for engagement with firms in a particular year):

> Because we organize our active ownership by having themes that run over three years. With one year's overlap, so we get three parallel themes. So each year one theme is starting, one is halfway, and one is being finalized. And that's a way to prioritize and structure our work, because there are so many sustainability issues. /…/ So this is a way to get some depth and focus on one or a few issues at a time. (#17)

Preparing memos and bases for decision

When questions have been asked, either prompted by the 'screening' or as a part of private equity 'due diligence', it is time to prepare written reports on the basis of which decisions can be made. In any case, the process is to result in a report that can be circulated and provide a basis for portfolio intervention.

Final decisions need to be taken elsewhere. For that purpose, a report including companies' names and a short 'background' is prepared based on the 'screening results' and follow-up research. Such a memo will be circulated both in what is sometimes called an 'ESG Committee', and sometimes to board meetings, where some additional questions, primarily on the process of reaching a certain conclusion, might be asked.

When a decision has been reached, (one analyst explained that the board typically agrees with the conclusions in the basis for decision and that the board decision is thus more of a formality) portfolio managers (whether internal or external) are sent a list. This might include both newly 'black-listed' companies, companies that are no longer 'black-listed', and those that are not 'black-listed' yet but have been added to a watchlist. This follows the pattern of the periodic screening and an outcome might thus be a quarterly or bi-annual report. If something is to be excluded, there is a time frame for intervention:

> The fund managers then have, you know a certain amount of time to sell out of these companies. 20 days. (#12)

The analyst further explained that when this process had been followed through, it became a "compliance thing" – if a portfolio manager tried to buy shares in an excluded company, a red light would flash[23].

For most ESG analysts, although establishing 'severity' and 'substance' does sometimes require substantial effort, this particular form of analytical practice seems taken-for-granted and straightforward. Remember the words of the analyst in the beginning: it is a wheel that has to turn. Much more excitement, however, tends to surround other types of analytical work, engaging directly with specific 'ESG issues' or 'themes', and producing new tools and technologies to map, categorize and distinguish, all the while both digging deeper and expanding the scope of 'ESG' work.

5.1.3 Tools in-the-making: Enacting worlds and portfolios through mapping and surveying

Often, a yearly "deliverable" for the ESG analyst (team, in case there is one) is to make sure that all portfolio companies – typically in a so-called 'investable universe' – have been reviewed and given a status as either 'investable' or not. This affects funds in general, or funds with specific 'sustainability requirements'. This is often timed with performance updates for investment funds: fund reports are to be written and published online, and sometimes portfolio managers must be 'informed' of the ESG status of the companies in the fund they are managing.

Sometimes it is time to update an individual company's analysis in internal databases. It could be that it was done a year ago, and that a new annual report has been released. The analyst (here it is analyst #6 that recounts their approach) then needs to mobilize different sources to produce a new analysis. One way to start is by reading the newly released annual report. "Don't jump into the sustainability report immediately!" the analyst suggests. "Even before you start reading what they think… what they pitch to you… you have some kind of questions in your head and what you think is material".

So 'material' issues are important. The analyst then has a checklist, a 'scoring model', according to which the reporting is read, puzzling pieces of

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[23] "On the screen?" I asked. "Not on the screen" the analyst explained, laughing, "but somewhere else". Sometimes you wish you had more of presence of mind to dig deeper into the quirky details when they come up.

information together, adding them to a form, and choosing a score, on areas like 'governance', 'risk' and 'exposure'. Another important concept here is the 'business model': "If that company sells products with very high margin, then you kind of need to understand where the value is created". Annual financial reports are important to find pieces of information on where 'assets' and 'employees' are located, and what types of employees they are; "Are they mainly in R&D or mainly in factories?" This matters. There are many different areas that need to be covered, and each is to be awarded a score. Sometimes these are letters, while others use numerical scales.

This annual process is not very different from a process of analysing companies for the purpose of constructing a new financial 'product', such as a sustainability-themed investment fund, which other analysts described. The object is a company, and there are long lists of indicators, checkboxes, ratings and scores that are followed and enlisted in the extraction of a 'result'; a 'score', a 'status', or, perhaps a recommendation for 'inclusion'.

The process can also start with receiving updated 'ESG scores' from a research provider (the following builds primarily on analysts #4, #5, #6, #9 and #20). This is a different set of information than the list of 'incidents' that we saw was important in the screening process described previously (5.1.1 and 5.1.2). This is instead a spreadsheet with all portfolio companies, and various scores on a set of indicators in the three areas 'E', 'S' and 'G'. Work has taken place elsewhere, in the offices of the research providers, to scan sustainability reports from the world's listed companies and check for indications and evidence that 'policies' and 'programmes' and in place to address a broad range of issues. These scores, on 50-100 indicators, have been weighted to produce a final score for the company. Then, these have been weighted based on the composition of the portfolio to produce a score for the fund as a whole. Weighting has thus taken place in *at least* two stages: first, different 'indicators' to *one* 'company score'. Second, different companies' scores into *one* 'fund score' or 'fund rating'. There are thus two similar mathematical operations inscribed in the process:

$\text{Indicator}_1 \times \text{Weight}_1 + \text{Indicator}_2 \times \text{Weight}_2 + \ldots + \text{Indicator}_N \times \text{Weight}_N =$ Company Score

> $\text{CompanyScore}_1 \times \text{Weight}_1 + \text{CompanyScore}_2 \times \text{Weight}_2 + \ldots + \text{CompanyScore}_N \times \text{Weight}_N = \text{Fund Score}$

The scores, however, can only go so far. It is also possible for the ESG analyst to re-weight – that is, to assign different percentages to each indicator usually with the help of a multiplication operation in a spreadsheet – if that is deemed necessary. What then follows is a process of looking at each 'sector' and each company, to see what has changed since the last time scores were received. Sometimes an 'issue', such as 'water', has been deemed less important by the research provider and thus needs to have its 'weight' increased. Sometimes the opposite happens. One analyst explains:

> It cannot just be plugged in. (#4)

So either it is an 'issue' that needs to increase or decrease in 'weight', or it is 'exposure'. Another analyst will explain this. Important concepts here seem to be 'risk', 'systems', 'exposure', 'the world', and 'per cent'. In a fascinating piece of ordered practice, a score has been refined by drawing on 'the world':

> The other part [in addition to the research provider's scores] is the sort of, a geographical, risk-based focus. So, one of the key indicators we have that hits a lot of sectors is corruption. And here we pull in not just the company's systems, regarding corruption, which is what [Research Provider] gives us, but their exposure to corruption risk which is quite… quite extensively different depending on where you are in the world. You know, so if you have 60 per cent of your sales in [Country] and 40 per cent in [Country], your corruption risk is going to be extremely much higher than if you have, you know, 100 per cent in [Country], or 90 in [Country], ten per cent in [Country]. So that's something that we bring in, and there we bring in data from [NGO], or other data sources that can help us to get a better idea of what sort of risk a company's facing and how they're managing it. (#12)

Just like often with the work of the ESG analyst, a mix of ready-made calculative devices and highly manual tinkering is necessary to produce a 'status' or a 'score'. Sometimes the outcome is a list, in a spreadsheet, of all portfolio companies. Sometimes specific reports are written about individual companies or whole sectors. When the object of interest is the whole sector, the starting point is critical 'ESG issues', and 'trends', 'risks' and 'opportunities' the sector is facing. For each company in a sector, then, the analyst compares 'critical issues' with company activities related to that area. Critical issues, here, can be 'water scarcity', 'employee rights', 'child labour', 'emissions'.

> So first, a risk weight has been awarded, based for example on how many suppliers they have in high-risk countries. (#4)

'Activities', in fact, are small pieces of information drawn from company reporting and from research providers scores: 'GHG reduction targets', 'human rights policy', 'water use reduction programme', 'green innovation'…[24] As inscriptions, they manage to draw the world (or more precisely organizational arrangements like 'targets', 'policies', 'investments', as well as objects like 'machines' and 'equipment') onto the white grid of a report – from where it can travel into an indicator, for instance.

The resulting 'analysis', when 'exposure' has been compared to the 'management' of such exposure, can be a Word document, including text, tables and graphs. A common form of visualization is a matrix, with "risk" on one axis and "sustainability performance" on the other, visualizing each company as a dot in a quadratic mapping (cf Pollock and D'Adderio, 2012; Themsen and Skærbæk, 2018).

Making 'data': Creating an 'overview' through surveys

When there is no 'data', for instance when research providers do not include portfolio companies in their coverage, making 'ESG' relies on *making* data. Sometimes, questionnaires are sent out, typically to the investor relations departments of portfolio companies. "I needed an overview", one analyst (#14), who had quite recently crafted such a portfolio spreadsheet – a 'database' – on the basis of a questionnaire, commented in an interview.

> We have one, that we made ourselves. It's a basic questionnaire that everyone gets, very simple, with three questions on E, three questions on S, and three questions on G. Then we've added questions that are specific when there have

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[24] Insights and perspectives on this process of identifying small pieces of evidence, e.g. in company reporting can be found in Du Rietz (2014, 2018).

> been problems with different companies, so we ask extra questions in that area. (#14)

The first challenge is to get something back. Then follows portfolio representations. In Excel – this is how it is typically done – portfolio companies are listed in a column. Columns are then added for different questionnaire responses and 'indicators'. If it is, like above, three questions on 'E', three on 'S', and three on 'G', columns for each are added, side by side. The result is a table. Such an artefact of analytical work is in the first instance a typical example of action-at-a-distance. Representations of faraway practices are inscribed into creating a calculative device, providing 'overview' for the analyst and a tool to 'evaluate' and 'follow up' on portfolio companies. It is a small piece of reality-making, simultaneously enacting a 'portfolio' in-here, 'companies' out-there, to only mention the two most obvious entities. Not least, it enacts particular assumptions about "acting at a distance", with an emic understanding of the expression: by keeping an 'overview', the analyst does her job and keeps 'portfolio companies' in check. It is thus a specific form of accountability through performance measurement, familiar to the accounting researcher, that is enacted in this mundane instance of practical work.

While that example came from the context of investing in listed equities, similar practices of surveying and mapping the 'performance' of portfolio companies show up within private equity investment, too. One analyst explains how a template is sent out once a year, with a request for an 'annual update'. This might include an introduction to the private equity fund as owner, and an "explanation" of 'what is sustainability'. For new portfolio companies, such an "explanation" functions as a way to establish what is to be included in an annual update from now on.

Company staff are then to provide information on 'policies' and 'material opportunities and risks', as well as KPIs chosen to construct measures on and follow up. In addition, the private equity ESG team has compiled a set of KPIs that all companies must report on. The ESG analysts then compile the submissions from portfolio companies, add scores, and calculate averages.

Some 'issues' require extensive effort and investment for such an 'overview' to be enacted. In the case of 'water risk', one analyst laments the lack of reliable 'data', given the need to address the investor organization's 'exposure' to such an issue through the companies in which it is invested. How to make 'water risk' for a whole portfolio? In what follows, an ESG analyst (#12) deals with the problem of diagnosing 'water risk' on the company level and constructing an 'indicator' by the drawing together of various data points.

> Even if we had a… an accurate risk analysis of, on water basin level, of you know, how dry the area was – we have some information on that. We don't have the company-specific data which tells us "OK this company is here, in this area, and not in this area". And company reporting, like where a company, geographical positioning of the company, is extremely poor. So you have companies that report on, you know… some companies report on where they are in terms of their sales, not their assets. Some companies, assets but not their sales. Other companies report on the fact that they are in the United States – 66% of the sales are there, 34% are in the rest of the world. (#12)

So when the company data is not helpful, something else needs to be done. It is, as we shall see, a highly manual process (cf Mehrpouya and Samiolo, 2016). What follows in this case, when the problem described is 'water risk', is a detailed exercise of categorizing, mapping and scoring. A 'score', on the country level, is brought in:

> In water you have Water Resource Institute ratings of countries from, you know, not dry, to very dry. (#12)

It is apparently "not as good as [the analyst] would like", because the occurrence of drought can vary a lot within a country, "but it's better than nothing". And while company reports describe locations of facilities, too few do it. From company reporting, numbers on 'total water use' and 'water efficiency', which relates water use to 'revenues' can often be found. The next step brings 'the world' on to a computer screen.

> And then we'd map their, map their presence in the world. And then maybe also score them according to whether they were exposed to very dry countries, or less exposed to dry countries. (#12)

'Water efficiency', 'water risk', 'country risk' and 'presence in the world' are then weighted on a percentage basis based on the latter. It is thus a mathematical operation. Work has also taken place elsewhere, that feeds into the production of the water indicator. A research provider has already 'scored' each company's dealing with water, based on company reporting.

> [Research provider] comes in when you have the assessment of the company's systems. So they have, you know, either they have energy efficiency or water efficiency but then they also have for example company programmes to… to reduce water use. /…/[Research provider] make sort of qualitative assessments, often, you know, they have a look at the company's policy on water management… "It's 39". OK, company's policy, and then they make an assessment of whether that's good or not, and then they have a range, you know, good policies get 100, poor policies get 25, no policy 0. You know, so it's… it's a number you can hint, you can plot into your spreadsheet. (#12)

We thus see that 'water risk' is far from "found", but rather produced. The analytical work here recounted constitutes a simultaneous enactment of an analytical 'tool' and its 'result'. It has produced a representation of 'companies' and their 'water stress', their 'management' to the same – as well as a 'responsible investor'. Analytical work enacts many realities.

5.1.4 From 'issues', 'futures' and 'trends' to 'impacts'

If the epistemic practices described above relates to 'risk', 'exposure' and 'the world', we will conclude this section with looking over the shoulder of analytical work that enacts "forward-looking" through 'futures' and 'trends'. For some, this was an attempt at translating 'ESG' into 'the financial', by attempting various forms of prediction. One could be through assessing the size of a potential financial sanction:

> We've also gone from doing ESG research just looking at the issues, and assessing whether this is an A, B or C company from a rating perspective. To actually evolving that research into trying to understand – forget the rating –

> what's the actual impact on the financial metrics, from these issues? And that is something you have to discuss with different sector analysts and the different PMs to understand. Where that actual impact is. /…/ It's more of a qualitative discussion at this point. But we're identifying magnitude, I guess, of the issues – is this a large impact, is this a small impact? And you can do that by finding evidence of other companies that have experienced an issue with this particular ESG issue and see how big a fine they had. Or, you know, bringing in historical cases of other companies and then, from a qualitative point of view, estimate in agreement with the financial analyst or the PM, just what magnitude that could have. And then that's when we start discussing things like – should you have a higher discount rate or a lower discount rate? How does this impact sales? How does this impact assets, costs? That kind of thing. (#5)

Others instead took to the practice of translating 'ESG' or 'sustainability' into broad societal 'themes' or 'trends' and then translating these into sector-specific and company-specific 'impacts'. As we will see, while we have previously relied on spreadsheets and scores, this type of work – which does seem to carry some "diagnostic" characteristics – is to a smaller extent enacted by drawing on such calculative devices. The following description (which is based on comments from interviewees #4, #5, #6, #7, #10, #12, #14, #21 and #22) is stylized and simplified.

First, there are 'trends'. Sometimes they come ready-made, as in the 'mega-trends' described and defined by external sources such as the UN and global consultancy firms. Sometimes they are called 'themes'. These vary, but some are commonly recurring: 'climate change', 'resource scarcity', 'globalization', 'demographic changes', 'technology'. Such trends should be present not only when analysing particular companies, but also when choosing which 'sectors' to focus on. It is all about where things are "heading":

> It's about, somehow, that you actually decide, as an investor, all the time, what are attractive areas to invest in in the future. That is our foundation. That's why we have sector teams, to understand… where is the infrastructure market heading, or where is consumer goods and retail heading, and… Then it's important to already there have an understanding of sustainability issues and the mega factors, megatrends, society is, we are, facing. All sorts of – if it's urbanization, or increased population, demographic changes etc. (#22)

In the analysis of specific companies, it is often a question of 'positioning'. What this implies is that a 'company' is related, juxtaposed, to such trends. Reports are written: does this company 'align' well with these trends?

> On top of that we do "positioning for global sustainability trends". And that's what we spend our time on. But here we're sort of looking a little bit more long-term and forward-looking, so we're looking at OK, which trends are going to… affect the sector in, on a 3-5 year perspective, and how a company's positioned in terms of these trends. (#12)

'Themes' or 'strategy' can also be transformed into a composite score together with standard ESG data from service providers:

> We transform [the external rating] to a five-degree scale. So if they have below [threshold], then we can't buy the company. And then it's up to a hundred. But the [external score] is just zero to four. To get five, they have to have a business strategy, it has to be clearly connected to some sustainability goal or a high degree of innovation for sustainable solutions, something that shows that it is part of the company's long-term growth strategy to work with… [gives a few examples]. Something like that. Then they can get five points. (#9)

Sometimes the process consists of well-defined steps from 'trends' to 'sectors' to 'indicators' to 'data':

> Whereas you have about 70 indicators [from Service Provider] you have only about two to four indicators per sector, on the analysis that we do. /…/ What does their product portfolio look like, are they positioned for the fact that resources are becoming more and more scarce. You know, what does their energy efficiency look like, water efficiency look like, so it's those sort of specific indicators/…/ But, we start with… which of these trends hit the sector. /…/ It usually narrows it from three to two to one, and then you have an analysis of OK… what sort of data do we have here. (#12)

In one particular situation, more or less the whole stock exchange of a country had been analyzed and categorized according to such a 'positioning' to 'themes'. In recalling this process, the analyst reproduced four categories, illustrated with 'climate change':

> If we take climate change as an overall driving force. Climate transition. Well then we have some companies, they are really at the forefront, and deliver, most often, technical solutions. It could be big [InduCo] or little [TechCo1]. Or little [TechCo2]. It can also be [TransCo] who provide public transportation, and so on. So they are at the front. /…/ And then there is a category that is more neutral, the neither add nor… burden… And then there is a category that, which might be very high impact fundamentally, typically extracting commodities, but who, by readjusting, can produce a lot of benefits. Impact in the real economy. For instance a [MiningCo] with extreme competence when it comes to making use of material, material efficiency. Energy efficiency. Recycling. Both recycling and using recycled materials. And at the other end, we have those that just feel completely outdated. Coal. Oil. (#7)

One analyst explained how such a question of strategy was translated into a scoring scheme:

> We transform [the external rating] to a five-degree scale. So if they have below [threshold], then we can't buy the company. And then it's up to a hundred. But the [external score] is just zero to four. To get five, they have to have a business strategy, it has to be clearly connected to some sustainability goal or a high degree of innovation for sustainable solutions, something that shows that it is part of the company's long-term growth strategy to work with… [gives a few examples]. Something like that. Then they can get five points. (#9)

To an increasing extent, ESG analysts collaborated with colleagues outside of the ESG team to conduct various forms of statistical analyses based on portfolio data. In one organization, analysts outside the ESG team had worked on a project to identify which ESG indicators had a positive effect on historical returns. Through econometric analysis, 'alpha signals' had been produced, and then an ESG analyst had to be brought in to "interpret" what the underlying indicators meant, what was "behind" them:

> [The colleague] joined when they had come so far that they knew which indicators gave alpha signals. And just to interpret – is it good for sustainability that the signal increases in value, or is it – because we said, we will only choose signals that actually do good. So there the ESG team has joined and had discussions with them. They had some discussions with service providers to understand, what's behind this. Because you really want some kind of logic. /…/ But otherwise, that's a project driven totally by them in their development of the asset

> management. And they've done it based on the model they work with as pertains other, data, or data points. Or signals… about the purely financial. And that's what has made it unique, that we have that competence internally, which I think is quite unusual. And that they go as close to raw data as possible. Because they haven't – when they did their analysis to see which [indicators] were interesting, they didn't care what it was. They only looked for "what can we see?". And it has been the same requirements that it should give – that the signal should be as strong as if we'd analysed something financial. So it was really exciting that they found – because this whole analysis has been done once before, when it didn't give anything. /…/ I'm sure the data quality has increased, there are more data points. (#10)

5.2 Getting ESG into the important positions: Attempting the trajectory

So far we have hopefully been able to get an idea of what kind of calculative tools and technologies can be encountered in the day-to-day work of doing ESG. We saw how what was here framed as epistemic concerns took material form in the circulation of documents, the preparation of memos, the making of sophisticated spreadsheets and calculation models, and talk with portfolio company representatives. This type of epistemic work, through which 'ESG' is made, is just one part of the story. Something else seems to be going on too, sometimes of greater, and increasing importance: making sure that 'ESG' is where it "should be". This concern comes up in many forms: in recent re-organization, in formal plans and targets, in new investment product development, and in how ESG analysts describe their most pressing concerns. In many ways it is inscribed in efforts of organizing. What to make of this, analytically? In my introduction, I referred to the concern for "getting ESG in there": accounting tools and practices must enable ESG's trajectory to positions that are ascribed importance. As we shall see in the next sections, there are several such places of importance, both physical and abstract.

5.2.1 'ESG' on computer screens: Getting the "whole picture"

One of the places where 'ESG' must be, is on the computer screens of portfolio managers. Analysts described to me their efforts in bringing in various types of data, compiling, extracting and arranging, so that it is visible for portfolio managers as they buy and sell shares. When a company has gone through a whole diagnostic process after an incident, and it resulted in an 'exclusion' – this must go out. In one case, for instance, we saw how portfolio managers buying and selling shares, got a set amount of days to react to information about an 'exclusion'. Here then, a long process of diagnostics, reports, meetings and decisions becomes what comes across as a fairly simple operation. One analyst talked about "clearing the index", using a term that is also used to describe "weeding". This, however, is only the beginning of the importance of having 'ESG' there on portfolio managers' computer screens. To some, this was the easy part. Another approach is not directed at exclusion (we see below that there is a "move away" from this) but using scores to construct the portfolio from the start.

> The easiest way is almost the quant process… /…/ When we give the portfolio manager access to sustainability analyses. They have the scores. And as long as the fund, on an aggregated level, reaches a certain score… then he or she can invest in almost anything. As long as it is not these exclusion criteria. Particularly to move away from this… "Here's your black-list – but you do what you have always done [otherwise]." (#8)

Even when it is not a case of 'exclusion', and even when there is no requirement for an absolute, aggregated score, it is important that ESG is "there". This is when it starts to get more elusive. But first, it is "simple" (although we by now know the epistemological effort invested): for instance, a yearly deliverable for ESG analysts might be to make sure that each company in the 'investable universe', as one little data point, is accompanied by an updated ESG score. We encountered such ESG scores previously, and learnt how they typically consisted of 50-100 indicators that had been weighted into a 'company score' of 0-100. An analyst describes how 'ESG' displaces itself onto the screen:

> And that information is then read into the internal systems we have, so that when a… fund manager pulls up a company, and you know, does an assessment, they have all the… you know, Standard & Poor's and the financial ratings, but they also have then the internal environmental ratings and sustainability ratings, on top of that, as well. So they have everything they need. Both financial, sustainability, and then one sort of system. (#12)

Having everything one "needs" to make an assessment is thus important, so that whatever decision is to be made (but we can assume that the imaginary case is buying shares in a company) is to be made on the basis of a varied set of 'data' and 'ratings'. The "data" comes in categories of 'financial' and 'sustainability'.

However, portfolio managers have their own methods and approaches, and even though information is available, it might not reach the 'spreadsheet' where they do their analytical work. So 'ESG' might not even get "there". Many ESG analysts seem to just have learned to live with the fact that some portfolio managers like to "bring in ESG", and others do not:

> There is a big… difference in perspective among portfolio managers. And then it depends on what type of investment strategy they have. If you have like a fundamental, active strategy, where you… where you kind of make a bottom-up analysis of each company, and the portfolio manager knows their companies very well, then it's also easier to get this portfolio manager's interest to bring in ESG issues. Compared to if you have a quant-based strategy, never meeting the companies. You're only looking at your KPIs, in your Excel sheet. Nothing bad about that investment strategy, but it is difficult to… for that portfolio manager to see the value in bringing in ESG factors, because it doesn't fit the template, in a way. (#3)

We see this here only from the viewpoint of the ESG analyst, but note the emphasis on a "template". There seems to be a concern that 'ESG' does not have a format that allows it to really be *in* the investment process described. However, note also the contrast with the quote above from analyst #8, who said that the quant process (with a predetermined score) was the easiest one. Reaching a predetermined score, thus, might be simple, but just *using* 'ESG' – not so straightforward.

Integration, placed in the following quote in opposition to exclusion, it was argued, was more difficult with index funds.

> [The portfolio managers] have their list of what they can invest in and not. And that's really what they need. Then it's not – since we are index following, they don't have that much room to invest wildly in whatever, anyway. It would have been different [in terms of interaction] – many of those who work and talk about having integrated ESG in the asset management, that's different if you are a

> smaller fund and have a special theme, and also haven't guaranteed anything to clients really. Which we have, with our [pension offering]. (#13)

There thus seems to be a range of "problems" in achieving 'integration', which has prompted a range of interventions. Resources and interventions typically come in the form of re-organization (such as making ESG analysts a part of the equity team), formal targets and commitments, and statements from high-level executives. This type of organizational effort is the topic of the next section.

5.2.2 Formal re-organizing for 'integration'

As I have already discussed, the process of making 'ESG' go somewhere is often described with the established term of 'integration'[25]. There seems to be something paradoxical going on, where 'ESG' is to be made present, through 'integration', in various practices, but not be a separate thing. Away from 'ESG' as a separate object, forward something else, where 'ESG' is really "in there". This section discusses the many attempts at re-organizing *how* and *where* 'ESG' is practised to enable 'integration' to take place.

It seems that sometimes, the "in there" position takes the form of "out there". One respondent from the private equity sector described how the initial way of working in the sector had been to build up an expert team in responsible investments, whereas the trend today – and that was also how that organization had gone about the issue – was more towards "an integrated model" where "the deal team owns the issue". Thus, 'ESG' as a centre of expertise – a "silo" – is contrasted with 'ESG' out-there in the organization, being a "part" together with other "parts".

> That silo model, with a centralistic kind of team, we are seeing organizations are moving away from that. /…/ You can't just crank it into a process and come out with an answer… To manage to solve problems, think about it, and use the human problem-solving capacity, and integrate and value it in relation to the other parts in the project, you need to have just as much knowledge about this

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[25] See Young (2013) for an earlier study of this phenomenon. A report from the UN-backed Principles for Responsible Investment (PRI) called *A Practical Guide to Integration for Equity Investing* (PRI 2016) is also helpful for understanding the concept on a larger financial markets scale.

> as you have about everything else. And since we have very knowledgeable people a certain knowledge depth is necessary here. (#18)

So 'ESG' is here a knowledge, which should be out there, in projects, for instance. How does it get there?

> So, therefore, we have focused on training and tools, like checklists, templates, processes and targeted education for the full organization and management teams. /…/ We have a training programme with three modules that is mandatory for all employees to take, including investment professionals all the way up to all partners and all support personnel. We are traditional that way, we think people should meet in reality and sit down to discuss together. (#18)

What is going on here? There are a number of relationships and assumptions in play in a single quote. Through an education programme, which (and that was important, we see) takes physical form (people go in somewhere and sit down) so that ESG will go where participants go, accompanied by "tools, like checklists, templates". There should be no 'centre' where experts reside over the knowledge, but by gathering in a physical room 'ESG' is made present – and it can start to travel. 'ESG' should be out there, but first it should be *in a room*. In e-mail follow-up later, the organization commented that it had developed the training programme to include board members and key management teams in the portfolio companies. Some kind of expansion is clearly ongoing, as we will continue to see throughout the thesis.

It is important, at this point, to take a look at the move that the concern for 'integration' seems to entail. We saw that 'exclusion' in the form of lists (or as a 'red light' that flashes somewhere when a portfolio manager tries to buy something that is 'excluded') was conceived of as straightforward and simple (although it would be preceded by a laborious procedure). The approach of requiring the attainment of a particular aggregated score was similarly "straightforward".

It is however also possible to trace something else in the interviews, which is much more difficult to grasp as a set of material and technological practices. One analyst talked about how, when it had been decided that 'ESG' should be done, that it should be done "for real".

> And then the question is what this "for real" is. And in my world, it's…. not primarily about being the most ethical – that's how it has been for a long time, you just kind of add a lot of exclusionary criteria /…/ It felt natural to take the step from like ethical funds, best-in-class funds, into something that has to do with what companies actually deliver. And how sustainable is that? In climate transition, and in all these trends that we have. /…/ So, it's more about doing a scan of how the world and the societies respond to all this and kind of understand, what are the investment themes – sustainable investment themes that are relevant? (#7)

So if 'exclusion' is straightforward it is also "how it has been for a long time". 'ESG' should instead be something else, something newer. Away from exclusion, and on to "what companies actually deliver". The 'themes' from earlier (5.1.4) make an appearance again, and "realness" implies that 'ESG' knowledge work is not just about excluding, but about identifying something else. So this is a kind of epistemic move towards something that seems to partly elude the material aspects of analysis. We earlier saw an example of four categories of companies in their 'positioning to climate change' but most of the labour that is required for such a move to take place has been erased.

But there is also a more organizational move that is to be made, a question of *how* and *when* analysis is performed. At first, it might not seem so complicated, but rather a question of "one" analysis only, instead of several different, in a sequence. Again, terrains are discursively drawn up and upon:

> The sustainability analysis, we will continue to go about basically the same way as we do today it, but… if you look at the analysis of a company before it becomes a holding in the sustainability fund, it's going to have a much higher degree of integrated analysis. So, right now we're working together with portfolio managers to find intersections… How it can be more merged together, instead of having first *a financial analysis and then a sustainability analysis,* to work a bit more efficiently. (#4, emphasis added)

Separation of different analyses is thus not "efficient", and it is not uncommon that there had been formal decisions taken, commitments made, to increase 'integration' to avoid such separation. But since we have seen that not all portfolio managers want to 'bring it in', the onus seems to be on ESG analysts to enrol and enlist. In addition to that, there might even be formal decisions taken, that this is the "way to go". In one case, for instance, it had been decided that while ESG 'criteria' had thus far only applied formally to listed equities, this requirement would gradually be expanded to all other asset classes, through "baby steps".

> This fall, our board decided that all our managed capital should be covered by the same criteria. Previously it has only been the listed assets. So real estate, special assets, it's not that much in these alternative investments, but they have been a bit outside. They have worked based on our criteria, but it hasn't been formally on paper. And first and foremost my department hasn't had anything to do with it. A bit of advisory, sometimes, but nothing formal. And now we do, now it's written in and should be part of all decisions made, should be preceded by our work. (#13)

This would entail a whole new form of 'cooperation', and it was important, but it was slightly unclear what was actually to happen:

> This goal, that our manager has instated, it definitely makes… well, that more people are involved, that we sit close to each other, that we meet, that we can check things quickly… It's different. But how we cooperate, it's still – yeah it's still in the starting blocks. For something new, and… new and fun… So where we'll land there, it's… there are great expectations. Ambitions. (#13)

The quote contains a lot. There are ambitions, and cooperation and involvement are important (we can ascertain that from the fact that it is supposed to increase). The quote also contains a reference to physical (or is it abstract?) space, through 'sit close to each other' (we might recognize it from the quote above about gathering for an ESG course in a room). This is important, and we shall return to it as we conclude the chapter.

Many analysts placed emphasis on how the initiative for expansion of 'ESG' or the setting up of new roles and responsibilities often came from a high hierarchical level. This is evident in the quote by analyst #13 above, but also in this comment about one analyst's own role. We can infer how this means that it is supposed to be "real" or "substantial":

> And that was fairly unique, I thought, that an asset manager of [our] size took such a substantial grip, and hired a person to work 100% on these issues. Often it's someone who is already there who gets it on top, and so on… So I thought that was really exciting, that there was a clear mandate from the executive team. I was hired by the CEO of the fund company, but I also had a lot of discussions with the group CEO and so on, so this was something that came from above. It wasn't a portfolio manager or someone at communications that thought we should have this… And that, those were important requirements for me, that it was that way.

5.2.3 In performance review meetings: Talking about the portfolio

There are many ways in which 'ESG' is to be where portfolio managers are. Sometimes, after a periodic (e.g. bi-annual) review of portfolio company 'ESG performance' and 'screening results', portfolio managers are to receive an update. If there is too little time to discuss every single company, a few examples might be brought forward as 'good' and 'more challenging', respectively. One analyst (#3) explains that this is one way of making sure that the "result" of the ESG analysis is brought to the "benefit" and attention of portfolio managers.

One way ESG is to be made present and "real", is by its inclusion in periodic performance reviews of investment funds. This, of course, must have been preceded by formal decision-making. When that is the case, making 'ESG' present in such a setting is preceded by work and effort towards producing a composite 'score' for each fund. We saw a similar process in 5.1.3, but now it is done as a preparation for a performance review meeting.

Individual company scores are added and weighted to produce a 'sustainability rating' for the fund as a whole. Investment funds might have both a minimum, threshold score – this is quite common – and sometimes also a specific score to aim for, if there is a particular 'sustainability mandate' from the asset owner side. 'Deviations' are then brought up in the meeting. By then, the 'scores' should not be news, however, as they have already been prepared and circulated before the meeting.

> So the fund manager knows – knows where the fund is, quarterly, know what companies are contributing positively and negatively. So you have that, you have all that information when you're in the meeting, so you are prepared in terms of,

> you know what's contributing negatively and positively and… and what sort of discussion you can have or what sort of choices you can make. (#12)

According to one analyst, the discussion would then involve 'alternatives'. This means that if a particular company was, as the analyst said, "contributing negatively", the discussion might address whether there were any similar companies, but with a better ESG score, they could substitute it. The onus was typically on the ESG analyst to contribute 'alternatives'. There might be disagreements. In other cases, it is just that it is important to ensure that investment teams are 'aware' of the 'ESG performance' of their funds. One approach to achieving this is to schedule periodic "interviews". One ESG analyst explains:

> So what we typically do is that we have interviews with the investment teams, we test them and see OK do they – "are you aware that your portfolio has these and these characteristics, these qualities, but we also see these risks?" And then for us and for portfolio managers, of course, to be prepared to and to answer and see if they agree on this and if they have some additional information or assessments. That makes sense, yeah. At the end of the day they will always be the ones – they, the investment teams – that stand informed with their investments. And they can invest in companies with lower ESG scores, that's not a problem, but they have to be aware of the risk, they have to understand it, and we would like to follow up on that, and check with them, on that understanding. (#20)

5.2.4 Enacting 'ESG' in meetings with portfolio companies

In meetings with portfolio companies, ESG must be made important, because that is not necessarily the case. The company data from service providers sometimes plays a role as a replacement for things that do not come up in direct dialogue:

> They don't evaluate whether the company is good or bad, like valued in financial terms, they check if they have policies in place, how prepared they are, OK do they follow the policies, do they have any incidents, and so on. And that's a way for us to get a better understanding of companies, because the companies don't always talk about this in the discussion with analysts and portfolio managers…

> Even though we have wanted to and want to talk about it… but… the individuals that we typically meet, which might be IR or CFO, don't willingly focus on those bits. And in all honesty, maybe our analysts and portfolio managers don't focus that much there either… (#11)

Many analysts explained how they would often "follow along" when portfolio managers went to meetings with portfolio companies, typically following the release of periodic financial or sustainability reporting. There are, then, several strategies for prompting the conversation. One relates to practices of presentation and introduction, around the meeting table. That, it was said, would make 'ESG' an object of importance, both in the meeting of the day and in later communication, for instance when the ESG analyst needed input for a portfolio company survey. An ESG analyst reminds a portfolio manager:

> … When you went around last time, and in all company meetings introduced [other ESG analyst] first. And ESG… how central it is for us… So it's become a lot easier for [the analyst] after that, to talk to them, and get responses to the questionnaires. Because if the portfolio managers or top management don't say to them "this is important to us", then it won't be important to them. (#14)

When the ESG analyst is back by their desk, in the weeks following, their e-mail has more weight when it reaches the inbox of the investor relations manager in the portfolio company. It seems that what is going on here is that the analyst's desk has become a site of importance.

Meetings with companies can thus follow from the release of reports in accordance with the regular "financial calendar". They might also be the result of something coming up in 'screening', which we saw earlier. In any case, it seems to be an issue of concern how the process is to be managed. One analyst comments:

> I have done many company dialogues [historically]. And now I've gone with other portfolio managers who aren't used to doing dialogues around sustainability parameters. And then we kind of split the meeting. But now they are actually starting themselves to push these questions. Then they can come and check with me. And ask if they have been thinking about it right, or if I have any input. But more and more – and now we've actually done so, that company dialogues for

> [local] companies have informally been with me, since I have done so many during the course of the years, but now the formal responsibility is on the [Local] team. To manage company dialogues. But I will execute them. But it is their responsibility to manage them. And document them. So it's also more and more that it's pushed down, or out, in the organization. Which I think is super. Because then it's for real. (#8)

"Real", again – here realness again seems to be the result of 'ESG' being "out" in the organization rather than merely with the ESG team. Also in processes of engagement after 'incidents', which we encountered at the beginning of the chapter, it is important to involve the responsible (financial) analyst:

> It could be, if we're talking about [local] companies, it could be that something comes up in the media, something that we… "We probably need to contact the company, hear their version". And then it's often identified with, so to speak, ESG and sustainability, but you find out who, if this a company we follow specifically - who is then the analyst. And then you have a chat, "this is what's happened". And then we really want it to be, that the analyst takes it. It depends a little bit on what kind of question it is, of course. But that the analyst asks the question to the company, and that we in sustainability can constitute a support. So they feel that… It's part of this knowledge transfer. But if someone asks "can you join", I never, ever say no to that. (#10)

It might not always be straightforward, however, to enlist the financial analyst or portfolio manager.

> If you meet a traditional equity analyst, they are – most of them, trained in a particular format. And especially older… that have worked with their models, in a particular way. You have to speak their language. So I try to avoid… talking about sustainability. Even though… sometimes it's difficult to avoid it. So instead we talk about long-termness. We talk about business opportunities, business risks, short to long-term trends. And reputational risks. Anyone can understand that. Because they all, since we have the responsibility delegated out to the analyst and the portfolio manager to a large extent, if we have a company with problems (refers to examples mentioned earlier in the interview)… Well they are the ones that have to, kind of, take the dialogue. That's not something they find very enjoyable! (#11)

Again we see this curious operation whereby 'ESG' is on the one hand (discursively) done as an object in itself, and on the other in need to be "pushed down, or out" (away from the 'ESG analyst' it seems – but we are talking about the category, not the flesh and blood individual) to become "real". It is supposed to both retain and maintain its objectness. It is to accomplish a trajectory into the key positions.

We earlier learnt a bit about the process of gathering annual updates from portfolio companies in the context of private equity ownership. We shall now briefly return to that particular setting, and see how such 'updates' are involved in enacting ESG in portfolio company meetings (this builds on interviewees #22 and #23). Previously, we saw how a request to report had been sent out, and how the ESG analyst had calculated averages for all portfolio companies based on what had been received. In the next step, portfolio companies are to get feedback where a particular company's score is juxtaposed with the average across all portfolio companies, in different categories. This report also includes 'concrete recommendations', that is, proposed measures to improve.

But calculating averages is not enough. Now an inscription, displaying a relationship between an individual score and a portfolio average, can, and *should*, it seems, travel. A network of allied investment professionals, "physically present in that market and that team" is drawn upon, to…

> …hold a short presentation, and say "Now we are done with our yearly follow-up, these were the overall results, you can find your specific companies' feedback here, in our IT system". And we expect that you bring this on to the portfolio companies, so they see it, and the boards see it, so that you can have a good discussion". So that it, you know, sticks. (#22)

When scores and averages have been prepared and have circulated, they must be talked about, in a meeting, we might presume. In that manner, 'ESG' is inscribed into the many relations between 'the investor' and 'the portfolio company'. But even when 'ESG' is present *in* the meeting, it might not be "in there" *enough*.

> Sometimes when you meet CEOs, if you're in one of these meetings where you both talk about financials and ESG, it can be… Sometimes they manage to

> weave it together nicely, but if it's more in separate chunks, then it's almost as if the CEO uses another voice when he starts talking about ESG, because it's not his… not really his home turf. And it's a bit, well, awkward and strange. And then you can feel that maybe this wasn't really in his strategy, really. He didn't know so much about it, or he didn't think it through, someone else formulated it for him. (#7)

What the analyst describes here seems to be a view that it is in there, and the 'talking' is no less real than the table and the chairs, but there are problems. First – it is not *really* in there, because it is a "separate chunk". Even though it is present in the meeting, it would be better if it was "weaved together", perhaps producing an alternative "whole". A whole which is more real and meaningful, we might infer. Second – there also seems to be a problem with it not *really* being in there, in the organization, its 'strategy', and the CEO's 'home turf'. We will return to this later, when I ask the question of "then what?". For now, we shall remain with the issue of *where*.

5.2.5 Across the desk and by the coffee machine

Note the similarity in the following quotes, from three different analysts, in three different organizations:

> We sit on the same floor. Use the same coffee machine. It's not that we only meet them twice a year. (#3)

> I mean we sit like five meters away from the PMs and the analysts so… and the idea is that we – we're not sitting on different floors. And… never talking to each other. (#6)

> And we sit, well [portfolio manager] sits approximately like you right now, opposite me. And the local team sits there (gesturing with hands) and the global like that. So it's always discussions across the desk. (#9)

What are we to make of this insistence of physical proximity between ESG analysts (the interviewee voices here) and their portfolio manager colleagues? We can start by noticing the use of spatial arrangements and physical proximity. The coffee machine, the office desk, and the office's different floors are brought in, and it is hardly by coincidence, hardly without significance.

Reading the three quotes together, we can tease out two concerns from this insistence on the spatial. The first one is the importance of *informality*, signified by the importance of the possibility of crossing paths by the coffee machine. The second is *frequency* (and a certain spontaneity), as exemplified by the possibility to mention something "across the table", right when it comes up, perhaps, and through the course of the working day.

An alternative approach would be to read these quotes not by searching for the ideals they express but for the problematic alternatives that are actively negated, either expressly or implicitly. Although my point is not to question that these analysts *do* sit close to portfolio managers and share a coffee machine, we do know very little of the actual extent of spontaneous conversation only from these quotes. What is the alternative here? Clearly, it would be problematic to be sitting on different floors, only meeting twice a year, or to never talk to each other (or only talking when it is formally arranged). Why is this a concern? And why do they bring this up? So physical proximity is important, the ability to talk directly across a table, bump into someone by the coffee machine. It is clear, even expressly stated, what the alternative would be: "only meeting twice a year" (for a bi-annual ESG review, in that case), or worse, "never talking to each other".

In a similar take on this issue, we can see that proximity is not merely physical. Information technology seems to produce a similar type of effect, making it less important whether the portfolio manager is sitting by the opposite desk or geographically far away. Proximity can easily be virtually produced.

> It's different because we sit as we do, and since we don't have 3000 companies, and since we're not sitting in a house with seven floors. If something happens, or I – like yesterday, I read an article about [region] so I talked to [region portfolio manager] directly "hey, have you checked this with them and them"… And similarly when we have Skype or other meetings, I bring things up directly with [portfolio manager], or [portfolio manager]… (#14)

What I would like to propose, is that this discursive treatment of distance and proximity participates in drawing up two distinct "terrains": one of 'ESG' and one of 'portfolio management' or 'finance'. I did, in the introduction, discuss how 'ESG' is an emically perspectival practice, characterized by references to taken-for-granted dichotomies. Perhaps insisting on proximity is only a concern when separation is the case? The important insight, however, is that by insisting on proximity, separation into dichotomies is (here discursively) produced.

Escaping this separation is a tricky task: surely, while these instances were not directly prompted by me in the interview situation[26], my expressly stated research interest for "collaboration" participates in constituting it. Categories and zones are inscribed in the endeavour of studying 'ESG' in practice. One important take-away thus becomes that 'ESG' – particularly if one is interested in the spatial aspects of this object's enactment – must also be studied in practical situations. Categories, distinction, dualisms and zones are no less reproduced there, as we will see in the remainder of this thesis, but there they can be studied not only as a discursive concern, but as a material-semiotic achievement.

5.3 And then what? On attempts at making 'ESG' "happen"

So far, much of the concern has been with the places where ESG should 'go' and 'be'. In addressing that concern, we have seen how ESG analysts describe the "going" and the "being". Thus, a variety of trajectories were drawn up. But we also saw, that whether it was on the computer screen or in meetings, or even at a further distance, in portfolio companies – accomplishing the trajectory was not enough, necessarily, if it did not also correspond to something happening, either there or elsewhere. In this section, we turn the gaze toward this "happening", "doing". How are we to understand this? We have already encountered movement as the trajectory, as we saw how 'ESG'

[26] Such a striking similarity did at first come across as worrying. As a researcher, even though your epistemological and ontological position is on the post-structuralist end, and you do not believe in the ability to neutrally "capture" reality, you still do not want to entice specific responses. Thus, I did go back to have a look at the quotes in their context, and see what had preceded these statements. Nothing out of the ordinary had occurred, I had only asked questions prompting descriptive answers, "what types of conversation?", "can you give an example", "what forum?" and so on. This allows me to feel confident that these quotes can be analysed for what they say about both a "current" and "ideal state".

was to travel to "all the important places", typically through the mobilization of inscriptions and inscription devices, and through the re-organizing of *where* different practices take place. But the need for movement, as we will see here, does not stop there. We saw in the previous sections how there was a concern for making 'ESG' "real": either through *how* the analysis was conducted (by linking it to 'the financial'), *where* it took place (i.e. in important meetings) and by *whom* ("portfolio managers themselves"). This final section of the chapter elaborates more on this "realness" by picking up on another concern, namely that over time, 'ESG' should somehow have become so 'integrated' that it should have disappeared, or have taken on a life of its own, or not be necessary anymore.

5.3.1 'ESG' making a decisive impact on investment decisions

Enacting it "there" is thus important, but it is difficult to control what is done to and with 'ESG' by portfolio managers. ESG analysts can upload research reports, meeting protocols, detailed plans and descriptions 'engagement' with portfolio companies, so that it is available for anyone buying and selling shares, to achieve what was described as a "full picture", and as "everything they need". But enacting ESG is a tricky endeavour, as it involves not just displacement. It also involves orchestration at a distance, which is not so easily accomplished:

> But… to what extent they're using them is a bit difficult to track… (#6)

It is thus not enough that it is there – because something also needs to happen to it. One way of addressing that problem is to mobilize 'financial implications', thereby crafting 'ESG' slightly differently, so that it can not only displace itself, but also "work", as one analyst expresses it:

> We're trying to not just bring in data from external providers and make it available to PMs. That doesn't just work on its own. One of the things that this team is trying to do, is to do deeper analysis of a narrower set of companies where we think conclusions can be more helpful. In terms of understanding what the financial implications could be for some of the issues that we analyze. (#5)

One analyst described the practice of getting 'ESG' into the practice of preparing a 'transaction report':

> We have a transaction report for each holding. Where we describe why we invest in this company. And it's a fairly long essay which deals with… the business model and the financials. But then it's also a lot connected to the risk aspect. Where we look at sustainability risks, reputational risks for the company, and for [us]. And the connection to [Service Provider 1], what does [Service Provider 2] say. What is their rating? And then, depending on whether the rating is high or low, you develop the argumentation, because if it's high, then we can feel that – this is a good company according to [Service Provider 2] too. But on the other hand, if it's a bit lower, well then we need to develop. Why is that? And how do we deal with that issue? But in the financial case, then the business model – that's the primary point. These are their products, these are their markets. And then we talk, just like everyone else, about, what are the megatrends out there? I mean everything from urbanization and digitalization, demographics, sustainability…

The responsibility to prepare the transaction report lies on the financial analyst and the portfolio manager.

> [They] have to prepare a fairly thorough basis for decision, including a cash flow analysis. Which is then presented to portfolio managers. And then it's the portfolio managers that set up the transaction report… /…/ I look at it, but I'm not the one taking the portfolio decision, it's the portfolio manager. And then we have discussions. It's not written in any policy that it's like that, but we have many discussions, could this be a good investment? I mean purely from a sustainability perspective, or well, reputational risk.

For 'ESG' to sustain itself, it is not enough that it holds together. It also must be able to generate realities that are fit for it (Law, 2009b, p. 240). This would entail being *where* 'important things' – important calculations perhaps – take place, and being able to (sufficiently) hold its form in that space. But sometimes the opposite happens. The more importance, activity and 'hotness', the less opportunity to be involved. Two private equity analysts explain.

> The challenge is that this is the ideal image. Often when you come into a fairly active DD [due diligence] phase, those are competitive processes. And very time-pressured. So all our advisors are asked to be kind of to the point – what is most

> critical here? That you really need to find out. Because what everyone wants is information. /…/ So even if we have a wish to penetrate, like upside, opportunities, in the end, it's mostly about…. That you've identified, are there some real red flags here? (#22)

> We are often a sounding board when teams suggest issues they think it's important to look at, that we have a challenging discussion there. And to help them find the right advisors, and plan–what is really important to look at right now, and what can we look at later. So there we have a quite a few such small dialogues. And then you're always really curious to see what comes out of the reports, so we follow...When there's a lot of activity it is difficult to be very involved... but we all try to follow the hotter investments... (#23)

This is worth some attention. We have understood that 'ESG' must be in certain positions, or places. It should be on the 'inside' where and when ostensibly important calculations are made – instances of calculative centredness, we might perhaps call them. At the same time, when such centredness occurs – one analyst talks about "hot investments", characterized by a lot of calculative effort (frenzy, perhaps) – then 'ESG' cannot be that implicated. 'ESG' must take the form of "red flags".

In the due diligence process, the ESG team is one of several teams involved in preparing an investment recommendation material.

> And to that, all these [executive summaries of] reports from different advisors are appended, so it mirrors the interpretation of what was said and the summaries. Same from our industrial advisors. /…/ In all our investment recommendation materials, that's actually a particular requirement we have, there should be an ESG analysis. And that is disregarding whether there has been aspecific ESG stream or if it has been done by an environmental consultant... it's a bit mixed. (#23)

There seems to be something paradoxical going on. On the one hand, so much here seems to concern being *there*, being involved, and thus enacting ESG in a key position. At the same time, the ESG analyst, as an entity, is to eventually be written out of the story – when ESG has started to happen. We saw how 'company dialogue' was to be managed by the local portfolio managers. We saw how the target of 'ESG data' was not ESG analysts but their portfolio management colleagues. We saw how portfolio companies were to engage in activities and report on KPIs without it being a "separate agenda". 'ESG' was to be a part of the due diligence process. Several analysts proposed that they themselves would – or rather, should – become redundant. One analyst referred to working together with one particular analyst, to get that analyst "comfortable". This, however, was relevant to all asset management groups:

> And the idea there is that we will achieve a good working model, so that [the portfolio manager] – so that they will feel comfortable with it. And the end goal, I guess, is that I shouldn't have to be so involved, but rather that they will do all the analyses, and they will only go to me in special cases. That's the goal, that each asset management group, should manage itself. (#10)

At some point, it seems, when there is data and a 'model', ESG will be so much there, that it requires no material manifestation in the form of an analyst. Not everyone agrees, however:

> Our goal is really… I mean if you sit in an investment team, you must have this knowledge. That is really the integration that must occur. Then in the long-term, I think that just like there are experts on financial reporting, there will be experts on maybe the more non-financials parts, but you as an investment professional, have to be able to interpret both types of data, and understand… What is good data and what is bad data. And we don't want just a few people to be able to do that, everyone should be able to. (#22)

5.3.2 'ESG' and sustainability in portfolio companies: Getting some 'oomph'

While making 'ESG' happen is supposed to take one form in the fund management setting it seems slightly different in the private equity setting, where companies are fewer and more "direct" interaction and intervention is possible. Earlier, analysts described approaches to "getting ESG in there", both in investment teams and investment processes, their meetings with portfolio companies, and in performance updates from portfolio companies. But it is also important to do 'ESG' as the orchestration of activities and interventions in portfolio companies. One private equity ESG manager explains an approach to "get things started" in portfolio companies. First, it is important to map risks and opportunities, for instance drawing in 'stakeholders' and 'employees' through surveys. You might then get a list of ten 'stakeholder demands', which are to undergo a materiality analysis, and be plotted in a quadratic mapping, a variant of the one discussed earlier.

> So then we have a few things, which seem material to everyone, we'll focus on that. And that creates like a shortlist per company, on activities. And then we start to decide actions and think about which KPIs to follow. (#19)

From a list of actions and KPIs, it must be 'integrated', and that is done by talking about the list with the management team of the portfolio company. It is not always obvious where to turn to "get things started":

> Something that I thought of which is interesting in this process is when we have this first meeting with the portfolio company. In some cases, it's given who should be in this meeting. But in other cases, it's not. And then it's interesting, and fun, as we have seen in several companies, how seriously they take this, to find the right person to get this hat they might not have had before. And how they already there, kind of, start to create or formalize sustainability management. (#23)

> This is a way, that you work through all this, and get the whole management team on board, and this becomes like an integrated discussion in the company's other themes. Then you don't need to have like a separate ESG agenda in the same way. So I feel that when you've run this thing with the management team, you get kind of another… a completely different *oomph* in the company. (#19)

> And the last part, so that it won't just be a product placed on the shelf, there must be very concrete next steps. It can be like what one should do the next 100 days, which you often hear in the private equity sphere, to… of course the more long-term initiatives. (#22)

Something with "oomph" that is not a "separate agenda" placed "on the shelf". Again, we might analyze the two quotes both for the ESG they express and the alternative that is to be avoided. We might tease out that 'ESG' is not sufficiently there if it does not also result in activity. "Next steps" and the "next 100 days" are a way of enticing such activity. Like we have seen previously, terrains are drawn up, and 'ESG' is to both retain its identity and disappear into something that was already there.

5.4. Concluding reflections and ways forward

I would like to conclude this chapter by engaging both with a broad empirical concern and the conceptual repertoire of the dissertation. This section shall thus be understood as serving the purpose of drawing up some lines, or arrows perhaps (we are indeed in the process of enacting a material-semiotic arrangement). These arrows reach inward to the conceptual centre, and forward, to the following empirical chapters.

It is possible to "open up" by "closing in" on a minute piece of interview material. In the following excerpt, we see how the broader frustration is couched in the same concern for things to "happen", and for 'ESG', or rather 'sustainability' more broadly, to be in there. We recognize the terrains at play, by now, but this time they are couched in a substantial amount of frustration:

> I think we need to have a thorough discussion between investors and the corporate world, about how we create incentives for long-term analyses and circular business models. Both investors and companies have started a tiny bit to talk about it, but not much is happening. What if investors brought in requirements on circular analysis to the investment analysis? And that all analysts would ask the companies questions like "We want you to show us a transition to a more circular business model", or "How can you use circularity in your value creation model, addressing also the planetary boundaries including the two-degrees climate target, both for your products and your operations?". That should be part of every conversation between an asset owner or asset manager, and a company! But how do we get there? (#21)

Implicit in the statement are several assumptions: "Talking about it" is good, but it is just a start. "It" here refers to a 'long-term view' and 'circular business models'. More specifically, the statement mobilizes 'circular thinking', 'planetary boundaries', and the 'two-degrees-goal', entities that can only be pointed and referred to because of a vast hinterland (Law, 2004) of knowledge practices. Beyond talking about 'it', things must be 'happening', and one arena where this could be mobilized is in 'investment analysis' and 'conversation between owners and company'. Implicit thus is an assumption that something will happen if only entities such as 'circular thinking', 'planetary boundaries', and the 'two-degrees-goal' were present in particular, key positions of calculative importance. We might infer what is supposed to happen when this presence is achieved: new knowledge, new calculations, alternative decisions and realities (cf Brown, 2009)?

5.4.1 Situated enactment of the 'ESG' object, its trajectories and positions

All the discursive representations of 'ESG' discussed in the preceding sections reflect an alternative. A concern for something going somewhere relies on a version when it does not go. A concern for something happening relies on the alternative world, where it does not happen. Enacting the version where something happens – when 'ESG' becomes important, for instance, and orchestrates activity – seems to hinge on there also being an alternative outcome, where this did not happen. Sometimes analysts speak openly about things that do not go as they are "supposed" to – neither *whither* nor *how* – and sometimes it is just implied in how interventions and remedies are brought up. Thus, 'ESG', as sustainability practice in general in organizations, is replete with normativities. As I will return to in Chapter 8, however, a material-semiotic approach prompts another form of engagement with such normativities, another form of commitment from the researcher. In a sense, however, the field engagement as such reflects a form of commitment, a "taking sides". But more on that later.

The chapter has been intended to illustrate both how the conceptual repertoire is anchored in emic, more or less mundane concerns, and why exploring them is a worthwhile endeavour. I have argued that while these discursive representations of day-to-day work are illustrative of the effort and concern involved in making an ESG that is "in there" and that is "real", they only go so far. In the next chapters, we will observe the practicalities of 'ESG integration' as they unfold in the day-to-day. By drawing on the material-semiotic approach of ANT-and-after, we shall explore how the spatialities of the object, the trajectory and the position are done in practice.

Chapter 6

Enacting ESG trajectories

This chapter follows practical work situations where the trajectory of ESG is at stake. It traces trajectory work, by following how 'ESG integration' is enacted in meeting situations, from the arrangement of the chairs and the participants to how accounting artefacts are mobilized. In the first part, Kim, the ESG analyst in *Diligo*, goes to meetings with companies included in a sustainability portfolio. Here, we follow practices of inscribing 'ESG' into the company-investor interface, itself a form of (abstract) spatial position. By the asking for and mobilization of accounting artefacts, such as a set of KPIs and an energy efficiency survey, these sites of practice materialize the dichotomy 'ESG'/'the financial'. Thereafter we follow how the ESG team in *Aurum* mobilize various techniques to produce an 'ESG rating', and how that 'rating' is then mobilized to produce 'feedback' and a 'case study'. The episode also deals with the effort to inscribe 'ESG' into *Aurum's* portfolio update, the 'monthly letter', ensuring the enactment of a 'substantive' ESG. Here, what is at stake is the rendering of a trajectory into portfolio management. The fourth shifts the focal point to the other end of the trajectory "arrow", to an investment team meeting, where an ESG analyst participates. Together, the four episodes illustrate, in different ways, how a trajectory is a relational achievement enacted in practice.

6.1 The consumer products meeting: 'ESG' in the capital markets interface

In this section of the chapter, we follow along as Kim, *Diligo's* ESG analyst goes to meetings with portfolio companies, that is, companies in which the fund the analyst is "managing" has investments. As we study the technologies and discursive practices, we watch closely how relations are being done. What is brought in? How are 'ESG' and its trajectory to an in-there position being performed? How are material-semiotic relations elaborated? How are different entities like 'revenue', 'the market', 'consumers and 'products' enacted? What is done as a matter of contestation, and what remains implicitly done (cf Law, 2011)? We are in a meeting room in an office on the outskirts of the city. On one side of the table: Kim, ESG manager from *Diligo*, the researcher, an ESG manager (Sasha) and a portfolio manager (Leone) from another asset manager: *Pretium*. On the other side: Eleven, from communications; Yaël, the CFO; Sol, from operations; and Paris, a sustainability consultant, from *Vicis*, the company hosting the meeting. *Vicis* is active in the consumer products sector. There is a smartphone on the meeting room table, from which an unnamed analyst from *Cathedra*, a third investor organization, is listening in. On the wall is a monitor with a PowerPoint presentation. The room has been set up like this deliberately: Kim asked when entering, if Eleven and the others wanted the analysts to sit somewhere in particular. It was proposed that investor representatives sit on one side, and company representatives facing them.

Nervous comments that although the conference phone would not cooperate today, at least the PowerPoint did. Agreement around the table that conference technology has been the end of harmonic meetings.

A round of introductions. Leone remarks:

> Leone: I particularly do *not* want to see any [ethical] scandals, because then I get many questions from our clients.
>
> Sol: How much do you own today?

Leone: Nothing at all right now… I took a small position recently through a quant mechanism, but nothing at all in our qualitative… one could say we have awaited this meeting.

Yaël again:

The background of this meeting is that we have received interest from these three funds, and we thought it would be a good opportunity to get together and explain. We will especially talk about the project which we have engaged in to create an increased focus on sustainability. The idea is to give you an image of our ambitions in this area. For us it's also for economic reasons we want to succeed with this, we do not just see it as a cost, but as revenue, when we succeed. But I am the one who knows least about his.

Eleven presents an agenda. There are a few items, displayed on a slide: "Sustainability 2017", "Project and task", "Steering committee and sponsors", "Process", amongst others.

Eleven: I am head of communications, but I have this sustainability part, too, in my job. My background is in [Company], and ten years ago when I started here, I used to think that these sustainability people were kind of the nerds in the company. I had a hard time seeing this connection to the business.

And so it is that the two opening statements have performed a kind of division that we by now recognize: 'the business' or the 'economic' as opposed to 'sustainability'. Another division was made in the seating arrangements, of course, with the investor representatives on one side of the table, and the company representatives on the other.

The projector is displaying a slide over the history of the company, how it got its present "form" after a range of acquisitions, and a listing on the stock exchange.

Eleven: Since I took over sustainability, we have instated a steering group, which has been working on doing a kind of situation and materiality analysis, with the purpose of setting goals and doing reporting in accordance with the new legislative requirements and the expectations of our stakeholders.

The PowerPoint displays a table with "Area" (Procurement, [Ethics], Employees…) on top of one row, and "Responsible" on the other - with names, titles and the word "sponsor" next to some.

> Eleven: Sponsor means that these persons also sit in the group executive team, and thereby are sponsors there. I have taken on this responsibility because it is important with order and structure and control over KPIs. That is very important to me. It has been important that we don't create a lot of new accounting procedures, and that we have control over the KPIs. We are working, since a long time, with scorecards for steering and control, and breaking down the business plan over a shorter time frame.
>
> Sasha: Is this a steering group especially for this project, or is it for continued work?
>
> Eleven: Well it's been for this project, but some of us will continue…
>
> Sol: You could say that this has been a lot about engagement… getting it started…
>
> Paris: This is supposed to be a platform to start from, and then to kind of zoom out a little bit….

The PowerPoint displays a collage of pictures: The grid of UN Sustainable Development Goals in colourful boxes. Goal number 17, "Sustainable Consumption and Production" displayed on a larger scale. A text with what looks like the font of one of the Big 4: "Interpretation of the new reporting directive". A screen shot of what looks like a scorecard, next to a logo of a major retailer.

On top of the slide is a photo of a whiteboard, which can be inferred to be taken at a project group meeting, somewhere else, some other time. A circle, and arrow, and another circle depict what is denoted as the "present state" and the "desired state". We are to understand that "things" are moving, in a linear fashion, towards a future, "desired state". We have heard people talking about "getting things started" and referencing abstract concepts like a 'platform' (from where one can start?) and 'engagement' (to get things started?). Moreover, we have been informed that 'it' ('it' goes by the name of

'sustainability' in this scene, this was a point expressly made by one of the company representatives) is "out" and "up" in the organization through 'sponsors'. We might remember and see a certain similarity with the investment teams from the chapter before and the way they were enacted as the way 'ESG' was transported "out" into the organization.
Six 'focus areas' are now displayed on the screen. Paris explains that…

> The materiality analysis has given rise to this type of split into six major areas. You have all surely seen these materiality analyses many times, so you know there are many ways… you can slice this salami many ways. We have asked each responsibility area to go into a bit more detail, with the help of a template per responsibility area. Here's one such example.

A slide is now displaying a long list of 'KPIs' (details withheld for anonymity). In the same pattern, the next 'responsibility areas', are "Healthy products" and "Safe products".

Look at the following excerpt from the conversation, and see how the 'product' is done in different categorizations:

> Leone: Do you have any KPIs about healthy products?
>
> Paris: Well… that belongs to those things that… we have wanted to take a real look at it. We do think about the degree of information… there are many different variations on "healthy". There is a difference, for instance, between [processed product], and [pure product].
>
> Kim: Yes, what I am thinking of is for instance… so you say [processed] versus [pure]… do you look at that type of product development and differentiation? Or is it just like… in the form of [main product] as opposed to some other [product]?
>
> Sol: You're thinking of [treatment], then.
>
> Kim: Well…
>
> Sol: It can also be things like additives…

Kim: Well I don't know, you are the ones who know, is there like a big span to work with here?

So this instance in the meeting scene started from a question about KPIs – which ones were "available" and which ones should be "produced". Again we recognize the epistemic work of doing 'ESG' from the previous chapter, how it is performed as measurements, indicators, numerical scores and results. Beyond this, however, other things are being done: 'products' can take the form of 'processed' and 'pure', and it can be other things depending on the presence of 'additives'. Throughout this meeting, 'ESG' is done through such material-semiotic relationships, where different entities are brought in, juxtaposed, related. This 'ESG' produces new categories and objects of measurements, and existing and proposed 'KPIs' participate in constituting them.

It is, however, possible to also study something else going on, which is not only related to performing 'ESG', the object. Something else is enacted, too: 'the analyst' inquiring, 'the company' responding – and the analyst responding again that 'the company' must be the source of proper knowledge on the matter. The two sides that were done in the seating arrangements continue to perform. KPIs are proposed – and from the 'investor' side, other, or more, KPIs are requested. Sol asked for clarification, while Kim pointed out that the 'company' side would have the appropriate information to respond. So while 'ESG' is made in material-semiotic relations, by drawing on KPIs, entities and PowerPoint slides, so is another entity: the capital markets interface. This is a spatiality, a position, and is performed both concretely and abstractly as the interface between two 'sides'. The relationship is material-semiotic, both in its arrangement, and in what it is to produce: the giving and receiving of numerical and visual inscriptions.

For instance, the relationship needs 'context' and 'comparison' to meaningfully perform. We shall see this in the next interchange, as the meeting continues. More slides, more responsibility areas. 'KPIs' make a return.

Leone: I am interested in how your products stand up to others'. If I maybe then compare to for instance [Competitor 1] or [Competitor 2]. It is reasonable that [Competitor 1] has no grip on this at all, but I see that you could benefit from being able to say something about it. Differentiation between different [consumer products]. So what is it, [alternative] for instance, how does that stack up?

Paris: So you mean like comparing different consumer choices, how about that?

Leone: I am looking for a number, as few words as possible, I want a number first. Like [Company 1] is a two and you are eight.

So 'comparing' and 'differentiating' is important, and ideally, in the form of a 'number'. This request will not be fulfilled at the moment, it seems, but it is noted down. Indeed, the meeting has been framed as an opportunity to both "inform" and "get feedback" – another example of how the interface is performed.

It is now time to hand over to Sol, to talk about 'operations'. In the presentation, a new slide is displayed. On its left side is a bullet point list, of various issues involved in the production. On the right side is a diagram with three bars, with a small product symbol (details withheld) – on top of each, accompanied by a number.

Sol: So this is the global picture. We argue that it has to do with three things. [Treatment]. [Inputs]. And [pathogens]. This is the bird's eye view. About [treatments], the thing is that here in the Nordics, and in Europe, there is a lot of discussion on it.

Sol goes on to explain that the specific treatment it is not very common in the region where *Vicis* primarily operates.

Sol: This is something we view as a huge existential question for the globe.

Sol: The other big issue is [input] and [efficiency ratio]. And that has to do with how efficiently [input] is converted into [product]. It is not just a sustainability question, but also actual money. [Input] is the single largest cost for us.

The graph prompts discussion. Someone wonders about a specific alternative product again (one that is not displayed on the slide) and how that stacks up. Someone explains that the alternative is "even better, at maybe 1.4", to signify the efficiency ratio. And then a discussion about different types of [inputs]:

> Leone: And I also wonder, isn't there a difference in [input], too? You only use vegetable-based… and for [the alternative] some [non-vegetable] is used, too, right?
>
> Yaël: Yes, for [alternative] it's probably 10-15% [non-vegetable], and the rest vegetable-based.
>
> Sol: Exactly, for [alternative], the use of [input] is a problem, because it is so clearly linked to [environmental issue].
>
> Yael: Another important point is that [alternative] is such a small fraction globally, versus [*Vicis*' product] which is much larger.
>
> Sol: Yes, because [*Vicis*' product] can be produced globally.
>
> Kim: But if you then instead compare to something that is doable globally in the world, how does [your product] stack up then?
>
> Sol: Well, in warmer climates the [input] requirement goes down, because [explanation withheld]. But [other alternative] ends up somewhere in the middle.

What is happening here? Again, entities and relations are being made, but now coupled with a number, the 'ratio', which places the 'product' in a context with its alternatives. In the next move, the interface is done again, as one of the investor analysts remarks that "this was a good slide!". It has produced 'context', 'comparison', and not least, provided numbers. Paris now turns directly to ask the investor representatives:

> Paris: But if I understand correctly, you would like to add [alternative]?

There is not much of a response to this question. Something similar happens with respect to the topic of another issue, typically described as both an ethical and environmental concern. When asked about their opinions on that, one of the analysts just notes that "it's a classic tricky question" and that "you are the pros, we expect that you are the pilot, and that you land the plane for us." We might understand the silence on the 'alternative' question with reference to 'context' and to the particulars of the capital markets interface: 'the alternative' is only specifically important if it produces 'context', and the onus is on the company to decide whether it does so. A relationship is being arranged here – and whether the 'alternative' should be part of it or not, depends on a whole array of knowledge.

Slides change, the discussion moves on. Now to [pathogens].

> Sol: We don't have [pathogen] here in [region]. [Other pathogen], however, is a tough nut to crack for [our product]. That's what causes the most health problems for people in the [broader region]. And when it comes to that, we are completely aware that we have had a, yes you have to call it a crisis, the last six months. It's a tough nut, because… because of the automatic [processing].
>
> Sol: It's all one equipment. So if one [incident occurs], it spreads through the whole line.
>
> Eleven: That is, if there is [pathogen].
>
> Sasha: And how long does it take? I mean, when is it discovered?
>
> Eleven: We have a systematic system, which measures continuously, and reports, and we have to report on it to authorities all the time. It's almost like a form of dashboard, where you see when it flashes red.
>
> Kim: And what does it look like in terms of actual impacts on health? We use mostly local [product], don't we?
>
> Sol: Yes, [country] is [percentage] self-sufficient on [*Vicis*' product]…. But it must be noted that this is about how you later, in the consumer stage, deal with the [product].
>
> Eleven: And perhaps we should also point out, that we have great numbers now!
>
> Leone: Sure, sure, but shit happens, that goes for all companies. Something happens, a car runs off the road. That's how it is, you can't run a business without it. So the issue is to weigh disasters against the equity risk.

Eleven: And in this case, it was due to [technical problem]. And now we have a KPI for [pathogen] in the scorecard…

The discussion continues.

Sol: I don't know to what extent you are interested in the issue of organic products…

There is not much of a reaction in the room.

Sol: So I'll answer the question myself. Globally, it is not a solution. We know that we have loads of poor people, and globally we will need *much* more [consumer products]. It's not sustainable on a global scale.

Kim: Maybe that would be shooting yourselves in the foot a bit, but could you maybe do some sort of comparison like that? To talk about the challenge? To bring in arguments around this. At the same time, maybe you want to sell those kinds of products…

Sol: Well yes, we want to sell what the customer wants to buy. But both organic, and [other product labelling], it requires a lot, a lot more… a higher input quota. It means we would need [amount] million kilos more each year if we changed over completely.

Kim: Is there also a big difference between [inputs]?

Yaël: Yes, there's a big difference in terms of raw material.

Sol: It requires that farmers grow organic crops… which yield less. And the thing is that if we manage our supply chain in the right way, there's no difference. In terms of [ethical issue]. If we manage our supply chain correctly, there's no difference. If we, on the other hand, *don't*…

Eleven: And then there are other things too, there are some emotional values here, the kind of stuff I'm focusing on… there's functional, and there's emotional, those are different things. There are people who actually demand and see value in these products, and we should cater to that.

There is now a new slide projected on the wall, displaying a list of different 'focus' for operations, like [treatment], [input efficiency ratio], and [ethical issue], below which specific KPIs are listed.

> Sol: When it comes to [supplier] quality, it's these basic things… we look at what the plant looks like. And then we have KPIs like (numerical operating KPIs, details withheld).

A crack on the phone line, the analyst located elsewhere is speaking.

> Cathedra analyst: How does it work in practice, do you do spot-checks?

> Sol: In practice, it works really well. We only have long-term contractors, and none of those… "wild" producers. So we've made a sort of quality handbook for the suppliers, on how to structure the plant. And then about [KPI] (refers to a KPI displayed on the slide), it's important, because it's an indicator of the conditions, [at an early stage]. And then below it's these things with… what's it called… [indication]… We measure that, and if it's bad we do a discount on the price.

> Kim: That's an indicator of something?

> Sol: Why yes, because it's a sign there is too much humidity.

> Eleven: And that's important for us, because even though we don't use that component here, they do in [region], and these will go on export, they must be sellable.

The last item on the list is 'supplier incentive systems'. Sol explains:

> Sol: And we think it's important with measurements. Money is the best consultant!

> Sasha: How many suppliers do you have?

Sol responds with a total and a breakdown per country. Kim asks about alternative inputs again, which was mentioned on an earlier slide but never came up.

> Sol: In most countries, we use [input]. That means that it doesn't have to be transported first to some factory, but directly to production. In [country] they also use a mix with [other input]… but when the EU wakes up…. It will be [third input], we will mix it in. Anyone can understand that.
>
> Kim: How far away is that, you think?
>
> Sol: Well, this year they approved mixing it into [input for other product], but not for us…
>
> Kim: Why?
>
> Sol: I guess it's the prudence principle… There's a worry after [the scandal in the 90's], and things like that. So they want a system to ensure quality, and then large investments are required…
>
> Kim: What makes [input] so dominating? Is it because of price, or is it optimized somehow?
>
> Sol: Right, it's optimized, exactly. But it's not [pure input] but something called [processed input], which implies that it has been treated and that [some parts] have been removed.
>
> Kim: How about [other input]?
>
> Sol: It needs to get treatment, too, because otherwise there [will be production problems].
>
> Eleven: We want to reach below [percentage] of [current input] throughout the production line.
>
> Sasha: What's the status?

Eleven: It's on that level in [country], otherwise it's around [percentage] on the group level.

A new slide now displays the development of the input efficiency ratio, related to a specific measure of end-product. The slide includes a vertical and a horizontal axis, and a line that has been going up slightly but at some point turned sharply downwards. Next to the graph, the reduction is translated into numbers of 'truckloads' and 'hectares' of the input.

Leone remarks that the line signifies a "huge percentage change" and goes on to ask:

Leone: Is it just about basic stuff, introducing more structure and order, or is it some sort of breakthrough that has led to this?

After a short silence, Sol responds:

Sol: Primarily the former.

Kim: But is it just like… starting to measure? Or what is it that drives results, except measuring? What can you experiment with?

Sol: That would be [input characteristic] then… what causes [input productivity]? Well, [input characteristic]. So it's about mixing different things into it.

Kim: So it's about precision?

Sol: Exactly.

Sol starts describing a project concerning a new means of transportation.

Sol: It brings the [product] from [primary production site] to [secondary production site]. Right now we have about [number] of these. They have a completely new technology that provides a more even temperature, a custom-made ventilation system…

Leone: Do you own them yourselves?

> Sol: No, it's an entrepreneur… And the idea is that we will roll this out completely during the next year.

The slide shows various pictures from production plants and the logistics of the supply chain.

> Sol: On the right-hand side you see something we are first in [region] with (details of innovation withheld). So this is an innovation that increases both [ethical issue] and productivity.

Kim has a question.

> Kim: So which is the world's best producer?

> Sol: There are several in the world one can take inspiration from. When it comes to the efficiency ratio, there's one in [Country].

> Kim: Right, so they are not competitors, you can learn from them…

> Yaël: In general [local region] is better than the rest of the world. The ambition is to bring what we do here, when we expand, to become a preferred supplier.

> Sol: Right, doing a copy-paste… for example to [country of recent expansion].

> Kim: Is it a long way to go, what does their basic level look like?

> Sol: It's a completely different focus in that market. [Treatment] is not even an issue. In a few years we might be there, we have started a change project…

> Leone: But it is just natural that when you make an acquisition, that this involves work to get them on board. There is no expectation that everything will be in place from scratch.

The meeting is about to conclude. The current slide displays how the project group previously presented will become a council.

> Leone: Should I expect a large difference in the reporting for the business year of 2017, or will the major changes come in 2018?

> Paris: Next year, the idea is that targets and KPIs will be in place…
>
> Leone: It's just so that I can keep my own outlook in check, to know what to expect.
>
> Eleven: So do you have any more general feedback on this?

Someone responds "It seems good… well thought-through…". Leone comes back to the "shit happens" argument, but develops it a bit more this time:

> Leone: My message to you, I guess, is to dare speak about it, also when something goes wrong.
>
> Kim: I think this issue with context is important. So, therefore, these different comparisons are important, so that we as outsiders are able to put you in relation to something.

The meeting is over. What did it do? I will argue that the meeting was a site of materialization of 'ESG' in the ownership interface, by means of inscribing and elaboration.

What I mean by this is that at least for Kim and *Diligo*, ownership was not at stake (as opposed to, for instance, some of the epistemic practices in Chapter 5 when 'divestment' was a possible, though unlikely, intervention). Kim was not there to evaluate *whether* the portfolio company *Vicis* really belonged in the portfolio. However, the relation between investor and portfolio company, here performed as an interface, needed elaboration. I have proposed that the interface is a spatial position, done in practical arrangements. In this enactment of ESG, the important position, the "in there", is this interface.

There were at least two versions of 'ESG' that were in the process of being elaborated. One version was accomplished primarily by the PowerPoint slides and the *Vicis* representatives talk. Here, 'KPIs' inscribed into a broader programme of change and stabilization. A project had become a permanent group – out-there in the organization, brought in-here to the meeting to signify how 'sustainability' is "in there" in *Vicis*. 'Sustainability' – in the form of KPIs and people – was *in Vicis*, and thus it was in the interface.

The other version was to be accomplished by context and comparison, and was made in the investor representatives' questions, but was also made in some of the slides: the juxtaposition of various product alternatives by means of 'input ratio', the comparison between *Vicis* and similar companies, in particular a 'number' for how healthy the products were ("as little words as possible").

The issue of 'scandals' serves well to illustrate the difference (but partial overlap) between the two versions. One analyst states early on that avoidance of 'scandals' is important'. Throughout the meeting, KPIs and measurements are mobilized to enact an *absence* of scandals – this is the version enacted as 'sustainability in Vicis'. This is however foreign to the enactment of ESG in the 'interface' – because "shit happens", absence is neither necessary nor possible, and relations are more important: 'scandals' as a likelihood, in relation to 'equity risk', 'scandal' as event in relation to 'the market' by making sure to communicate openly about it. So while 'absence' is an ideal in one version, 'prediction' and 'relativity' are more important in the other.

In the next section, we will explore a situation when the 'context' version of ESG has been done more upfront, already in e-mail communication, and at the start of the meeting. We will see how the interface is done slightly differently. Now it is the ESG analyst that mobilizes accounting technologies, rather than the company representatives. A slightly different arrangement of object, trajectory and position is done.

6.2 The industrial equipment company survey meeting: Linking 'ESG' and 'the economic'

Another meeting room, in another office building. Kim meets two company representatives from a manufacturer of industrial equipment, *Aspicio*. Over e-mail, Kim has explained the purpose of the meeting, which is to "go through a screening method to measure exposure to our investment themes". The company has already received the template. After getting coffee, the meeting participants enter a small room with glass walls both outwards and inwards to the rest of the office, a small meeting table, and a TV screen. Representing *Aspicio* is Ayhan, head of sustainability, and Toulouse, a self-described "accountant who has gone in to support the CSR function in connection to the new reporting requirements". Kim talks a bit about the background of the 'sustainability fund' as a sort of introduction to the meeting.

> Kim: I have been with *Diligo* for a few years now, and my first job was to construct this sustainability fund. We have started from the idea that we believe that companies with certain characteristics and exposure will benefit in a slightly longer run, about five years – which is super long in our line of business. /…/ When I started [in ESG] it was clear that some did things, and others did nothing at all, so there was a clear first and second league. That's still the situation in emerging markets. But if you look at our stock exchange, it's almost… no, it *is*, it is a hygiene requirement. Even if it varies how far companies have come, and how efficiently they work. But then the issue is that I cannot really say that *Aspicio* is better than *Convolvi*[27]. We don't have that kind of access to concrete processes or ways of working. But we can study, specifically, the products. So that's the focus in this fund. So, therefore, we are interested more in what you do, what kind of impact you have out in society.

So we see from this quote that although 'access' is lacking, that is not the main concern. The issue is *not* "concrete processes or ways of working", but rather 'impact' of 'products'.

> Kim: There is surely a trend that it's getting more and more data-driven, big data volumes… sustainability reports becoming more useful when it comes to processes. And better data to see trends over time. But when it comes to sustainable value creation… It's one thing about the one-business-line companies, like *Saeculi*… they have this innovation, and they do everything to kind of push for that. So it's very clear. But older companies usually have a history of client segments, for instance, and they can be both in brown and green sectors.

Ayhan responds.

[27] *Convolvi* is active in a similar line of business, and also listed.

> Ayhan: We do have quite a lot about that in our sustainability report, which we have chosen to include in the annual report.

We recognize the ambition for 'inclusion' or 'integration' from Chapter 5. It is probably not by coincidence Ayhan chooses to mention that the 'sustainability report' is "included" in the 'annual report'. Ayhan goes on to draw in specific contents of the report, making links to many things Kim has mentioned so far in the meeting.

> Ayhan: Firstly, there are a few pages on this in the report itself, and then there is a lot of focus overall on these issues, in the report. It will be released on [date] since our annual general meeting is [date]. And energy efficiency, which you mention[28], is really a focus, and we do keep our eyes on *Saeculi*… In our [business segment], all our clients are big giants. Like *Seriatim*, they really want this type of solution. And we've helped them with a solution to [description of technology]. So there we have our own technology that is quite similar to *Saeculi*'s. And there the question is just how much of [resource] can be recovered, and how you measure the effects from that.

> Ayhan: We don't have a KPI this year, for our products. Because you end up in the problem of what to compare to. The competitors are developing all the time, too. It's a bit like with electric cars: what would you have if you weren't driving an electric car? Should you compare to diesel, or what do you do…

> Kim: That's difficult for us, too. And there are several different analyses you can make, and sometimes you realize that OK, you have to realize that something is just middle of the road and that it is not at the forefront.

The first part of the spreadsheet template that had been distributed asked for the distribution, of revenues, over different 'segments'. Already before attention is turned fully to the template, Ayhan had briefly introduced *Aspicio*'s different 'segments'.

> Ayhan: But the thing is that our clients would stop buying from us, especially when it comes to [Segment] if we weren't the best. *Seriatim* kind of has their own vision which drives them, making them invest a lot in this, and others too…

[28] Kim mentioned this when describing how the sustainability fund was constructed.

Ammodo, *Miratus*… and *Rebus*, too. And then we also have a little business segment in [name of segment]. They are in [region], especially in [country], and they contribute to purifying [specific environmentally destructive industry]. So that's fits perfectly with this! And then we have [business segment]… there we touch upon the issue with [those clients' line of business], it's always a bit sensitive. But we have argued that our products make [the process conditions] optimal. People do [use it], so it will continue to be produced… but you increase the efficiency with good [production conditions].

Kim: Is that also a question about energy efficiency at the plant?

Ayhan: Exactly, first it's about controlling [condition], and secondary also the energy efficiency… And then we have [business segment], our largest…

Kim: I did send you this form (referring to the spreadsheet)… you might have felt a bit like "woah!".

Ayhan: A little bit, yeah…

Kim introduces the survey and its 'background'.

Kim: It started with an idea around the CO_2 footprint in the portfolio. Of course, we hope that the net is positive, but we don't know. We can't measure it in a good way. So the question then was if we could find some better type of basis for decisions. That's something that I need in my work. And this is intended as an embryo for continued work. So the form is a first step in trying to measure the exposure. And different companies have different ways of slicing the business, either in business areas or customer segments. And what we are interested in is how energy and climate relate to the business, if it's in the very core or more general. So that's the first part of the form.

The first pages of the print-out are structured to allow input of 'business areas' and 'customer segments', to be accompanied by "% share of annual sales'.

Kim: And then it's about getting an idea of the companies' own vision of sustainability as a business driver.

Turning to the next page in the printout:

> Kim: In your case, you have a technology split. And from what I've understood from what you have been saying is that in some cases it is central, in others it more a focus on the [offering].

In the grid system on this page the terms 'core', 'broad', 'isolated' are defined. For each 'business area' or 'client segment', one of the three, or 'Not considered' should be added.

> Kim: I'm quite satisfied with this… but the [consultants] wanted to develop more about things like recyclability, life-cycle, product lifetime, how to work with the supply chain…But the further down you drill into this, the further away you get from the regular business logics.

Ayhan is looking for something on the laptop.

> Kim: And as I'm listening to you, I keep thinking that your business could well be described in this structure. I'm sure there are others that have a harder time doing it… So it would be really interesting if you have the opportunity to fill it in.

> Ayhan: I'm looking for our Q4 report where there might be revenue figures per client segment… I have to check what's there… It's the issue about what we can release to the market, what is already out… otherwise, it might get difficult. It's grouped there on sub-segments, like industrial and commercial. The specifics of different industries is more in the text… but sure, business segments is no problem.

Kim explains the 'scale' of 'core', 'broad' and 'isolated'.

> Kim: Core means that it is the main thing. Broad means that it's not primary… isolated is more isolated…

> Ayhan: And then for [business segment] and [business segment]… there it's core. In [business segment] it's secondary. In [business segment] it's not at all, because there it's about [other environmental benefits].

Kim: Right, that's something else.

6.2.1 Spatial alignments, or "Give me a two-by-two matrix and I will give you another one".

Kim returns to the question about what is primary, and what is secondary.

Ayhan: Yes, coming into the issue of R&D then, so the focus has always been… whether it was about changing a motor to a new compressor technology… you can also drive down energy consumption. And when it comes to the clients, like one of our largest, *Crastina*… all their new [sites] in the US have our [technology]. They have some kind of target about how much to save on energy consumption… that kind of stuff pushes us. And in the sales process, they focus a lot on the approach of changing just one component instead of the whole…that's what they talk most about. And it has been a bit of shift there… that we try to think about how to sell one big product versus selling more maintenance.

Kim: You mean like system services, then?

Ayhan: Exactly, just changing something… and then that we provide more on-going services. That we sell a [characteristic], not a product.

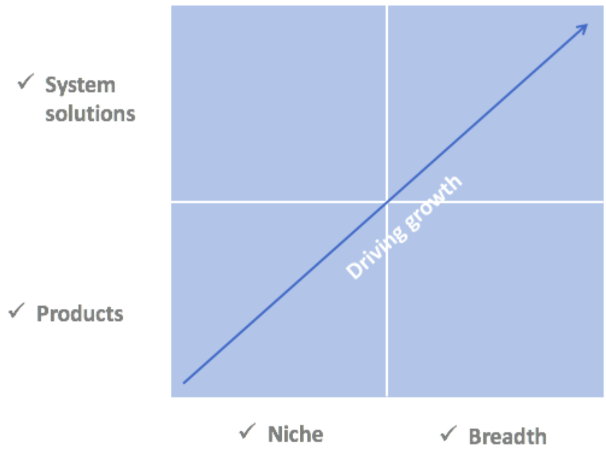
Kim: And this is a new way of thinking?

Ayhan: I sit in group management since a year back and we have been working on a new strategy framework, describing the strategy. It was launched in the last few weeks, we have replaced some building blocks. And there it's a lot about what we sell. So it has been formulated in the management team, and now we're pushing it down into the organization.

Kim brings out a laptop and shows a slide with a two-by-two diagram[29]

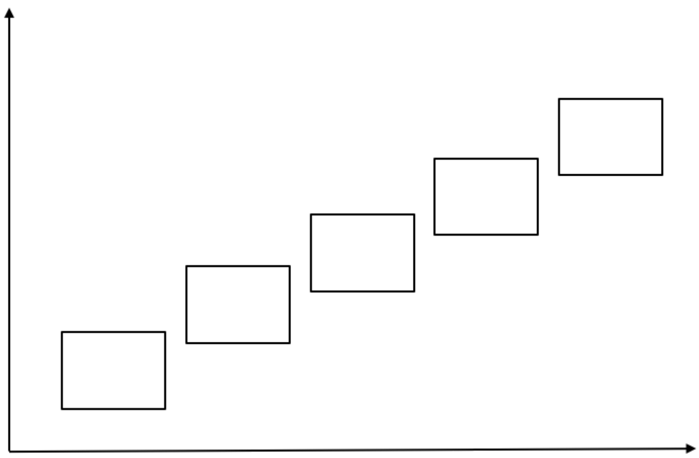
Kim: We have one of these… This is not specifically for sustainability, just that it is interesting to think in systems… it can be other types of systems. *Saeculi* would be down here (pointing towards the bottom-left). And up here (top-right) we have the big growth drivers.

[29] This slide comes from a marketing slide show, describing Diligos's sustainability fund.



Ayhan responds by bringing forward another slide, this one with a slightly similar diagram.

> Ayhan: And we have this one…



The labels are not shown here, for the purpose of preserving anonymity. However, the y-axis label corresponds to something like "relevance, for the client, of *Aspicio*'s general offering", and the x-axis about the degree to which a 'service' is offered. Each box represents a particular type of product of *Aspicio*'s.

Ayhan: If you think for instance about the making of car batteries, it has exploded. With a lot of demand in China. And for that production, you need to have [description of *Aspicio's* offering]…

Kim makes notes in the print-out of the survey spreadsheet.

Kim: So you're saying that you have a driver in that the car battery business is growing, with their specific requirements…

Ayhan confirms. Kim points to one of the boxes in the diagram.

Kim: And what does that mean?

Ayhan goes on to explain some specifics of the technology: it relates to one of the business segments, and the possible usages the client can make of the technology. Ayhan illustrates with describing a particular client, that client's line of business, a made-up location, and the various choices the client has in terms of 'equipment' and 'service'. The overall message is that this particular client is in the top-right corner.

Ayhan: So that's how far we've come with this, a bit… but there's a lot to do here.

It has been argued previously that two-by-two matrixes function as organizing inscriptions, constituting the reality out-there they are to depict (such as 'the market', see Pollock and D'Adderio, 2012). Here, two two-by-twos are jointly producing a spatial movement "upwards" towards the top-right corner, where 'system' is inscribed. This movement, in turn, is inscribed into the interface between the 'investor' and the 'portfolio company'.

Kim: Is this a journey you're communicating broadly to the market?

Ayhan: Yes it is…

Kim: What we sometimes see is that there is maybe particular news, but no overall communication…

> Ayhan: The annual report is out soon, maybe there will be something in that.

'KPIs' and 'measurements' make a return.

> Ayhan: I have discussed with the R&D staff… some companies use a very complicated model… for us, it would be to measure energy consumption over time. And there, there are good KPIs. But we always sell systems! It's very rarely a standard product.
>
> Kim: Right…
>
> Ayhan: So we have to find something… it's easier to just measure own production! Some companies have like an eco-line and report revenues from that particular product or line.
>
> Kim: Right, that's more when it's about consumers… like a vacuum cleaner.
>
> Ayhan: And of course, then it's often a lot about material choices and so on, this about reuse, recycle… what type of materials are in the product. But for us, energy consumption is the most relevant aspect.

The next section of the spreadsheet has the headline "Sustainable Growth", asking for a ranking of 1-5 of 'opportunities' like 'resource efficiency', 'energy source', 'products and services', 'markets' and 'resilience' or "any other category according to your understanding". Each 'opportunity' is described and defined in the margin. Kim proposes that this might, for instance, be "your views on" the industry discussed earlier, which *Aspicio* delivered into, which was 'an issue'.

> Ayhan: Right… and then it's R&D.

Referring to the next section of the form:

> Ayhan: Of course we know the R&D budget for each business segment, I'll have to ask them…

Kim: And you just have to check the box. We want to make it simple, here it's almost just a finger in the air.

The form asks for a split, again between 'core' and 'isolated', where core refers to whether funds are allocated to improving the energy efficiency of products in general, and isolated, only to "specific products".

Ayhan: I can ask the departments for estimates… I can say right now that for [business segment] and [business segment] it's core. For [business segment], I guess it's nothing…

Kim: And then about recyclability.

The spreadsheet asks about a 'degree' to which "the average product can be recycled in comparison to the industry average", and provides the three categories of 'high', 'medium' and 'low'.

Kim: I'm aware that it might be difficult. This materials journey… maybe you're not there yet.

Ayhan: No, that's it. So far, about those things… so far it has primarily been that you sell a product. It lasts for a long time. These are no throwaway products. And which you dismantle if you discontinue… It's not something you throw in the woods, most of the components can be sold. But there hasn't been a fancy programme.

Kim: Not one of those design…

Ayhan: [Business segment] sits here in this office, including their R&D, and they have an engineering student here working on doing an LCA on of the big products. But we don't have a KPI like that.

Kim: The thing is that 1-2-3 and suddenly there's some regulation… But anyway, you can think about it. Maybe you're somewhere in the middle of the road.

The next section, "Product Diversification", prompts the inscribing of the size of the 'product portfolio', "compared to industry average" – either 'smaller', 'equivalent', 'larger' or 'don't know'. It is also possible to add 'number of product groups'.

> Kim: So diversification… it's always easier to understand the business if the diversification is low. There are some pure-play companies, with just one, very clear product.

> Ayhan: I can ask around if we have any general idea of this… with [name of strategic initiative]… a part of the strategy. There we focus a lot more on selling products with the core technology. And we have discontinued and divested more and more of things that are not core technology.

Toulouse has been mostly quiet, but now fills in:

> Toulouse: It's different for different customers.

Ayhan turns to Toulouse.

> Toulouse: Yeah, maybe we should ask Izumi about that.

The next section, "Durability", prompts to fill in "products' durability relative the industry average", with boxes for 'less', 'equivalent' and 'more'. Kim explains that durability refers to "the durability of the products".

> Ayhan: We should probably ask Izumi there, the head of R&D for [business segment]. But generally one can say that our products easily last 20 years.

> Kim: Yeah, you might already have an estimate, just the general idea.

> Ayhan: I see, it's an estimate and not exact science.

> Kim: You are more than welcome to just comment.

The last section of the spreadsheet has the headings "Vertical integration" and "Vertical Integration – upstream value chain".

> Kim: This last part deals with climate impact in the value change, and the extent to which you do outsourcing.
>
> Ayhan: We do fairly little. Of course, we purchase raw materials…
>
> Kim: What the issue is here is that… when you choose suppliers… and then about their production, their energy efficiency… do you do like an LCA or something like that?

Ayhan makes notes on a paper copy of the spreadsheet, reading out loud:

> Ayhan: "Energy efficiency of our suppliers…" We do work with a supplier self-assessment, but it doesn't go into detail when it comes to energy efficiency.
>
> Kim: And this LCA that you mentioned earlier, is that the first time? Because then these issues do come in.

Ayhan and Toulouse confirm.

> Kim: So the clients don't request an LCA?
>
> Ayhan: No, it hasn't been demanded by clients, we wanted to do it for ourselves. And we have focused a lot on energy efficiency, if it's possible to decrease energy consumption during the usage. So that's our own interest, nobody has asked. But we think it will turn out right!
>
> Kim: These last questions are really about getting a broader image of the impact.

To conclude, here the reality work is slightly different than in the consumer products meeting in *Vicis*. Through the survey tool, which serves to inscribe a pattern into the meeting, one version of ESG in the interface seems to dominate most alternatives. The issue seems only to be to what extent individual pieces of information will be added into the survey spreadsheet, either because of 'confidentiality' or because no such information was available. Throughout the process, linkages are made between 'sustainability' and 'the business' via 'energy efficiency', 'clients' and 'exposure'. The links are made in the spreadsheet, in the talk and in the PowerPoints, both of which enacted a version of a journey "upwards" to the top-right corner of a two-by-two matrix. We see how "getting ESG in there" was a laborious process of material-semiotic effort. Interestingly, while linkages were made, it was also suggested that if you "drill" too far, the connection is lost. The trajectory of 'ESG' into the 'financial' seems to hinge on making relations. We might also ask whether this trajectory effort – especially the more detailed it gets – recursively produces separation.

6.3 The ESG team meeting: 'ESG' into portfolio management

In this episode, we exit *Diligo* for a while and instead enter into *Aurum*. In this episode, we follow how *Aurum*'s ESG team deploys various techniques and engages in effort to produce an 'ESG rating system'. A survey is being sent out, and now responses must be enticed, for instance by mobilizing portfolio managers. When there is a 'rating system', which has produced a portfolio representation where companies become similar data points, it is also possible to compare and produce 'feedback', which is to be sent out to portfolio companies. The team also discusses the production of a 'case study', and how to get 'ESG' into the monthly letters describing 'portfolio performance', published online for clients.

6.3.1 'ESG' in the spreadsheet

The location is a small meeting room with a round table, minimalist furnishing and a soft carpet. There is a laptop on the floor, where a spreadsheet is displayed. It comprises rows and columns: a list of companies, and rows spreading out to the right. "Answered questionnaire", "Received reminder", "Management team", "Women", "Independent", and finally, on the far right end, "Score". Colourful boxes are displayed in a row along the columns. At a closer look, the boxes are small versions of the box visualizations of the sustainable development goals, mapped in accordance with how a goal relates to the component of the questionnaire-rating-system. Minutes before, Eden, an ESG manager, has explained this 'ESG rating system' for me, a previous version of which I have seen during a meeting a few weeks back. Work has preceded what is now displayed in the spreadsheet: questionnaires have been sent out to all portfolio companies, and responses have been manually input. Eden explains:

> Eden: This is a first version, where we've tried to include the SDGs. We have made it based on three pillars, that is, ESG policies and reporting, board and management representation, and if they participate in international guidelines and reporting. Historically, the focus has been very much on E, but we clearly must focus on all three, just as much. G comes more naturally when you're doing this kind of stuff, so we need to put the most work into the others.

In the "Answered questionnaire" column, an x, Eden explains, signifies a response, while a green shading of the box corresponds to having "answered satisfactorily". In awaiting responses to come back, the ESG team has gone to other sources, like websites and company reporting, to find the appropriate pieces of information.

> Eden: We started off with a bigger scope, but then we made it smaller, to avoid scaring them off. Sometimes it's difficult to even find the management, to even understand who is in the management team of a company. My idea now is that we will move further with the top ten… like making case studies, and hand out an award. Over time, we want to keep the same constitutive parts, but we will make it more specific for the next round... For now, we will give them their score, and what it is based on.

The approach is also described in public reporting. There, more numbers are reported: how many companies were assessed, how many achieved different threshold level scores (and how the different thresholds correspond to ordinal categories), how 'strong' performance relates to total assets under management. The report also draws up more plans: feedback and new questionnaires will be sent out for the current year, to produce a new assessment at the start of the following. Finally, a statement on the importance of transparency, drawing up how adjustments might be made on the basis of 'additional information' supplied, although a top score will not be rewarded, because of the importance of 'transparency'.

Back in the meeting room, a text message appears on the screen.

> We are ready when you are.

It is Charlie, an ESG team member located in another office. A video conference with Charlie and Thaïs, also in this other office, is initiated. After the usual introductory phrases and complaints about the hassles of modern-day long-distance communication and failing connections, the 'ESG rating system' becomes the topic of discussion.

> Eden: I thought we'd have a quick look at the scoring sheet… I had a look at the most recently updated version and it looks great! It's interesting to see how the scores really differ, there's both high and low in there. And it made me think that we really shouldn't underestimate the importance of feedback here.

Eden has noted, from what I understand to be updates in shared folders, that the other analysts have continued sending out questionnaires to portfolio companies.

> Charlie: Yes, but there are a few left still… I think it's around one or two left.

> Eden: Given [recent event] it cannot be expected that it's all completed, but it's good that you have sent it out, so that it's at least sent out before year-end.

In what is explained to me as a first stage, the rating spreadsheet has only been assembled for a fund with a specific sustainability theme. At some later stage, Eden explains, it will cover all funds. Again, this is something we might recognize from Chapter 5: the concern for the continuous expansion of 'ESG'. 'Scores' must be reported both with clients and with portfolio companies:

> Eden: I have been thinking about what will the best method, where to go from here, how we will report this. I have been thinking about making some sort of average score. Once we have this for all funds we will, of course, do it fund-wise. We talked about this in a meeting recently and someone suggested to "hang out" the bad ones. But I am quite reluctant to that because I think that with how we work, it's better to bring forward the good reporters. Apparently, it's a quite common question from clients, they want to get examples of companies that were excluded based on this, because that's kind of the "scoop" factor. And then

> someone pointed out that when we choose investments like this, when we pick the best ones, we are not going to have as many examples like that. We won't get that many bad examples. I think therefore that it makes more sense, I mean what we could do, is to take those with the lowest scores, and have more extensive dialogue with them.

The other team members agree.

> Eden: So once it's finalized, we will select the 10 best companies, because there are several with high scores here. And then try to find a variety of countries, and choose a few to do a more deep analysis of. And then we need to go and visit. Because if we are going to go ahead with the award – I mean everybody likes the idea with an award. But then we really have to be certain. And then we have to go visit them. And that doesn't have to be me, but someone with a really good foundation in ESG.

As has been explained to me in previous conversations with Eden, being able to measure and compare portfolio companies over time is one of the key rationales for developing the scoring system. In this meeting, the practical aspects of how to move forward are discussed. When most of the data has been collected, there are many different ways such comparison could be conducted. Thaïs brings up one alternative: to "cut the data" in such a manner that it would be possible to identify those that have improved their score the most. There is general agreement that this would be a good idea, and that the improvement could be calculated for whole countries and sectors too. There is, however, one problem: it is the first time the scores are collected, and thus, there are no previous data points on which to calculate an improvement. It is agreed that this is a good way forward, next year. As we will see throughout these episodes, there is always more that can be done: more exact, more specific, more detailed. And more relative:

> Thaïs: It also made me think of how [research provider] does it, where they create a sort of scoring average for a sector, I think that makes sense. For example which are the top performers in each sector.

The reader might remember that the spreadsheet included visual inscriptions linking the rating system to the Sustainable Development Goals. But another link is to be forged, too:

> Eden: I think we should continue using the SDG icons, and really try to put them in wherever, in the case studies, in reports. We have really tried to include the goals in everything we do. And this is a way of visualizing them all the time, and to get people, not least internally in the organization, to relate to them.

There are ongoing, mundane issues involved in being able to produce the 'rating' and the 'rating system'. We have already seen how it hinges on getting a response from the company in question. Sometimes, when no response comes, this is attributed to language difficulties. Dominique, who is mentioned in the following excerpt, is the portfolio manager specifically working with companies in one country:

> Eden: Is it still an issue with language in the [country] companies?
>
> Charlie: Yes… Dominique translated so there is now a [language] version of the form, but there was still no response.
>
> Eden: OK… I spoke to Dominique about this and we agreed that you could send a list of those companies, and Dominique agreed to send a reminder. If they only respond in [language] then that is fine, I have gotten an OK to take the cost of the translation for that. Will you take that back to Dominique?

This passage nicely illustrates ongoing trajectory work: getting ESG into the mundane work of managing the portfolio. The production of a 'rating system' for the whole portfolio constitutes a making of 'ESG' in the interfaces with the portfolio companies, similar to what we saw previously in the *Diligo* meetings with portfolio companies. Dominique here constitutes a resource to draw upon to be able to achieve such an endeavour.

6.3.2 'ESG' in feedback, case studies and monthly letters

We return to the team six months later. New ESG team meeting, same participants.[30] The rating system is brought up again.

> Eden: Charlie, do you want to go first, I saw your update in the files but didn't have time to look at it yet.
>
> Charlie: Right now, the questionnaire is the number one priority, the ones we have to send out, the new ones…
>
> Eden: And the feedback to the companies right?
>
> Charlie: I consider them, as we discussed, one document. One will be the feedback and one will be the updated questionnaire.
>
> Eden: Makes sense, so they get both the score and the new questions… I guess that will be a more logical overlap to them.

Getting survey responses is still an issue. Now the previous score is coupled with new questions, to entice a response. Charlie brings up a particular case with a company.

> Charlie: I have contacted them with questions… where we didn't get answers previously, plus new questions. There were some potential violations and some rumours going around, so I asked them to reconcile that. And we will get an official response from the company.

Charlie refers to different categories of portfolio companies, depending on whether a questionnaire has been sent out or not, and whether a response has been received or not.

> Charlie: There are around five or six companies that were added this year who have never gotten the questionnaire… and then because we, therefore, have nothing to go on, no official information… I think we should send a singular questionnaire, designed around the ESG rating, and perhaps adding if we have

[30] This time I am not present in the meeting room together with Eden, but join the call remotely.

> anything more company or sector-specific. Because we don't have any feedback for them.

Charlie continues explaining, that there are also those companies were questionnaires have been sent out, but where no response has been received.

> Charlie: With those… I see that we either can give feedback with their really low scoring… I mean some of these have zero, some have two out of ten. I would suggest to send them the questionnaire with ten questions…

> Eden: Yeah, I think that's a great idea. We write to them "We couldn't assess your performance, we hope to get more this year".

What are the possible techniques to avoid this situation, going forward? Eden has a suggestion.

> Eden: I keep thinking it's a good idea when new companies are added to the portfolio, to try to get a contact person early on… Like we did with [company] now… Although it was not very pleasant, he was late and it was clear that he wasn't prioritizing us. That's fine, but then you don't get any points…

> Charlie: I am not sure he is the right person to talk to, but I also suspect that he won't be letting anyone else talk to us either…

> Eden: Right… but I think that every time with a new company, we should try to get the in-house analysts to find a contact, like an e-mail. We should make it clear, we want to stay in touch, who will my contact person be? And to establish contact early on, so you know who it will be. If not through the in-house team, we can try with the local brokers. And other ways if that doesn't work. If we have to, we can send Trinidad[31]. Normally when they know they have to do it, when money is involved, they *have* to do it, they normally listen. Doesn't have to… it's not that there is an issue, but if something would occur or if we have a question, it's good to have this already set up.

[31] The chief investment officer.

Charlie: Absolutely, I agree. Sometimes I can't find addresses and I have to send the questionnaire to a generic e-mail on their website, or investor relations…

The discussion about non-responding companies continues. Two specific companies are mentioned. Someone proposes an 'action plan' and a 'watch list'. Thaïs brings up whether and when 'the results' will be reported. The main plan is to present them in the annual sustainability report, but since there is now also a semi-annual report planned, this might be an alternative.

Case studies and focus reports

Eden and the team have made a practice out of writing 'case studies' about specific companies in the portfolio. With the new 'ESG rating system' in place, this will allow for underpinning such case studies with scores and relative positions. Eden brings up the issues of the "products", and in particular, "the case studies". Charlie is ready with an update.

Charlie: So we had a conversation a few weeks ago about which ones to choose for this round. And we agreed that the first one was going to be this [country] bank. And in that discussion, we also decided that we can send them the first questionnaire, with the feedback, and when they then respond, that will aid us in doing an in-depth case study of the company.

We see here how the questionnaire has (at least) two productive effects: firstly, as we have already seen, it transforms the specifics of different portfolio companies into quantified scores, so that 'company' becomes a data point juxtaposed with other similar data points, compared along the many columns in the spreadsheet. This can then, in turn, be mobilized in the production of "an in-depth case study".

At this point, it seems pertinent with an exercise of following 'the case'. Some time after, the report is published on the website. Its front page displays pictures clearly taken in the local market, drawing in 'on the ground' presence by evoking the bustling city and the growing economy. The text introduces the bank's result in the 'ESG rating system', followed by a short rationale for the investment. A case is made: from a general 'context' about the region and a particular phenomenon within which the company offers solutions, on towards specific details about the company. Numbers are presented: local 'GDP per capita', which is linked to growth opportunities, as well as growth rate ('CAGR' over a period of some years), some company statistics, concluding with 'ROE' and a 'P/B' ratio.

How did those numbers get there? Back to the meeting.

> Charlie: We don't have to wait for the feedback from the bank to start working on the case study, although in the past they've been quite quick.
>
> Eden: Let's prioritize, so maybe we can send… if I look at the document next week we can send it to them as one of the first ones. I think Hyacinthe[32] was involved last time, anyway one of the [analysts focusing on that region] can help you with like one page of more financial data.

Another possible research product is a report focusing on a particular topic, such as a new technology, a specific sector, or a region or country. Like the case studies, these 'focus reports' are published on the website. When talking about them, the analysts often make reference to the importance of 'thought leadership'.

> Eden: So that was the case studies… and then the focus reports… We don't have to do a focus right now, but keep it at the back of your heads, if you see something that is interesting or current.
>
> Charlie: If you want, we could do something on the SDGs and how important they are. I'm also reading a lot about mobile banking and how it is really helping people, especially in the developing world, to access financing they didn't access previously. So that would be a possible idea.
>
> Eden: If you come up with something in-between, like we want to do that, we can put it together quickly, as we did with the [previous focus report], you put that together in just a few days. I don't see that it has to be super long, this short way of reporting makes sense, it's a good way of communicating.

---

[32] A financial analyst.

Monthly letters

Charlie brings up another accounting technology, the 'monthly letters'. At the end of each month, the portfolio managers produce a report on the 'performance' of the fund in the past month. For some time, each 'monthly letter' had included a final section with the heading 'ESG [activity]'. As we will see in this example, enacting 'ESG' in the monthly letter is a question of timing, content and space.

> Eden: I realize that we have to improve the structure around that. I told [portfolio manager] about the importance that you really get this data on the last of the month. So that you have the time to look it through. I want that too, like these are the new companies, what do they do, what countries are they in. /…/ I also asked Trinidad that once there is a name of a new company, to let you know. Like, if they buy something today, that they should send it to you. /…/ I talked to Dion[33] too, who agreed to send it to you… and if going forward it doesn't work, let me and Trinidad know so that we can remind them.

So to be able to get ESG into the monthly letters, one obviously needs enough time to do so. But that is just the beginning, because not all content produces the same effects. Eden continues:

> Eden: It's easy that it just becomes this CSR thing, like "they are donating money and supporting a basketball team… that might make it seem like that's the only thing we're looking at. I mean maybe this time it was, but…

One technique to manage the short time-frame is to have a template-like approach to what is to be in there:

> Eden: For now, maybe we can write a section like "it's one of the main in this sector", some specific challenges for that country in that sector… It doesn't have to be long, I mean I realize you're always going to have just one or two days to finish this.

[33] A portfolio manager.

> Charlie: Yes, it makes sense, the only thing that I had is that the space for that paragraph, just to keep it short basically.
>
> Eden: And since it's going to be so short, we can look at it together, so maybe on the first of every month. We will maximum have maybe ten new companies.
>
> Charlie: Thaïs has a better command of the letters and what they look like but if there's a lot to report then we might actually need to get the space.
>
> Thaïs: But it needs to be substantive and not just a filler. Real estate is at a premium in those things… At least in the first instance, let's not sacrifice content for real estate.

We might remember some comments from Chapter 5, when ESG analysts talked about doing ESG "for real". Something similar is reflected here, when it is on the one hand important in general that an ESG 'comment' is inscribed into the monthly letters. For it to be "substantive" and not just "this CSR thing", it matters *what* content is brought in. There is a particular version of 'ESG' that is to be produced – a 'substantive' one.

In this section have here been able to look over the shoulder of Aurum's ESG team, as the mundane practices of ESG unfold over two meetings set apart by a few months. We saw how many concerns about company responses remained. At the same time, the 'portfolio' has moved, and for 'ESG' to be fully *in* portfolio management, interventions in the portfolio (the adding of new portfolio companies, primarily) must also be reflected by the inscribing of a specific ESG account referring to new companies, in the monthly letters. To achieve this, resources are required, and timing is an issue.

6.4 The investment team meeting: A view from "in there"

This is a teleconference with all analysts and portfolio managers, located in a few different offices, in *Aurum*. Each 'location', or rather 'market', represented by a portfolio manager, is prompted to give a brief description of recent events. This meeting bears significance, because *Aurum* staff, both financial analysts, portfolio managers and ESG analysts, have emphasized the importance of everyone participating in the same weekly portfolio meeting. For instance, if new investment ideas are mentioned, the ESG analysts are to note it down immediately, to be able to make a "quick assessment" of the ESG performance of the potential investment. Thus, this meeting clearly represents a position of importance for 'ESG integration'.

'ESG' as a concept is briefly mentioned once, as 'exclusion criteria' materialize in the discussion of a potential new investment. The episode provides context to problematize absence and presence, important in the concern for 'integration'. Is 'ESG' there because ESG analysts are present in the call? What does it mean that 'it' does not feature in the foreground? This is a different spatial practice than the other meetings observed, since there is no 'room' into which participants walk and sit down. It is no less a meeting however, it is just that the 'room' is virtual and distributed.

> Trinidad: Are we waiting for anyone? We are so many now…

I am observing this meeting not at Aurum's office, but as a participant in the teleconference. A link has been circulated, and I am now in a virtual room, where small icons along the bottom of the main window signify the participants. Many of Aurum's staff are virtually present: Trinidad, the head of portfolio management as well as several analysts and portfolio managers: Spencer, Dominique, Dion, Mika. Also present in the meeting is Charlie, one of the ESG analysts we encountered in 6.3.

> Trinidad: I can start with a brief recapitulation of the market so far… it's clear that this year it was [Country] that finally fell.

In the video conference interface, the generic starting image has been switched for Trinidad's shared screen, a window with a black background and colourful letters and numbers. I note that it must be a view from the Bloomberg terminal.

> Trinidad: Our biggest contributors have been [CountryA] and [CountryB]. During the month, if we look at everything aggregated, then [CountryC] fell by 17

> %, and this is the most important reason for our outperformance this year. It's not so isolated that you can pinpoint which are the markets, but it's rather a sort of [CountryC] contagion effect.

> Trinidad: From our point of view, when it comes to [CountryC], we think that maybe we've seen some of the worst, and that it can hopefully quiet down a bit.

Later on in the meeting, after the different 'markets' have been presented, Trinidad clarifies the issue with this country.

> Trinidad: Since [that country] is in our benchmark at a weight of [percentage], but is right now at zero per cent… overall we would be happy to re-enter [the country] if we see a good reason… but it's a bit off, not a really a core market. We might well re-enter with 10% or something like that, so I am looking forward to seeing how it goes.

If there is a link between what Trinidad is saying and what is shown on the screen, I do not manage to catch it. The numbers are too small, and the lag makes it difficult to track any changes.

> Trinidad: Should we then move to start with [CountryD], anything recently that has happened there?

Spencer, located in that country, starts talking.

> Spencer: It's been a tough week.

Spencer starts providing an account of a recent political scandal involving a former politician, the governing party, an armed conflict and family ties.

> Spencer: We do expect there to be more jitters politically in the next couple of weeks.

There's a crack on the line.

> Trinidad: I think we lost you. At least the sound.

Spencer is back on again.

> Spencer: I was just saying that there could be more confrontation. Then there is also the issue with the risk that [CountryD] is maybe not re-listed or blacklisted but could actually be greylisted, of course with implications for raising finance globally. And in the next three weeks, there will also be a decision on the minister's case. So it's going to be a heated environment. We'll just have to walk it through. But so far there hasn't been that much panic in the market. Local banks have bought equities worth [number] million dollars. Exports are up [figure] per cent year on year, but the trade deficit hasn't really gone down to a comfortable level. We'll have to see what happens with the finance minister's [trade reform]. Otherwise, it has not really been anything humongous… the last time we had this situation it was much bigger. But everything is subject to the next elections, ten weeks from now.

Spencer continues by making some brief updates about the overall movement of the local stock exchange, referring to its acronym, as well as the 'benchmark index'.

> Spencer: In the meantime, I have been buying shares of some blue-chip heavyweights… as soon as we have political clarity, maybe the market will rebalance itself… Today has been a very dull trade, with value traded less than [number] million dollars. Usually a dull day closes around [number] million dollars. It shows that people remain cautious, and there is not much leverage on the market…

It is difficult to follow some of the trading lingo. I hear Spencer mentioning "create some trading points to create alpha" and "otherwise it's quite static".

> Trinidad: Do we know the date for the [political event]?

> Spencer: First of June.

> Trinidad: So that's when the temporary government that takes over before the election takes over…

> Spencer: Yes, for a maximum period of 60 days.

> Trinidad: So that's a good kind of starting time to count down to the election.
>
> Spencer: Right, first it's [major holiday], and then [month] will be dead, flat at best… or even slightly negative. Then we're also waiting for [the minister's] ruling. People will just be looking at the market and not taking any long-term view.
>
> Trinidad: They released that diplomat right?
>
> Spencer: Yes, that's a sigh of relief.
>
> Trinidad: Anything on the idea front, anything we want to bring up?
>
> Spencer: Blue[34] is absent today, we had been looking at something… The pitch is in the previous outgoing budget by [the ruling, outgoing] party. It included a [reform that could negatively affect sales of a product]. Ever since that news came out, two stocks have gone down, *Alea,* and *Oculus.* One must understand that the competition is going up, understand that there is traction in the market… So if there is a sharp decline in their share prices, that could be an entry point, even if by P&L it doesn't look like it… they could be really good long-term bets.

The Bloomberg terminal comes up on the call interface again, and the full name of the company just mentioned is displayed, together with graphs, such as 'stock development', and tables and boxes of numbers and letters.

> Trinidad: By the way, Mika, I can also say that the broker came back to me, willing to help. Even if we don't sign a [regulatory] agreement. If there's nothing else, we'll move to [Country].
>
> Dominique: Sure, can you hear me? The [Country] market, as you know is having a correction since April. It has been [percentage] from peak to bottom… Because of this, there has been a lot of movement of cash – a lot is withdrawn from the market. Foreign investors are selling [amount] million US dollars per day if we exempt the abnormal transactions. This is easy to understand, because a lot of the foreign cash was momentum money. But still, the last part, at least 50% of that flow…

[34] A colleague in the local office.

Dominique: There have been a couple of external factors that may potentially increase the CPI… which will force the market in [Country] to tighten policy a bit in the future… /…/ The size of the market has increased a lot recently… the funding of the brokers is healthy. So from the funding side, it's looking healthy, not any worries about margins… but the local investors will not come in if they see that the foreign investors do net sales. /…/ MSCI just announced to add another five stocks into their [index], including *Consulo*, *Video* and *Lustratus*. Let's see how the market reacts to that.

Dominique: *Ecce Homes* is going to list tomorrow, expected at something like [billions amount] USD, so it will be the biggest stock on the exchange. In the near future, it will be in the [higher billions amount]… But then we have *Ecce Group*, what is *Ecce Group* now? It hasn't really corrected in the last few weeks… people take a look at *Ecce Group* as a group, so they apply a discount, they don't apply a P/E or a P/B anymore… but when I do the rough calculation, I think *Ecce Group* is now worth something like [double amount of *Ecce Homes*]… And if you then apply a 30% discount, it should go to [lower]. There is still a very big part that is hotel and tourism, which holds all of the hotels, theme parks, and not to mention they have access to do the two casinos in [location]. So if *Ecce Hospitality* does an IPO too, *Ecce Group* will have another reason to go up.

Dominique: In terms of sectors overall… banking has been correcting. At this moment, banking is still being sold, because it's been a key focus of the market in the past months, and so the valuation is a bit higher. And still, people are not confident that it's cheap enough to buy. So yes, banking is kind of weak at the moment. Other than that, properties is doing OK. Oil and gas is mostly not investable because of the structural issues with the sector.

Dominique: In terms of stocks, I'm right now taking a closer look at *Trans*. It's interesting to me for some reasons… they do oil transportation for oil refinery plants and FSO, floating storage and offloading. They are working with two refinery plants at this moment. The first plant has a lot of capacity but last year had two months down for maintenance. From Q3 they will put another plant into place, with capacity of [millions] of tonnes per year, which is higher than at the existing one. The country is overall building a lot of thermal power plants, and only this one can do the transportation because of their fleet. And their activities within FSO, floating storage and offloading for the oil, benefit from the oil price increase. All of the three businesses are good. Dividend about 4%. In terms of growth I put forward at least 13% in the next three years, which means that it is very cheap right now.

> Trinidad: It's only transportation, not refining or extraction?

> Dominique: No, they do transportation only.

> Dominique: The other one is *Lamina*. The only one that can produce [technology]. Right now, a new complex is put in the middle of the country. Previously they could not access [region]. It is cheap at the moment, and a prospect…

Dominique seems to be coming towards the end of the re-cap, and Trinidad begins speaking again.

> Trinidad: What I was fiddling with while we were listening to Dominique, is this graph of one of the bigger clients that we have.

A graph comes up on the screen.

> Trinidad: So here is the flow from the last couple of months. Of the total inflow, I think we stood for a third of that… We see some outflows now as well, I would still say that the reactions from clients, I would still call it moderate… Our own flows will probably give a decent signal to the broader market as well.

> Dominique: In some ways, we are one of the very big sellers in the market, they see that *Aurum* is selling now. So we can take a look at our own flows.

> Trinidad: Interesting, thanks, Dominique. Should we move to [region], Dion?

Dion's face shows up on the screen, lips moving, but the voice is muffled and difficult to hear. It might be that the voice only comes into the call through Trinidad's microphone, as they are sitting at the same location.

> Spencer: Sorry, we can't hear you, Dion.

First silence, and then:

> Dion: Can you hear me now? So we have a lot of first-quarter results in mainly [country] companies. They have been growing their top line and bottom line by at least 20%, some of them even more. The stock reactions are a bit muted, it's

been kind of a weak week for companies in the country but it's still holding up quite nicely. Everyone is talking about volume adaption, that the consumers have adapted to new price levels.

Dion: One company is *Rotam*… they actually made money in the auto business, their margin improved in all parts of the business. I think the stock reaction reflects a little bit of profit-taking, and we're actually coming down to levels where it might be interesting to increase again. I have allowed to decrease it a bit… so now it's only 3.5 % only, or not *only* but…

Dion: Otherwise we see inflation coming down both in [Country] and [Country]… an interest rate decision is due tomorrow, but the market expects nothing tomorrow. 3-4 % cuts are expected throughout the year but not tomorrow. Moving to [Country], they haven't cut interest rates in a couple of years now, since when inflation was rising, so we can actually expect a cut there… [Recounts recent political worries about a key political figure].

Dion: What else… there is a lot of focus on the [country currency], with currency volatility as we have seen in [Country], [Country], and now also in [Country]. In [Country] it has been 4%... and 4% in the week before that, for one of the most traded currencies. It's always very volatile since it's quite linked to commodities. But it's at strong levels and could depreciate… Yeah, that's [region].

Trinidad: Thank you. So I think… overall otherwise, we can conclude that we're getting more attention from clients, institutional clients. Yesterday, when was that, it must have been yesterday, we met a family office… They got to meet with me and Eden[35] basically, and Orlando, and Zia as well. And then we have the very important meeting in July… I think that what we see is that retail is reacting to our strong performance. At least, like what we thought going into the year, that the institutional side continues to look promising… we did have a decent correction but the sense is that things are quieting down again. It will be interesting to see where it goes. Is there anything else that anyone would discuss?

Hyacinthe: I was working on a company in [Country]…

[35] Eden is the head of ESG that we encountered in 6.3. Zia is the CEO.

Hyacinthe briefly talks about the country, mentions it receiving a particular international status "in the last fiscal year", and a note on "pressure on commodities, mainly yarn and cotton".

> Hyacinthe: It's trading at around 9-10 times… I'm still working on the numbers.

Trinidad comments:

> Trinidad: Of course, the big side effects of that we're having the currency effects right now… we should be seeing that there is someone that is benefitting.

With no further comments on the line, Trinidad closes the meeting.

Summary

In this chapter, we followed ESG analyst practice in four mundane situations: meetings with portfolio companies and internal team meetings. In the first three, we saw how different 'ESG' were done, together with trajectories into in-there positions. First, in the consumer products meeting, there were (at least) two versions enacted: one was trajectory into the capital markets interface, where context and comparison were important, and one was into *Vicis*, where the absence of scandals and systematic systems were important. Then, in the meeting with *Aspicio* with the energy efficiency spreadsheet, we saw the trajectory of 'ESG' into, again, the interface through the capacity to compare *Aspicio* with its competitors. But it was also about a trajectory of 'ESG' merging with 'the business', by prompting 'energy efficiency', 'clients' and 'exposure'. In the ESG team meeting in *Aurum*, 'ESG' was done on a trajectory into the day-to-day practices of portfolio management, in the form of an 'overview', dialogue with company representatives and the 'monthly letters'. This was to be accomplished by an 'ESG rating system', an 'overview', and the mobilization of portfolio managers. In the fourth and final episode of the chapter, we shift focal point from practices where 'ESG' is to go somewhere else, to one of those "key" positions: the investment team meeting, where the whole investment team (including ESG staff) is present. Here 'ESG' is referred to briefly (and implicitly) as exclusion criteria are brought up when a potential investment is discussed, and with reference to a recent meeting with a potential new client. This shift of focal point between different localities thus enables us to see how 'ESG' is done differently in different situations. It also prompts analytical question: is 'ESG' "in there" because ESG analysts are? Is it in there because it is mentioned? Would it have been in there if it was not? These are analytical questions that will be probed in-depth in the discussion in Chapter 8. Before that, however, we will shift focal point a few more times, to situations where there is less of a concern for the trajectory.

Chapter 7

ESG in and out of position

This chapter consists of four episodes that in different ways illustrate the issue of the position of 'ESG'. First, in a certification meeting, where *Diligo* is to provide documentation to achieve a sustainability certification, we trace ongoing accounting practice where there is always more doing to be done. Next, we follow an ESG project in *Aurum*, from a brainstorm-like initial lunch meeting to a final external presentation, and see how a concern for a trajectory and position (that the project "fits" into the investment activities of *Aurum*) dissolves over time, as practical effort over time makes it unnecessary. Thereafter, we shift to a portfolio meeting between *Diligo*'s ESG analyst and portfolio manager – a material enactment of 'ESG integration'. Here, 'ESG' is ostensibly "in there" – but no concern is serious enough for intervention, no futures or courses of action are drawn in. In the final episode, we follow Kim and a colleague to a presentation by a tech fund and trace the frenzied mobilization of accounting artefacts and calculations, as they enact growing technology companies and their 'potential' for 'resource savings' and 'profitability'. Together, the four episodes open for an exploration of how it is that even when 'ESG' is in a position of ostensive calculative importance – where 'integration' has been achieved, and key decisions can be made – it does not necessarily produce what I refer to as *momentum*.

7.1 The certification meeting and the follow-up: Paperwork enacting an 'ESG investor'

This particular day, the researcher joins a meeting between Kim, Lee (a colleague of Kim's), and Max, joining from an ESG certification organization, *Affirmo*. *Diligo*, the researcher had been told, was in the process of applying for this particular certification, and Kim and Max had exchanged e-mails, documents and sat in meetings together over the course of a few months. The process is about to enter the final stages. When the researcher enters the meeting room, bright and with a nice view of the city, the meeting room table is already covered with several documents and a laptop. "I am preparing a little bit…" While waiting for the other meeting participants to join, Kim describes the process, and while some frustration can be sensed, the analyst makes a rather grim remark about the benefits of the detailed description of practices it had involved.

> Kim: In a way, it's good to sort of pin it down… I mean, if I would die tomorrow it's good that it's possible to find out how we work…

Kim talks about the amount of work the process has entailed to substantiate the certification application with the appropriate documentation. "You have whatever strategy you have", Kim tells me, "but it has been a lot of work involved in making a process description". The application procedure consists of 'mandatory' and 'additional' criteria denoted with 'M' and 'A', together with a number, in a long series of criteria codes. "To get the certification, you have to have all mandatory criteria, and then some additional points". As the meeting unfolds, it becomes clear to the researcher that "having" a criterion meant to provide documentation, in accordance with what was outlined in the criterion description.

Diligo is making the application for its ESG-themed fund *Ascend Sustainable,* which Kim manages together with Kai, a portfolio manager. Kim turns the laptop around to show the researcher the screen. On the screen was a spreadsheet, provided by *Affirmo,* structured tab by tab for the different criteria.

7.1.1 Meeting, mapping, linking, filling

When Lee and Max have joined, and laptops, papers and coffee cups have been placed on the table, the meeting can start. The ensuing conversation closely follows the list of criteria. A repeated pattern is that Max, looking up from the computer screen, prompts a particular criterion, and Kim responds in some way. For example, Max asks for clarification on the "updating of analysis" of the companies in the *Ascend Sustainable* portfolio:

> Max: And then it was A2. ESG analysis on 100% of holdings… you had some new documentation. And that's also for M12 on that one, right?
>
> Kim: Yes, both of then… I made a screenshot from my analysis tool. It's sorted per sector in Excel. A sort of investment overview. And then you don't see the comments here, because they are cell comments… An analysis overview…
>
> Max: Would you be able to send a template? With some typical information, a template, with the information which would typically be in the different places.
>
> Kim: Yes… here you see the analysis date and then if [Service provider] has listed them as "leader" or "outperformer", in that case, I don't make any additional analysis on this sort of baseline performance of ESG. If on the other hand, it's "average", then I have a look at it myself.
>
> Max: Is it possible to see here that it has been updated in the past 12 months?
>
> Kim: Yes, I can make sure of that.
>
> Max: What I am looking for is that there, in the tool, is a follow-up on that the analyses are updated.
>
> Kim: Sure, then I think I will do like this, that I make a summation list, so then you see the analysis date, and then it's possible to make spot-checks too, but the percentage is visible.

As the meeting goes on, questions prompt the use of particular documents. These are brought up, reviewed, and sometimes edited directly. Notes on "additional measures" are jotted down in margins and in notebooks. Over the course of the meeting, documents that were once in a neat pile are gradually spread out, as the meeting proceeds, criterion by criterion, to finally cover a large part of the table. At the same time there are constant attachments, because when a document is brought forward for a particular criterion, perusal of that document often leads to additional work, affecting other criteria and prompting new discussions.

There is a pattern of alteration whereby either Kim or Max refer to work that has led up to this particular day. Sometimes Kim gives an account of interventions prompted in earlier interactions – and sometimes Max talks about decisions taken within *Affirmo*. Thus, Kim's desktop and the distant site and concept of *Affirmo* as an organization are brought into the frame.

At some point, when the table is almost covered with paper, I count to at least ten different artefacts present on the table. In addition to two laptops and three notebooks, there is a 'holding list', a spreadsheet grid with a list of portfolio companies, to which scores from a service provider, *Servitio,* have been added, side by side with Kim's scores of 1, 2, 3 or 4. A date from a couple of weeks back is prominently displayed next to the list. Another piece of paper has the format of a PowerPoint presentation. It has *Diligo*'s logotype on a fancy front page, and has been prepared by the compliance department, Kim has explained to the researcher before the meeting. An A3 paper says 'Holdings' and is used in a discussion about the fund's ownership of different 'asset classes'. On that one, Kim draws an additional box by pencil, prompted in a discussion about these 'asset classes', to represent a future sum to be added. One document recurrently referred to in the meeting is what Kim calls an 'analysis tool'. It is a printed screenshot of a spreadsheet, with four columns: "Code of Conduct", "Transparency", "Identify Material Issues", and "Manage". On a blank section, Kim has written by hand a reference to two criteria codes, perhaps as a reminder. As the meeting unfolds, Kim makes notes in a small notebook, where each 'criteria' becomes an item on a developing to-do-list, thus making future desktop work present.

One particular instance in the meeting provided a telling illustration of how 'uncertainty' is brought into the frame, as an object of concern and material-semiotic resolution. It seems that there has been a discussion earlier on how to represent interventions after portfolio companies have been involved in "serious incidents", and particularly, cases that were neither severe with certainty, nor minor, with certainty. Max draws on a traffic light system referring to "what service providers do", and the discussion revolves around these traffic lights, and flags, how those prompt intervention, and how that intervention is represented in publicly available reporting:

> Max: The service providers have these traffic lights… it's not exact, one could think… How is it further flagged when there is a flag?
>
> Kim: Oh, so you want us to flag to you when we get a flag?
>
> Max: Well, the service providers have this red, yellow, green. Yellow is some sort of uncertainty, and based on that, we have a requirement that you have three months, if it still - after three months - is uncertain, then it should go out on the website.
>
> Lee: So you mean like investigating the company ourselves? Or… OK, in dialogue with the service provider then.
>
> Max: Yes, how one is planning to go about, how one will act, the expected result, and when…
>
> Kim: Do we need a template for that?
>
> Max: I think it can be solved by embedding it into other processes, for example, the holding list that is done quarterly, or the sustainability report.

Kim proposes to add a column to the 'quarterly list' (of holdings), with 'deviations'. Lee proposes to mark deviations with an X, and a comment. "Would that work?" Max asks Kim. Kim agrees and mentions something about getting "routine around it" by doing it at least quarterly.

Max also asks about "the link" between Kim and *Diligo*'s ratings of portfolio companies, on the scale of one to four, and the ratings provided by a service provider, *Servitio*. Kim explains the four different "performance levels" ascribed to the companies in the portfolio: "The highest level is "integrated", business-driven, the next is "not fully integrated but developed", established, 2 is more fundamental… the lowest is rudimentary, or non-existent for that matter". Kim describes how the two rankings - *Diligo's,* and

Servitio's – have been assigned a particular translation where 'Adequate' was made the equivalent of '3' and 'Leading' equivalent to '4'.

7.1.2 By the desktop: Following up on "additional measures"

Later, I join Kim as the various "additional measures" identified in the meeting with *Affirmo* are to be taken. Kim's desk is located in an open-floor office landscape, with Kai (whom we will encounter later) and other portfolio managers by the desks nearby. On most desks, there are at least two screens, of which one typically displays the multi-coloured letters and numbers against a black background, the familiar interface of the Bloomberg terminal. On a wall there are four large clocks, with signs for New York, London, the local office, and Hong Kong. On most desks, there are two or three screens: Kim's desk is different, with only one.

On Kim's screen, the analyst shifts between the *Affirmo* criterion checklist, Kim's own documentation, and the notebook with hand-written notes from the meeting with Max and Lee. Kim opens a folder which in turn contains a folder for each of the criteria: 'M' for mandatory and 'A' for additional criteria in *Affirmo's* checklist. M4, M14, A6, and so on. On the desk, Kim also has the notebook used in the meeting, where there are different notes for follow-up, per criterion. Kim starts at the top. The process ensuing entails the shifting between the folder with all the sub-folders with different documents, and the spreadsheet (provided by *Affirmo*) where each criterion is outlined and described. Here, if the applicant wants to be evaluated on a criterion, they re to check some boxes to signify "having" the components of the criterion. Kim explains:

> Kim: For each criterion, there can be up to 6-7 documents required to fulfil the requirements. And not only that, but it could also be that one document is to be used for several criteria. Then it's not enough to send it once, the documents have to be tagged with that criterion.

Kim now has to deal with the issue of reporting on cases of "doubt", since that has been pointed out in the meeting. The point was that it was to be made visible when there were issues ongoing, and what measures were being taken to address them with the service provider and the portfolio company.

"So the issue here was *what is doubt*?" Kim says, and continues by referring to Max's comments earlier referring to 'the service providers'.

> Kim: Now there is this established view since service providers use a traffic light system. So it's actually orange that is doubt. And then it's about what you do when that happens. And so it's probably not that bad to use these traffic light symbols.

A template is brought up on the screen, 'the quarterly holdings report'. "This is what we will make public" Kim says. I have already had explained to me that some of the documentation produced in the certification process would also be made available on *Affirmo's* website, so that "interested savers" would be able to find out how the asset managers were "working with" the certified fund. Both in the certification meeting and by the desktop, these 'savers' are sometimes mentioned, and thus enlisted as future users.

A column is added to an already existing grid, and "Deviations during the period" is added at the top. Next, the colour "system", described as already common among the service providers, becomes present on the screen. A small square, with Word's "insert shape" function, is added. One is filled with orange, one with red. The orange one is pulled over the sheet to sit next to *ConsumerCo*, and the red one is placed next to *ConstructionA*. After a brief moment, it is instead placed next to *ConstructionB*. Kim starts typing: "Report on suspected child labour at supplier in Pakistan. Dialogue with company." Kim stops and pauses. "… in order to investigate the event." "And then perhaps some measure". "Awaiting final report from… [service provider]".

> Researcher: Are you making this up as an example now?

> Kim: Yes exactly… so they can see what it will look like. Perhaps one should write something about consequences…

Kim continues typing: "… before decision on potential divestment".

The template thus constitutes a stand-in for future reporting about 'incidents' and related interventions in the portfolio, through the displaying of a few examples where coloured squares are linked to particular company names and where typical examples of 'incidents' are described. The procedure is repeated next to *ConstructionA*, where the red square has been placed. Letters appear on the screen again: "Report on…" – and then they are erased. "Verified case of extensive bribes in the contract division. Company divested 2017-12-06". Kim comments that it has "been a lot of this", that is, working with the reporting details. Here, future 'incidents' are drawn in, and so is future reporting about those 'incidents'.

Another "additional measure" that was prompted in the meeting related to formal reporting lines and responsibility for the fund. For this, Kim brings up a document with Kim and Kai's names next to boxes and an arrow with the text "Weekly reporting", the visual scheme of boxes and arrows signifying the shared responsibility, and, thus 'ESG integration'.

Kim opens a new spreadsheet, a 'holding list' this time. "This is supposed to show the degree of analysis… What was it there..?" Kim turns to the notebook, where each item for follow-up has been written next to a criteria code. "Right, this translation of my ratings…" In the meeting with Max of *Affirmo*, Kim had been asked to clarify the translation between service provider scores and *Diligo's* own internal scores. At the bottom of the spreadsheet, there is a square, displaying the words "Integrated", "Developed", "Fundamental" and "Rudimentary/Non-existent", words that also came up in the meeting. Next to each category is a percentage, which Kim explains is based on the number of companies to which the category applies. Kim puts the marker in a box with percentages. The cell formula links to the column where each company has a number between 1 and 4. Some of the companies had, in a column to the left, different words like "Leader" and "Outperformer". This column has the headline "*Servitio"* – to denote that those were assessments ascribed to each firm by the service provider. This was what came up yesterday – in those cases when a company was a 'Leader' or 'Outperformer' according to *Servitio,* it was a 4 – Integrated - one a scale of 1-4. The different columns thus together produce a portfolio consisting of four categories of companies, linked from the [Service Provider] assessments via *Diligo*'s four-point scale, to the production of percentages in the square at the bottom.

> Kim: *Affirmo* also wants to know whether the portfolio companies do public reporting so that savers can see for themselves. And it varies a lot – some of

> them are of course fully-fledged GRI reporters. There is also then the question of whether they do some kind of performance reporting, with clear results.

It is now on to something else on the busy schedule of the day, and the certification follow-up has to wait. We could here see how the many prompts for additional measures in the certification meeting opened for the mobilization, tagging, updating and linking of an array of documents, spreadsheets with grids, boxes, arrows, descriptions, numbers, colours and scores. In the midst of the doing, there is constantly more doing to be done. Here 'ESG' is done as an orderly approach, a systematic treatment of portfolio companies, a pattern of analysis and update. The trajectory is done in the enactment of the two domains of expertise, 'ESG' and 'the financial' in the 'shared responsibility' of the fund. However, "getting ESG in there" is not exactly a pressing concern – there is no distant, absent practice to where it is to go.

7.2 The emerging markets health project: The trajectory concern dissolves

This episode consists of two meetings in preparation for a trip to a country in an emerging market to prepare for writing a report on digital health solutions. First, the project is discussed between the ESG analyst, a contracted researcher, and the CEO, and in a later meeting, two board members. Finally, the results of the trip and the report are presented at a client event. We will see how what is first a concern for making the project "fit" with investment practice gradually dissolves as the project is outlined (it is first described as an "amoeba" that needs clearer form), the trip is undertaken, and the report written.

It is lunchtime at *Aurum*. Around a table in a bright office kitchen, a few people are finishing up their take-out. Trinidad, a portfolio manager, while packing up, turns to Azul, a contracted ESG researcher:

> Trinidad: But then I'll make sure to put you in contact with our analysts…

> Azul: Great!

Finishing their last bites, Azul and Eden continue their conversation about the project within which the meeting is just about to start. The project deals with ‘e-health’ in one of *Aurum*’s ‘markets’. The project is just launched, but they are already talking about expansion.

> Eden: Maybe to [region].
>
> Azul: Yeah, but that has to be at a later stage, it won’t be possible now.

Eden turns to the researcher and starts explaining. I learn that the project is part of *Aurum*’s ‘research initiative’, with the aim of “introducing a more science-based perspective”. The first part was a report on ‘waste management’ in one key ‘market’, just finished.

> Eden: The idea is that this should be even more of a research report. That was more of a mini-review, very digestible, an infographic on waste management in some of our core markets. This should be more of a review. And then there’s also the question about where is the business gain here… But then something really exciting emerged yesterday. Maybe you want to explain this, Azul.
>
> Azul: The whole field of e-health has a bit of this… there’s a risk that it’s like “the west saving Africa” – and there is a range of different initiatives. But then, of course, there’s a huge gap between initiative and implementation. If I remember correctly there are around 45 different pilot projects right now, only in [country], and some of them are like [online doctor] attempts… but the problem is that there is nothing like electronic IDs, so it’s always SMS-based. And then there are a lot of other things like adherence, that is, that you take your medicine, for instance, HIV medicine, text message reminders about it… So there are many initiatives but it often results in a report, like “there is a need for more infrastructure”, “there’s a need for more…”. And of course, there is a need for more political involvement. And the government of [country] has really said that they prioritize this, and have produced a 40-page report, but at the same time… the dream would, of course, be to get in contact with someone at the health ministry there.

Azul continues.

> Azul: So I started e-mailing people and got hold of a dean of international co-operation at [university]… and it turns out that they are already going to [country] to meet the dean of a university there. And I could join! So the idea is that I will interview some of *Aurum*'s portfolio companies, those active in IT, telecom, and perhaps a bank…

> Eden: And on Wednesday at 2.30 there's a meeting with Montserrat, because we've been thinking that it's important to get this up on board level. Not least to get financing, of course, but also to introduce the way of thinking… there's a finance way of thinking.

> Azul: Finance mindset.

> Eden: Finance mindset. It's easy that the question directly becomes one of… how can we generate money through this?

> Azul: Montserrat might also have contacts. But in any case, the goal is some sort of mapping of initiatives on e-health, and how to create a win-win. That is, initiatives that benefit both markets and health.

> Researcher: And you talked about meeting some of the portfolio companies in the country… what's the thought there?

> Azul: But like, what do they do today? Like *Thema*, I know they are involved in this sort of thing, so there it will be questions like, what is the necessary infrastructure, how do they work… I should probably send the questions beforehand so they have a chance to prepare and send the right person.

Azul goes on to talk a bit about *Thema*'s owner company, and the specifics of that company's involvement in 'e-health'. Eden suddenly realizes that they have a 'telecom contact', someone who has worked in the industry for years.

> Eden: I'll ask if he knows someone in the country.

Azul returns to the issue of 'initiatives' and 'implementation'.

> Azul: Enormous amounts of money are put into this… like USAID, they have shoved in 32 billion in projects… and then it often leads to… a report… It's

kind of a pity that it doesn't turn into four doctor's stations. Of course, reports to, are tiny little pieces of the puzzle, it's like research, you know, even medicine, you get tiny, tiny baby steps, it's not in vain, but... It's also a question about digitalization. They have more than one might think. Around 80% have mobile phones, I don't remember the exact numbers… 25% of that is smartphones… but one thing is that they really save their credits… So you can't have solutions that charge continuously, it's important that you only pay for usage.

The sound of a mobile phone interrupts Azul's talking. Eden, holding a smartphone, refers to the 'telecom contact', who has responded.

Eden: He knows the CEO of *Thema*.

Azul: Wow, that's perfect!

Researcher: When are you going?

Azul: In two weeks…

A few moments later, everyone is gathered in one of the big meeting rooms. The conversation is already going at full speed. Zia, the CEO, has joined Eden and Azul for a start-up meeting on the project.

Zia: I'll check his name… the CEO of *Thema*… He was one of the keynote speakers at some event…

Zia continues by asking some initial questions about the project, and Azul recounts the same narrative as was previously described to me.

Azul: I have been thinking that I will join when they meet this CEO, and also try to get a meeting of my own, but if I don't manage that, then we'll take it later over Skype, but at least I have been there then. I have also talked to Trinidad[36] about meeting *Aurum*'s local brokers. But first and foremost *Thema*, of course.

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[36] Trinindad is the chief investment officer who passed by quickly in the beginning of this episode.

Zia: I really believe that you should make sure that, in addition to the CEO, meet someone who works directly with these things, otherwise it becomes too general.

Azul: Absolutely, but it opens so many doors. And about the brokers… there I have kind of been thinking that I will talk to them about their views on ESG and e-health…

Zia: And there I can probably say directly that they won't have anything interesting to say about ESG, but on the other hand, about the economy, the telecom business, those kinds of things.

Azul: How many brokerages are there?

Zia: That we use… it's something like three, four… five.

Azul: Is that like a competitive business?

Zia: Sure! The thing about this market is that there's a quite a few that are just three guys with computers in some office, it's a lot less regulated how you can start a brokerage, so there are many more of those, but those are not the ones we work with. But if you add the Europe-based ones, it's maybe 20 in total.

The project must be documented, as the outcome (the report) will be communicated publicly.

Zia: So remember to take photos.

Eden: And video clips, too, perhaps.

One of the recurring themes is the one about finding the connection to *Aurum*'s investment operations. The issue comes up again.

Azul: I still think there's an angle we haven't come up with yet.

The project has to be described to the board, as well. Zia suggests making a few slides.

Eden: Even if it's not about us doing direct investment into something, we do have the question of what the business benefits are.

Azul: Can it be discussed? I am thinking that it could lead to a statement like *Aurum* has decided to support x, y…

Eden: It's right to think big!

Azul makes some notes while reading out loud, "*Aurum* supports…"

Zia: I also think that it could be presented as a sort of lunch presentation and mini roadshow… so let's make sure to get Cruz[37] on board.

7.2.1 Finding the investment angle and outlining the report format

One week later, we are back in the meeting room. In the room are, in addition to Eden and Azul, now Montserrat and Candide, both on the board of *Aurum*, as well as Zia. When I enter, the meeting participants are both sitting and standing, someone is eating sandwiches ("I didn't have time for lunch"). Zia shortly thereafter leaves the room, and the conversation turns to the e-health project. Azul is asked to start, and after having given a brief introduction, turns directly to Montserrat.

Azul: The big question is how to handle what this is about, and about what *Aurum* gets out of the whole thing. I do travel with my academic hat on… and I do think that that is really important because these issues become a mix of the political, the academic, and then the third leg, finance or business. And that might be a bit difficult to manoeuvre. You know, how to manoeuvre the business role. I have to be honest with the…

Eden: Intentions!

Azul: Yes of course, exactly, I will be there to write a report for *Aurum*, but also…

[37] Cruz is responsible for client relationships, or so-called institutional relations.

This leads over into a conversation about the form and format of the report.

> Eden: Zia likes long reports, but I think we should think differently… boil it down to something…

Montserrat jokes: "A tweet!"

> Azul: And again, related to the benefit for *Aurum*… I do think that there is a point in me going there and doing real interviews, asking good questions, and really producing something real. Anyone can do a survey, it shouldn't just be like "google e-health". *Thema*[38] has a whole department working with this, so of course they have insights.

> Montserrat: There's an important distinction between e-health, not being e-healthcare. Because here in [country] there's a lot of focus on like selling gamma-ray equipment, like *Lemma*… or *Origo*[39]… So there are these ideas that we can export healthcare. But it's not at all the same there, and of course *Thema* knows that.

> Azul: I tried to kind of put on the finance glasses here… if you think of *Origo,* they wouldn't want this, they'd rather sell health care! And it's not gonna be [national aid agency] and USAID paying this in the long run, in the future it has to be the local economy.

> Montserrat: What one can say is that it is the poor that pay the most, for the worst healthcare. The burden of disease lies on families paying. Here, we have built advanced health care systems… they are expensive and don't work in a system that doesn't work. So there the focus has to be on "stay healthy". /…/ The thing about this shift to more and more ICT is that it works in sparsely populated areas, where you don't have expensive health care systems… But then, of course, there are lots of counter forces, like inequality, women's lacking right to service, lack of economic resources… So if I were to choose – about how to connect it to *Aurum*… then it's this story about what we want: We want to go in where there are functioning stock exchanges. Where there are growing markets… and health is needed in all of that. A young population, a growing middle class… And if you enter it that way, you get another perspective on how

[38] The telecom portfolio company already mentioned.

[39] A private healthcare provider.

> we push for sustainability. Then it's like "know your capacity, know your rights". Because as the middle class grows, new hospitals are built, but they are too expensive. If we take [Country], for instance, a middle-income country, there it's obvious that to get votes, you build a hospital for the rich, that nobody else can afford. And then you have this mass who don't have access to it.

In this move, a proposition about how to frame the project, like Zia last week, Montserrat proposes to also meet someone who works directly with the "issues". Another portfolio company, a bank, comes up as a suggestion on who to arrange a meeting with.

> Azul: So far, this project has the form a bit like an amoeba… but I really believe it will take a more clear form.

Azul makes a 'box' in the air. It is clear that 'the project' and 'the report' need to take a particular form to fit. At the same time, we are witnessing the process by which the world in which it fits is articulated. The smartphone issue comes up again, and again, 'smartphones' become an important link between 'the population' and 'e-health'.

> Azul: Not everyone has a phone, but what is it, 86% have a mobile phone, 29% of those are smartphones.

Candide is surprised that the numbers are so high. The meeting continues at a high tempo. In the course of a few minutes, the participants cover topics like 'vaccination', 'inequality', 'HIV', 'values', 'maternal care', 'women's rights', 'diabetes', 'overweight', 'underweight'…

> Montserrat: So the question becomes – what do we use e-health for? Stay healthy… and then these problems you mentioned with diabetes, overweight, underweight… and then it becomes clear that you must address the big food retailers. And also technology companies, they are involved through big data and digitalization.

This move is similar to what we saw in 5.1.4, where 'themes' (sometimes they were called 'global trends', 'megatrends', and some examples were 'water scarcity', 'urbanization', and 'climate change') were translated into 'ESG issues', which were then linked to 'companies'.

> Montserrat: We do see that so-called non-communicable diseases are starting to be more "in vogue".

Montserrat gestures quotation marks in the air to mark the irony of calling a disease "in vogue", and continues:

> Montserrat: Because the issue is that if you're going to have economic growth, you also need health.

Candide breaks into the conversation.

> Candide: But if I ask the question like this. What are, kind of, the material risks? I mean, what are the large, important risks, which diseases are the country's largest health risks?

Here, Candide draws directly on terminology related to 'ESG', where 'material risks' is a common concept. Eden refers to diagrams that have been sent previously, with different diseases represented in graphs.

> Eden: We have to look at those again. Like what to do, how to increase here (makes a gesture referring to one of the bars)
>
> Candide: Because in general it's often an 80/20 rule, right?
>
> Azul: Yes, absolutely, but there's a difference compared to the West because it's the non-communicable ones that are the most expensive here. But there… if you get diabetes, then you're just gonna have it, you know. Diabetes is just "pchoo".

Azul makes a gesture accompanying the "pchoo", seemingly signifying 'unimportant'.

> Candide: So diabetes is a thing there too?

Azul: Yes! It has become a thing!

This makes the conversation turn briefly to the growth of diabetes in all parts of the world, and recent regulations, like the 'soda tax' in New York.

Azul: Ah, there are so many different ways into this…. And of course, you *could* do a copy-paste to other countries and regions, too… but is it like the country's most important – or what is most important from the country's, or the government's perspective, like what is important when it comes to getting the wheels rolling… or that which is most important from the individual's perspective? You want it to be both.

Candide: But thinking about these countries… and questions about nativity and mortality… so the issue is how to get from the really low level, and upwards.

Eden brings out a smartphone.

Eden: Life expectancy for men is 61 and 65 for women…

Candide: So that high, anyway…

Montserrat: But if we return to thinking from *Aurum*'s perspective – and kind of what we're doing there…

Candide: Then I really think you should make this link to the World Bank, connect it up to the macro-economic level.

Montserrat: Yes, I think exactly like you. And since you've already been thinking that there's a certain focus on *Thema*… I mean, if we see it this way, the stock exchange there isn't very mature, they don't have any *Omnibus*[40], none of these self-test devices… We have the whole range here, with different types of technologies, what we call life sciences. They don't. So it becomes a political undertone, too – there are loads of young people in these countries, some live in sheds, but they have aspirations, they have dreams.

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[40] *Omnibus* is a pseudonym for a successful medical/healthcare technology company.

Azul: They have smartphones.

The form and format issue – whether it should be a "long report" or something shorter – returns.

Candide: One question that I have is whether you want it on this strategic level, or if it's a case study… and if it is the strategic, you might connect it to things like the numbers game, and the size of the working population. You could imagine the story being this about country transformation and transition, the economy lifting the population from a low level to higher GDP per capita. And then you get into these macroeconomic fundamentals.

Eden: That's very close to my heart. Connecting it to what we do. And making sure we're placing the spotlight on one of our markets. Of course, we could have done a comparison with some other country, but now I think we'll just do it on this country, and that's that for now.

Candide: What if one could find like *the* business model!

Eden: Exactly! Since there is so little of these structures before, so it would really be a focus on prevention… I also think it's very important to add this distinction that you mentioned, Montserrat, about e-health and e-healthcare. And we do want this to function as a solid background for *Aurum* to lean on, it's not about selling with this, it should be for real.

Azul: I also need to get comfortable with having eight weeks to do this, stuff that I usually spend four years on…

Montserrat: It's not meant to sound like a report made by a PR firm.

Eden: I also think this will be good, we want to reinforce what we do with real analysis. I see these numbers like "90% of all children in [country] go to school" and I'm thinking "hmm, that can't be exactly right…" so we should make sure to find out, "it's 72…"

The issue of connecting the project to *Aurum*'s activities is the red thread that runs through the two meetings. But something else is happening here if we compare it to the references to "getting ESG in there" that we saw in Chapter

5. An 'ESG' object in the version of an e-health project is enacted, with recurring reference to investment practice, and with a concern for fitting the project into that. The trajectory, as we by now recognize it. But there is a nuance, as it is not as an issue of whether it will in the end fit. It will be *made* to fit, as the project goes on. This linkage takes the form of a range of relations, between 'the macro-economic' and a 'young people with smartphones', the presence of a 'stock exchange' and growing levels of 'GPD per capita'. Note especially the suggestion, or wish, to be able to identify "*the* business model" that enables the provision of e-health in emerging markets.

7.2.2 Presenting the report

A few months later, at an event venue a few minutes' walk from *Aurum*'s offices, a group of people gather to hear a presentation of the e-Health project and the subsequent report. The room is decorated with banners with *Aurum*'s logotype, and breakfast is served. Eden makes some introductory comments about "implementing the SDGs" into *Aurum*'s activities and avoiding that it becomes "just talk".

> Eden: One of our approaches is involvement and collaboration to create knowledge exchange between academia, the public sector, and the business world.

Eden then goes on to introduce Zia, who makes a brief presentation about *Aurum* as an asset manager, its history, investment approach and funds, focus markets, and its office locations. The short introduction includes mention of some activities that I have come across in my fieldwork in *Aurum*, such as work with stock exchanges and brokers in certain markets. Eden comes in again.

> Eden: So back to today's topic. This spring we have really focused on taking our collaborations to the next level, with this project on e-health. That is – how technology is integrated into healthcare. Today's presentation of the findings of our study is intended as a springboard to further collaboration.

Next, Azul is introduced. On the small stage, a TV is used to display slides. Azul talks about the linkages between 'finance' and 'health', by drawing on the ‘SDGs’. The first slide, as Azul makes this first short introduction, displays the familiar colourful boxes. The next slide introduces the concept of ‘e-Health’ with a collage of small pictures, while the next one displays ‘quick facts’ about the country in focus. The slide draws together a range of entities and numbers: ‘population’, ‘mobile and internet penetration’, ‘percentage below poverty line’, ‘percentage in informal sector’, ‘ongoing eHealth pilots’. Azul mentions some of the statistics:

> Azul: Most of the population has never seen a doctor. And there are reports that eHealth is not so successful yet. And so what we wanted to do was to get an image of the attitude towards e-health among the population. The project was started rather quickly, but of course, it made sense to make sure we went to the local context.

Changing the slide, Azul then goes on to mention the meetings with different ‘stakeholders’ that were held during the trip. This includes *Thema*, one of *Aurum*’s local portfolio companies, and which the reader has seen mentioned several times by now. The presentation brings a bit of the trip into the venue: different ‘initiatives’ and their varied ‘success’, narratives from the local context (e.g. ‘spending money on healthcare when you don’t have enough to buy food’) and descriptions of specific conversations and interactions during the trip. After Azul has concluded the presentation, Eden makes a comment towards the audience:

> Eden: This is, of course, something we would like to extend to more markets, and we are really happy that we get to keep Azul within the team.

It is time for some questions from the audience. Someone asks about the country’s ‘technological preparedness’ and the potential for ‘tech clusters here’ to collaborate ‘there’. Someone mentions ‘innovation diplomacy’. Another one raises the issue of ‘creating trust in the system’, ‘logarithmic growth of registrations’ (into one of the digital systems mentioned) and ‘lack of immunization’. This is an ‘ESG’ far from the ‘performance review meetings’ and ‘DCF models’ – but that does not seem problematic here. The link was made already in the earlier meetings – how the project would “fit” with *Aurum*’s ‘story’, but today, the concern is something else: how to raise activity through 'collaboration'. There are things to do – they are already happening actually – so there is no need to worry about how it "fits".

7.3 The portfolio meeting: 'Integration' materialized

Every three weeks, Kim meets Kai, who was the portfolio manager responsible for *Ascend Sustainable*, the sustainability-themed investment fund they were "managing" together. This time, the meeting takes place in a small meeting room with a round table and four chairs, and as the researcher enters together with Kim, Kai is already there.

Kai distributes two papers each to Kim and to the researcher and keeps two copies. One is in black and white, with the title *Ascend Sustainable*. The table has four columns and many rows with names that are recognizable as the companies in the portfolio. The columns have the headlines "Company", "AS" (for *Ascend Sustainable*) "Target weight", and "Comment". The Comment column contains observations like "weak development" or "weak development, down a. bad report". Outside the table system there are margin notes in a few spots, where it says, for instance, "adj target weight to 2.0% (2.5%)". The other paper displays a table with a similar outline, but with more columns: "Company", "AS", "Price", "Motivated Price", "Potential", and "Comments". 'Potential', it can be inferred, is the product of a ratio, in per cent, between actual 'Price' and 'Motivated Price'. On one row, for example, Price is 760, Motivated price 1019, and Potential 34%. The meeting has obviously been preceded by analytical work on the part of Kai: new prices have been identified, perhaps some adjustments have been made to a valuation model, a new ratio produced.

Together, Kai and Kim give a short explanation of what is going on. Kai says that they (Kai) "work on" the portfolio in 'risk systems', and describes how the two papers laid out on the table have been printed out to have a look at together. Kim describes how the 'benchmark' is a 'similarly weighted portfolio', and that changes to the portfolio are made through 'target weights' and 'weight intervals'. "And the tracking error is 2, 3 something, so it's fairly low", Kai points out.

The discussion follows a pattern according to the list of sectors and shares in the portfolio laid out on the two papers that are distributed: The company name is mentioned, and Kai gives an account of how it (the share, one has to presume) has been "going" recently. Today, 'the market view' towards the construction business is an issue of concern, as several companies' share prices have been negatively affected. A little piece of 'the market' has thus been brought in, displayed in one of the rows, printed out and placed on the meeting table. "*ManuCo* has been doing well, so it has been weighted upwards" Kai says. On the black and white paper, next to *ManuCo*'s name, it says "adj target weight to 2.0% (2.5%), and in the *AS* column it says 1.8% and in Target weight it says 2.50%.

Kai: The construction sector isn't doing very well…

Kim: I think it's weird, they're building on full speed. But sentiment-wise, is that what you're saying…

Kai: Yes, sentiment-wise, it's jumpy.

Here, then, ongoing construction projects in *Diligo*'s home market are made present, contradicting the bad performance of 'construction'. The discussion turns to whether something should be removed or reduced in the portfolio, that is if any intervention is appropriate or necessary. The ensuing discussion does an 'ESG' by drawing in past analytical work (when the local stock exchange was evaluated on 'criteria' for inclusion in the *Ascend Sustainable* portfolio, about a year back), 'engineers', 'cases', but also 'stable assets' and 'delta'.

Kim: The construction sector feels… in this portfolio, more relevant than real estate. In this dimension with sustainable innovation.

Kai: Yes, how do you mean then… construction is more interesting… building instead of managing? About who can generate value?

Kim: Yes, engineers are more innovative, there are clear, good cases.

Kai: Real estate companies, they have stable assets. There's no delta…

Kim: If we are to decrease it, then it's *BuildCo1* and *BuildCo2*. The others are much more clear leaders. *BuildCo3* has a very clear niche with this thing about building [type of infrastructure].

Kai: Yeah, serving sustainable [sector]. For me, it's probably *Build1*, if I am to make a sort of stock analysis only. I wouldn't say it's easy, but… Yeah, I don't see an urgent need to do anything about this right now.

The discussion meanders on, largely following the list of portfolio companies placed on the table.

Kai: *ConsumerDiscretionary* has been doing well but I think the stock price is a bit just up with events… *ConsumerDiscretionary2* has been steady… *RealEstateCo* is unbelievably weak.

Kim: I guess they have gotten a bit of the same as the others…

Kai: But if you picture the marginal investor… you still end up with the conclusion that we should keep them, they are doing a fantastic job… in the sustainability area… so if you don't mind.

Kim: It's, of course, this balance between long-termness and short-termness…

Kai: Within consumer products, there is *ConsumerCo*… They had had some kind of delivery problems.

Kim: Yeah, you mentioned that.

Kai: It should be temporary, but we should try to visit them. One thing that I see that is problematic with this sector is that they package everything in plastic… It's nothing we need to do anything about in the short-term, but conceptually…

Kim: I'm sure there are alternatives coming now, all the big ones are working on that, new types of liquid packages…

Kai: Mm… *ConsumerCo2* did an acquisition in [Country.] Now, if ever, we need to find out how they work with suppliers…

> Kim: And I will go to a meeting with them, and hope for a combination of listening and speaking.
>
> Kai: They are an intermediary, so they absolutely must keep their supply chain in check.

The discussion continues to another sector and the fit between that sector's activities and the thematic approach of the fund.

> Kim: As I see it, the potential lies in their ability to shorten waiting times for [public service], in a way about succeeding with what the public sector fails with.
>
> Kai: Right… and on the manufacturing side, not much to say there. *InduCo*… the question is what happens now. Many of them are quite expensive. If you are to reach a value above the current stock price, you have to be very optimistic. *InduCo2* wants to enter the large-cap list… They're doing wonderfully. Then another problem child is *Technology*. But I suggest not doing anything about it right now.

Before concluding the meeting, to what was afterwards described as Kim's satisfaction, Kai mentions plans on buying some stock in a cleantech IPO.

> Kim: Oh, *NewSolutionCo*?
>
> Kai: Yes, I'm signing up for a bit, we do have some liquidity.
>
> Kim: Oh well I think they are really great… There's no abundance of companies like this on the stock exchange. They are innovative, they are pure-play, they are future-aligned…
>
> Kai: If the cluster of these smallest ones increases with [percentage] or [percentage]… I don't see that as a problem. But the liquidity in many of these companies is substandard…
>
> Kim: Who are the worst?
>
> Kai: *SmallCo1*, *SmallCo2*… You get into problems when you can't just act one day to another. *SmallCo3* has gone down a lot without any turnover…

Kim: Anyway, when is the *NewSolutionCo* IPO?

In this episode, we got to follow the materialization of ‘ESG integration’ through the presence of an ESG analyst and a portfolio manager, jointly responsible for a fund. Throughout the meeting, both ‘the financial’ and ‘ESG’ are prompted, but it is not symmetric: analytical work has proceeded the meeting and is now present in the form of the spreadsheet on the table. ‘The financial’, thus cannot be intervened in, it has already achieved a form of closure, elsewhere – specifically, at Kai’s desk, we can infer. ‘ESG’, on the other hand, has no material presence beyond ‘Kim’. It is instead prompted and articulated in talk, by reference to comparisons between different sectors and different companies, and how they link to the various ‘themes’ that underlie the composition of the portfolio. The spreadsheet also materializes a ‘market view’, making some sectors problematic. Yet, the portfolio composition will not be changed, it seems, because nothing is so problematic that it requires intervention. We can also note how it is not necessarily Kim who prompts ‘ESG’ and Kai ‘the financial’: when Kai expresses concern for plastic packaging, “conceptually” –Kim downplays this, as the ‘alternatives’ are coming. ‘Perspectives’ are not as inherent and stable as it is often assumed.

7.4 The tech fund meeting: Resource savings, technology potential and profitability

In this episode, we follow along when *Diligo*’s ESG analyst, Kim, and Dallas, a portfolio manager, have been invited to meet with a tech-focused industrial investment group that might be issuing some new stock, at the equity sales arm of an investment bank. The meeting is patterned in accordance with a slide deck printed on thick pages, dense with pictures and diagrams, and not much text. The different portfolio companies’ ‘business models’ are discussed, as participants browse quickly through the slide deck.

7.4.1 Meeting preparations: What to ask?

Before the meeting, some preparation. We are sitting by the desk in an open floor plan office. The clatter of fingers on keyboards, muffled voices from a room nearby. The investment fund is not known to Kim before, so a simple web search is a start. On the desk is a notebook, in which a new page is turned, to make notes for the visit. Kim clicks on the link named "Portfolio", and a diagram comes up, whereby four circles with words are displayed next to each other. Each circle with words represents what can be understood as categories of portfolio companies. A text below refers to 'impact', 'global challenges' and 'revenue growth'.

Kim continues to scroll and click through the various sections on the website. Sometimes a portfolio company subsection is perused more thoroughly. Then, the link "Impact" leads to the display of 'carbon and water impact' of the portfolio companies. The 'savings' of 'CO_2' and water have been translated into 'cars', 'households', and 'swimming pools', perhaps to evoke more material and spatial manifestations of the volumes.

Kim calls the attention of Dallas, who sits across the desk island:

> Kim: Are we going to *Abacus*[41] for the meeting?
>
> Dallas: *Excelsior.*
>
> Kim: Well, then it's not that far… We're doing a quick briefing here. They make one of these impact reports as well.
>
> Dallas: I was thinking that since it's an investment company, we simply ask how they choose the companies. I've understood that they are going to make a targeted new issue.

A while later, coats have been collected and a short walk has been undertaken, all the while chitchatting about a recent sustainability scandal and the investment fund with whose representatives we are about to meet. We enter the elevator of a swanky office building.

> Dallas: We usually do not have this kind of holding. There is no reason, if companies are listed, to own them through an investment company. We can own them ourselves instead. We get the risk diversification anyway. But often, these

[41] Both Abacus and Excelsior are pseudonyms of established investment banks.

types of companies are not listed, and often so small that it is difficult for us to come in.

We are soon sitting around a table in a meeting room with glass walls and panorama windows. It is Dallas, Kim and the researcher on one side, and four other people. On the opposite side sits MacKenzie, from the investment bank, together with two representatives from the tech fund: Brooklyn and Seven.

The presentation starts at a furious speed, with the material we received a copy of: a presentation in colour print, with white spiral binding. The first slide, and the accompanying introduction by Brooklyn, an executive, present a 'strategy update' so that holdings in portfolio companies can now – at least "sometimes" – exceed 50 %.

Brooklyn: At the same time, we want large breadth. We have 10-13 companies that are growing and if we are to increase our stake, we must always show that we add something and help the holdings.

Right before the presentation started, in a round of introductions, Kim presented the sustainability fund and its approach of choosing investments based on different 'trends'. Brooklyn now refers back to this, while moving to the next slide of the presentation:

Brooklyn: What goes for all our companies, is that they have found a pocket somewhere, a pocket of resource savings. Whether it is food waste or water to [third issue]. This is so to say resource pockets that go up in smoke unless the companies... monetize them.

Brooklyn: Generally, we start by entering very small, and then we have a step-by-step plan to increase our ownership. We often work with options for increased ownership over time, as valuations often take off. That's what we want them to do, of course.

Dallas: And then I assume that the risk goes down ... because you are in there, and see more.

Brooklyn: Yes, exactly, and it will also be easier with a predetermined stepwise model, instead of every increase being a new decision.

The next page displays a list of the holdings, a pie chart and a diagram with two bars. Dallas interprets the pie chart as a representation of portfolio composition.

Dallas: It looks like you have a very concentrated portfolio.

Brooklyn: Yes, but that's revenue, so there you see those of the companies that have come the furthest.

From this representation of 'revenue', on to 'revenue growth'. A bar chart, growing taller and taller as the years pass from left to right, ends with the current year and a three-digit 'revenue growth' number. Brooklyn states the importance of entering early, even as the first owner, and producing "international winners".

Kim refers back to the previous pie chart, where two portfolio companies were represented as constituting a large part of total 'revenue'.

Kim: Is that these then, *Altius* and *Spero*, or?

Brooklyn: No, there are several. I think ... These are the ones that have come the furthest.

'Revenue' growth is thus done here as a temporal journey. In a new move (and the next slide) the 'team' and the 'board' becomes an issue of interest, as Brooklyn talks about a "good mix", where several have "run companies" and someone has a PhD, and where someone is involved in a huge technology infrastructure project. The next slide features a world map, with dots in different places, and some of the names of the holdings.

Brooklyn goes quickly past one page with the board and onwards to "Our companies". It is consistently hard for the researcher, Kim and Dallas to follow along in the browsing, which throughout the meeting produces some strange misunderstandings because someone looks at another page than the one Brooklyn is just talking about.

> Brooklyn: We are very spread out… *Altius* is a lot in [continent]. And this is partly because the payback times for energy efficiency investments are drastically different in different countries due to the different electricity prices. For example, it is twice in Germany compared to China.

The world map comes back in the next slide, now with the heading "Global Impact of 1KwH". On the world map, different figures are displayed, to represent how many grammes of CO_2 per kilowatt-hour.

> Brooklyn: Here's how much difference it makes, depending on the mix of electricity. In China, more than 50% of the electricity comes from coal... although solar is increasing a lot there.

In this move made through the slide and the situated meeting practice, and by the linking of Kim's presentation of the fund with 'energy' and 'water', an 'ESG' is made. It is produced in the linkage between 'payback time' and 'electricity mix', and where it is possible to imagine a very material manifestation of 'technology' around the world: fluids and gases moving through pipes and tubes, levers and pumps moving up and down, shiny metal boxes with digital displays and colourful lights…

7.4.2 Companies, technologies, expansion plans and business models

From now on and through most of the rest of the meeting, the portfolio companies are presented, one by one. The first one is *Potentia.*

> Brooklyn: This company is about [technology]. And no matter what type of industrial manufacturing it is, in all factories there are a lot of different small processes controlled by [that]. It is used everywhere. And therefore, it represents as much as 5% of global use of electricity. In China, it is as much as 10% due to the fact that they have so much production in the country. So, as these savings can be made, this is a [amount] billion dollar market. And what *Potentia* does, is that they put small sensors in place that monitor the system and identify all these small imbalances and inefficiencies. So, even if you have already had energy consultants looking at the entire production, you're making huge savings just on this.

Kim: So – just so I understand... the systems are already there, but this is... managing them?

Brooklyn: Yes, there are already a lot of measurement points that you often do not even use. And this means saving 20-30% in energy use usually. But even 5-10% can sometimes be a lot of money. In this company, we have been active from the start.

Dallas: I suspect that there are patents, and so on ... but when it's such a big market, everyone wants to get in. Not least the big ones ... and then I wonder how you think about it... if they are at risk of being squeezed out of the market... The big players are not so fast, but when they hit, they hit hard.

Brooklyn provides a response (withheld for confidentiality) related to the specifics about *Potentia* and why it is, therefore, less susceptible to such a 'risk'. In the meeting material, *Potentia* is represented with diagrams, graphs and pictures of industrial machinery (with tubes, handles, knobs and cables). Graphs carry a dual role because they are sometimes representations of portfolio 'performance' or 'revenue growth', and sometimes they depict the measurement work made possible through the use of a portfolio company's products and services. Graphs are thus both displayed, more directly, and depicted, more indirectly.

Kim: Does it also increase the lifetime of the equipment?

Seven: It does! You're absolutely right, it does actually. And not necessarily just that they can be used for longer, but rather that this means that without this, what normally happens is that a need to buy new [devices] arises, which typically costs 2 million euros or something like that… And here they instead realize that there is no need for a new [device].

Brooklyn: And the goal is that this system will eventually become completely autonomous, so in [city], they have recruited the absolute best in AI.

It is by now clear that there is no chance of making it through the material unless less time is spent on each company. Brooklyn comments on the enthusiasm around the potential of portfolio company technologies:

> Brooklyn: We can talk for a long time about our companies!

We move on to the next holding, *Quaestio*. Like previously, with *Potentia*, the ‘technology potential’ is done through a detailed imaginary of material objects out there, and the many possible adjustments can be made in various spheres of human activity, and the amount of “low-hanging fruit” that can be identified with the right “measurement systems”. Statistics on the world’s emissions and how they are distributed in different sectors are brought in.

> Kim: Okay... and the business model then, how does it look?

> Brooklyn: *Quaestio* sells the software per square meter. And then *Quaestio* will be paid by the energy companies for the reductions, and then you split 50/50 on the savings with the customers.

The next portfolio company, *Spero*, is described by mentioning its recent infrastructure investments, and its customer revenue sharing model. Brooklyn provides a percentage, and Dallas reacts.

> Dallas: It sounds *very* generous.

> Brooklyn: Yes, *Spero* gets less, but also a fee per transaction, which becomes substantial with all these [description of volume]. This is an incredible process dream they've built, how they handle all of these streams. Like an electronics factory.

> Dallas: How much do you own?

Brooklyn mentions a percentage.

> Dallas: And what is the valuation?

> Brooklyn: Right ... now the thing is that they do not go out publicly with the valuation that came in the second round... but I can say that for this kind of company it’s more than [figure]. And with this company, it’s not even relevant to look at last year’s revenue to get an idea... but on the other hand, it has been communicated that even if they would completely stop growing now, they would

> still have annual revenues of [figure]. Unfortunately, they want to keep more secret than we would prefer, because of the competitive situation.

Next, *Altius,* one of those that had "come the furthest" from the beginning of the presentation, is described. After a first technology description, there is still uncertainty.

> Dallas: What exactly is it that the [technology] does?

Brooklyn provides a new description, together with a percentage of the savings produced. The savings must be related to something, it seems, from a question from an investment bank representative:

> MacKenzie: What does it cost?

> Brooklyn: Well, what I can say is that their latest orders are [figure].

In the material, the next slide consists of five bars for 2013, 2014, 2015, 2016 and one grey, for 2017. Each year there is one bar for revenue and one for profit. The current year 'revenue' bar goes through the "roof", outside of the picture. The company's way of operating, however, needs further clarification and context.

> Kim: Who is the typical client?

> Brooklyn: Well they may be many different types...

Brooklyn goes on to list a few, including companies in a particular sector, and authorities and mentions a particular example client.

> Brooklyn: Then there is the issue of difference sometimes between the customer and who pays, it is often different. Typically they set up a unit to sell the electricity. So it is often very complex, with many different actors involved.

Dallas wonders about the company's presence in a specific country.

Dallas: You are not there? That should be a huge market for something like this.

Brooklyn: Seven, maybe you want to answer that – Seven is on the board of this company.

Seven: No not there, but [neighbouring country] ... mostly [other continent] ...

Brooklyn: That country would definitely be something, but then ... they're doing well and just trying to satisfy the demand that they already have, it's rolling in... Because, just in their pipeline, there's [amount].

MacKenzie prompts a question about the portfolio company's valuation.

MacKenzie: What have you put in here then, and what's the value?

Brooklyn: We would get [number] times the money if we sold now ... and that is based on a valuation made by *Semper*[42]. Because we invested so little initially, and have increased our ownership as well.

There are no further questions related to that, and the next portfolio company, *Aeternum*, is introduced. After a brief technology description:

Brooklyn: There we now have ownership of [percentage] but can go up to [higher percentage]. Certainly more, too, if we would like to. And what this is about, like you see in the background of this picture, are these [devices] that are used in [technology].

Brooklyn goes into some details about the device, and how it can lower cost for when introduced into operating machinery.

Dallas: Is there a typical saving?

Seven: One of the clients has reported externally that they save [amount] euros annually from this, and they only pay [smaller amount] annually. So, there is a new pricing structure in place.

[42] An investment bank.

Dallas: It's still too cheap!

Seven: Yes, but not compared to their previous pricing...

Brooklyn: It's worth mentioning that we have quite recently become owners.

Seven: In the world overall, it's possible to know the size of the market because this works for a particular type of [machinery], and so the market is that there are [amount of installed machinery] worldwide that can use this. And through one example client, where they have started installing these [devices], they already get access to [a number of] big sites across the world. So this means that they can talk to [a smaller number of] companies and get access to [a large percentage] of the relevant [machines].

The next portfolio company, *Camera*, is done through 'competitors' and 'drivers'. The description starts from Brooklyn describing the particular device and the sector it targets, the 'problems' there, and personal experience of making use of it. Again, the potential is illustrated by mobilizing a story, this time more 'everyday life'.

Kim: There is this [local] version called *Quantum*, which has been launched a little bit like something unique...

Brooklyn: Yes... They first did [something else]... and then when they saw this then switched around to do what they are doing now...

Kim: What is the main driver for the [participants]?

Brooklyn states that it varies a lot and provides a few different examples.

Brooklyn: But for all, it's an income, it goes straight to the bottom line… And finally, it's a way of getting new customers in.

In the last part of the document, the CO_2 and water figures that came up during the meeting preparation earlier returns.

> Brooklyn: For many of our companies, it is very clear, easy to obtain numbers. With [product example] like *Spero*, it's a little more difficult, because it's harder to say what had happened otherwise. For *Camera*, it is also a little more difficult, but we know that you save a lot on [other substances] too... *Spero* has enormous amounts of data compared to several of the others ... they even know how far their employees drive a car to work every day.

> Kim: Did you get help with this?

> Brooklyn: Nah… We did quite a lot ourselves, we have quite a lot of that competence.

Brooklyn continues by describing some of the backgrounds of the management team.

> Kim: The reason I'm asking is that this is a big thing also in our industry ... trying to see the impact one has through one's investments.

The hour is starting to come to an end.

> Brooklyn: Just a last comment about the value development we have created. According to the prevailing valuation, we would get [number] times the money for *Potentia* today. And [number] times the money for *Altius*.

The latter number has already been mentioned in the discussion.

> Dallas: This capital you are going to take in now ... what is it for? Is it so to say, to use for the existing holdings, or for new positions...

> Brooklyn: No, it's for new investments. Because it's really timing-based... so when the time is right, when we see that there's an opportunity, we've got to be ready to act. You see when the growth takes off... But that's a good question, because absolutely, we are not like some, that have a huge burn that has to be covered.

> Dallas: But do you have any? Which of the companies have a burn rate?

> Brooklyn: Yes *Spero* then ... it has been extremely expensive to build up all this [infrastructure]. Then we are preparing, of course, some exits too, there will be one or two of those.

After some exchanges of business cards and comments about "follow-up contact", the meeting ends and Kim and Dallas head back towards the office. An opportunity for the researcher to ask for some commentary on what just happened.

> Researcher: You sometimes asked about a valuation, about the size of the stakes...
>
> Dallas: Yes exactly, you have to try to get some sort of idea...
>
> Researcher: When you look at something like this, will it be then a question about the portfolio as a whole or the individual companies?
>
> Dallas: Individual companies. One must try to get a picture of the individual companies.
>
> Kim: Well there were many interesting companies. There are so few of these, it's hard to find this kind of companies, pure-play and innovative enough...
>
> Dallas: Yes... everything from industrial solutions to this [digital solution]…

In this last episode of the chapter, we witnessed the frenzied activity of hands browsing through a thick, printed slide deck, questions and answers, and a vast array of accounting numbers: revenue growth rates, multiples, burn rates, CO_2, water… The calculations are prompted in narratives of resource savings and expansion capacity, of technological improvements across different geographies and markets, and of 'business models' that will ensure the capacity to generate 'profitability'.

Summary

In this chapter, we have shifted the emphasis slightly from the previous chapter's focus on the making of a situated trajectory into a position. This shift, however, took a variety of forms. The issue here is not so much about attempting a trajectory to a distant position, but on how 'ESG' is in motion. When these episodes are placed next to one another, it is clear that they differ in regards to how the situation unfolds. In the certification meeting, there is a continuous prompting of additional measures and interventions, a path to follow, continuously opening up for more effort. In the emerging markets health project, there is initially a trajectory concern: making sure that the project "fits" with investment practice. However, this dissolves over time as things are planned and set in motion and new material relations have been made. In the portfolio meeting, purportedly a position of calculative importance (it is here performance is to be reviewed and decisions are to be taken) it seems there is nothing to act upon, nothing to do. In the tech fund meeting, worlds and technologies and potentials are continuously made, and there are always more questions to ask, more accounting figures to probe. This quality, on which the episodes differ, is something I denote *momentum*, a sense of things happening almost automatically – as opposed to requiring constant effort. It is partly also a question of difference in terms of the presence of inscription devices. In the portfolio meeting, there are only two A4 papers with calculations already "done". In the tech fund meeting, the participants browse through a thick slide deck with detailed descriptions and visual representations of technologies, business models, calculations and plans. I will return to the question of *momentum*, and its relation to accounting technologies, in the discussion in Chapter 8.

Chapter 8

Discussion

This thesis has explored the broad and long-standing question of the relationship between accounting and change. It conceived of the phenomenon of ESG integration as a particular form of accounting change, through the mobilization of the spatial figures of an object, a trajectory and a position. The premise was that change itself is a situated enactment. In this chapter, I discuss the findings of the thesis in relation to the broad research question and the related sub-questions asked early on, based on the eight episodes of Chapters 6 and 7 and the interviews in Chapter 5. First, I briefly discuss the conceptual starting points (8.1) and the decision, drawing on ANT-and-after, to study change as a repertoire of an object, a trajectory and a position. In particular, I discuss and elaborate on how we saw the trajectory in practice in the empirical episodes. In the next section (8.2) I introduce the notion of the *in-between*, and how separation seems to be reproduced in the 'integration' endeavour. The argument is that the approach that I took here permitted an understanding of how the trajectory reproduces the very dichotomy it builds on. This finding is in contrast with the tendency to see accounting as *either* in or out in the ANT-based stream I termed accounting-in-the-making. I also discuss this finding in relation to recent studies of accounting-in-action, and probe and problematize the understanding of how accounting inscriptions draw together distant localities and entities. Then, in 8.3 I pick up on how some situations, ostensibly in-there positions and thus, ostensibly again, of calculative importance, lacked an elusive sense of action, while others seem to unfold "automatically". I propose the notion of *momentum*, and elaborate on how this momentum is derived not only from humans "asking questions" or engaging in "gap-filling" (Busco and Quattrone, 2018) but from a density of material associations. I elaborate the notion of momentum by foregrounding the role of procedural scripts, and how the distribution of calculative equipment renders a distribution of what is open and closed for intervention, and what thus becomes possible and appropriate courses of action.

From there on, the chapter elaborates on how these concepts and findings can be related to, and have implications for various debates in the accounting literature. In 8.4, building on from the observation that momentum does not automatically follow from in-there positions, I engage with the centre-periphery dichotomy critiqued in a few recent studies (Christner, 2015; Quattrone and Hopper, 2005). Picking up on this critique, I discuss how the understanding of 'ESG integration' as an object, a trajectory and a position changes depending on if we characterize it as activities "at the periphery", or as a centring attempt in itself. This choice has implications for how one can understand the tinkering and experimentation of accounting practice in situated localities (such as a meeting, or analyst work by the desktop). Indeed, it matters for if we see potential, or dismiss such effort as "marginal". This calls for revisiting the concept of a centre of calculation. I probe this issue with reference to decision-making, against the background of the observation that in the episodes of this study, decisions are often absent. With Mol (1999), I propose the shift of attention from pivotal moments of decision-making to decision arrangements, and suggest that we develop an attentiveness to those realities that are done accidentally and incidentally in episodes of analytical interest (Law, 2011). Through this shift, we are entering a domain of *ontological politics* (Mol, 1999).

This opens towards 8.5, where I discuss the thesis' findings by continuing to draw on Mol's notion of ontological politics. I relate it to the broad notion of sustainability and what is at stake in 'ESG integration' or "getting ESG in there". Whereas the ontological-political suggestion that reality is not destiny implies a potential for change, the concept of obduracy (Law, 2001) helps to unpack how asymmetries seem to return. I conclude that we should be wary of arrangements that reproduce the bias to the centre, but also suggest that there is a way out in the relentless pursuit of practice.

Finally, I discuss this study's findings in relation to the social and environmental accounting (SEA) literature. In particular, I place scholarship that draws on dialogic agonistics (Brown, 2009), and concerned with the question of how emancipatory outcomes can be brought about by practices of "bringing together"[43], in analytical tension with the ontological, material-semiotic approach of this thesis.

8.1 Studying change as an object, a position and a trajectory

The starting point for the thesis was an interest in change that I traced in social studies of accounting more broadly and particularly those drawing on ANT (Chapter 2). I discussed how this concern took the form both as studies of the heterogeneous re-organizing processes of accounting-in-the-making, and the situated, material-semiotic, generative capacity of accounting-in-action. These two streams differ in the phenomenon under study, as the former deals primarily with deliberate change processes, while the latter foregrounds the minutiae of accounting technologies in ongoing practice. However, they share an interest in the link between accounting and various forms of intervention. Drawing on the findings of these two streams, I proposed a shift from studying change as a longitudinal story of genesis towards studying it as a material-semiotic accomplishment in situated localities of practice. This was related to the theoretical approach of ANT-and-after, the starting point that practices are generative of realities, and that realities are thus multiple.

Specifically, I introduced the concepts of an object, a trajectory and a position. These spatial figures were intended as devices that could foreground certain aspects of the minutiae of ongoing ESG practice: how an 'ESG' object was done, such that it could move along a trajectory, to a position of more or less distant practice. The three concepts constituted an operationalization of the phenomenon of 'ESG integration' and the emic concern of "getting ESG in there".

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[43] While I engage with dialogics here in Chapter 8, the two others (sustainable finance as reform of capitalism [3.1], and SEA and change [3.2] have not been forgotten. I outline potential implications for the other two streams in Chapter 9.

In Chapter 3, by engaging with the literature on the empirical phenomena of ESG and sustainability accounting, I elaborated on the practical problem of this thesis: Why is it that some forms of accounting change seem so difficult to attain, that is, why do some calculative tools and practices (those that relate to 'the social' and/or 'the environmental') seem to fail to *really* take hold? Couched in the conceptual vocabulary of this thesis, the literature on various forms of calculative practice for sustainability has been interested in both the making of an object ('sustainability'), its trajectory *into* and *within* organizations, and positions of organizational power. As such it has often treated the object as a consequence of taken-for-granted normativities, while the trajectory has been characterized by obstacles to substantive change, and the position problematized as hegemonic and imbued with a neoliberal discourse of 'the financial'. However, notwithstanding a long-standing interest for change and transformation, the literatures on sustainability accounting and sustainable finance have been less interested in analytical questions relating to difference, separation and boundaries. A non-essentialist approach, like the one taken here, permits (and compels) engaging with such issues differently.

To summarize, this thesis set out to explore the practical problem of realizing sustainable investment practices in the financial sector, and the theoretical problem of how we might understand accounting change while acknowledging that practices are generative of realities, and that realities are thus multiple. In the empirical episodes, I tended to how positions, boundaries and trajectories crossing over were arranged in practice. The object of 'ESG' thus, was a consequence of spatial practice, rather than an entity to pin down or settle. If ANT is often described as shifting the attention from *who* to also encompass *what,* in this thesis, the analytical gaze was shifted to *where* and *whither*.

The various empirical episodes give substance to the conceptualization of an object, a trajectory and a position. Multiple object trajectories could be done in a single site. This approach thus differs markedly from the ANT-inspired accounting literature's interest for the "large-scale" trajectory of how an accounting object's configuration changes over instantiations in chronological time.

For instance, in the consumer products meeting (6.1), the company PowerPoint enacted the "journey" of sustainability into *Vicis*, through references to a project group, new KPIs and a reporting framework in the making. The investor analyst questions, on the other hand, enacted *Vicis* as an entity in comparison with other entities, prompting less detail on internal management and more elaboration on the product *Vicis* produced, compared to others. Two attempts (at least) at trajectories were thus enacted in the meeting. In the PowerPoint, one trajectory was done: that of sustainability into *Vicis*. In the analysts' questions, there are attempts at another one, namely that of ESG into the ownership interface. Therefore, analogously to the two trajectories, there were (at least) two versions of the 'finance'/'sustainability' dichotomy.

In the slide deck and in the company representatives' talk, the attempted trajectory was that of 'sustainability' into *Vicis*, the firm. Rather than a link to 'revenue', this was a question of avoiding 'scandals', perhaps again to avoid loss of 'revenue', but the link was not made explicit. 'Sustainability' as 'no scandals' draws together 'inspections', 'spot-checks', 'KPIs' and 'good supplier relationships', since well-functioning "systematic systems" are the appropriate intervention.

In the investor questions, 'finance' and 'sustainability' were drawn together sequentially and causally. As the attempt at trajectory was 'ESG' (or 'sustainability' into the capital markets interface, the key operation was 'comparison' of *Vicis* products to its competitors' products. 'Sustainability' as 'product innovation' was thus to be strived for – it would drive revenue, perhaps – which implied that appropriate intervention were things like following 'consumer preferences' and 'health trends', avoiding 'additives', and attempting 'product differentiation'.

By foregrounding how two alternative trajectories were being contested, the object became a consequence of the trajectory. To reiterate: Depending on the trajectory operation, into the capital markets interface *or* into *Vicis*, the object, too, was done differently. In turn, and this is a key point: they performed different versions of "appropriate" future intervention.

8.2 The in-between: Bringing together as keeping apart

The approach in this thesis builds on from a tradition of the constitutive role of accounting in practice. It matters *how* accounting technologies are mobilized in practice, precisely because it has consequences for what becomes possible and appropriate pathways of intervention. I discussed in Chapter 2 that the ANT-inspired accounting literature has tended to study change as either the longitudinal story of genesis (accounting-in-the-making) or as the generative capacity of its graphical and visual aspects in situated practice (accounting-in-action). In the following, I will elaborate on the consequences of making the analytical shift of this thesis, namely towards studying change as an object, a trajectory and a position, and being attentive to the specifics of how the three are done in practice. The key argument is that it opened for a particular form of sensitivity to the practice under study, and the thesis' analytical concerns for multiplicity, change and boundaries.

The capacity to refer to either 'finance' or 'sustainability' hinges on drawing on immense investment in material-semiotic networks. Distinguishable regions[44], such as objects, geographical regions, or domains of expertise, are made possible through networks (Mol and Law, 1994). The notion of a hinterland refers to how such infinite complexity can be reduced into simple entities and categories (Law, 2004). Like objects are done in practice, so, too, are boundaries and dichotomies. While some ANT-inspired studies have started to problematize the way dichotomies have been treated in the accounting literature (Sjögren and Fernler, 2019), this thesis addresses such analytical questions specifically through the position concept, in the sense that a distant position always evokes a boundary – between something "here", and something else "there".

In the portfolio meeting in *Diligo* (7.3), to take one example, 'the financial' was enacted through 'liquidity', 'diversification', the 'market view', 'target

[44] In their paper on regions, networks and other spatialities, the "regions" directly referred to are the Netherlands and "Africa". However, the argument on how networks make regions possible, is translatable to things beyond geographical space, as it is a question of a particular form of spatiality, "where objects are drawn together and boundaries are drawn".

weights', and 'delta', among other things. Thus, in some situations 'finance' is a distant practice that is to be targeted, while in others it is "there" (as in the portfolio meeting). But then, like in this portfolio meeting, 'sustainability' and 'finance' continues to be done separately. The first key finding of this thesis, thus, is that even when distance in space is not the issue, separation can prevail. I elaborate this proposition over the remainder of this section. To do this, I will begin by revisiting a few more empirical examples. Thereafter, I compare the findings to those of a few studies within the two streams of accounting-in-the-making and accounting-in-action, to elaborate on how the study makes an analytical contribution.

8.2.1 Trajectories in-the-making: the many versions of "getting ESG in there"

As in the consumer products meeting, in *Aurum*'s team meeting (6.3), we saw numerous trajectories in-the-making. 'ESG' was to go into portfolio management, such as the evaluation and feedback to portfolio companies. Achieving this trajectory, however, required the drawing in of the financial analysts (for instance through translations to local languages) to entice more survey responses from portfolio companies. The trajectory, thus, enacted the boundary between 'ESG' and the 'financial'. 'ESG' was also to go into the monthly letters sent to clients, but it had to be something else than a "CSR thing", perhaps a version with more relations, and thus resemblance to, 'investment'. However, there was a trade-off between space and content, and unless there was something substantial to add, it was, perhaps, not a worthwhile trajectory.

Consider also the investment team meeting in *Aurum* (6.4). I described how it had been ascribed importance that both financial analysts, portfolio managers and ESG team members participated in this weekly meeting, to be able to "check" any new investment ideas or proposals directly. In the meeting that was part of this study, one ESG analyst was indeed present but did not speak, and 'ESG' more broadly was not touched upon except as a check for the risk of violation of a so-called exclusion criterion (and as interest from a potential client, a family office). While one might think of this as an "accomplished" trajectory, a bringing together of 'finance' and 'ESG' in a weekly meeting, this episode also prompts us to consider alternative interpretations:

'ESG' is here an exclusion criterion, and thus different from 'ESG' in the ESG team meeting. While several financial analysts were prompted for an update on recent analysis of stocks and markets, the ESG analyst was not asked to do something similar. The trajectory concern can thus be reformulated into the question of, even when 'ESG' is in there (in the meeting), is it really in there (making a difference)?

The argument I am pursuing is that in these empirical episodes, we can see how the trajectory places 'ESG' on the outside, reproducing the same distinction that was to be overcome through 'ESG integration'. That is, it seems as if these material-semiotic operations simultaneously produces separation. Accounting practice can thus render, rather than a traversing of, instead a *re-producing of* boundaries, insides and outsides. The episodes show with empirical detail how things can remain separate even in practical situations when they are seemingly brought together. This leads me to suggest that ESG integration, and the endeavour to "get ESG in there", places 'ESG' in a liminal, *in-between* position. The trajectory arrow that I introduced at the beginning of this thesis (Figure 1, p. 24), might then well be understood as the slash mark of separation in the 'finance'/'sustainability' dichotomy[45].

This is a radically different argument than Star and Griesemer's (1989) boundary object. Through so-called interpretive flexibility, the boundary object brings different social worlds together, enabling cooperation. The boundary object thus hinges on an epistemological theorization of expert groups and their "perspectives". This means that the notion maintains that there are different worlds that remain separable, even if they can temporarily and practically collaborate. The ontological approach here taken, and my empirical focus, suggests that such "expert groups" are produced recursively and material-semiotically, rather than having reified, dichotomous "perspectives" or "interests". As I will elaborate later, the dichotomy is deliberately arranged in ostensive decision situations, such as the portfolio meeting.

This notion of the in-between position also stands in stark contrast to the early versions of ANT mobilized in some accounting research. I discussed in Chapter 2 how even though many studies expressly departed from

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[45] I owe inspirational debt to Christian Abrahamsson (2008) for this line of thinking. His thesis is a beautiful inquiry, albeit in a very different context and literature, into the operation of signs, transitions, and difference.

a success/failure dichotomy, by tending to the assembling of a network of support through processes of interessement, enrolment and mobilization, (see especially Briers and Chua, 2001; Dambrin and Robson, 2011; Pipan and Czarniawska, 2010, Qu and Cooper, 2011; Young, 2013) only either/or outcomes seem possible. Along the lines of such theorizations, one might be drawn to propose that the in-between "outcome" is merely an intermediate step along a time axis. I am reluctant to make this, indeed quite deterministic, interpretation, however, as it risks falling in the trap of the totalizing, binary, grand narrative of genesis through association – and the homogenizing effects of studying the world like that – that ANT has been so criticized for (Star, 1991; Lee and Brown, 1994).

Specifically, if practices are generative of realities, then whether a reality "wins" is a local and practical matter, as we are dealing with multiple realities in patterns of coexistence (Mol, 2002). My proposition of the in-between position of 'ESG' should be understood in the context of such a shift from genesis stories to the attention to the effects of practical work that is distributed over space and time. The first contribution to the ANT inspired literature on accounting change, thus constitutes this shift of emphasis from genesis to distribution and coexistence. Christner (2015) began to probe these questions in his study of an industrial multinational, and I picked up from there by elaborating on the analytical issues of situated practice, space and distribution. I did so by the introduction of the conceptual repertoire of an object, a trajectory and a position, which enabled the identification of the in-between.

The reader should note, however, that just like the in-between is not necessarily a "step on the way" in a genesis story, my argument should not be understood as a dismissal of 'ESG' as symbolic, ritualistic paperwork and thus "not real". If practices are generative of realities, then even that which might look ritualistic is in all aspects real. This relates to the broader political question of how we should think of phenomena like 'ESG', and their transformative potential. The question links up with a long-standing debate on the potential for change through sustainability accounting (see e.g. Larrinaga-Gonzalez and Bebbington, 2001), a question that I will return to later in this chapter (8.5). The question, to put it bluntly, is whether tinkering matters in the face of vast societal challenges and prevailing asymmetries.

8.2.2 When the boundary is prompted, it cannot be circumvented

I suggest that the argument of 'integration' as separation, and the position of the in-between, also constitutes a contribution to the stream I labelled accounting-in-action (Busco and Quattrone, 2015; 2018a; Christensen *et al.*, in press; Corvellec *et al.*, 2018; Frandsen, 2009; Georg and Justesen, 2017; Martinez and Cooper, in press; Mouritsen *et al.*, 2009; Pollock and D'Adderio, 2012; Quattrone and Hopper, 2006; Quattrone, 2009; Sjögren and Fernler, 2019; Skærbæk and Tryggestad, 2010; Themsen and Skærbæk, 2018). These studies attended to how accounting inscriptions drew up a performative object space and foregrounded their visual and graphical aspects, such as grids, tables, and graphs – their "format and furniture" (Pollock and D'Adderio, 2012). The studies tended to the production of objects as diverse as a 'building' (Georg and Justesen, 2017, 'risk' (Themsen and Skærbæk, 2018), 'innovation' (Mouritsen *et al.*, 2009) or 'the market' (Pollock and D'Adderio, 2012). As I discussed in Chapter 2, a subset of these studies shares the concern of this thesis for boundaries and distinctions.

One type of such boundary operation is that of "bringing things together". Such a concern, which resonates clearly with 'ESG integration', relates to questions not only of separation but also of distance. Corvellec *et al.*, (2018) and Sjögren and Fernler (2019), explore how the ostensibly distinct becomes "merged" either through a large-scale municipal intervention (Corvellec *et al.*, 2018) or in the day-to-day managing and decision-making of professionals (Sjögren and Fernler, 2019). My take is slightly different than the "merging" operation as my empirical concern is with something that should go *into* something else (the trajectory), but it resonates with the concerns of Corvellec *et al.*, 2018 and Sjögren and Fernler (2019) in the sense that a "merging" is indeed at stake "at the end of" the trajectory arrow.

Corvellec *et al.* (2018) partly share the empirical concern in this thesis, as they explore how an accounting inscription, in their case an invoice in a pay-as-you-throw recycling system, can draw together 'the economy', 'citizens' and 'the environment'. The key argument is that inscriptions can act at a distance "because they build relationships among elements that are otherwise considered detached" (ibid, p. 57). How different entities are related and ordered on the invoice sheet thus reorders distance between people and their waste, between citizens and policy, and, of special interest here, between 'the environment' and 'the economy'. The authors argue that through the arithmetic and formula of the fee – a function of the quantities weight and price – the two become merged[46]. The following quote in their interview material is suggested to illustrate such a "merging" of 'the economy' and 'the environment':

> If it's much more expensive, then… I think economy rules. If [waste collection] is really expensive then one is more thorough [with recycling]. (...). Even though I may not think of [recycling] because of the environment, money is just money, it's not so important. It is the environment that's most important! (Interview, Owner L of a single-family dwelling) (Corvellec *et al.*, 2018, p. 62)

How does this compare to the arguments I have made based on this study?

Take for instance the energy efficiency survey in the meeting with *Diligo* and the industrial equipment company (6.2). In that locality, a trajectory was to materialize 'ESG' in the ownership interface. The spreadsheet survey produced a particular pattern whereby links and elaborations were prompted, for instance by materializing 'exposure' as the split of revenues over different business or client segments, and the extent to which 'energy efficiency' and 'climate change' were driving such revenues. Thus, through 'exposure', 'revenue' should engender integration of the two sides of the boundary, but it was also noted that the further you "drilled down", the further away from "the regular business logics" you ended up. Similarly, in the portfolio meeting in *Diligo,* the whole arrangement constituted a materialization of a "drawing together": one analyst from each "side", and a list of portfolio companies and their recent (financial) 'performance', but I also proposed that it constituted a performing of the boundary.

If we were to interpret Corvellec *et al.*'s study (2018) in a similar vein, perhaps, then, the inscription (the pay-as-you-throw invoice) does *not* enable "waste practices [to] move from economy to environment without crossing an edge" (ibid, p. 62), but rather reifies that very same boundary.

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[46] See also Vesty *et al.* (2015) on how a dynamic carbon cost function of 'energy consumption', 'emissions factor' and 'carbon market price' was "integrated" into the net present value (NPV) model.

One difference, that might lead us to different conclusions, relates to the level of detail on which the analysis is conducted. There is also an empirical nuance that might lead us to different conclusions. Corvellec *et al.*, (2018) seem to be making their argument on the basis of the observation that many residents *did* indeed begin to sort their waste, that is, that the inscription had performative effects. It would be difficult to make a similar analysis of the performative effects of the trajectory operation in my field material. For instance, then, in the technology company meeting, one would have to speculate about the far-reaching repercussions as new KPIs and metrics are constructed, how the R&D director is prompted to produce R&D expense figures, and thus how new material-semiotic relations are inscribed that would indeed achieve the "merging".

My observations can be contrasted also with Sjögren and Fernler's (2019) arguments based on their observation-based study of geriatric care. Their approach was similar to the one taken here in the sense that they started from a commitment to shift away from taking established dichotomies as the starting point, to situated work practices, and in that it was based on observations of professionals at work. For them, the notion of 'time' emerged as a practical, material-semiotically established concept that allowed a type of "merging" in practice, without practitioners having to draw directly on accounting tools and concepts. It could thus be straightforward to suggest that 'revenue' (and/or 'exposure'), for instance in the meeting with the energy efficiency survey, function as such a "situated bottom line" that renders the 'financial' and 'energy efficiency' one and the same (this 'bottom line' can be compared to the weight formula in Corvellec *et al.*'s study [2018]).

The difference, however, is in the practical effort that seems to be necessary. While 'time', for Sjögren and Fernler, is practically stabilized in a range of accounting tools, 'exposure', for instance, needs continuous elaboration and articulation. Indeed, Sjögren and Fernler (ibid, p. 906) point out that they rarely observed practitioners "ma[k]e such linkages explicit"[47]. By contrast, in the industrial equipment company meeting with the energy efficiency survey (6.2), the linkages are done repeatedly in the spreadsheet, talk, and the

[47] This can be compared to the observation in Reijonen and Tryggestad (2012), which will be discussed further below, on how 'environmental' qualities could sometimes be invisible but still operative as they had been "tacked on" to another product quality.

two two-by-two models: through 'clients' and their 'energy consumption targets', 'impact of products', 'resource recovery' and 'R&D', 'sustainability as a business driver' is done. To reiterate, it is not a 'bottom line' to mobilize, but rather an effortful achievement in the situated practice. It would thus be possible to see the energy efficiency survey in itself as an attempt to create a more obdurate 'bottom line' to mobilize.[48]

To summarize, in the episodes of *Aurum* and *Diligo,* while geographical distance was not an issue, separation often seemed to prevail. Drawing on ANT, which builds on a notion of relational space, this is not necessarily surprising: Law and Hetherington (2000, p. 36) indeed pointed out that "the City of London is closer to Wall Street than it is to inner-city Salford", due to the arrangements of material-semiotic networks. The question, however, is how "merging" is achieved. What does it take for the ostensibly distinct to become more or less indistinguishable? How is it that I, on the back of this thesis, reach a quite different conclusion than those of Corvellec *et al.* (2018) and Sjögren and Fernler (2019)? I have here argued that this relates to the level of analysis, the extent to which we "zoom" into the minutiae of the inscription device, and the empirical possibility to isolate and identify performative effects.

The main thrust of the argument, however, is this: since 'integration' must be arranged continuously, the effort of "bringing together" also serves to distinguish and separate, precisely, perhaps, because the "merging" and "bringing together" is repeatedly articulated, thus doing 'ESG' and 'the financial' as separate. While it would be tempting to suggest that this was just a matter of material-semiotic elaboration and stabilization in due course, I propose a nuance to this. This is the suggestion that it is difficult to escape separation when 'integration' is the prevailing, dominant concern. Thus, while *more* relations should overcome separation in relational space – that is indeed the basic form of association in ANT – it matters *how* such relations are done. The boundary here cannot be circumvented or traversed via a weight formula (Corvellec *et al.*, 2018) or 'time' (Sjögren and Fernler, 2019). The key conclusion is that through the *specific*, practical arrangement of 'ESG integration', separation is maintained.

[48] I return to this issue in more detail at the end of this chapter, where I discuss the notion of obduracy and delegation to the material in more detail (8.5).

That is also why it matters that I did not conduct a longitudinal change study. Because while the approach here taken precludes some lines of argument that a "systematic", large-scale and/or longitudinal study would allow (cf Corvellec *et al.*, 2018), the attention to the minute details allows probing of the ostensibly operative, and being more attentive to the situated (re)production of boundaries. This, I would argue, allows a critical engagement with how distinctions and asymmetries might prevail over time, notwithstanding seemingly successful change endeavours.

In the next section, I continue the discussion by turning to another empirical observation. It is this: in several situations, the concern was not primarily the trajectory "in there", towards some distant practice, as we instead observed practice ostensibly from the inside. However, in several of these sites, "at the other end of the arrow" – a peculiar lack of action seemed to prevail.

8.3 Momentum: A question of procedure, density, distribution and association

An outcome of the methodological approach of conducting an ethnographically inspired study of meetings, characterized by repeated access attempts and thus "punctuated entries" (Thedvall, 2013), meant that the drawing together of a set of episodes entailed shifts of perspective between different ends of the trajectory arrow (Figure 1, p. 21). For instance, noting talk about having ESG staff present in the investment team meetings in *Aurum*, as well as observing such a meeting, entailed such a shift of locality in following 'ESG' around (cf Mol, 2002). Similarly, some of the work undertaken in the certification meeting follow-up in *Diligo* (7.1) had to do with visualizing the formal set-up of 'integration' and the shared responsibility of the sustainability fund of both the ESG analyst and the portfolio manager. In many of the interviews in Chapter 5, encounters between ESG analysts and portfolio managers, formal or informal and ad hoc, were often described as key to ensuring 'integration' (see 5.2.3 and 5.2.5). In the actual portfolio meeting, 'ESG integration' was seemingly achieved in practice, by the presence of two analysts and of 'performance' in two dichotomous versions. However, it seemed unclear what the meeting was about and what was to happen. There was a need, it seemed, neither for decisions nor interventions. By contrast, the certification work seemed to take on a life of its own, where the doing continuously prompted more doing.

This difference between the portfolio meeting and the certification episode stands in stark contrast with commonplace conceptions of what is "important" in organizational life: whereas a certification process could easily be dismissed as "mere paperwork", "ritualistic" and "marginal", a portfolio meeting signals calculative importance and centrality. Such meetings constitute the time and place where important updates on 'performance' are to be given, and crucial decisions are to be taken. I had expected to observe the practice of decision-making on crucial organizational matters and the mobilization of calculative technologies, through the presence of key decision-making agents. To summarize, I had a preconception of the portfolio meeting as a key site of calculative power. Drawing on this empirical surprise, in concluding Chapter 6, I began to suggest a notion of *momentum*, the sense of something "taking off".

This empirical surprise constitutes a promising opening for a contribution to recent discussion in the ANT-inspired accounting literature on accounting as inscription (e.g. Robson, 1992; Busco and Quattrone, 2018a). Within the stream of accounting-in-the-making, with its emphasis on longitudinal processes of enrolment and stabilization in network space, the lack of momentum in the portfolio meeting might have been conceived of as a problem of circulating reference (see Dambrin and Robson, 2011). The argument would then be that ESG data in general is seen as an unstable representation of something "out there", thereby failing to interesse, because the network does not stably and traceably transport "truth". This is similar to Young's (2013) analysis of an investment team that was not enrolled in the 'ESG' proposition: there were "data problems", and 'ESG' was not "robust" enough. However, although practices of *producing* representations were common in my study, the concern was rarely "better representation". I conclude, therefore, that the lack of momentum is not merely a problem of interessement.

In the stream accounting-in-action, with its interest for the generative capacity of accounting practice, momentum might have been analyzed as the product of gap-filling, driven by a "desire for more" (Busco and Quattrone, 2015; 2018a). This proposition stands in contrast with the circulating reference argument, since here, unstable representation is not a *problem* but rather a generative prompt for intervention. A question that remains with gap-filling, however, is why this sometimes does *not* happen.

The two analytical propositions (circulating reference and gap-filling) thus share a foundation in a question of representation. Neither, however, seem to fully capture the nuance of what I have denoted momentum. The proposition in this thesis is that the notion of momentum is helpful in entangling this, by drawing on an ontological approach where we have shifted from representation of something "out there" to the crafting of objects (Mol, 2002; Law, 2004).

This thesis constitutes a contribution to the discussion on accounting's generative capacity (e.g. Busco and Quattrone, 2018a) precisely because it depicts situations when this – the generativity, something "happening", almost "automatically" – does *not* come to pass. In the remainder of this section of the chapter, I will compare and contrast different situations with the intention to nuance and bring forward different characteristics of situations when accounting practice does, or does not, involve momentum. The discussion produces two key propositions to the literature on accounting-in-action. Firstly, I explore the relationship between momentum and the procedural aspects of accounting practice. Second, I explore the question of distribution, openness and closure, proposing that we should be attentive to *what* is open for intervention and what is not. Together, these two aspects of momentum constitute a more nuanced understanding of the elusive sense of something "taking off".

8.3.1 From gap-filling to the procedural aspects of accounting practice

The notion of "gap-filling" in the literature on inscriptions suggests that accounting is generative because it produces a "desire for more" (Busco and Quattrone, 2018a) and opens a space for "interrogation" (Busco and Quattrone, 2015). That is, it is the "inherently incomplete" representation that constitutes the driving force. At first sight, it might seem that this is what going on in much of the episodes of this study, too. In the following, I will, however, discuss this in more detail and suggest a nuancing shift of emphasis from gap-filling to procedure.

Take for instance the portfolio meeting in *Aurum*, where I observed there was a lack of momentum. If the gap-filling proposition is always apt to describe accounting practice, why did not this situation entice such activity? There is, at least, ostensibly, plenty of room to "ask questions". The proposition is this: momentum is not about individuals "asking questions" but about scripts and methodology that prompt material-semiotic effort. In the portfolio meeting, there is no "instruction" or "script" beyond the broad notion to "review performance" on both 'sustainability' and 'the financial'. There is thus no method, and nothing material to intervene in. Thus, the first contribution is the suggestion that the literature on accounting's generative capacity can be augmented by more elaboration of these procedural aspects.

This role of the procedural is not new: Busco and Quattrone (2018a) indeed observe that accounting practice is both "below and above the script" (p. 16) in the sense that the method and procedure are continuously re-invented in practice (see also Quattrone [2009] on accounting as orthopraxis) However, its material aspects tend to be glossed over when attention is placed on human "desires", "questions" and "interrogation" (Busco and Quattrone, 2015). Rather, procedural scripts constitute a form of *density* of associations, inscribed in the material – as opposed to that which is "only" discursively articulated.

The follow-up to the certification meeting is a case in point in illustrating the procedural elements. There, preparing documentation to "fulfil" the certification requirements constantly brought about need for more documentation to be produced: the doing prompted more doing. It was characterized by a largely quiet unfolding (cf Vollmer, 2019) – save for comments and explanations to the researcher – iterating between the computer screen and the notebook. It was an activity dense with material-semiotic relations that continuously prompted more work. In some sense, the situation is similar to the patchwork described by Martinez and Cooper (in press), but with a less coercive overall aspiration for accountability (towards funders, in their case).

Consider also the episode with the energy efficiency survey in the industrial equipment company (6.2). Here, the spreadsheet which had been circulated in advance and then placed on the table in the meeting, performed a space for material-semiotic elaboration of the ownership interface. By also providing a script of repetition, it performed the pattern of the meeting, and contributed to articulating and constituting accounting entities, for instance 'revenue distribution between business areas'. The repetitive aspect is indeed important to the procedural, but it does not seem to be all there is to it. The portfolio meeting (7.3) was indeed *repetitive*, but it lacked the material-semiotic density of a procedural script.

8.3.2 Openness and closure: the role of scope for intervention

The first aspect of momentum, thus, is its procedural aspect, how it seems to emanate from a clear methodological script – albeit one under constant reinvention. One of the episodes, however, sits uneasily with this general conclusion, and thus serves to explore another aspect of momentum, namely issues of openness, closure and scope for intervention. The episode I am referring to here is the emerging markets health project (7.2), where a future report on 'e-health' in a developing country became a future 'project trip', a 'survey', and finally a report and a client presentation. The reason to explore this in more detail is because it does not share much of the procedural characteristics of, say, the certification meeting (7.1) or the industrial equipment meeting with the energy efficiency survey (6.2). Rather than being procedural, the practice in that episode was "open". Accounting technologies, even according to the broad definition adopted in this thesis, were absent. The practice was, however, characterized by momentum. To explore this, we shall, again, start by comparing a few episodes.

First, consider again the portfolio meeting in *Diligo* (7.3). Here, there were two inscriptions: two related overviews of recent portfolio performance (juxtaposing the output from a DCF valuation with recent stock price development). Such technologies come with a vast hinterland (Law, 2004) that ramifies out endlessly: it is material-semiotically dense. In this situation, 'ESG' was only made present in talk, for example in the comparison between different companies in the sector that was considered problematic. All the (material) analytical work had been conducted already, elsewhere (by Kai, the portfolio manager) and boxed into a table. Nothing, almost, is "on the table". Whereas 'the financial' is materialized in an accounting artefact on the table, 'ESG' must be articulated and prompted. There is an asymmetry of density between the two. However, while the DCF output is dense with relations, it somehow primarily does *closure*. There is thus nothing to intervene in: the spreadsheet has already achieved closure, elsewhere. 'ESG' is *open* but must be articulated and brought about.

Compare this with the tech fund meeting (7.4): here, hands browsed through slides where representations of technology objects were displayed alongside growth and revenue figures. As the meeting went on, the slide deck prompted questions, brought in distant localities, both geographical (countries) and others (markets). Interestingly, it was rarely a question of making the linkage between 'energy efficiency' and 'the economic' (as in the industrial equipment company meeting with the survey, 6.2) since that linkage was somehow established from the start. Instead, other linkages had to be made: to 'scalability', 'market opportunities', 'growth' and 'market size'. The slide deck was dense with relations. It was repetitive. It was also procedural in its display of visuals, graphs and numbers – but foremost it produced scope for intervention in *both* 'the financial' and 'ESG'. Both objects were, so to speak "on the table".

The observations thus relate to the scope and distribution of accounting inscriptions, and to the scope and distribution of possible intervention – that is, what remains "open" and what is "closed". The notions of openness and closure have indeed been shown to be important in previous research on accounting-in-action. Pollock and D'Adderio (2012), for instance, suggested that the performance of the accounting inscription is constituted by the "interplay of a heterogeneous range of sociomaterial *constraints* and practices" (Pollock and D'Adderio, 2012, my emphasis). Moreover, these studies have foregrounded how accounting tools draw up a visual performable space: examples include BSC diagrammes (Busco and Quattrone, 2015), two-by-two-matrices (Pollock and D'Adderio, 2012) and development funding reporting interfaces (Martinez and Cooper, in press) that prompt a more or less delimited scope for intervention.

The second contribution to this line of literature, thus, relates to the question of how openness and closure are distributed. While previous research has probed the generative capacity of accounting practice, the findings here suggest we should remain attentive to *what* can be intervened in. This constitutes an approach to remaining critical to asymmetry, without resorting to the more totalizing critical accounts of power effects of action-at-a-distance. In essence, however, there is nothing foreign about the suggestion. On the contrary, it aligns with the material-semiotic methodological proposition to study power effects by tending to the minute and mundane practices. What can be intervened in, and what is somehow *beyond* intervention, is emergent and not given. We can then analyze the emerging markets health project (7.2) differently: even with a lack of a clear procedural script, it produces scope for intervention, something to *do*.

This was particularly clear in the tech fund meeting (7.4): momentum did not emanate from a "desire for more" or "better representation" (Busco and Quattrone, 2018a), but from the production of scope and scale. Each entity – a portfolio company – was done as a bundle of relations with 'geographies', 'resources', 'capacity', 'expansion', 'turn-key technology', and so on. In this situation, accounting practice performed a density of associations. The contrast with the portfolio meeting (7.3), so characterized by closure, is striking. Momentum can thus be understood as produced through material-semiotic density (Law and Singleton, 2005). Accounting inscriptions produce new relations and proximities[49]. This matters, precisely because it has consequences for whether accounting can be mobilized to intervene successfully in the world: what becomes not only possible and appropriate, but even *conceivable* courses of intervention. This, in turn, relates to the capacity of inscriptions to produce difference and dissidence (e.g. Jones *et al.,* 2004). Momentum, derived from procedure and the density of material-semiotic relations, to a further extent than "gap-filling", points towards such effects of scope, scale and intervention. I pick up on some of these concerns in 8.5, where I place Mol's (1999) notion of ontological politics in dialogue with the interest for dialogic forms of accounting (Brown, 2009). I continue the discussion of

[49] This argument is related to the notion of framing/overflowing in the sense that any framing attempt entails potential for more overflows. For any framing, "the potential sources of overflow are to be found in precisely those elements that give it its solidity" (Callon, 1998; p. 255). That is, any additional framing attempt consists of bringing in even more things, with even more ramifying networks. If this is often primarily understood as the result of concerned groups feeling "left out" and challenging the existing frame, we are reminded here of the material networks of "stuff" and technologies.

scale there, an elaborate the issue of possible and appropriate intervention by extending it to what is even *conceivable*.

To conclude, I have discussed how momentum is neither a consequence of enactment in centred, seemingly pivotal positions, nor of human participants "asking questions" or wanting "better representation". Instead, I have foregrounded the role of accounting inscriptions in providing procedural scripts, scope for intervention, and its consequences for possible and appropriate courses of action. It is these two aspects, both related to a density of relations, that together produce what I have denoted momentum. The slightly blunt conclusion, so far, is that it matters *how* accounting practices are arranged, and how calculative equipment is distributed. This also has practical consequences for the professional practice of ESG (and, by extension, sustainability accounting), that I discuss more in Chapter 9.

8.4 On the position of 'ESG': Unpacking the centre-periphery dichotomy

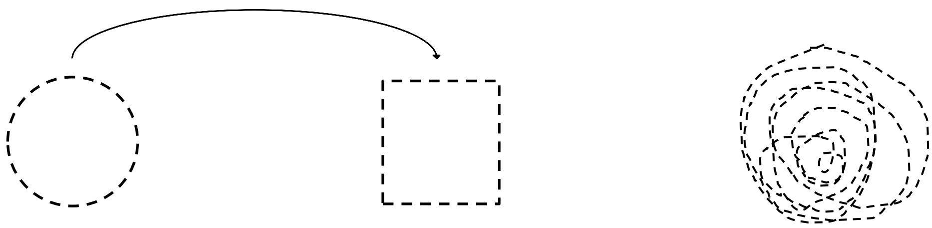
In the first part of this discussion (8.2), I probed how the trajectory could be understood as producing separation, enacting 'ESG' in a perpetual in-between position. This was then compared with discussions in the ANT-inspired accounting literature, and recent discussions on how inscriptions draw distant entities and localities together. I then turned to another empirical aspect, namely how some episodes seemed to unfold "automatically" while others did not, and introduced the notion of momentum to describe this (8.3). The argument was that while recent studies of accounting-in-action have foregrounded "gap-filling", against the background of the episodes in this study, the notion of momentum as procedure, scope and scale through a density of associations could contribute with some analytical nuance. The remainder of this chapter is devoted to relating these findings to broader debates in the ANT-inspired accounting literature. The first such discussion relates to the long-standing debate on centres, peripheries and action-at-a-distance (Christner, 2015; Robson, 1992; Dambrin and Robson, 2011; Kirk and Mouritsen, 1996; Quattrone and Hopper, 2005). Indeed, both the notion of the in-between, and that of momentum resonate with notions of where calculative agency "resides" in organizations. The in-between does so because it reflects an attempt at addressing calculative practice somehow "elsewhere", at the end of the trajectory arrow. Momentum does so because of what I will discuss as the production of an "in-here".

I address this question by exploring how the understanding of 'ESG integration' as an object, a trajectory and a position changes depending on if we characterize it as activities "at the periphery", or as a centring attempt in itself. In particular, this choice has implications for how one can understand the tinkering and experimentation of accounting practice in situated localities (such as a meeting). Indeed, it matters for if we see potential, or dismiss such effort as "marginal". My argument is that there are formative effects of how calculative power is ascribed to certain types of activities and positions. In the second part of this section, I explore the notion of the centre against the background of the empirical observation that decisions are largely absent from the episodes in this study.

8.4.1 'ESG' and action-at-a-distance

One empirical episode is particularly well suited as a vignette to the analytical concerns of this section, namely the emerging markets health project (7.2). I there observed how the concern for the trajectory into 'investment' gradually dissolved. Whereas there was initially an insistence that linkages had to be made to 'investment', either through portfolio companies or through an ideal 'business case' this concern for a position inside investment practice disappeared as the project materialized in concrete activities. The project was enacted through immense effort (a bundle of complex relations of heterogeneous entities, reaching far out in space, orchestrating activity, a trip, meetings, interviews, survey data and finally a report). It seemed that finally, it did not "need" to be "in there" anymore. If the trajectory, then, is the direction, "in there", momentum seems to produce an "in here", in the situated practice, and so the need for the former dissipates.

Figure 2. From the trajectory in there to the making of an "in here".



As Figure 2 attempts to depict, there is a sense of a shift from relating to absent 'investment practice' to something more self-referential. I mean self-referential not, however, in the sense of *merely* self-referential, a frenzied ritual without consequence beyond the locality. On the contrary, we saw how it reached out far beyond, that it did associations, bringing in the 'political', 'health', 'development' and so on. As I will continue developing in 8.5.1, nothing is *merely* procedural when we attend to the materialities of practice.

The question is thus whether we are witnessing a centre in-the-making. It might, on the face of it, be counter-intuitive to conceive of something as transitory as a meeting (or a project) as a centre of calculation. Nonetheless, the episode captures an important tension, and points to the notion of action-at-a-distance and the centre-periphery dichotomy that has dominated a lot of the scholarship on accounting as inscription since the early 1990's (Robson, 1992; Briers and Chua, 2001; Dambrin and Robson, 2011; Kirk and Mouritsen, 1996; Mouritsen *et al.*, 2001; Pipan and Czarniawska, 2010; Qu and Cooper, 2011; Young, 2013). Action at a distance, in the classical use of the notion in accounting, we might think of as the production of an "in here", into which the "out there" is to be brought, through inscriptions, for the sake of long-distance control (see e.g. Robson, 1992). It is precisely in such practices of bringing the periphery back that accumulation can take place, and a centre establish (Law, 1986; see also Kirk and Mouritsen, 1996).

In Chapter 2 I discussed how some recent contributions in the stream I termed accounting-in-the-making had started to problematize this view. At the root of such an interest is taking seriously the idea that the introduction of new accounting tools reorders organizational relationships (Christner, 2015; Quattrone and Hopper, 2005). Accounting is thus productive of space – and there is rarely only *one* accounting. Whereas Quattrone and Hopper

(2005) showed how the introduction of new accountings (an ERP system, in their case) could both reproduce and disrupt pre-existing centre-periphery relationships, Christner's both historical and observation-based study (2015) developed the notion that organizations can be understood as a multitude of simultaneous and ongoing centring attempts by means of accounting tools, which never fully "succeed". While there were different agencies involved in controlling how things were valued, "not one of these agencies was able to centre this process in itself persistently" (ibid, p. 219). The existence of multiple centring attempts was thus a starting point of this thesis, and so was the decision, drawing on Christner, to turn attention to "practice in the periphery" (ibid p. 250). If a classical ANT approach meant to not take hierarchies as given but understand them as outcomes of accumulation and centring, Christner (2015) reminded us to not think of centres singular, and perhaps to start the research endeavour elsewhere than in the centre-in-the-making.

How then, to relate this to the phenomenon of ESG in asset management? A starting point was that this study primarily placed the focal point with ESG technologies, ESG analysts and the calculative practice undertaken by them. The object, trajectory and position repertoire can also be understood as a means to study attempts not at controlling the key calculative technology but at shaping calculative activities "elsewhere": for instance by ensuring that ESG data was displayed on computer screens of financial analysts and portfolio managers. If studying centres-in-the-making traces the establishment of an "in here" position, this thesis primarily narrated attempts at changing calculative practice "in there". This was indeed the key focus in 8.1 and 8.2. Thus, if a starting point was that organizations consist of multiple ordering attempts, none of which ever completely succeed, a key contribution of this thesis' research design and conceptual repertoire is that not all such ordering attempts are necessarily centring attempts.

8.4.2 'ESG' as tinkering in the periphery: on the characterization of peripheral behaviour

The discussion of the central and the peripheral leads us back to some of the critiques raised against 'actor-network-theory 1990' (Helgesson and Kjellberg, 2005; Lee and Brown, 1994; Star, 1991). The critique was that in its insistence on association in networks as the primary mode of existence, ANT became binary, final and totalizing. In particular, it was seen as too managerial, taking its starting point in a central actor enrolling the world.

There is also an important empirical detail that complicates the matter. This is that in both *Aurum* and *Diligo*, as well as in the various other investor organizations with which I engaged in the interview study of Chapter 5, ESG responsibility had been formally assigned to a team or individual. Several interviewees described their role as realizing this formal decision by drawing in data, packaging it, making sure that it was made available, and so on. The point is that to "do ESG" was not a spontaneous initiative of a subversive group of mutineers (cf Callon, 1986 on scallops that don't anchor and fishermen who raid the nets), but the outcome of a formal decision executed on the basis of a classical understanding of organizational hierarchy. The endeavour of "getting ESG in there" had thus been delegated to a specific form of practical, material-semiotic arrangement, at least ostensibly relating to reforming how investment calculations and decisions are made[50]. If it is dissidence at all (Callon, 1986), then it is a formal, hierarchically-delegated form of dissidence.

Against this empirical background, the lingering question becomes whether to analyse 'ESG' as actions in the periphery, relating to a centre – or as a centring attempt? The first approach would then be to think of 'portfolio management' or something else "in there", as an established (macro-)actor, and tend to how 'ESG' contributes to sustaining and reifying such differences in scale. The object and the trajectory, then, would refer to the effort of making the periphery heard at the centre.

The other alternative would operationalize 'ESG' as a centring attempt in itself, and interpret the epistemic effort of formatting and engineering data and technologies, the setting up of meetings, the circulation of spreadsheets, and so on, as attempts at "bending" the world around 'ESG' (Callon and Latour, 1981, p. 286).

The way ESG integration is organized, as we saw empirically, makes it straightforward to start from the understanding of it as a periphery relating

[50] The reason for asset management organizations to do that was not the topic of this thesis. For anyone interested in the emergence and establishment of ESG, several histories have been written. See e.g. Young (2013).

to a centre. Remaining "within" the sociology of translation of 'actor-network-theory 1990' and its interest for centres (or, macro-actors), Helgesson and Kjellberg (2005) took on ANT's binary tendency by suggesting that it matters *how* we characterize behaviour in relation to a centre. They started from the programmatic/anti-programmatic dichotomy, and instead proposed to tend to behaviours that were neither, "but simply 'not programmatic'". Helgesson and Kjellberg (2005) then offer a way to operationalize different types of peripheral behaviour, beyond the programmatic/non-programmatic dichotomy: whereas behaviour can be compliant or non-compliant, it can also be aligned or non-aligned, and four combinations thereof (see also Star, 1991). It is possible, for instance, to not comply while still aligning, while it is similarly possible to comply while not aligned. Peripheral elements may "choose silence" (p. 150), by complying, but not aligning, so as to avoid exclusion from the programme. Whether non-aligned and non-compliant peripheral behaviour actually is anti-programmatic depends on metrology that amplifies and mutes "at the coordinating centre". If behaviour at the periphery becomes muted, it also does not become characterized as non-aligned and/or non-compliant. Such behaviours might thus well be understood as "enrolled" behaviour, which reifies the resilience of macro-actors. Thinking of ESG practice this way, characterising it as silent tinkering at the periphery, this would merely strengthen extant asymmetries. "Metrological systems", however, are perhaps a way out, through the possibility that "the sounds of the silenced", the non-aligned, non-compliant behaviour, might eventually be "heard".

Accounting practice, and inscriptions, might well constitute such "sounds", the production of dissent and difference (Jones *et al.,* 2004). That is, whereas inscriptions have been theorized as constitutive of centres and action-at-a-distance, they can also be explored for their role as productive of difference and diversity. The point is that although much attention has been devoted to showing how centres establish through processes of translation, we know less about how ongoing translation "continues once the stability is achieved" (p. 729). Something is missing, namely a focus upon "the achievement of organizational actions and outcomes in relation to the roles and relations of various organizational actants" (p. 730). In this framing, accounting signs, rather than being attempts at representation, are first and foremost action, or *acts* (Jones *et al.*, 2004, p. 731). Rather than representing something "out there", they *do* something. This does seem to point towards the potential of studying the minute ordering practices of ESG integration, with particular attention to how material-semiotic effort can produce (or not) what I here denoted as momentum. Take the health project again: while there was initially a concern for how 'it' was to fit with a broader arrangement of investment practice, 'it' over time became a thing itself. A future accounting technology reordered a slice of reality, centred in itself, or perhaps not centred at all.

The point I am trying to make is that it matters how we characterize phenomena as 'ESG integration'. It has consequences for how we are able to identify and engage with attempts at difference and dissent. With an increasing interest for competing forms of calculations (Czarniawska, 2004; Jones *et al.*, 2004) we should take care in how we characterize centre-periphery relationships, stay committed to proceeding empirically, and avoid falling in the trap of looking only for those situations that align with preconceptions of calculative power. A key implication that follows on from this is that there is a political aspect to how we design our studies. Meetings, which was the main form of empirical material of this thesis, constitute an obvious focal point – but perhaps our tendency to gravitate towards such ostensibly pivotal moments make us overlook other forms of political potential (cf Sandler and Thedvall, 2017). Indeed, what is "on the table" in a meeting is largely an effect of mundane and ongoing tinkering dispersed over time and space. To reiterate, beyond the turn from the centre, *singular* to centring attempts, *plural* (Christner, 2015; Quattrone and Hopper, 2005) I propose that we attend more to the non-centric: the mundane tinkering, fiddling and muddling through.

In the next section, I attempt the analytical shift of instead treating 'ESG' as a centre, which in turn leads me to reflect on how decisions are curiously absent from most of the empirical episodes.

8.4.3 ESG as a calculative centre: On coherence, non-coherence and decision-making

The preceding discussion related to the relationship between centres and peripheries, and the potential for being able to see and identify dissent and difference "inside a macro-actor". It discussed the characterization of different peripheral behaviours, and suggested how this has consequences for how we analyse calculative practice in organizations, but also how we design and go about in our empirical inquiries.

In the following, I will pick up on a question that relates less to peripheral behaviour, and more to centric ditto. This relates to an observation earlier that we expect calculative agency to reside with, or emanate from, particular forms of calculations, materialized at particular organizational positions. It was against this backdrop that the comparison of the certification meeting and the portfolio meeting, and the difference in terms of momentum, entailed such a notable empirical surprise.

What characterizes those sites to which we ascribe calculative agency? A rather standard suggestion would be decision-making. Decision-making is often described as core to understanding organizations, if not as *the* fundamental component of the practice of organizing. Therefore, this discussion begins with a brief discussion of how decisions have been addressed in some scholarly streams: organization studies of the institutional ilk, social studies of accounting, the ANT-inspired accounting literature, and, finally, ANT-and-after.

In the accounting literature, decision-making is pivotal both in functionalist and sociologically-based discussions. The latter, however, suggests that the link between accounting information and decision-making is more elusive than suggested by commonplace ideas (see e.g. March, 1987; Feldman and March, 1981; Hall, 2010; Preston, 1986). However, despite decades of research critiquing traditional understandings of decision-making, it prevails as "a well-known pattern of action with a ready-made account and with rules that are taken for granted" (Brunsson, 2007). It implies a range of taken-for-granted components, such as a certain intentionality and the clarification of preferences. Most importantly it hinges on the notion of choice, which in turn presupposes individual actors that are assumed to strive for (if merely "perspectival") rationality. Brunsson also points out that there are typically organizational rules that "decisions should be made" (see also Cabantous and Gond [2011] on how 'rational decisions' are performatively produced in organizations). In this view (which indeed prevails in, and orders, much organizational practice), action follows *after* decisions, which in turn follow *after* knowledge. Thus, the arrangements typically reproduce the view that decisions should lead to intervention.

This taken-for-granted nature of decisions and decision-making also characterize much of the practice-oriented guidance on ESG. The notion that ESG *information* should be brought in to better *inform* investment decisions hinges on an understanding of investment decision making as being aligned with a more or less rational model of decision-making: from information gathering (ESG and financial data), to evaluation, to a decision and then an intervention (buy/sell/engage). With 'integration' of ESG and financial knowledge in the decision-making process, better decisions will follow. A purported benefit to society relates to the outcome of such decisions, which should then – again, according to the rational decision model – allocate financing to the investments best placed to solve sustainability challenges.

In the ANT-inspired accounting literature, the link between accounting and decisions is often not explicit, but it is implied in the question of how the periphery can be acted upon: for Dambrin and Robson (2011), for instance, 'performance' must materialize at the centre, to enable evaluations of 'it' (so that, it is implied, performance rewards can be given). Decisions are thus tightly linked to the centre-periphery dichotomy, as they are implied in the "action" part of action-at-a-distance. Their implied rather than explicit role signals that they have been treated as following from successful centring attempts (cf Christner, 2015, on how what is valuable has been treated as the outcome of control from the centre).

When the ANT-inspired accounting literature deals more explicitly with decision-making, it has often studied the elaboration of different, competing options to choose from and pursue (Christensen *et al*, in press; Mouritsen *et al.*, 2009; Skærbæk and Tryggestad, 2010). Building on from the tradition of studying competing options as trials of strength, Christensen *et al.* in particular, insist that sometimes, in what they term trials of incompatibility, the options are mutually exclusive. On the other hand, by equipping themselves with calculative tools and proposing alternative accounts, what was initially distinct alternatives might well end up looking like two very similar outcomes (Skærbæk and Tryggestad, 2010).

The interest in so-called trials of strength relates to a long history in STS, of attending to how compromises are "hammered out" in practice (Dugdale, 1999, p. 131)[51]. In the interview chapter (Chapter 5), analysts often referred to the benefits of informal encounters and discussions about portfolio companies with portfolio managers (5.2.5). One analyst recounted portfolio meetings where ESG analysts had to present investment alternatives to which portfolio managers might not necessarily agree (5.2.3). These practices and comments rely on a perspectival understanding of different fields of expertise and knowledge. Interestingly, the proposition of drawing "people and their perspectives" together can be traced both to instrumental-normative ideals of "better knowledge" (cf the practitioner literature on ESG) and humanist ideals of democratic representation (see also the interest for multi-stakeholder dialogue in much of the SEA literature, e.g. Puroila and Mäkelä, 2019). Compromise, trials and decisions are thus central to a range of literatures. How does this relate to my study? That is the topic of the remainder of this section.

Where are the ESG decisions?

While it is far from surprising that practice does not follow simply from theoretical, normative models, it is still relevant to probe the observation that often, in my study of ESG, decisions are curiously absent – even in the form of "perspectival compromise". In both the consumer products meeting (6.1) and the industrial equipment meeting (6.2), the concern is an elaboration of the 'ownership', perhaps what decision theorists would label "ex-post ration-

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[51] In a study of a policy process and the resulting leaflet on an IUD device, Dugdale shows how different "perspectives" and "identitites" are arranged around the meeting table, to ensure "consumer representation". Compromise in the commonplace understanding thus builds on different perspectives' representation, and a notion of closure: that through negotiation, the alternatives are narrowed down (by argumentation or by force) so that in the end, one alternative wins, "a single outcome is achieved" (Dugdale, 1999, p. 131). Aligning with the writings of Mol (1999), Dugdale instead shows how the decision outcome is rather an oscillation between multiplicity and singularity. In particular, she shows how to be able to enact "compromise" hinges on the simultaneous enactment of the IUD as both one and several different.

alization", rather than a potential divestment. In the cases where there is indeed a decision to be made, these decisions take a variety of forms. In the certification meeting a decision is surely to be made in *Affirmo*, about the certification, but since the process is one of an iterative elaboration, of tinkering back and forth with documentation and requirements, a time and place for the Decision, capital D, is probably not to be found. In the ESG team meetings in *Aurum*, the concern is the 'overview', not directly changes to the portfolio composition. Indeed, someone had pointed out that since a selection has already been made, there will be no "bad" cases, and thus few adjustments to the holdings. In the episode with the health project, there is a trip and a report, and naturally a range of decisions that follow from organizing something like that, but no clear alternatives are compared or at stake.

That might lead us to question what on earth ESG practice is about, and whether it can possibly have any "effects". Indeed, in one of my earliest interviews, an informant was quick to lead the conversation into whether "all this" (that is, ESG analyst participation in investment processes, the bringing in of various ESG data sources, as well other practices we saw in Chapter 5) had ever changed the outcome of a decision. In this context, it serves to illustrate the underlying assumption that for something to be "real" it should have a decisive and identifiable impact on decisions. The point is this, however: such an argumentation sits firmly with a sequential understanding of how knowledge leads to choice, which in turn opens for intervention. My argument is that it is only if we stay committed to this view that we should be concerned with the absence of Decisions in the conventional form. Instead, in the next section, I elaborate an understanding of decisions that align with the ANT-and-after approach.

Decision-making in ANT-and-after: From decisive moments to decision-arrangements

The notion of decisions – and related interventions – is prominent also in the ANT-and-after discussion of coherence and non-coherence (Law, 2004; Law and Singleton, 2005; Mol, 2002). From the starting point that practices are generative, and that realities are thus made multiply, it follows that both coherent and non-coherent realities can be made. Non-coherence is not necessarily a problem, however: as different practices are distributed over localities, non-coherent objects are separated in time and place. That means that "necessary intervention" will also differ across localities – which, to the observer, might seem messy and unordered (see Law and Singleton, 2005). Picking up on the notion of coherence, Sjögren (2006) brought together the question of how organizations make decisions on the basis of ambiguous knowledge, with Mol's (2002) repertoire of modes of dealing with multiplicity. She wrote about practices of removing ambiguity and achieving coherence*,* against the empirical background that coherence was needed to produce a decision of whether a drug was 'reasonable' to subsidize. That is: her study followed a practice that was arranged in such a way that decisions, and (thus) coherence, were necessary.

The lack of distinct decisions in ESG practice, thus, would resonate well with a general observation that (non)coherence and ambiguity hardly seemed to be a problem. One common way of avoiding clashes relates, as I discussed above, to distribution: it could perhaps be that the distribution of different 'ESG' objects and trajectories separate, across different localities, that which would otherwise clash. Indeed, the vast majority of the work within *Aurum* and *Diligo* I never got to observe – which is just the practical (and sometimes frustrating) reality of doing fieldwork. It is, of course, a possibility that I have "missed" such non-coherence. Even *among* the episodes of this study, however, separation might be a "solution": for instance when 'ESG' is "present" but silent in one site, and done very differently elsewhere (see section 8.2 on the in-between).

I would, however, like to point to something else, which relates to our inclination to look for decisions as options pitted against each other, interests and perspectives corralling support, the subsequent negotiating, and one alternative "winning". It could be that our insistence on looking for decisions, and how 'ESG' manages to decisively change them, is misdirected. We might, indeed, think of this differently, as Mol writes (1999):

> [We] should not accept the illusion that most decisive moments are explicit. (Mol, 1999, p. 79)

Locating, and trying to "point to" pivotal decisions in time and space might not only be difficult, but a misguided effort. Instead, tending to decision-making in one time and place, draws things together in such a way that many decisions in distant localities look like "facts" when seen from "here". When we attend to the details, we see that each seemingly "drawn together" decision locality, where some things seem "obvious" and others are more "open" relies on the material-semiotic process of drawing together a whole hinterland of historical and material processes and technologies. This implies its own version of decision-making agency, which shifts from human 'decision-makers' in particular times and spaces, to something much more distributed. Decisive moments become difficult to localize, but we can attend to the situated practices of 'decision-making situations'. This requires a particular form of attention and sensitivity, however, to both that which is "on the table", and that which is not. If I relate this to the studies within accounting-in-action that have studied how inscriptions and accounting practice produce options, that can then be "hammered out" in trials of strength – or of incompatibility – my thesis instead suggests that not all options (incompatible or not!) crystallize into options, at all (Christensen *et al*, in press; Mouritsen *et al.*, 2009; Skærbæk and Tryggestad, 2010). In my discussion of momentum I wrote about possible and appropriate intervention, but the real difficulty is what lies beyond, in the not even *conceivable*.

Developing a sensitivity to the study of 'decision-making situations' and beyond

An investment 'case', as for instance materialized in a report or an investment recommendation is not a distinct point in time and space, but rather the outcome of a process of assembling and writing. It is, and is the outcome of, a particular arrangement. Its form and content clearly formats a 'case', but effaces much of the work of the endlessness that was never even "on the table". It draws a distinction between that which can be decided upon, and that which is relegated to the "not feasible" or "imaginary", or that which could not even be articulated (Law, 2002). This clearly resonates with the question of distribution of the scope for intervention that I discussed above (8.3.2).

The portfolio meeting serves as a pertinent illustration of this. It materializes a general "importance of having meetings" for 'ESG' to *really* be integrated, and it performs two expert roles that ostensively integrate (but I indeed suggested that such practices might well reproduce boundaries and separation). The importance of the portfolio meeting follows from the rational-decision-making-based guidance on ESG integration, but it encounters the routines of investment practice, where it is neither practical nor pertinent to make portfolio adjustments all the time. The portfolio meeting is thus an evaluation practice with rare opportunities or prompts for intervention. It is arranged in such a way that it is clear what is "on the table" – and I mean this both literally and metaphorically. What is more, it is arranged in such a way that most things *are not.* The meeting ramifies out through 'target weights', 'benchmark index', 'the marginal investor', 'liquidity' and so on, leaving hardly anything to be "decided" upon.

This brings me to another methodological implication of this thesis, beyond (but building on from) the discussion above with regards to how we design our studies and how we can take care with characterizing "peripheral behaviour". This point is that it matters, methodologically, how we treat decisions analytically. The argument is twofold and goes like this. First, when we look for Decisions, we might not find them. This might lead us to dismiss the marginal or peripheral, because it does not comply with our ideas of authority and control. There is instead vast political potential in much of the work that goes unnoticed because it is treated as "mere detail" (Law, 2002). Second, while we can identify asymmetries *in* decision-making situations (as I indeed did above in my discussion of the scope for intervention) there is ramifying endlessness which is already effaced and *othered.*

As (accounting) practice is productive of realities, it also, Law suggests, accidentally, produces collateral realities (Law, 2011). The idea is that anything present hinges on a vast, ramifying network of out-there relations and entities – a hinterland. Collateral realities are a particular form of hinterland, since it is all that which is produced as a consequence of how something is done and contested. Hence, the "accidental" character. As Law also argues, "intentions and designs" are only a small part of the relations that are done in a situation like a meeting. When an episode in this study enacts entities like

'CO_2', 'consumers', 'sustainability', 'healthy products', 'scandals', 'energy efficiency' or 'revenue' – it also does other entities, quietly and thus very effectively, in ramifying hinterlands. This is what lies beyond the limits of contestability, and which operates powerfully in doing the real (Law, 2011) since it becomes all that which *has* to be. We are here encountering a politics of the real, an *ontological politics* (Mol, 1999). The conundrum is this, however: we can easily see how some things could be done differently, but to engage with the effaced, the beyond conceivable, requires imagination and a shift in our methods (cf Law, 2004).

More straightforwardly, however, from the suggestion, by Mol and Law, that most decisive moments are not explicit (and that most remains beyond conceivable contestation) follows that we should make a fundamental shift from Decisions, capital D, to how practices for decision-making are arranged. In the next and final section of this chapter, I discuss how we can think of the decision-arrangements of ESG. In particular, I reflect on the practice of delegating ESG to a particular team or analyst, the production of ESG reports and the – often formal – assignment to get portfolio managers to mobilize them in an insistence on integration. The discussion is framed with Mol's concept of ontological politics (Mol, 1999).

8.5 The ontological politics of 'ESG integration': Experimentation, obduracy and "bringing things together"

Throughout this discussion, I have returned to the after-ANT proposition that realities are multiple, and made in practices. From this ontological approach to difference, it also follows that reality is not destiny: if realities are done in practice, then alternative realities can be done. I argued that a lot is at stake when different entities – objects, trajectories, positions – but also consumer products, CO_2 emissions, technologies, waste and so on - are done. For instance, it indeed matters, and is not accidental, if and when 'climate change' is done as a 'driver of revenue'. Alongside realities, such as 'climate change as a driver of revenue', collateral realities are done, along the way, accidentally and almost quietly: this reality does a vast array of entities, relationships and appropriate interventions, while others disappear (Law, 2011). Therefore, it matters that we study practices like ESG, and it matters *how* we study them. Realities are at stake, and we should be attentive to the specifics of those realities, not least because taking an ontological approach, we have dismissed the distinction (in essence) between knowledge practice and practices of intervention.

8.5.1 The potential for transformation through ESG practice

Beyond the situated, local observations of the stakes in any given episode of ESG practice, there is also another aspect of the ontological politics of ESG that I would like to discuss. This relates to the overall arrangement of ESG integration, and how this set-up is itself an articulation of the political. I suggested in the previous section that our looking for how 'ESG' decisively and definitely changes decisions is perhaps misdirected. Attending to the arrangement, here by exploring how ESG is done on a trajectory "in there" through accounting technologies and situated accounting practice, provides another means to problematizing the difficulty to substantively realize sustainability commitments. To reiterate, I proposed that the arrangement of the trajectory reproduced 'ESG' in an in-between position, making it the onus of ESG technologies and ESG analysts to get it in there (8.2).

Then, if reality is not destiny, what does this mean for the question about the potential for change emanating from ESG practice, a question that has reappeared throughout this discussion? I propose that we have two possible avenues to explore. The first one is an ontological-political optimism that since ESG practice is done, something *ought* to happen. Alternative values, for instance, could be articulated, brought into the frame, made visible and present. Other things might become at stake, other questions asked, other decisions made. This would liken ESG practice with experimentation and tinkering, perhaps similar to de Laet and Mol's (2000) water pump, the fluid object that gently shifts and changes and thus succeeds to travel around and offer (more or less) clean drinking water. As tinkering produces more material relations, there is the potential for momentum through procedure and scope for intervention. The second one, slightly more pessimist, picks up on the observation that the episodes are consistent and similar in the sense that

ESG must "get in". This is a version of my discussion above about how 'integration' seems to produce separation, and the perpetual in-between. The notion of obduracy is helpful to untangle this.

Obduracy and the sustaining of asymmetry

And so it is that this discussion has meandered to an eternal question about the dialectics between stability and change and about the sustaining and unravelling of power and asymmetry. Law (2001) picks up on this question in a discussion on the notions of ordering and obduracy. He asks how is it that even though arrangements are accomplishments, and practices are generative, power seems to be 'hegemonically' sustained? Why is it that distributions of assets and power seem to remain? Indeed, as I introduced this thesis,

> if everything is process, everything is change, if everything is flow, then how come so much stays in place? (Law, 2001, p. 3)

Accounting practices and inscriptions play a key role in this tension, because they can both be mobilized for contestation (and related emancipation and innovation, if we read Busco and Quattrone, 2018a; see also Jones *et al.*, 2004) and imply obduracy (as in much of the action-at-a-distance literature suggests – although there is always also a certain fragility). Obduracy is achieved in part by delegating relations into the material, such as accounting technologies (Law, 2001). The point is theoretical, but is also straightforwardly commonplace: it is reflected in Kim' suggestion that it was important to "pin down" the formal ESG approach, because "if I would die tomorrow it's good that it's possible to find out how we work…". Perhaps this is also part of the asymmetric distribution in the portfolio meeting, where financial performance is done on the review sheet, whereas 'ESG' is "only" made present in talk. The reader might also recall the discussion above (8.2.2) comparing Sjögren and Fernler's (2019) "situated bottom-line" made in established accounting tools, with the constant effort of elaboration and articulation, in the industrial equipment company meeting (6.2), of the linkage between 'the economic' and 'energy efficiency'.

The notion of obduracy tells us that experimentation, tinkering, and subtle, gentle unfolding (cf de Laet and Mol, 2000) is all well, but we cannot will realities into existence. Performativity and multiplicity do not mean that "anything goes", that realities are "options" we are free to choose from. Obduracy illustrates exactly that some things do not unravel easily, as their vast hinterland ramifies out endlessly. Unravelling is of course not impossible, but it takes effort. Therefore, it matters what is made into matter by being inscribed in technologies and what is not: it is much easier to unravel something that has not been delegated to the material. Obduracy through material delegation makes certain courses of action more plausible than others, and it makes the alternatives awkward (Law, 2001).

My argument here is this. If we accept my argument that 'integration' produces separation, down in the nitty-gritty details of the spreadsheet, together with Law's suggestion (which is a version of a basic tenet of ANT) that material delegation produces obduracy, then over time, what becomes obdurate, is exactly the separation that was to be overcome. In this sense, 'integration' makes boundaries between, say, 'sustainability' and 'the financial' more obdurate. What is more, it simultaneously makes 'finance' central, increasing the asymmetry. Again, the particulars of the arrangement matter, and the resulting predicament here is that to escape the "bias to the centre" (Law, 2002) we must *do* differently. How, then, to do this?

Multiple realities in interdependent co-existence

Is there a way out? How do we do differently? I have already suggested that ontological politics does not imply we can "choose freely" between realities. Obduracy is one way of expressing this, but it is also due to the fact that realities, although multiple and co-existing, collaborate or depend on each other (Mol, 1999). In another vocabulary, one might say that one reality (say, for instance, ESG as 'integration into the discounted cash flow model') is part of the hinterland of another one ('ESG as company engagement'). Realities that might clash in one site (it might, for instance, be untenable to proceed in practice, in a particular situation, with both 'exclusion' and 'DCF integration') are held together by being enacted in different localities, and by being ordered in sequence. The key point is that ontological multiplicity does not mean that realities are separate, fragmented entities, but rather interdependent. This is why we can say that 'ESG' is more than one, but less than many. Despite, and sometimes because of, its multiplicity, it holds together in and through distribution across time and space (Law, 2002; Mol, 2002). Since practices and their realities are folded into each other and depend on each other, nothing is completely "separate" and thus meaningless. This implies that nothing is *merely* procedural, irrelevant, marginal, or just "details". Effort and experimentation "here" might well unravel something "there". The making of new relations and linkages is the only way to open up that which seems fixed, obdurate and immutable. The conclusion, therefore, is this: yes, there is a way out, because practice matters, but we should be wary of centric arrangements.

8.5.2 ESG as sustainability accounting: Onto-political or dialogic practice?

In the above discussion, I elaborated on how the notions of the in-between and momentum constitute contributions to the two outlined streams of ANT inspired studies of accounting. In addition to this, the findings in this thesis could have implications also for research on social and environmental accounting practices. One broad contribution is a response to O'Dwyer and Unerman's (2016) call for more empirical field studies of sustainability accounting practice, specifically how "reporting is constructed and used in a wide variety of organizational contexts" and the "roles accounting can play in embedding considerations underlying social sustainability into organizational decision-making" (ibid, p. 38).

This thesis contributes with a detailed description of the practice of bringing sustainability "in to" organizational practice, by studying the inner workings of one of the key types of organizations in financial capitalism, namely asset management organizations. Through the conceptual repertoire of the object, the trajectory and position, I have shown on a highly detailed level how the endeavour to "get ESG in there" unfolds in practice and the repeated effort needed when no stable, obdurate technology can be mobilized easily.

The other contribution relates to Unerman and Chapman's (2014) call for the mobilization of a more diverse set of theoretical framings in the study of sustainability accounting. The after-ANT approach to multiplicity taken here is to my knowledge new to the sustainability accounting field (but see Georg and Justesen, 2017 and Vesty *et al.*, 2015, for ANT inspired studies of

CO_2 accounting; and Egan, 2014 on water accounting). In an attempt to contribute to this endeavour, I will commit the remainder of the chapter to a theoretical dialogue between the dialogic-agonistic accounting principles (Brown, 2009; Brown and Dillard, 2014; Puroila and Mäkelä, 2019; Vinnari and Dillard, 2016) and the material-semiotic notion of ontological politics. I argued previously that the literatures on sustainability accounting and sustainable finance have been less concerned with conceptual questions on difference, boundaries and dichotomies. The dialogic-agonistic accounting literature, however, touches upon related issues at it is concerned with how the articulation of difference and dissensus, rather than false consensus, can have emancipatory potential. However, it does so with a social-constructivist approach, that differs on a few key aspects from a material-semiotic, ontological approach.

Dialogic-agonistic accounting studies share with this thesis an interest in how societal concerns become framed, outlined and delimited by accounting technologies and accounting practice. In addition, like Brown in her principles for a dialogic accounting approach (Brown, 2009), Mol draws on – but also departs from – Mouffe (Mol, 2002, p. 109) in her discussion of difference. Taking difference seriously means not to smooth over differences into consensus, but to leave otherness be. For both Mouffe and Mol, "frictions are vital elements of wholes" (ibid).

However, dialogic-agonistics differ decidedly from the ontological approach to multiplicity of this thesis. A clearly social constructivist approach, it is more attentive to human actors' intentions, preferences and identities, albeit the approach does concede that preferences are fluid and endogenous. The departure point becomes in what way preferences are malleable: where dialogics foreground discourse, and preferences reside with human actors, ANT can instead help us show how 'preferences' are inscribed into technologies and arrangements. Dugdale (1999) is a case in point when it comes to showing how 'perspectives' are arranged, material-semiotically, and in situated practice, by mobilizing the idea of (political) representation. This thesis has several examples of this, as I have already discussed. The investment team meeting in *Aurum,* where one ESG analyst should always be present (re-presented, perhaps) is one such example. Another one is the portfolio meeting in *Diligo,* where 'ESG' and 'finance' was arranged as one analyst from each ‘perspective’, and the agenda: reviewing the ‘performance’ of portfolio companies, attending both two the ‘financial’ and to ‘sustainability’.

The second point of difference relates to the treatment of power. Dialogics is a deliberately asymmetrical approach in the sense that prevailing power structures and dynamics should be taken into account. ANT is not necessarily insensitive to power (although plenty of critiques along those lines have been raised), but it requires taking asymmetries (like dichotomies) not as starting points but achievements of analytical interest. Notwithstanding such epistemological and ontological differences, I maintain that the two approaches share enough to make it worthwhile to – not necessarily integrate – but juxtapose the two and place them in “conversation”[52].

As I discussed in Chapter 2, the notion of ontological politics implies that the crucial, ‘political’ moments are not necessarily the ones where human actors ostensibly choose between different options (such as whether to “buy”, “sell” or “engage with” a company investment object – even though that is the commonplace understanding of the transformative force of ‘ESG’) but in how different entities are defined, measured, arranged and ordered. It also suggests that we should expand the political view beyond the “contents” of meeting deliberations, to the very arrangement of the meeting itself, for instance. Much of ESG practice is arranged in such a way as to ensure the proper “mixing” and “merging” of ‘sustainability’ and ‘finance’, and throughout the empirical material we could see this pattern: from the rows and columns in the energy efficiency survey, to the importance of the weekly investment team meeting where at least one ESG analyst was always to be present. Following Mol, the political plays out in all these practices, and in the particulars of how ‘ESG’ is done in a specific site. It has consequences that ESG is an exclusion criterion in the investment team meeting, whereas it is an attempt at drawing together ‘resource efficiency’ and ‘profitability’ in

[52] Indeed, such attempts have been made, for instance by Vinnari and Dillard (2016), who outlined how Latour’s procedural democracy elaboration of ANT could contribute to dialogics. In particular, they argued, dialogics could benefit from a better understanding of the necessity of achieving closure to move forward with decisions and action. The attempt here, however, differs from that of Vinnari and Dillard (2016), in this analytical treatment of seemingly pivotal decisions.

the tech fund meeting, since each version hinges on a vast, ramifying network, a hinterland of collateral realities. When one version of ESG is done in practice, other realities are at stake, too.

ESG is thus 'political' in the sense suggested by Mol, Law and others. It shall not be forgotten, however, that it is clearly implicated in capital P Politics, too, as it touches upon complicated (but important, I argue) issues around the corporate and financial sectors' contribution to climate change and other social and environmental crises, and their role in transition and transformation. This thesis has framed 'ESG integration' as accounting practice, and related it simultaneously to ANT-inspired studies of accounting change (Chapter 2), and to the broad and heterogeneous field of the sustainability accounting literature of a more traditionally critical inclination (Chapter 3). The latter clearly locates practices such as 'ESG integration' in broad political concerns for large-scale societal change, and, I argued, tended to conclude that much of sustainability accounting practice was ineffective, if not right out harmful, as it (in contemporary practice, at least) often merely served to reinforce prevailing asymmetries (e.g. Gray *et al.*, 1995; O'Dwyer, 2005; Larrinaga-Gonzalez and Bebbington, 2001; Puroila and Mäkelä, 2019; Spence and Rinaldi, 2014).

The normative principles of dialogics suggest how to deliberately set up a decision situation in such as a way that engenders a different way of "seeing" things. Thus, dialogics hinges on the distinction between the deliberate arrangements of the "in here" (the moment of laying out the – however plural in perspectives – knowledges, arguing – however agonistic – and reaching a conclusion) from the "out-there" realities represented. Simply put, it separates between knowledge "in here" and realities "out there", and practices that produce such knowledge from practices that intervene. Material-semiotics, on the other hand, holds that such a distinction is done in practice, since any 'knowledge' mobilizes a vast hinterland of practices that sustains the distinction (Law, 2004). The reader might remember that I did, however, suggest that momentum was capable of producing an "in here" in the situated practice, and so it seems pertinent that I clarify the nuance: The dialogic approach separates the epistemic work of bringing knowledges together and negotiating a (however temporary and unstable) result from its implementation in practice (but see Vinnari and Dillard, 2016 on the problem of 'closure'). The ontological approach makes no such distinction *in essence*, where decision-making follows *after* knowledge, and implementation is the given next step – although practice might well be arranged in such a sequence. This quote in Mol (2002) summarizes the distinction between the social-constructivist politics of *who* and the material-semiotic politics of *what*:

> The second problem with a politics-of-who is that it isolates moments when a choice is being made. It separates decision-making moments from the series of long layered and intertwined histories that produce them, as if somehow normative issues could be isolated and contained within those pivotal points. As if they were, indeed, pivotal points. (Mol, 2002, p. 169)

Where dialogics maintains that although it is a difficult achievement, proper representation (*who*) should lead to productive dialogue and fair and just decisions. The approach taken here, which foregrounds the material arrangements through which 'decision-making' is performed as a drawing together, instead showed how the "perspectival" differences maintain. My point was not that "perspectives" are indeed part of such different human social worlds that they cannot be renegotiated: instead, the point was that bringing them together in a material arrangement that is to attain "togetherness", brought about separation. That is, rather than an arrangement that brings two separate agencies together, the arrangement reproduces the boundary (cf Mol and Law, 2005 on how boundaries might "travel"). As a consequence of such a politics of what (and where!), the treatment of the "who" also becomes reformulated, as the actor is enacted alongside the arrangement. There are "no independent actors" somehow "outside reality" (Mol, 2002, p. 179).

To summarize, ontological politics imply that questions of normativity do not start "after the facts" for instance in questions about interventions and what "ought to be done" (Mol and Mesman, 1996, p. 424). Rather, they are present in the agreement on what is the case, and in the day-to-day practices. Material-semiotics thus have a different politics attached to it, compared to social constructivism, as the dialogic-agonistic approach. Social constructivism, broadly, would understand 'ESG' as a site where people of different worlds, and with different languages, coincide: the relations between knowledge(s) and hierarchy, and, perhaps, the invisible work of some groups. The politically committed researcher, then, could engage with the field by seeing the world through the eyes of the weak: perhaps the ESG analysts, or even the cleaners and receptionist in the asset management organization.

The material-semiotic approach, however, does not treat different realities as the outcome of different groups of people attributing meaning and making sense of reality, but rather how realities as different orderings are generated through bodies, technologies, numbers and other materials. The political move thus becomes different: it becomes something about exploring and exposing these (multiple, co-existing) orderings, and unravelling the frictions and relations between them (ibid p. 434). There is no privileged location where the political is finally settled – rather, the political is everywhere. The political substance is different, too, with a shift from 'the subject' or 'the citizen', moving beyond groups of people, towards including "the shape of a building, the rhythm of the day, and systems of calculation" (p. 436). The key point is that 'the political' is not a separate domain, but materialized in ongoing tensions and interferences between multiple, co-existing modes.

To conclude, ontological politics can inspire dialogic-agonistics with an alternative means of tending to the political: rather than seeking out pivotal decision points and attempt to change them, it can be less focused on the ostensibly central (this was reflected also in much of the literature on SEA and change, see e.g. Larrinaga-Gonzalez and Bebbington, 2001 and Contrafatto and Burns, 2013). From there, most things are, anyway, beyond contestation and seem like "facts" already established elsewhere. Instead, there might be potential for a dialogic-agonistic approach in the seemingly small political openings that present themselves in the everyday orderings and practices, without recourse to the bias to the centre. As I have already begun to outline, this has implications for not only *what* we study, but also *how* we study it. I will elaborate more on such normative-methodological implications in Chapter 9.

Summary

This thesis emanated from a broad interest in the relationship between accounting and change. To this end, I conducted a field study of ESG practice in investor organizations, with more in-depth study of two. In these two asset managers, here anonymized as *Aurum* and *Diligo,* I conducted observations of meetings, meeting preparation and other forms of mundane work practices. Analytically, I proposed a shift in the study of change. I suggested that whereas the ANT-inspired accounting literature has tended to treat change as a longitudinal question of genesis (accounting-in-the-making), there was analytical potential in studying change in situated practice. To enable this, I introduced a conceptual repertoire of three spatial figures: an object, a trajectory and a position. These operated as a conceptualization of the emic endeavour of 'ESG integration' and its various forms of "getting ESG in there". The situated approach enabled particular attention to how objects – 'ESG', for instance – as well as various trajectories and positions, were performed in practice. This attention also allowed me to observe, first, how the 'integration' endeavour managed to reproduce the very dichotomy it was intended to overcome, due to the ongoing outlining and prompting of the 'ESG'/'financial' boundary. Against this background, I proposed that 'ESG integration' placed 'ESG' in a perpetual liminal position of the *in-between*.

The analytical and methodological approach also allowed me to observe how a sense of *momentum* did not map well onto commonplace preconceptions of calculative power. I developed this argumentation with reference to the notions of procedural scripts, distribution, openness/closure and scope for intervention. From there on, I outlined a series of analytical, methodological and political implications relating to power and asymmetry: the centre-periphery dichotomy, the transformative potential of experimentation and the sensitivity to treading carefully with how we ascribe importance to Decision-making, capital D, at the expense of the "marginal". The key take-away of my discussion of the ontological politics of 'ESG integration' is that by looking for pivotal, decisive moments, we miss that most options are never articulated as options at all. This theorization can nuance the interest in the arrangement of democratic, pluralist decision-making in the dialogic accounting approach recently emerging in the SEA literature.

In the next chapter, I lift the gaze further by placing these findings and implications in dialogue with additional relevant literature, and by outlining some theoretically informed practical implications for professionals within ESG and sustainability accounting broadly.

Chapter 9

Implications for research and practice

In the previous chapter, I placed the findings of the thesis in dialogue with broader theoretical debates. I engaged with the long-standing discussion of centres and peripheries and placed ontological politics in dialogue with the socio-constructivist dialogic-agonistic accounting approach. This chapter continues the discussion. Specifically, while I there outlined the contributions and implications to ANT studies of accounting as well as the dialogic-agonistic approach, I here engage with additional research streams. I discuss three streams, namely the SEA literature on change, the organizational literature on ESG and sustainable finance, and the stream of *concerned markets* in constructivist market studies. I also elaborate some methodological reflections on how to manoeuvre at the intersection between methodology and normativity, building on from some of the arguments in Chapter 8. I conclude the chapter by outlining the practical implications of the study. I suggest we should be careful with taking for granted that change happens by targeting the seemingly central and pivotal. Rather, we should acknowledge the potential of distributed experimentation. These implications are relevant primarily for ESG practice but can be related to the work of sustainability professionals in organizations more generally.

9.1 Implications and suggestions for future research

9.1.1 Implications for the study of social and environmental accounting and change

I concluded my discussion of Chapter 3 with a discussion of how the social and environmental accounting literature could be mapped onto my conceptual repertoire of an object, a trajectory and a position, and how the literature had tended to treat them. Formulating those conclusions, however, made it clear that the research on sustainability and calculative practice overall would benefit from more articulation of how different theoretical positions alter how we treat the concepts. This relates to the question of critical engagement and normativity which I develop more below, and how our epistemological and ontological approach to both 'sustainability', and whatever it is to be introduced *into* matters. The various streams have indeed been concerned with transformation, and have thus implicitly mobilized varying conceptions of 'sustainability' (object), as it is introduced into – and reorders (trajectory) – established organizations and practices (position). The material-semiotic approach is *one* take on this, where the non-essentialist commitment to symmetry implies treating all three as relational, situated accomplishments.

One development of the SEA literature that would make the former easier, is the articulation of more distinct domain theories (Lukka and Vinnari, 2014). It is slightly unruly and problematic to refer to the variegated stream of SEA literature (even when delimited to studies based on intra-organizational fieldwork and concerned with change) as "one". Firstly, because there are so many different method theories mobilized, questions like the above discussion of how the theoretical approach alters 'sustainability' become glossed over. Secondly, it is problematic because there is a lack of articulated conceptual concerns – beyond changing 'the established', or 'capitalism' – to which more field-work can contribute with new insights. The dialogic accounting stream (Bebbington *et al.*, 2007; Brown, 2009; Brown and Dillard, 2014; Vinnari and Dillard, 2016) is one example of a clear domain. It began as a set of normative principles, now increasingly fleshed out with empirical work (e.g. Puroila and Mäkelä, 2019). Otherwise, domain theories are often formulated around the empirical phenomenon. Integrated reporting, as well as sustainability and management control, are two such domains that have crystallized in recent years. These remain quite broad, however, and given the many theoretical approaches that have been utilized in studying each phenomenon, there is a risk that theoretical contributions become little more than a demonstration that another method theory could be utilized, too. There is a challenge in formulating a clear domain theory when the research in the domain does not agree on fundamental epistemological and ontological questions. With the challenge of formulating a domain theory comes the challenge to formulate a theoretical contribution.

Domain theories that are formulated with a more distinct conceptual problem, however, are promising. An overall conclusion of this thesis is that the SEA literature would benefit from tending – at a detailed level – to foundational concepts that have often been slightly glossed over. I propose that the concepts I used in this thesis can be helpful in such an endeavour. "Change" is indeed a rather disorderly concept, since it can mean so many different things, but my conceptual repertoire of an object, a position and a trajectory opened for an examination of a range of concepts related to change in organizations: boundaries, dichotomies, movement, displacement, bringing together, space, site, locality, distribution… From these, conceptually based, and clearly empirically founded, potential research questions follow: Does it matter *where* sustainability accounting is practised – as opposed to only *how* or *by whom*? Does that affect organizational space, like hierarchy and distribution? What is the role of the procedural? Does intent matter?

Another set of conceptual questions emerged in the discussion, where I brought out the question of decision-making. Are we unduly focused on ostensive key decision-makers? Should we consider alternative means to studying decisions, including a theoretically motivated look at *where* and *when* they are made? With a burgeoning interest in how sustainability is implicated in organizational decision-making (O'Dwyer and Unerman, 2016; Spence and Rinaldi, 2014), these issues deserve attention. One way to address the issue, which crystallized from this thesis, is to mobilize a material-semiotic theoretical apparatus to shift the attention from human decision-making subjects in pivotal positions, (cf 3.2.1, Enlisting key organizational participants) to distributed decision-making arrangements. This constitutes potential future avenues of research for SEA scholars interested in issues like compromise, dialogue and dissensus (Vinnari and Dillard, 2016, but see also Fraser, 2012). The link between (sustainability) calculations and decision-making is far from straightforward, as Laine *et al.* (2017) observed. The portfolio meeting (7.3), in particular, was illustrative of this point. A fruitful scholarly debate on the topic hinges on the careful elaboration of the radically different ways one might treat the 'decision' concept in the first place. Here, my situated approach could be complemented by long-term ethnographic work to trace reporting and decision-making arrangements in organizations over time.

9.1.2 Implications for the study of 'sustainable finance'

The study of ESG, SRI, or 'sustainable finance' in the organization, accounting and business ethics literature, has long been characterized by an interest in the formation of a field of practice. As I discussed in Chapter 3, this took the form in studies of how insiders or outsiders attempted to change the field, how actors attempted to establish themselves as *the* source of standardized data, and how analysts in asset management organizations went about in their day-to-day epistemic work (e.g. Arjaliès, 2010; Arjaliès, 2014; Arjalies and Bansal, 2018; Beunza and Ferraro, 2018; Chelli and Gendron, 2013; Déjean, Gond and Leca, 2004; Du Rietz, 2014; 2018).

It is fair to say, however, that by now 'ESG' is a fairly established practice, at least in Europe, although the 'integration' endeavour, continues, as this thesis has suggested. In this project, I was able to study a particular form of ESG practice, namely that of direct meetings between investors and portfolio companies. We followed along as *Diligo*'s analyst Kim went to a meeting with an industrial equipment manufacturer, and how 'energy efficiency' was elaborated with the help of a survey (6.2). Similarly, we saw the attempt at 'integration' in the consumer products meeting (6.1), and the many technologies and their potential for both 'sustainability' and 'profitability' in the tech fund meeting (7.4). In this manner, the study links up to the sociologically-inspired literature on the company-capital markets interface and the role of accounting therein (Barker, 1998; Beunza and Garud, 2007; Imam and Spence, 2016; Roberts, Sanderson, Barker, and Hendry, 2006; Graaf, 2018; Åhblom, 2017;

see also Vollmer *et al.*, 2009). As the attempt to 'integrate ESG' across different aspects of investment practice continues, it materializes as a topic of conversation alongside financial performance. The tendency has been to study the two practices as distinct, relating to different literatures, and with very different types of conclusions. The literature focusing on 'the financial' aspects of the interaction has often suggested that the capital markets conversation has far-reaching effects, either through the operation of disciplinary effects (Roberts et al., 2006) or through the emergence of meaning in a joint, symmetric manner (Åhblom, 2017). The literature on sustainability interactions, for instance in the studies of Solomon, Solomon and co-authors, (Solomon and Solomon, 2006; Solomon *et al.*, 2011; Solomon *et al.*, 2013), treats the interaction as a ritualistic "empty encounter" that upholds a myth of accountability[53] (but see Sjöström, 2010).

Having conducted and theorized this study, it seems to me that the study of ESG would benefit from drawing inspiration from this literature's understanding of the company-capital-markets interface. Being able to study such interactions is, of course, a question of access, and so the recommendation is to continue trying to get to conduct observations of such situations. I mean this, however, not only in terms of 'engagement' to address perceived (un)sustainability (cf Sjöström, 2010) but also in the more ongoing practices of informing about 'performance' of portfolio companies.

Whereas the sociological study of such interactions has not primarily mobilized ANT, my discussion of momentum as a consequence of procedural scripts and how inscriptions produce scope for possible intervention might inform recent discussions of how 'meaningful' interaction can materialize (see Åhblom, 2017 on how financial numbers become meaningful). This, in turn, will be helpful in the continued theorizing of the capacity of 'ESG' to make a difference in financial capitalism, which is of concern for many researchers. To put it bluntly, for ESG interaction "at the interface" to be productive, it matters how the encounter is arranged and how calculative equipment is elaborated and distributed.

[53] This, by the way, is analogous to the tendency to study the emergence of new financial accounting tools that "succeed" and new sustainability accounting that "fails".

9.1.3 Implications for the study of 'concerned markets'

When the phenomenon of 'ESG integration' is framed within its broader context as a market solution proposed to contribute to societal transformation, it resonates with recent contributions within the stream of *concerned markets* that I touched upon briefly in Chapter 3 (Barman, 2015; Callon, 2009; Doganova and Karnøe, 2015; Geiger *et al.*, 2014; Reijonen and Tryggestad, 2012; Stigzelius, 2018). Reijonen and Tryggestad (2012) in particular, showed how different environmental qualities do not necessarily travel from one site or locality to another, but rather that such qualities are enacted *in situ*. This means that while a quality like 'environmental-friendliness' might be articulated and significant in one situation, it might be invisible or in the background in another. This study, similarly, has shown in various ways how 'ESG' is more or less significant – understood here as how much momentum in the form of material-semiotic relations it mobilized – in different localities. However, the organizational, rather than market-based, perspective taken here, might contribute by showing on an even more granular level the effort involved in *concerning* and *equipping* market agencies (Stigzelius, 2018). That is, while Reijonen and Tryggestad (2012) elaborate on how a product quality shifted between market sites like 'innovation' and 'procurement', my study can show how, even within *one* organization, "concerns" come and go, depending on the material-semiotic, calculative set-up of particular situations and of the organizational arrangement as a whole. Like Reijonen and Tryggestad's 'environmental-friendliness' product quality, 'ESG' is a tenuous achievement. Take for instance, as has been discussed already, ESG as 'exclusion criteria' in the investment team meeting, compared to almost any other episode. Even if portfolio exclusion is seemingly simple and binary, it too is done in a particular form of socio-material arrangement and hinges on a vast network – and history – of calculative equipment: among ESG service providers, pension funds, spreadsheets and NGOs. Although ostensively simple, it ramifies endlessly. It can be easily drawn upon, as the network can be punctuated in a seemingly simple 'criterion'. 'ESG' as "finding tomorrow's successful companies" which was alluded to in much of the interviews (see in particular 5.1.4) and in situations like the tech fund meeting, cannot be punctuated as easily, but requires situated elaboration of the linkages between environmental qualities, 'exposure', 'geographic presence', 'revenue stream', 'business models'. The network ramifies endlessly, too, but there is no single tool that constitutes a "stabilized preference constellation" (Reijonen and Tryggestad, 2012). The work in the certification episode (7.1), thus, takes on a lot of importance, since it entails the production and stabilization of supportive tools and inscription devices, which can function to mobilize 'ESG' more effortlessly. Thus, the question becomes which materials, signs and inscription devices are most appropriate for ensuring the *concerning* of an asset manager, across space and time. To formulate it differently, I concur with Reijonen and Tryggestad (ibid), that the practical implication is that one must attend to, and arrange for, how concerns maintain over time and space. This study has shown two lines of thought for how such maintaining can be achieved. One related to the presence of, but also distribution of, calculative equipment, which seemed to contribute to momentum (8.3.1-8.3.2). The other was a suggestion to be less concerned with "getting ESG in there", as this risked reinforcing the bias to the centre (Law, 2002), and trust that material-semiotic effort and relations – indeed, momentum – can produce an "in here" in the situated practice (cf Christner, 2015). To conclude, this study's findings could be relevant to the stream of concerned markets, by illustrating the intra-organizational fragility – but also potential – of arranging a concerned market actor.

9.1.4 Methodological reflections: Manoeuvring the intersection of normativity and methodology

A number of ANT theorists have raised a form of reflexive self-critique to the potential for critical engagement with an ANT lens, both in its "early" and "after" forms (Latour, 2004; Mol and Mesman, 1996; Munk and Abrahamsson, 2012). For instance, in a contemplation of how post-modernism and constructivism might have opened for an "artificial maintain[ing]" of controversies on what is uncontroversial (he refers to the September 11 attacks and human-made climate change), Latour (2004) suggests the move from the study of the establishment of "matters of fact" to the making of "matters of concern", and from "debunking" to "assembling". The critic, he argues, is "not the one who lifts the rugs from under the feet of the naïve believers", but rather the one "who offers the participants arenas in which to gather", and "for whom, if something is constructed, then it means it is fragile and thus in great need of care and caution" (ibid, p. 246).

To phrase it in accordance with one of the common STS "slogans", when we have shown that "it could have been otherwise", what is next? In the vocabulary of this thesis: Since 'ESG' is done in practice, and is thus multiple – where does that leave us in terms of potential for critique? Are we, as Latour puts it, fighting "wars that are no longer possible" against "enemies long gone" (Latour, 2004)? A similar concern is echoed also in Mol and Mesman (1996):

> Go and unravel the construction of an object. Any object! It doesn't matter what. The laws of gravity, a nuclear power plant or the HIV virus – anything will do. Just show that the thing doesn't exist by itself, but depends on something else. Which is true. But why repeat it? The only reason for doing so seems to be to undermine epistemology. Again. And again. And yet again. (Mol and Mesman, 1996, p. 423)

The question for Mol and Mesman is that when we have "dismissed foundations", what is left for questions of normativity? Of goods and bads? What does an account of how something is made in versions accomplish, if the idea is not merely to produce more mess in and of itself, but rather to *commit* to something? Compared, for instance, to the approach to critical engagement common to much of the (critical strand of) SEA research, the ground is much shakier. Whereas, say, a researcher committed to a dialogic approach can (and should!) proceed asymmetrically (because the approach aims at unsettling hegemony) the material-semiotic researcher should somehow stay committed to symmetry. A normative commitment seems to require holding something "stable": we saw how, in the dialogic approach, there were articulated commitments to pluralism, dissensus and difference. Many of the guiding principles of ANT, such as asking open questions, relentlessly following "stuff" around, trying hard not to restrict possibilities, rejecting explanatory frameworks and "grand narratives", and committing to detailed description, thus seem to sit uneasily with a normative approach.

It has been articulated many times and in many versions, however, that this does not open towards an a-political void: as John Law has pointed out, many after-ANT researchers have strong and articulated commitments to their objects and fields of study. Indeed, Mol and Mesman also suggest an approach for critical engagement. Mol and Mesman's (1996) suggestion is to, rather than merely "unravel the construction of an object", also "confront, instead, the *content* of whatever it is that one studies: the work of people, texts, technologies, theories". This, they argue, can go together with trying to make a difference in what one studies, through attending to the normative ordering of one's field of study rather than by spelling out how people and things should behave".[54] The political choice of the researcher, then, is not to outline differences between different social groups and to necessarily "side with the weak", but to outline the material orderings of practice. Thus, the axis of difference is not "ESG analysts" on the one hand and "portfolio managers" on the other but rather different orderings of ESG practice. It is on the basis of such an analysis that I was able to critique the material ordering of 'ESG integration' and the separation it produces.

Finally, we might want to ask whether we can "escape the asymmetries performed by the bias to the centre" (Law, 2002)? If the dialogic accounting approach suggested turning more attention to the decision situation, the ontological material-semiotic approach instead asks us to question such centrism. Indeed, Law suggests, such asymmetries "have to be performed away" – and while we can do so, it comes with great difficulty. This implies that *what* we as academics choose to study, focus on, and narrate become highly political choices. It is within this framing, my choice to study 'ESG' should be understood. With the collapse of the epistemology/ontology distinction that comes with the suggestion that realities are generated in practices, the "critique from the outside" position becomes untenable. From this follows that my description of 'ESG', to paraphrase John Law (2002), participates, interferes and alters 'ESG', if only slightly and locally. This is, thus, one way out: having chosen to narrate 'ESG' as objects, trajectories and positions, and

[54] It has been pointed out that early and "after" ANT entail two distinct versions of possible critical engagement (Munk and Abrahamsson, 2012). On the one hand, there is Latour's "compositionist", procedural approach (see also Vinnari and Dillard, 2016, on how this relates to Brown's Mouffe-inspired agonistic-dialogic approach) and on the other, the commitment among Mol, Law and others, to craft multiplicity and attend to "ontological interference". For the former, critical engagement relates to "craft new and comprehensive common worlds" – for instance, Latour's suggestion of offering "arenas in which to gather". For the latter, the focus is on making a difference "by describing/enacting these messy specificities" in an effort of "undoing the singularity of the real" (Munk and Abrahamsson, 2012; see e.g. Law, 2004). Given that this thesis is firmly positioned in the latter of the two, this discussion will focus on that.

my fieldwork encounter with *Diligo, Aurum,* Eden, Charlie, Kim, Kai and the others, might slightly have altered the practice with which I engaged. Such alterations, however, are unpredictable and not necessarily detectable. My writing this story, might, somehow, have made 'ESG' more obdurate (Law, 2002).

In the next section, I outline a few practical implications that follow from how I conducted this study and theorized it. This might seem to run counter to Mol and Mesman's advise against "spelling out how people and things should behave". Yet, as the reader will see, while I do spell a few things out, they are not so much about how people and things should behave, but about how ESG can be arranged and ordered. As I have returned to several times now, it has consequences.

9.2 Practical implications

With a few months left of writing this thesis, I went to an ESG practitioner seminar. Many key figures within ESG in the Nordics were there, to hear a presentation of, and discuss, a newly released report from two colleagues at the Stockholm School of Economics. The report was based on interviews with sell-side and buy-side analysts as well as investor relations staff, workshops, and a survey. The theme was the extent to which long-term issues are addressed in the so-called capital markets conversation, and the study built on a survey of financial analysts, portfolio managers and investor relations staff. That is, to what extent are routinized events like the quarterly earnings call, or private, ongoing conversation, a space for discussion of issues that are typically ascribed a long-term perspective, like climate change, water scarcity, social issues, and so on. In this situation, 'the long-term' and 'ESG' were referred to almost interchangeably. The point here is not to reiterate the results of the report[55], but to reflect on some of the points that were raised in the discussion afterwards. The reason for concluding the thesis with reflections on this event is that the comments in many ways represent a typical

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[55] It can be accessed at https://www.stockholmsustainablefinance.com/report-longterm-analysis/

discussion on what is necessary for engendering change in the financial sector. On the back of having conducted and theorized this study, however, I would like to nuance a few of the common "suggested remedies" for a financial capitalism that is described as too short-sighted, too stuck on the financial aspects of performance, and so cemented in its legacy, quantitative methods that it fails to take sustainability into account.

One of the recurring themes in the seminar discussion related to how to influence financial analysts and portfolio managers to consider long-term issues in their analytical work. Someone repeatedly came back to the discounted cash flow (DCF) models, and how it was simply a matter of inserting a line, for instance 'CO_2 emissions per revenue' into the model. The argument was that to change financial analysts, one has to allow them to change "within" their existing methodologies – "why reinvent the wheel?". This suggestion, the first of the common "suggested remedies" (which was not particularly strong in that seminar but which characterizes much of the ESG practitioner literature, see for instance the PRI's practical guidance on integration), is to make ESG *conform strictly* to established work modes.

Others were clearly sceptical that this would have any effects, and instead suggested a general need for training. The rationale was the suggestion that 'integration' is not happening because financial analysts were trained 20 years ago and had not learned how to 'integrate'. Looking broadly at those active in ESG in the Nordics within investor organizations, most have a non-financial background, while there is a small number that started on the financial side of the boundary I have theorized in this thesis. It is indeed a common suggestion that business students, especially those who study accounting and finance and thus will become financial decision-makers, should be educated to accommodate sustainability issues. The underlying assumption, evidently, is that there is a lack of knowledge or understanding that hinders those that are only financially trained to understand the sustainability aspects of business activity. This is not unique to the participants in the seminar, as the PRI, too, has suggested that the different backgrounds hinder a "collaborative environment" and produces "lack of rapport" (PRI, 2019). The second suggested remedy, thus, is *training and education* (of financial analysts, on ESG, and of ESG analysts, on finance) to engender changed understanding.

Various perspectives on the issues of measuring and reporting came up. Someone made the comparison to integrated reporting, which had been very "in vogue" a couple of years ago, and how that had really forced companies to disclose, at least in narrative form, visions for the future. How come those visions got lost when trying to formulate the so-called "equity story"[56]? And relating to that, was most ESG analysis from the service providers even that forward-looking? Wasn't it mostly static and backwards-looking? Perhaps there were things to be learnt from fixed income (as opposed to equity analysis), where 'risk' was dealt with in different ways, due to the illiquidity-related difficulty of just "getting out" of a bad bet? The new so-called TCFD[57] rules were raised. The room seemed to agree, however, that this was no holy grail. In fact, the room then agreed, there *are* no holy grails. While there were many versions of this argument, the third remedy – and this one keeps showing up across the sustainability field – relates to *improved disclosure*, based on an implied functioning of information for decision-making.

My neighbour in the audience lamented the problems of "quantifying" sustainability (which relates to the first, second *and* third remedies), and raised the issue of the financial sector's incentive structures: in no way are fund managers rewarded for taking "long bets". Someone agreed and delivered a colourful simile: funds are compared on an almost daily basis while attempting to *also* deliver in the long-term. This entails having to win a marathon while simultaneously winning every 100-meter race. The fourth suggestion, that came up, thus, related to fund evaluation and *incentive structures.*

I am not able to say much to the last suggested remedy, since I have not studied incentives, rewards or fund performance evaluation in any systematic manner (beyond how ESG was to be practically introduced into such conversations). What I can speak to, however, relates to the first, second and third remedies, namely the option to *conform tightly to established approaches,* to focus on *training and education,* and requesting *improved disclosure.*

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[56] The equity story refers to the narrative of why a stock should be bought, consisting of a bundle of aspects, like value drivers, maturity, competition, sector, and so on.

[57] TCFD stands for the Taskforce on Climate-Related Financial Disclosures, a framework initiated by the US Financial Stability Board, targeting better "consistent, coherent" disclosures on climate risk for firms, so that investors can "better assess risk" (https://www.fsb-tcfd.org/about/)

The option of inserting a line, while straightforward, seems slightly mechanical and narrow. What much research on the work of financial analysts suggests, moreover, is that they by no means trust only valuation models, anyway. A variety of proxies for "good firms" are often used. The disclosure option is surely helpful, as it provides something material to mobilize in practice. At the same time, we have seen an enormous "improvement in disclosure" in the past decades, so haven't we already tried that? Finally, training, is surely positive, but one must acknowledge that this hinges on an assumption that results rely on *knowing* and *understanding,* and that this somehow is not the case today. That "if only" there were full knowledge, action and decision-making would be straightforward. Climate inaction is testament to the problem of this view. Action does not follow unproblematically from knowledge. What I want to discuss, however, is something else.

Nearing the end of my work with this project, in that room, I kept thinking that in my field study, if there was *one* thing that seemed to have driven the "field" forward from the early days, it seems to have been continuous and ongoing experimentation. Through continuing to try new things, at least something is articulated. Things that do not work. Things that *do* work. Things that take material form and can then be mobilized and not just talked about. This experimentation has indeed been distributed, in the sense that it has been taking place in a number of locations simultaneously. Results have been circulated and shared, and experiences discussed. The contrasting of the different episodes also brought about some nuance to the insistence on identifying the pivotal decision-moments and decision-making actors, and instead examined how decision-making agency is *arranged*. Against the backdrop of the findings of this study, I consider myself able to formulate four general arguments constituting the practical implications of the thesis. As the reader will notice, they do not align with the commonplace, suggested remedies.

The first implication relates to the theoretical argument around the notion of the in-between (8.2). This is a more general suggestion that we should not jump to conclusion about the benefits of "integration". Formulating a change endeavour in that manner has consequences, as this thesis has shown. It runs the risk of reinforcing the very boundary it is supposed to bridge.

Moreover, through its insistence on addressing 'the financial', it runs the risk of reinforcing prevailing asymmetries instead of providing a "way out".

The second implication emanates from the notion of momentum (8.3), and from the discussion of centres and peripheries and decision-making in the latter part of Chapter 8. This is that we should not overlook the potential of distributed experimentation. Relatedly, we should think twice about urging more standardized metrics "across the board". For a long time, practitioners have complained that ESG data is not standardized or comparable enough, making 'integration' impossible. There seems to be no way out of this argumentation, but the shift of attention to experimentation places standardization and comparability more in the background. Experimentation does not necessarily hinge on broad-based standardization but has productive effects because it *does* something. It inscribes new relationships into the material so that over time, it becomes possible to mobilize something "small" but draw on its whole network of distributed work. There is thus no *one* methodology for "integration", and there might well be productive effects both from "inserting a CO_2 row in the DCF" as well as from conducting in-depth, qualitative analysis of a single firm or a specific ESG issue. Such experimentation, however, requires resources – both in terms of tools and time. With such resources, we might worry less about the classical question of whether ESG should solely be the remit of a dedicated ESG team or a responsibility distributed across all investment staff.

It does matter, however, how failure is treated. The third implication relates to the fact that a successful experiment builds on many failed ones, just like a "final" version of a text rests on layers and layers of iterations. So it seems I end up saying something that relates to incentive structures anyway, at least implicitly. Because in addition to resources, experimentation also requires allowing failure. This is indeed difficult when one must both win the marathon and the 100-metre race, as one of the meeting participants alluded to. Allowing failure is tricky also because there is still an onus on ESG analysts to *persuade* their colleagues that ESG is worthwhile. In light of this, it might indeed become risky to praise failed experiments. The fourth implication relates to this role of persuasion, and to the question of resources.

Many ESG analysts, beyond being viewed as issue specialists, are expected to act as spokespersons for sustainability internally as well as externally, and sometimes even to be responsible for internal sustainability commitments, like the office recycling. Against the general suggestion to give resources to experimentation, and to allow failure, this focus on what can be communicated is probably ill-fitting. Becoming a skilled producer of knowledge does not necessarily go well with a communication task.

Related to this communicative role, I would also like to raise the issue of assigning ESG analysts the responsibility to persuade financial analysts and portfolio managers that ESG issues and data are valuable sources of information for decision-making. In this manner, ESG analysts are treated as a form of evangelists, carrying the message "Thou shalt integrate". But who wants to be persuaded by someone with the formal role of persuading you? As it will always be argued that resources are scarce, a straightforward suggestion is to attempt a shift of resources, from devoting time and skill to persuasion, to practical experimentation. With this comes less interest for the personal commitment or "calling" of ESG analysts, towards treating the role as an expert among others.

Experimentation, on the other hand, is not about persuasion but about producing something tangible – which means that we do not have to resort to preconceptions of what a financial analyst's brain looks like from the inside. With distributed experimentation, there is something to *do*, scripts to follow and procedures to undertake. With this view, we can worry less about whether someone at the receiving end of persuasion has *really* understood why they should care. Much of such persuasion, historically, has also related specifically to repeating and reformulating a causal relationship between ESG performance and financial performance. While it is straightforward to suggest that what happens "in the world" has consequences for how well firms do, the relationship is less than straightforward and has many possible causal directions. This complexity might not always be favourable to successful persuasion. Such persuasion thus takes place in a space where nobody can be certain about what it is that we should be persuaded *of*, and runs the risk of resorting to clichés and platitudes. The fourth implication, thus, is to let ESG staff be issue specialists, rather than evangelists.

The (non)executive summary

If I then sum up these reflections in something like a laundry list, it goes like this. First of all, watch out for generic, blanket statements on 'integration'. We must attend to the details of what is to be integrated into what, and beware of the risk that we strengthen the asymmetries we wanted to address. With this comes a general scepticism to claims that sustainability must reach the "core" of a firm – as if cores could be straightforwardly and a-politically identified. Second, we should make sure that issue experts (i.e. ESG analysts, sustainability staff) get resources (time and equipment) to experiment. They should be allowed to fail and try again. What is more – do not task them with the responsibility to "persuade" other organizational participants, implying that authority and agency are somehow *beyond* them. This is because we should take care to avoid the reproduction of the asymmetries of "centrism" that comes with investing all resources and attention towards getting key decision-makers onboard (for ESG that would be portfolio managers, and for corporate sustainability more broadly, the CFO, CEO or finance department).

These practical implications, and the notion of distributed experimentation, are tightly intertwined with the theoretical approach of this thesis. In a way, it is reflected in this quote by Annemarie Mol in *The Body Multiple*, the key theoretical reference of this thesis:

> In a political cosmology "what to do" is not given in the order of things, but needs to be established. Doing good does not follow on finding out about it, but is a matter of, indeed, doing. Of trying, tinkering, struggling, failing, and trying again. (Mol, 2002, p. 177).

9.3 Concluding remarks

In an op-ed in Medievärlden, a trade magazine for the Swedish media industry, Axel Andén writes:

> Why is it so difficult to make investigative journalism out of climate change? One major reason is that the biggest scandals are those that just go on.

Investigative journalism requires urgency, timeliness, villains, and the capacity to point to sinister, pivotal decisions. It has often been pointed out that climate change, more than many other societal concerns, has suffered from lacking these components of a good plot – or perhaps from journalism failing to articulate them. It might be, however, that the emerging narrative – and outrage – that the fossil industry knew and decided to mislead the public is about to form such a plot. The point I want to conclude with here, however, relates to that which just "goes on". Axel Andén continues:

> The problem with climate change is that the most destructive is that which already is, that which has already been built, that which has already been manufactured, that which has already been invested, that which just goes on.

When the new is always relatively better than the old, he suggests, we end up with a narrative of continuous improvement which anyway fails to be enough. The news logic requires journalists to focus on the new, at the expense of exposing the *status quo*. Someone might well say that 'ESG' is one of those relatively-better-but-still-nowhere-near-transformative-enough alternatives, which enables financial capitalism to "just go on". I am not foreign to the idea of seeing the practices under study in this thesis project as examples of such maintenance work. The trajectory argument would suggest that it is both: it *does* emanate from an intention to change the capital markets "from the inside", and simultaneously it *is* a mechanism that participates in maintaining financial capitalism.

If we want to stick with the logic of news, then Andén is right that we need a new plot with villains, malice and urgency: that we need to strive to accurately describe the proportions, to place things in their context, to ask follow-up questions. This is the conclusion that follows from centrism: political activism is to demand accountability by pointing to how the Political could be otherwise.

The alternative direction is what I have tried to suggest here. Indeed, most of the problems of the large-scale transformation that is necessary to avoid the worst disasters of climate change, appear to us as historical facts, the already established. However, if there is something ANT and its various meandering sub-streams, for instance into economic sociology, has taught us, it is this: The appearance of something as "established" is itself an accomplishment, subject to endless, ongoing effort and investment. It is just that this effort and investment has become invisible to us – partly because it has been solidified through delegation to the material (Law, 2001). This is not to say that the asymmetry between old and new is just discursive. Indeed it is solidified in "concrete, steel, titanium" (Law, 2001) – or, to put it in Andén's words, that which has already been built.

In this thesis, I have argued that our insistence to think of and attempt change as the introduction of something new into something established is problematic for our ability to engender change. Through illustrations of practical situations, I have proposed that the concern to "get ESG in there", participates in producing the dichotomy it was intended to overcome. I have also proposed something more hopeful, namely that there is potential in subtle tinkering, and what I have called distributed experimentation. As realities are bundled, interdependent, folded into each other, nothing is *merely* ritual or procedural. Practice *does* something. The form of practices matter, however, and I have suggested that the attention to ostensively pivotal decision-making (materialized in the commitment to 'integration') means that we over time reproduce centric asymmetries. It also means that we lose track of all those small, mundane decisions that do not look like decisions at all, but appear as the consequences of decisions that were already taken, *elsewhere*. All those things that seem inevitable in the daily muddling through. By attending to those practices, we can observe how normativity and choice comes neither "after the facts" (that would be what we often refer to as "rational") nor "before" them (something we tend to think of as "ideological"), but are constantly done in the orderings of practice. This type of political activism is decentred. It is different from the alternative of demanding accountability by pointing to the Political.

While this thesis does not lead me to conclude that ESG will decisively change the world (according to the commonplace understanding of change), I hope this thesis has cast doubt on the notion that it is merely a cynical manoeuvre to maintain and reinforce something else. There *is* potential in the relentless pursuit of incremental, small-scale shifts through distributed experimentation. We should be suspicious of suggestions that the *real*, actual decisions are taken elsewhere. We should instead be thankful to those that slowly but methodically tinker and tug at what appears to be the margins. Now, this might indeed not be enough in the state of emergency we are facing. However, as should be clear by now, it is difficult to conceive of an alternative. The only way out of the crisis is to perform it away.

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Appendix 1

Interview template

Introduction

- OK to record
- A bit about the project. Focus on analytical work, practical work. Can mean many different things. How asset managers organize analysis, how to assess performance
- Approximately 20 asset managers (owners) – anonymized – won't be apparent who's who
- Will get to see and approve the use of quotes in case of publication

Questions

- Could you please tell me a bit about yourself, background, how long you've been with the team?
- Main tasks of the team
    - Sector allocation?
    - Products?
- Could you please describe a typical day, how do you spend your days?
- How are you/the team placed, organizationally?
- Recipients, or users, of the work you do? Interfaces to other parts of the organization.
    - What is to be delivered?
- Do you have any internally developed tools or specific frameworks - reports
    - Could you describe, show an example?

- Collaboration and teamwork with fund managers, ”traditional” analysts
    - How often, how?
    - Recent example?
    - Scheduled or ad hoc?
    - When requested, an example from recently, what did you use to be able to respond? Did you bring anything into the meeting? Did you look at something together?
- Time-horizon of investments
    - Can you recall having conversations about the future? Or the very long term? How does that emerge, if it does?

To try out

- Which was the most recent sustainability report you read?
    - With that company as an example, over the course of one year, how often do you do analytical work of a company?
- Describe a case: If I were a new team member, what would you like to tell me, instruct me, in how to go about in preparing a company analysis?

Check-list

- Integration
- Data sources, i.e. rating firms
- How analytical work is organized and prompted over the course of the year
- Examples?
- The long-term